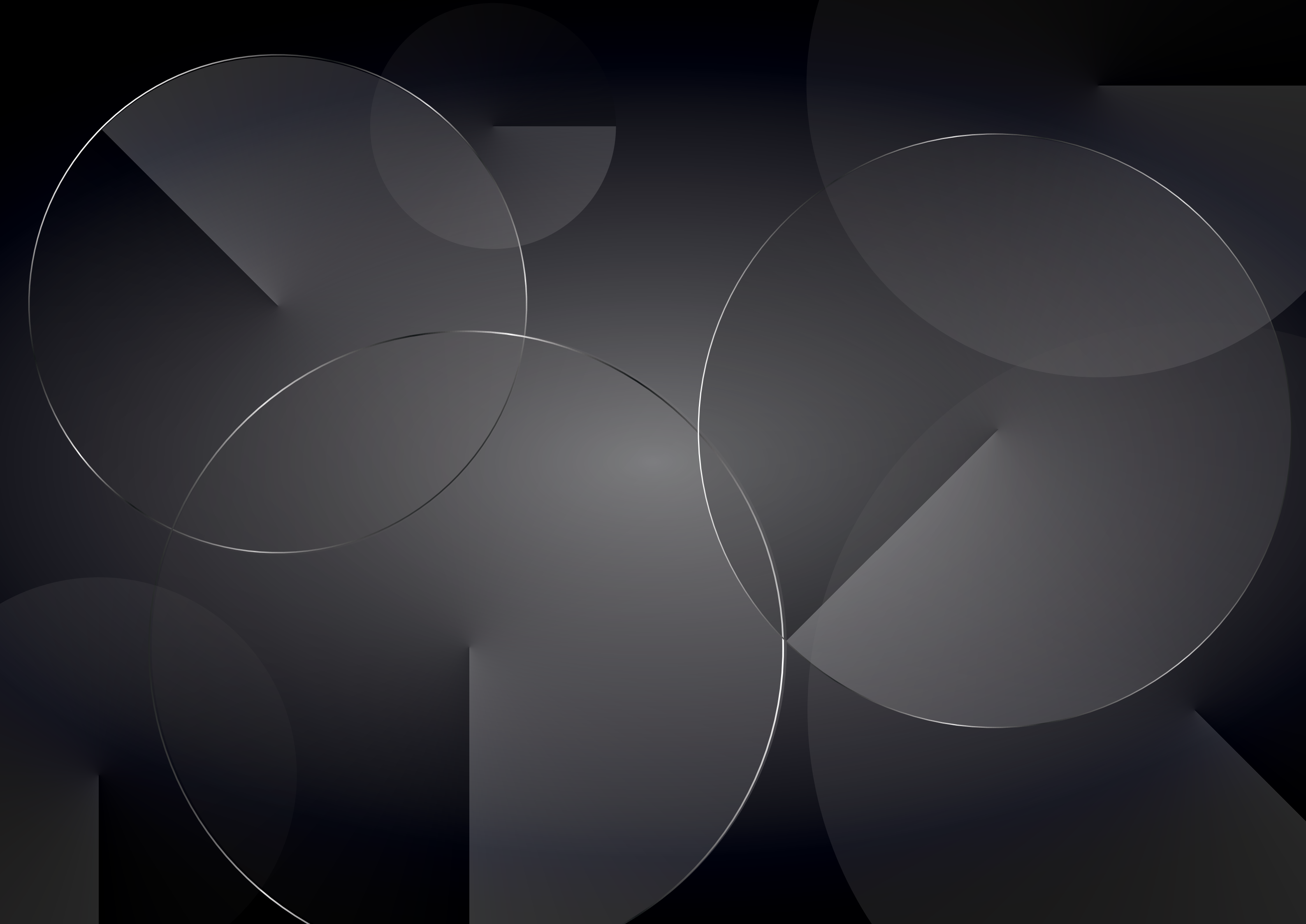


INSPIRING WINS

ANNUAL REPORT 2021







His Majesty
Sultan Haitham Bin Tarik

“We will continue to consult the same core principles and values in laying the foundation of the new stage, in which our dear country, God willing, will march confidently forward towards the lofty status it desires to achieve. It is the goal which we all aspire for, utilizing all our resources and capabilities in the quest to protect our national interests, considered the mainstay of the future stage whose tracks and goals were defined by Oman Vision 2040, with the prime aim of transforming all aspects of life. It is a true embodiment of collective national will power.

The success of this vision is the responsibility of us all, dear citizens, without exception, with everyone acting from his position and within the scope of his abilities and responsibilities.”

Speech of His Majesty Sultan Haitham Bin Tarik
On the occasion of the 50th National Day of the Renaissance, 18th November 2020

VISION

To be a world-leading Omani service company, that helps customers, communities and people to prosper and grow.

VALUES

Be straight up

Act with honesty, courage and kindness.

Be open minded

Listen openly, encourage ideas, embrace innovation, welcome feedback.

Do the right thing

Take responsibility, make the tough calls, think of others.

Make it better

Find or create solutions - step up, own it, do it.



INTRODUCTION

INSPIRING WINS

"Winning" is only a small factor that contributes to success. It is who we inspire, who we touch and who we become in this infinite journey that truly reflects our success.



2021 AWARDS

Pursuing excellence in all endeavors



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BOARD OF DIRECTORS

Building a foundation
for a better Oman

Left to Right

Mr. Said Ahmed Safrar
Director

Mr. Tareq Mohammed Al Mugheiry
Director

Mr. Said Mohammed Al Auqi
Deputy Chairman

Left to Right

Mr. Mohammed Mahfoudh Al Ardhi
Chairman

Mr. Salim Mohamed Al Mashaiky
Director

Engr. Ahmed Hamed Al Subhi
Director

Mr. Bipin Dharamsey Nensey
Director



CHAIRMAN'S REPORT

Mohammed Mahfoudh Al Ardhi

We entered the year with the pandemic still looming large and an uncertain global economic environment. As the year progressed, the threat of the pandemic to our people receded owing to Oman's remarkable vaccination drive. Green shoots of recovery elevated hydrocarbon prices to multi-year highs helping Oman achieve the lowest budget deficit since 2014.

Undeterred by peaks and troughs of the economic cycle, Sohar International continued its growth trajectory, demonstrating its institutional strength and resilience. Year 2021 has been pivotal for Sohar International as it entered a new phase of excellence paving way for the organisation to reach new heights. We continue to deliver on multiple fronts, contributing to the country's progress, supporting the larger community in which we operate, creating shareholder value and being an employer of choice.

FINANCIALS

Profit for the year increased 41.6% to RO 28.3 million compared to RO 20.0 million last year. Total operating income increased 20.3% to RO 110.7 million, (31 December 2020: RO 92.0 million), driven by increases in all major income streams.

Total operating expenses increased by 11.3% to RO 50.3 million (31 December 2020: RO 45.2 million). Increased expenses reflect the bank's continued investment in people and technology supporting the bank's strategic objectives as well as significant contributions to the community.

Net operating income before impairment provisions increased by 29.0% to RO 60.4 million compared to RO 46.8 million last year, resulting in a cost-to-income ratio of 45.4% (31 December 2020: 49.1%). Net impairment charges and other credit risk provisions for the year was RO 27.1 million compared to RO 23.1 million last year. The increase reflects the bank's continued prudence in managing its credit risk through the current economic cycle.

Total assets as at 31 December 2021 increased by 14.5% to RO 4,134 million (31 December 2020: RO 3,611 million) mainly driven by increase in investment securities. Loans, advances and financings (net) increased by 4.3% to RO 2,612 million (31 December 2020: RO 2,504 million) reflecting the bank's prudence in managing growth in the current economic conditions.

Customer deposits increased by 7.3% to RO 2,394 million (31 December 2020: RO 2,232 million), highlighting the bank's strengthening funding & liquidity position. Increase in total shareholder's equity of 19.6% to RO 396.6 million (31 December 2020: RO 331.7 million) includes the highly successful rights issue of RO 50 million.

GROWTH STRATEGY

Whilst Sohar International's organic growth has been spectacular with its market share of total assets now positioning the bank

third in the Oman market, the bank has ambitions to accelerate its growth locally and expand internationally in line with its vision of becoming a world-leading Omani service company that helps customers, communities and people to prosper and grow. In pursuit of these objectives Sohar International has received approval from the Central Bank of Oman to initiate the due diligence process to assess the feasibility of the bank's proposed merger with Bank Nizwa.

Internationally, having successfully partnered with Saudi EXIM Bank to enhance foreign trade and investment opportunities between our two nations, Sohar International is in the midst of establishing a branch in the Kingdom of Saudi Arabia. This initiative further increases the pace of economic cooperation, realizing meaningful commercial and investment exchanges and contributing towards achieving the goals outlined in Oman Vision 2040.

Congruent to its purpose of helping people win by delivering banking for their ever-changing world, Sohar International is moving ahead continuing to strike a balance between continuity and change. The bank's culture of innovation, and digital prowess, is embedded across various facets of its businesses as it continues to scale its business model locally and internationally. This aligns seamlessly with Sohar International's principles of providing more vision, more value and more velocity to all stakeholders.

With increased global focus and importance of Environmental, Social, Governance (ESG), Sohar International remains committed to incorporating these principles within its business strategies. Sohar International's values compliment initiatives in relation to sustainability, diversity & inclusion, and are well aligned with the nation's considerable efforts to adopt environmental sustainability and social spheres, through effective governance structures.

DIGITAL FIRST

Sohar International has successfully leveraged technology to inject innovation throughout its processes, introduce new products & services and enhance customer convenience. In line with providing more velocity as well as contributing to the overall sustainability agenda, the bank's most frequent retail processes are now paperless and fully automated through a dedicated secure workflow system. With Sohar International's refined strategy in place, a digital-first approach has been the fulcrum of all its efforts in introducing products and services. The bank's investments in pursuing an intelligence-based approach through Business Intelligence (BI) platforms help it consistently deliver on its extensive digitalization agenda. This has helped the bank enhance operational efficiency in addition to streamlining digital processes. By introducing products based on a customer segmentation approach, and an Omni-channel model of customer engagement, our intent is to provide ease of banking, excellence and an unmatched customer experience complimenting their lifestyles. These factors remain strong drivers in the bank's continued development across all touch points and digital channels.

Building on the existing advanced technological infrastructure and proactively fulfilling the banking needs of individual and wholesale banking clients, a state-of-the-art mobile banking application was launched for conventional and Islamic banking customers. Furthermore, and playing an important role in fulfilling the aspirations of becoming a digitized economy and enhancing efficiencies to streamline and enjoy stress-free financial transactions, Sohar International rolled out its digital Transaction Banking platform providing secure, seamless and convenient cash and trade facilities marking a new era for wholesale clients. Accordingly, Sohar International has continued to invest in upgrading software and operating platforms, leveraging its human capital as a key enabler of this transformation by ensuring preparedness and knowledge through training and development opportunities.

CUSTOMER CENTRICITY

Sohar International continues to innovate, diversify and expand its product portfolio catering to the dynamic needs of individuals, enterprises and support Oman's growing economy. Whether it is through our highly skilled asset management team supporting Takaful Oman issue the country's first perpetual Sukuk, or our expert wealth management team providing financial solutions and advice to individual customers, Sohar International continues to create value and a winning proposition for all.

Our aim is to create a winning experience, based on a well-defined customer segmentation strategy. This has translated to a better understanding of the varying customer needs enabling the bank to roll out tailored products, services and value added propositions by partnering with well renowned organisations locally, regionally, and internationally ranging across multiple growth sectors including and not limited to telecom, airline, real estate, tech companies, and much more.

With two new full-service branches within Muscat, Sohar International continues to deliver on its promise of a winning journey for all through providing relevant and frequent offers in the form of financial solutions to instilling a culture of savings within the community. Pursuing banking inclusion reaching out far and wide, Sohar International concluded its Prize Scheme for the year 2021 themed 'In Oman We Win' promoting savings as well as serving as a platform to highlight the historic, agricultural, and economic prowess of the Sultanate locally, regionally, and internationally.

COMMUNITY SERVICE

Sohar International is committed to Oman's socioeconomic development agenda and takes great pride in supporting and complimenting the many community efforts of our esteemed government. Leading from the front, Sohar International is a first responder to crisis events, committing at the peak of the pandemic up to RO 1.5 million to relieve severely impacted customers from personal loan obligations as well as providing 200 fresh graduate a 2-year on the job training and development program across a varied range of sectors in cooperation with the Ministry of Labour.

In rapid response to the impacts of Cyclone Shaheen, Sohar International mobilized more than 150 volunteers, armed with shovels and truck loads of urgent supplies, to support on the ground clean-up efforts. In addition, Sohar International has commenced renovation of severely damaged houses for more than 100 families and allocated RO 5 million of interest free loans to support impacted customers rebuild as well as providing deferment options on debt repayments.

As a proud sponsor in 2021 of Oman Rally, Oman Cricket, Oman InFocus and a number of other sporting associations, Sohar International's contribution to sport helps position the Sultanate as a venue of choice for international sporting fixtures. By supporting talented Omani youth Sohar International has rightfully enabled individuals to achieve on a regional and global stage.

KNOWLEDGE FOCUSED

With a focus on continued learning and personal development, "Viewpoints - Sohar International's Chairman Forum" has been bringing the best of the world to Oman with prominent guest

speakers sharing the very best of their leadership experiences and expert knowledge. Our much acclaimed "Tomohi" program continued in 2021 providing 20 internships to talented Omani graduates as a stepping stone for commencing their professional careers.

Valuing human capital as our nation's most important asset, we continue to invest in staff training and development. Mindful of building a knowledge-based economy, that will help create long-term, sustainable benefits for Oman's socio-economic growth, Sohar International launched an in-house world-class academy. Our training initiatives aim to prepare our employees to tackle ever increasing complexity against a background of rapid change to our operating environment.

EMPLOYER OF CHOICE

Employee wellbeing is at the heart of our organisation. Sohar International prioritized employee safety by securing vaccines and achieving over 95% vaccination rate. The bank was proud to extend the vaccination drive to include employee's families, local welfare associations, and other strategic partners. In response to the pandemic, Sohar International introduced a flexible working program resulting in high levels of productivity and uninterrupted customer service.

AWARDS & ACCOLADES

Sohar International's achievements have received numerous local, regional and international accolades. Spearheading transformation, Sohar International's Chief Executive Officer, Mr. Ahmed Al Musalmi, was honored with the coveted 'Business Leader of the Year Award'. Furthermore, Viewpoints - Sohar International's Chairman Forum has been honored with the coveted 'OER Business Excellence Award' for creating a world-class knowledge platform.

Demonstrating excellence in all its operations, the bank won the 'Debt Deal of the Year - Oman' and 'Equity Deal of the Year - Oman' award at the Corporate and Investment Banking Awards and was also conferred with the title of the 'Best Corporate Banking Oman 2021'. These awards are a testimony to our growing credentials as an outstanding organisation that helps people 'win'; a bank that continues to uphold the values of 'simple and fast processes' to help customers benefit from the technological advancements in our industry. Our customer centric business model is in perfect harmony with Oman Vision 2040.

RECOGNITION

I thank our stakeholders who have bestowed upon us continued trust and confidence and applaud our employees who have shown utmost commitment, agility and dedication during these exceptional times. I express my gratitude to the Central Bank of Oman and the Capital Market Authority for their strong governance, transparency and leadership.

On behalf of the Board of Directors and our loyal employees, I extend my heartfelt gratitude to His Majesty Sultan Haitham Bin Tarik for his leadership and vision, taking our beloved country to greater heights and giving praiseworthy impetus to the banking sector in Oman



Mohammed Mahfoudh Al Ardhi
Chairman

CORPORATE GOVERNANCE

Delivering through core
shared values

TO THE SHAREHOLDERS OF
SOHAR INTERNATIONAL BANK SAOG

We have performed the procedures agreed with you pursuant to the Capital Market Authority (CMA) Circular No. E/4/2015 dated 22 July 2015 with respect to the accompanying corporate governance report of **Sohar International Bank SAOG** as at and for the year ended 31 December 2021 and its application of corporate governance practices in accordance with CMA code of corporate governance issued under Circular No. 4/2015 dated 22 July 2015 and amendments to CMA Code of Corporate Governance issued under circular no. E/10/2016 (collectively the “Code”). Our engagement was undertaken in accordance with the International Standards on Related Services to agreed-upon procedures engagements. The procedures were performed solely to assist you in evaluating the Company’s compliance with the Code as issued by the CMA and are summarized as follows:

We obtained the corporate governance report issued by the Board of Directors and checked that the report of the Company includes as a minimum, all items suggested by the CMA to be covered by the report as detailed in the Annexure 3 of the Code by comparing the report with such suggested content in Annexure 3; and

We found that the Company’s corporate governance report fairly reflects the Company’s application of the provisions of the Code and is free from any material misrepresentation.

We also draw attention to Article [6] of the 10th Principle of code of corporate governance issued by the CMA, which prohibits Chairman of the Audit Committee to be a member of any other committee. However, Chairman of the Audit Committee is a member of the Executive Nomination & Remuneration Committee and the Risk Committee.

Because the above procedures do not constitute either an audit or a review made in accordance with International Standards on Auditing or International Standards on review Engagements, we do not express any assurance on the corporate governance report.

Had we performed additional procedures or had we performed an audit or review of the corporate governance report in accordance with International Standards on Auditing or International Standards on Review Engagements, other matters might have come to our attention that would have been reported to you.

Our report is solely for the purpose set forth in the first paragraph of this report and for your information and is not to be used for any other purpose. This report relates only to the accompanying corporate governance report of Sohar International Bank SAOG to be included in its annual report for the year ended 31 December 2021 and does not extend to any financial statements of Sohar International Bank SAOG, taken as a whole.

Deloitte & Touche
Deloitte & Touche (M.E.) & Co. LLC
Muscat, Sultanate of Oman
14 March 2022



1. PHILOSOPHY ON CORPORATE GOVERNANCE

The Corporate Governance Philosophy in Sohar International Bank SAOG (the “Bank” and/or “Sohar International”) has been developed within the directives and guidelines of the Central Bank of Oman (“CBO”), the Capital Market Authority (“CMA”) and the Commercial Companies Law of Oman (“CCL”). The four universal values synonymous with corporate governance – accountability, fairness, responsibility and transparency are an integral part of it.

Corporate governance is a set of processes, customs, policies, laws and practices affecting the manner in which the organisation – namely Sohar International is directed, administered or controlled. Corporate governance also covers the relationships between the many parties or stakeholders involved in the Bank and the aims and objectives for which the Bank is governed. The principal relationships at the Bank are between the shareholders of the Bank, the management and the Board of Directors. Other relationships include the customers, employees of the Bank, regulators, suppliers, the environment and the community in which the Bank exists. An additional aspect of governance is that of an economic efficiency view, through which the governance system of the Bank also aims to optimize economic results, thereby placing emphasis on the shareholder’s welfare.

The Board of Directors of the Bank is committed to the highest standards of Corporate Governance. The Bank is committed to raising the bar even further so as to set a leading example of commitment with the letter and spirit of the Code of Corporate Governance laid out by the CMA and the regulations for Corporate Governance of Banking and Financial Institutions issued by CBO. The CMA Code of Corporate Governance for Public Listed Companies and the CBO circular BM 932, Corporate Governance of Banking and Financial Institutions are the principal codes and drivers of Corporate Governance practices in the Sultanate of Oman. The Bank has complied with all of their provisions, except for certain instances which are stated in the ‘Statement of Compliance’ section of this report. The CMA Code of Corporate Governance can be found at the following website www.cma.gov.om.

The basic framework of the Bank’s corporate governance requires that the Board of Directors, Sharia ‘Supervisory Board (“SSB”) for its Islamic Banking Window (Sohar Islamic) and management shall:

- Maintain the highest standards of corporate governance and regulatory compliance.
- Promote transparency, accountability, responsiveness and social responsibility.
- Conduct its affairs with its stakeholders, customers, employees, investors, vendors, government and the society at large in fairness and in an open manner.
- Create an image of the Bank as a legally and ethically compliant entity.

2. BOARD OF DIRECTORS

The Bank’s Board of Directors (the “Board”) is the highest governing authority within the Bank structure. Its role is to ensure that the Bank conducts itself in accordance with its core values and develops them further on a continuous and sustainable basis. The Board consists of professionals from various fields and professions and gives representation to the stakeholders and administrators in the process of decision making. The predominance of independent directors has enabled the Board to have meaningful discussions and take an unbiased and qualitative view on matters placed before it. There is a clear segregation between the ownership of the Bank and the management. The roles of the Chairman of the Board and the Chief Executive Officer (“CEO”) are separated with a clear division of responsibilities at the head of the Bank between the running of the Board and the executive management responsibility for running the Bank’s business. The Board is responsible for overseeing how management serves the long-term interests of shareholders and other key stakeholders. .

2.1 Composition and classification of the Board

The constitution of the Board, election process for Board members and shareholders’ interests are areas of prime concern for the good governance commitment of the Bank. Details of the elected Board members are outlined in “Table 1”.

Table 1: Composition and classification of the Board

Name of Director	Category	Represents
Mr. Mohammed Bin Mahfoodh Alardhi, Chairman	Non-Executive	Independent
Mr. Said Mohamed Al-Aufi Deputy Chairman	Non-Executive	Independent
Mr. Salim Mohammed Al Mashaikhy	Non-Executive	Independent
Mr. Said Ahmed Safrar	Non-Executive	Independent
Engr. Ahmed Hamed Al Subhi	Non-Executive	Non- Independent
Mr. Tareq Al Mugheiry	Non-Executive	Independent
Mr Bipin Dharamsey Nensey	Non-Executive	Independent

2. BOARD OF DIRECTORS (CONTINUED)

2.2 Profile of Directors

Mr. Mohammed Bin Mahfoodh Al Ardhi – Chairman

Al Ardhi joined Sohar International as the chairman in December 2017. Mr. Al Ardhi is also the Executive Chairman of the global investment firm Investcorp.

A retired Air Vice Marshal by profession, Mr. Al Ardhi joined the Royal Air Force of Oman in 1978, and was subsequently appointed as Chief of the Omani Air Force. In 2000, he was awarded the “Order of Oman” by His Majesty Sultan Qaboos bin Said Al-Said.

Al Ardhi is the former Chairman of the National Bank of Oman where he served for three years as Deputy Chairman and three years as Chairman of the Board.

Al Ardhi holds a Bachelor of Science degree in Military Science from the Royal Air Force Staff College in Bracknell, UK and a Master’s in Public Administration from John F. Kennedy School of Government, Harvard University USA. He also graduated from the prestigious US military institution the National Defense University in Washington D.C., USA. After studying military strategy.

Al Ardhi regularly speaks on international trade, the relationship between the Middle East and the West and the security of the Gulf. He is also the author of three books: “Arabs Down Under”, “Pearls from Arabia” and “Arabs Unseen”.

Current affiliations:

- International Advisory Board of the Brookings Institution in Washington, D.C.
- Trustee for the Eisenhower Fellowship in Philadelphia
- Member of Community Chairmen Group, World Economic Forum
- Member of Harvard Kennedy School Dean’s Council
- Member of The Arab Gulf States Institute in Washington

In addition to his position as the Chairman of the Board of Directors at Sohar International, he also holds the position of the Chairman of the Executive, Nomination and Remuneration committee (ENRC).

Mr. Said Mohammed Al-Aufi – Deputy Chairman

Mr. Al Aufi is Acting CEO at Mars Development and Investment “MDI”, and he is responsible for managing a multi-asset class portfolio in the financial services, Fintech, technology and commodities sectors. Before joining MDI, Mr. Said worked in the Asset Allocation and Business Strategy team in the State General Reserve Fund (SGRF).

Mr. Said Al Aufi has a Double Degree in Commercial Law & Banking and Finance from Monash University in Australia, he is a Chartered Financial Analyst “CFA” and Chartered Alternative Investment Analyst “CAIA”. He has also completed several executive management programs in the areas of executive leadership, Block chain, Cryptocurrency, Fintech, Artificial Intelligence, Internet of Things (IOT) and Venture Capital. Mr. Al Aufi is a member of the Board of Oman Telecommunication SAOC and the Board of Oman Broadband Company SAOC.

Mr. Salim Mohamed Masaud Al Mashaiky – Director

Mr. Salim Mohamed Masaud Al Mashikhi Holds a Bachelor’s Degree in Mathematics, he is currently employed in the Expenditure Department of the Royal Court Affairs. Mr. Salim Al Mashaikhy is the Deputy Chairman of Oman Fixed Income Fund (OMFI). Mr. Salim Al Mashaiky is a member of the Board Audit Committee, and the Board Risk Committee (BRC)

Mr. Said Ahmed Safrar – Director

Mr. Said Safrar is the Chief Executive Officer in Oman Investment & Finance Company Co. SAOG. He holds a Master in Business Administration (MBA) from the University of Hull in the UK, Senior Executive Leadership Program from Harvard Business School in the USA, has more than 27 years of professional experience in Banking, Telecom, Investment and Services sectors. He was the Chief Customer Experience Officer with Omani Qatari Telecommunications Company SAOG “Ooredoo” before joining OIFC. He is a board member at Sohar International SAOG, Financial Corporation Co SAOG, Taageer Finance Company SAOG, Dhofar Generating Company SAOG, Wasel Exchange SAOC and Mazoon first Fund.

In addition to his role as a member of the Bank’s Board of Directors, Mr. Said Safrar is also the Chairman of the Credit Approval Committee (CAC) and member of Executive, Nomination and Remuneration committee (ENRC).

Engr. Ahmed Hamed Al Subhi – Director

Eng. Ahmed Hamed Al Subhi holds an MBA from the University of Strathclyde, and Honors Degree in Electrical engineering. Eng. Ahmed Al Subhi is widely recognised in the power generation and desalination industry. He has been actively involved in developing and executing of Mega Independent Power and Desalination Project and other such projects in the region. Ahmed has been involved in many transformations and restructuring of companies utilizing his solid operational experience working with many multinational organisations. Currently, he is the Chairman Oman Holding Company for Environment Services S.A.O.C. (Be’ah) and member of Board of Directors of few listed Companies in Muscat Securities Market. In addition to his role as a member of the Bank’s Board of Directors, Eng. Ahmed Al Subhi is also the Chairman of the Board Risk Committee (BRC) and member of the Board Audit Committee.

2. BOARD OF DIRECTORS (CONTINUED)

2.2 Profile of Directors (continued)

Mr. Tareq Al Mugheiry – Director

Mr. Tareq Al Mugheiry is the Chief Investment Officer of Oman Investment Corporation SAOC (OIC). Prior to joining OIC, Tareq worked with a number of international companies including: Philips Electronics in corporate strategy and mergers & acquisitions; J.P. Morgan in investment banking covering the European technology sector; and Oman LNG’s project finance team. He holds a Bachelor of Law (LLB) and Bachelor of Commerce (B. Com) from the University of Western Australia. Tareq serves on the boards of Innovation Development Oman, Takaful Oman Insurance, Sembcorp Salalah O&M Company and TMK GIPI.

Mr. Tareq Al Mugheiry is a member of the Credit Approval Committee (CAC), and the Executive, Nomination and Remuneration committee (ENRC).

Mr. Bipin Dharamsey Nensey – Director

Mr. Bipin Dharamsey Nensey holds a Bachelor’s Degree in Accounting and Finance. He is the Director of Dharamsey Nensey Company since 1977. He is currently Independent Non-Executive Director of Al Suwadi Power Company SAOG as well as Muscat Insurance Company SAOG since 14th July 2007. He served as the Vice Chairman of one of the local Banks for over 15 years. In Sohar International, he is a member of the Credit Approval Committee.

2.3 Board of Directors – Executive Powers

Sohar International’s Board of Directors:

- Is vested with the powers of general superintendence, direction and management of the affairs and business of the Bank.
- Has the ultimate responsibility for the overall compliance and management of the Bank
- Guides the Bank to achieve its objectives in a prudent and efficient manner.
- Is primarily responsible for ensuring that all financial transactions are legal and that all disclosures are made as per regulations.
- Lays down a comprehensive code of conduct for all Board Members and Senior Management of the Bank, to be followed under all circumstances.
- Approves the delegation of power to the executive management as well as nominee members of the sub-committees and specify their roles, responsibilities and power.
- Authorizes the management to implement the strategy for the Bank that is designed to deliver increasing value to the shareholders.
- Develops strategies for managing risks associated with the business and for meeting challenges posed by competitors.
- Develops vision to anticipate crisis and to act proactively when necessary.
- Ensures that information flows upward and that authority flow downward and thus the Bank is under their control, direction and superintendence.

During the year under review, the Board has:

- Reviewed and approved the Bank’s financial objective, plans and actions.
- Reviewed the Bank’s performance.
- Evaluated whether the business is properly managed according to the Bank’s objectives.
- Ensured compliance with laws and regulations through proper internal systems of controls.
- Reviewed the efficiency and adequacy of the internal control systems and confirmed its compliance with internal rules and regulations.

The Board of Directors has approved the Standards of Professional Conduct or the Code of Conduct, which covers the standards of conduct expected from the directors and the Senior Management of the Bank. The purpose of this code is to articulate highest standards of honesty, integrity, ethical and law abiding behavior.

The Board has approved the three quarterly reports and the annual financial statements and report to the shareholders on the annual report about the ongoing concern status of the Bank with supporting assumptions and qualifications as necessary.

The Board has taken steps to comply with rules, regulations and international best practice, reviewed compliance reports prepared by the Bank’s management of all applicable provisions of the law.

Sohar International’s Board of Directors has exercised all such powers and performed all such acts as the Board is authorized to exercise and do.

The Bank prepares a Management Discussion and Analysis report which is included as a separate section in the Annual Report.

2. BOARD OF DIRECTORS (CONTINUED)

2.4 Meetings and Remuneration of the Board

The Board of Directors meets regularly, monitors the executive management, and exercises necessary control over the Bank's functioning. The Board conducts its business in formal meetings. In Board meetings, the "majority" is computed as the absolute majority of the directors present in person or proxy, whether or not they participate in the voting process.

The total number of meetings of the full Board during the year 2021 was 8. The maximum interval between any two meetings was in compliance with rule (10) of the 2nd principle of the CMA's Code of Corporate Governance, which requires meetings to be held within a maximum time gap of four months. The dates of the meetings of the Board of Directors, and its sub-committees during year 2021 were as follows:

Table 2: Board of Directors Meetings held in 2021 and dates on which they were held

Name of Director	28 Jan	21 Mar	28 Mar	29 April	29 Jul	28 Oct	23 Nov	29 Dec
Mr. Mohammed Al Ardhi	✓	✓	✓	-	✓	✓	✓	✓
Mr. Said Al-Aufi	✓	✓	✓	✓	✓	✓	✓	✓
Mr. Salim Al Mashaikhi	✓	✓	✓	✓	✓	✓	✓	✓
Mr. Said Ahmed Safrar	✓	✓	✓	✓	✓	✓	✓	✓
Eng. Ahmed Al Subhi	✓	✓	✓	✓	✓	✓	✓	✓
Mr. Tareq Al Mugheiry	✓	✓	✓	✓	✓	✓	✓	✓
Mr. Bipin Dharamsey Nensey	✓	✓	✓	✓	✓	✓	✓	✓

Sitting fee remuneration is paid to the Directors for attending the Board or its sub-committee meetings. The fee is within the limits stipulated by the Commercial Companies Law and the directives of the Capital Markets Authority.

An amount of RO 150,000 was paid in 2021 as board remuneration for the year ended 31st, December 2020. The remuneration paid was within the limit prescribed under applicable laws and regulations.

Table 2: Sitting fees paid to Directors during 2021 is given below:

Sl. No	Name	Sitting fees paid during 2021
1	Mr. Mohammed Mahfoodh Al Ardhi	5,100 OMR
2	Mr. Said Mohamed Al-Aufi	9,200 OMR
3	Mr. Salim Mohammed Al Mashaikhi	6,800 OMR
4	Said Ahmed Safrar	7,600 OMR
5	Eng. Ahmed Hamed Al Subhi	6,800 OMR
6	Mr. Tareq Mohamed Al Mugheiry	7,600 OMR
7	Mr. Bipin Dharamsey Nensey	5,200 OMR
	Total	48,300 OMR

2. BOARD OF DIRECTORS (CONTINUED)

2.5 Committees of the Board

The Board of Directors has created various subcommittees for specific purposes with clearly defined terms of reference and responsibilities. The committees' mandate is to ensure focused and specialized attention to specific issues related to the Bank's governance. The various sub-committees of the Board together with the Internal Audit and Compliance department form an important tool in the process of corporate governance. The subcommittees and their primary responsibilities were as follows:

The Corporate Governance Structure of Sohar International Bank SAOG is depicted below:

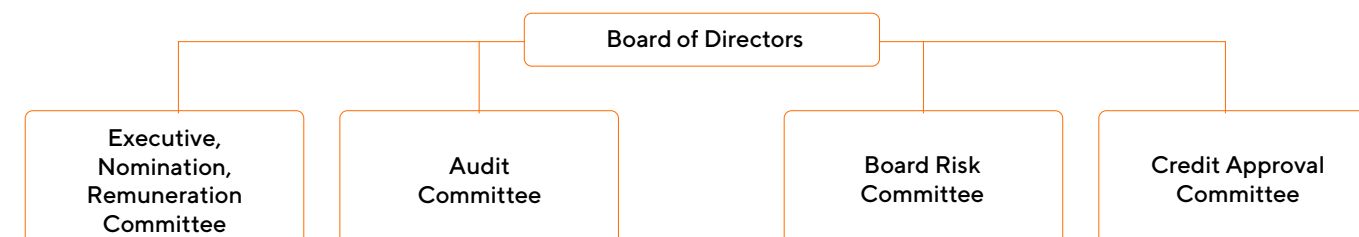


Table 3: Board Sub-Committees meetings held in 2021 / Number of meetings attended

Name of Director	Executive, Nomination & Remuneration Committee (ENRC)	Audit Committee (AC)	Credit Approval Committee (CAC)	Board Risk Committee (BRC)	Attendance of AGM March 2021
Mr. Mohammed Al Ardhi	4	-	-	-	Present
Mr. Said Al-Aufi	6	4	-	3	Present
Mr. Salim Mohammed Al Mashaiki	-	4	-	3	Present
Mr. Said Ahmed Safrar	6	-	3	-	Present
Mr. Ahmed Al Subhi	-	4	-	3	Present
Mr. Tareq Al Mugheiry	6	-	3	-	Present
Mr. Bipin Dharamsey Nensey	-	-	3	-	Present

2.5a Executive Nomination & Remuneration Committee

The Board Executive, Nomination and Remuneration Committee ("ENRC") is a sub-committee of the Board of directors and, as such, assists the Directors to discharge the Board's responsibilities of oversight and governance in relation to:

- (1) General Performance aspects of the Bank such as strategy setting and implementation, banking business, annual budget recommendations, information technology and generally to assist the board in reviewing business proposals and other related issues that require a detailed study and analysis.
- (2) HR, Nomination and Remuneration issues such as to provide direction and guidance to have the right CEO and Senior Management team and provide support and direction to the Bank and its stakeholders and ensure their interests are protected, etc.

ENRC Meetings held in 2021 and dates on which they were held

Name of Director	28 Jan	29 April	29 July	28 October	2 Dec	29 Dec
Mr. Mohamed Al Ardhi (Chairman)	✓	-	✓	✓	-	✓
Mr. Said Al-Aufi	✓	✓	✓	✓	✓	✓
Mr. Said Ahmed Safrar	✓	✓	✓	✓	✓	✓
Mr. Tareq Al Mugheiry	✓	✓	✓	✓	✓	✓

2. BOARD OF DIRECTORS (CONTINUED)

2.5 Committees of the Board (continued)

2.5b Audit Committee

The main functions of Audit Committee are to assess and review the financial reporting system of the Bank to ensure that the financial statements are correct, sufficient and credible. The Committee reviews with the Management the quarterly / annual financial statements before their submission to the Board for adoption. The Committee also reviews the adequacy of regulatory compliance, regulatory reporting, internal control systems and structure of Internal Audit and Compliance Departments. The Committee also holds discussions with the internal auditors / external auditors on significant findings on the control environment.

The role of Chief Internal Auditor is to provide reasonable assurance that the management control framework used within the Bank is operating effectively. The role of Chief Compliance Officer is to ensure that the Bank complies with all the Laws, rules and regulations as applicable under the regulatory framework in Sultanate of Oman and international best practice. Both chiefs report directly to the Audit committee of the Board.

AC Meetings held in 2021 and dates on which they were held

Name of Director	27 January	28 April	28 July	27 October
Mr. Said Al Aufi (Chairman)	✓	✓	✓	✓
Mr. Ahmed Al Subhi	✓	✓	✓	✓
Mr. Salim Al Mashaikhi	✓	✓	✓	✓

2.5c Credit Approval Committee

The Board Credit Approval Committee (CAC) is a sub-committee of the Board of Directors and as such approves loans which are above the lending mandate of Executive Credit Committee (ECC) of the management, reviewing credit product policies, credit policy, credit portfolio and existing credit facilities on annual basis.

CAC Meetings held in 2021 and dates on which they were held

Name of Director	20 January	23 February	6 July
Mr. Said Safrar (Chairman)	✓	✓	✓
Mr. Tareq Al Mugheiry	✓	✓	✓
Mr. Bipin Dharamsey	✓	✓	✓

2.5d Board Risk Committee

The Board Risk Committee (BRC) assists the Directors to discharge the Board’s responsibilities of oversight and governance in relation to the risk performance of the Bank. The Committee is responsible for making recommendations to the Board of Directors on the risk appetite of the Bank in relation to credit, interest rate, market, liquidity and operational risk.

The committee ensures the implementation of risk strategy and policy in addition to ensuring that a robust risk framework is in place within the Bank which optimises the quality and return on deployment of assets. The Committee also provides guidance and direction on all credit, market, interest rate, liquidity and operational risk policy matters

BRC Meetings held in 2021 and dates on which they were held

Name of Director	28 March	30 June	26 September
Mr. Ahmed AlSubhi (Chairman)	✓	✓	✓
Mr. Said Al Aufi	✓	✓	✓
Mr. Salim Al Mashaikhi	✓	✓	✓

3. SHARI’AH SUPERVISORY BOARD OF SOHAR ISLAMIC (ISLAMIC BANKING WINDOW OF SOHAR INTERNATIONAL BANK SAOG)

Shari’ah Supervisory Board of Sohar Islamic (Islamic Banking Window of Sohar International)

Biography of Shari’ah Supervisory Board:

Sheikh Azzan bin Nasir Farfoor Al Amri (Chairman)

Holding bachelor’s degree in Islamic Studies and with a specialisation in Judiciary, Sheikh Azzan bin Nasir Farfoor Al Amri works as the secretary general to the Grand Mufti of the Sultanate of Oman in the Fatwa Section since 2001. He is also well versed in Shari’ah Law, having done numerous courses in relevant fields and participated in many related workshops and conferences.

Dr. Mudassir Siddiqui (Deputy Chairman)

Dr. Mudassir Siddiqui is an internationally renowned expert of Islamic Studies and Western laws. He did his PhD in law from Chicago Kent College of Law, USA; Master of Law from Harvard Law School, USA; and Islamic Studies from, Islamic University of al-Madina al-Munawwarah, Kingdom of Saudi Arabia. He is a member of the AAOIFI Shari’ah Standards Committee; the Fiqh Council of North America; and a Research Fellow at the International Shari’ah Research Academy for Islamic Finance in Malaysia. He has more than 30 years of experience in providing Shari’ah and Law consultancy, Islamic banking documentation, research, lectures and arbitration for more than 40 worldwide organisations, universities and research centres.

Sheikh Al-Mu’tasim Said Al Maawali (Member)

Al-Mu’tasim Said Al-Maawali is a religious supervisor working for The Omani Studies Centre at Sultan Qaboos University. He holds an MA degree in Islamic Studies from the University of Birmingham, 2016. Al-Mu’tasim authored a seven-volume series in Islamic Jurisprudence called al-Mu’tamad, including the sixth volume in Islamic Financial Transactions, and the seventh in Islamic Banking. In 2016, he published his English book Articles on Iba’dStudies. In February 2017, he published his translation of the first volume ‘The Reliable Jurisprudence of Prayer’ from Arabic into English. In 2019, he also translated ‘Christians in Oman’ from English into Arabic. Al-Mu’tasim presented some academic papers at some international conferences in Islamic Studies, including TIMES 2017 at Birmingham University and BRISMES 2018 at King’s College London, and BRISMES 2019 at the University of Leeds.

Sheikh Fahad Mohamed Hilal Al Khalili (Member)

Sheikh Fahad graduated from the Florida Atlantic University USA after which he joined the Central Bank of Oman (CBO), where he was part of Treasury and Investment Division. Thereafter, Sheikh Fahad joined Al Madina Investment where he quickly became the Deputy General Manager of Investment Banking. His key responsibilities included portfolio management, promotion of Greenfield ventures and handling high net worth individuals. Recently, Fahad founded Bayan Investment House, which is focused on building long term relationships by provided investment banking and advisory services.

Shari’ah Supervisory Board attendance & remuneration for 2021

Table 5 : Attendance & Remuneration – Shari’ah Supervisory Board for year 2021

Name of Shari’ah Board Members	28-Jan 2021	11-Feb 2021	09-Jun 2021	06-Oct 2021	Attended	Meeting allowance in USD	Annual Remuneration in USD
Sheikh Azzan bin Nasir Al Amri	✓	✓	✓	✓	4	4,000	40,000
Dr. Mudassir Siddiqui	✓	✓	✓	✓	4	4,000	30,000
Sheikh Al-Mu’tasim Al Maawali	✓	✓	✓	✓	4	4,000	20,000
Sheikh Fahad Mohamed Al Khalili	✓	✓	✓	✓	4	4,000	20,000

4. MANAGEMENT TEAM

The management of the Bank has been entrusted by the Board to a Management Team. The top management team has over 200 years of banking expertise between them. The top management keeps the Board of Directors informed on all issues concerning the operations of the Bank and takes directions from the Board on matters that concern and affect the business of the Bank and the objectives it should pursue. In the interest of good governance, the top management places all the key information before the Board, where it forms part of the agenda papers.

4.1 Profile Senior Management Team (as of December 31st, 2021):

Mr. Ahmed Jafar Al Musalmi **Chief Executive Officer**

Mr. Ahmed Al Musalmi joined Sohar International in May 2018 as the Chief Executive Officer. He has been a catalyst in the bank's transformation and a proven leader who combines business vision and people skills. Mr. Musalmi has more than two decades of experience. He is a results oriented and strategic thinker with extensive industry and functional expertise that includes Wholesale Banking, Capital Markets, Retail Banking and Wealth Management, Trade Finance, Risk Management, Operations Management, Information Technology, Human Resources, Finance and Strategy Development & Business Planning.

Mr. Al Musalmi is a talented leader who uses keen analysis & insights, and team approach to drive organisational performance and motivate employees to peak performance. He held leadership positions and has worked across several national and international financial institutions in his career. He was the CEO and successfully led transformation of National Bank of Oman prior to his move to Sohar International.

Mr. Al Musalmi is a graduate of Harvard Business School and holds an MBA degree with distinction from the University of Bedfordshire, UK. He also holds an International Diploma in Financial Services. Mr. Al Musalmi is a Chartered Market Analyst with Financial Analyst Designate, a Chartered Portfolio Manager and a Chartered Wealth Manager to add on to his wealth of expertise. He is a fellow of the American Academy of Financial Management and has been a part of several advanced programs including in IMD-Switzerland and Stanford Graduate School of Business-USA.

Mr. Al Musalmi is the Deputy Chairman of ASYAD Group and Chairman of its Board Audit Committee. He is also a board member of the College of Banking and Financial studies' board.

Mr. Khalil Salim Al Hedaifi **Chief Retail Banking Officer**

Mr. Khalil joined Sohar International in October 2018 as the Chief Retail Banking Officer. One of his key responsibilities is to develop the bank's business franchise. With over 19 years of experience, Mr. Khalil is a dynamic leader with pioneering experience in achieving business growth objectives in mid-sized as well as large, established organisations. His vast experience brings him expertise in banking business in general and in areas of Retail Banking, Wealth Management, Strategic Planning, Product Management, and People Management. He started his career in the year 2000 with a local bank in Oman and has worked with other national and international banks in Oman and Qatar throughout his professional life before joining Sohar International as the Retail Banking Division Head.

Mr. Khalil holds an MBA degree from Northampton University and has also received an Administration Certificate from Oxford Cambridge and RSA.

Mr. Manish Dhameja **Chief Wholesale Banking Officer**

Mr. Manish is a seasoned banking professional with over 23 years of working experience, during which he worked in UAE, Africa & across various cities in India. He is an Engineer, MBA & CFA. He has joined from Standard Chartered Bank, where he held multiple leadership roles and led many businesses & large teams. Mr. Manish strength lies in establishing and growing new and large businesses, improve business profitability, client connections & team engagement.

Ewan John Macleod **Chief Transformation Officer**

Mr. MacLeod joined Sohar International on February 2020 as Chief Transformation Officer. With over 24 years of experience in leading digital transformation in large global banks and organisations, Mr. MacLeod complements the Executive Management Team in driving the Bank's transformation & digitization agenda. His wealth of experience includes strategy, delivery and prioritization of digital transformation capable of supporting users and transactions, thereby adding value for the Bank's stakeholders.

Prior to joining Sohar International, Mr. MacLeod played key leadership positions in several international organisations such as Nordea Bank AB in Denmark and Royal Bank of Scotland. He is a seasoned corporate entrepreneur, and holds a Bachelor of Science degree in Information Management from University College London.

Mr. Abdul Wahid Al Murshidi **Chief Islamic Banking Officer**

Mr. Abdul Wahid has been associated with Sohar International since July 2019. Coming with over 18 years of professional experience across different functions of the Banking sector including Audit, Finance, Investment, and Islamic Banking. Prior to his role in Sohar International, he was the Deputy General Manager at one of the prominent local Islamic banks.

Mr. Abdul Wahid holds an EMBA degree from London Business School and has completed his Bachelors in Science from Sultan Qaboos University (SQU).

4. MANAGEMENT TEAM (CONTINUED)

4.1 Profile Senior Management Team¹ (continued)

Abdulali Abdullah Al Lawati **Chief Corporate Services Officer**

Mr. Abdulali Al Lawati Joined Sohar International in August 2008, he holds the position of Chief Corporate Services officer at Sohar International. He comes with over 38 years of experience in varied industries including Education, Administration, Corporate Governance, Corporate Support, IT, and Management, before joining the Banking sector. Coming with such diverse experience, he is involved in the Re-structuring, Implementation of Strategies and in Facilitating Change Management within the organisation. He is also a certified Islamic Banker and was part of the Islamic Banking Formation Committee, as well as held leadership roles in a prominent local bank before joining Sohar International.

Mr. Abdulali completed his ILM IMQ Diploma in Management. He was subsequently awarded 'The Level 7 Diploma in Strategic Management and Leadership' from the Chartered Management Institute (CMI), UK and is a member and fellow of CMI.

Craig Barrington Bell **Chief Financial Officer**

Mr. Craig Barrington Bell joined Sohar International as Chief Financial Officer in January 2019 bringing with him over 25 years of banking experience; 15 of which have been in CFO roles with HSBC and Deutsche Bank including three years as CFO of the Saudi British Bank. Mr. Bell has extensive finance background and deep experience of managing complex international businesses across dynamic and changing markets. Commencing his banking career with Citibank in 1985, Mr. Bell has a plethora of technical and management skills in financial and regulatory reporting, management reporting, financial analytics, system infrastructure & controls, balance sheet management, strategic planning, investor relations and tax. Prior to joining Sohar International, Mr. Bell served for over 2 years as CFO with Al Hilal Bank (Abu Dhabi). He is a distinguished member of the Institute of Chartered Accountants of Australia & New Zealand and graduated from Auckland University with a Bachelor of Commerce degree majoring in Accounting.

Mr. Khalid Khalfan Rashid Al Subhi **Chief Compliance Officer**

Mr. Khalid joined Sohar International in December 2016. He has over 19 years of extensive experience as a Central Banker in various domains like Banking, Insurance and administration. His experience and responsibilities included conducting risk based examinations/audits, corporate governance, Capital adequacy, various business processes, control framework, and much more.

Mr. Khalid holds a Bachelor's degree in Banking and Financial Sciences (CBFS) from the Arab Academy for Banking and Financial Sciences, and has completed his Higher Diploma in Administrative Procedures from the South Devon College, UK.

Mr. Elsamawal Abdulhadi Idris **Chief Legal Officer & Board Secretary**

Mr. Elsamawal joined Sohar International in July 2013, and holds the position of Chief Legal Officer & Board Secretary in the bank. With over 18 years of experience in the legal profession during which he helped organisations and clients doing to business in a legal and compliant way and was able to prove himself consistently in major transactions and disputes. He is signaled out by legal directories as an individual with exceptional understanding of Oman's banking system and commended for his wide-reaching initiatives to improve efficiency and performance in his function.

Mr. Elsamawal, holds Master's degree 'LLM' and Bachelor's degree 'LLB' in the field of law from the University of Khartoum, Sudan.

Mr. Hamood Khalfan Badar Al-Aisri **Chief Internal Auditor**

Mr. Hamood is a qualified Chartered Certified Accountant with over 25 years of professional experience across different functions of the Banking sector. He has been associated with Sohar International since December 2020 and prior to his current role in Sohar International, he was Chief Internal Auditor in one of the local banks.

Mr. Hamood holds Senior Leadership qualification from London Business School, and Islamic Financial qualification from Chartered Institute of Investment & Security – UK.

Mr. Majid Nasser Khamis Al Busaidi **Chief Risk Officer**

Mr. Majid joined Sohar International in November 2020 as Chief Risk Officer. He has over 17 years of professional experience across different functions of the Banking sector. His experiences and responsibilities include, developing risk management strategies, overseeing and assessing the bank's risk mitigations both internally and externally, and reporting to the Board of Directors. Prior to his role in Sohar International, he was Heading the Division of Credit Review in a popular Omani bank.

Mr. Majid holds a Bachelor Degree in Finance from College of Economy and Political Studies at Sultan Qaboos University (SQU).

4. MANAGEMENT TEAM (CONTINUED)

4.1 Profile Senior Management Team¹ (continued)

Ms. Mahira Saleh Abdul Nabi Al-Raisi
Chief Human Resources Officer

Ms. Mahira joined Sohar International in October 2007, and currently holds the Chief Human Resources Officer role. With an extensive experience of over 21 years in managing Human Resources in the Banking sector, she has supported the achievement of the Bank's strategy successfully through the deployment of the best Human Capital Management Policies & Practices in line with the Bank's strategic Objectives. Responsible for developing and executing Human Resource Strategy in support of the overall business plans, specifically in the areas of talent acquisition, talent Management, succession planning, change management, Organisational & Performance Management, capability development and total rewards.

Ms. Mahira holds a Bachelor's Degree and Diploma in Human Resources Management & Development from University of Leicester-UK. She also holds a Post Graduate Diploma in Management from Institute of Leadership & Management and Leading Strategy Execution Certificate in Financial Services from Harvard Business.

Ms. Mahira Al Raisi is the Deputy Chairman of Human Resources Committee of Oman Banker's Association. She is also a member of College Advisory Committee in College of Banking and Financial Studies in Oman.

4.2 Remuneration of senior managers for the year 2020

The total remuneration paid/accrued to the top seven (7) management executives of the Bank for the year 2021 was Rial Omani 1,948,000/- This remuneration includes salary, allowances, gratuity, pensions and performance related incentives.

5. PROCEDURES FOR STANDING AS CANDIDATE FOR THE BOARD OF DIRECTORS

The Board of Directors is elected by the shareholders of the Bank at the Annual General Meeting. The term of office of the Board of Directors is for a maximum period of three years, subject to re-election. The Board reports to the shareholders at the Annual General Meeting (AGM) or specially convened general meetings of the shareholders. The meetings of the shareholders are convened after giving adequate notice and with detailed agenda notes being sent to them. The Board comprised of seven members, elected by the shareholders at the Bank's AGM on 31 March 2019 for a period of three years. The Board exercised its right to appoint alternate directors to fill vacant seats of the Board.

The election process is through direct secret ballot by the shareholders of the bank, where each shareholder shall have a number of votes equal to the number of shares held by them. Every shareholder shall have the right to vote in entirety to one candidate or divide the shares amongst the nominees, subject to the stipulation that the total votes cast shall not exceed the number of shares owned by such shareholders.

The entire process of nomination and election of the Board of Directors, including the eligibility criteria, is governed by Article 6 of the Bank's Articles of Association, as well as in compliance with the relevant provisions of the Commercial Companies Law of the Sultanate of Oman, the Code of Corporate Governance for General Omani Joint Stock Companies (S.A.O.G.) issued by the Capital Market Authority and the relevant guidelines issued by the Central Bank of Oman.

6. DIVIDEND POLICY

The Bank's dividends policy complies with the CBO & CMA guidelines. The Board of Directors follow a conservative dividend policy and recommend on the distribution of the dividends to the shareholders after due consideration of the regulatory guidelines, the future growth expectations and other factors.

7. STATEMENT OF COMPLIANCE:

The Board of Directors of the Bank have been appointed in line with the guidelines of the Commercial Companies Law of Oman and in accordance with the regulations of the Central Bank of Oman. The Board of Directors has complied with all the guidelines for the appointment of Directors prescribed by the Commercial Companies Law of Oman and the Central Bank of Oman's regulations with reference to eligibility.

The Board of Directors of the Bank consists of seven directors from among shareholders and non-shareholders. The Directors of the Bank affirm that no member of the Board:

- Is an employee of the Bank or an employee of any other bank in the Sultanate of Oman.
- Is on the Board of any other Bank registered in the Sultanate of Oman.
- Sits on the Board of more than four joint stock companies registered in Oman.
- Is a Chairman of more than two joint stock companies registered in Oman.

7. STATEMENT OF COMPLIANCE:(CONTINUED)

During the year under report, the Bank has complied with the directives of the CMA, Rules and Guidelines on Disclosure by Issuer of Securities and Insider Trading, the Guidelines of the Commercial Companies Law and the Code of Corporate Governance of the Capital Markets Authority for listed companies, except for the following:

- The Chairman of the Board Audit Committee is also a member of the Board Risk Management Committee and the Executive, Nomination and Remuneration committee. This is due to the limited number of Board Members as compared to the number of board committees, required to be formed by the Board of Directors.
- Timely Disclosure of Material Information.

In the last three years, the Bank paid a total amount of RO OMR 80,275.88 in penalties to both the Central Bank of Oman "CBO" and the Capital Market Authority "CMA". The CBO penalties for the year 2021 were ranging from High to Low risk categories; mainly for non-compliance with specific lending practices and asset related limits. The Bank has addressed the issues and is taking time bound rectification measures.

8. CHANNELS OF CONTACT WITH SHAREHOLDERS AND INVESTORS

Sohar International has endeavored to establish meaningful relations with its shareholders and investors. The Bank is committed to ensure timely disclosure and communication of all material to the shareholders and the market regulators. The Bank has provided investor related information in the quarterly, half-yearly reports and the Annual Report as per the statutory guidelines and the terms of the Bank's listing agreement.

The Annual Report includes inter alia, the report of the Board of Directors, Corporate Governance report, Management Discussion and Analysis report and the Audited Financial results. The management has taken the responsibility for the preparation, integrity and fair presentation of the financial statements and other information in the Annual Report of the Bank. The summary of Annual Report will be sent to all shareholders of the Bank in line with the rules for the same as stipulated by the Capital Markets Authority.

Additionally the bank has posted the financial statements on its website www.soharinternational.com.

8.1 Sohar International Shares – Market Price

Monthly share prices of Sohar International's shares quoted at the Muscat Securities Market (MSM) and the bands for the banking sector stocks on the MSM. (This information is available from news agencies and it is a published information. This is given here as part of the requirements of the Code of Corporate Governance for MSM listed companies. This is not a solicitation in any manner to subscribe to the Bank's shares.)

The following table represents monthly share prices of Sohar International SAOG as listed with Muscat Security Market "MSM" (Par value of share is 100 Baizas/ share)

Table 6: Sohar International Shares – Market Price

Month 2021	Sohar International Share price Rial Omani			MSM Banks & Investment Index closing
	High	Low	Closing	
January	0.097	0.085	0.089	5492.6120
February	0.085	0.073	0.080	5429.1420
March	0.093	0.080	0.086	5699.7270
April	0.093	0.088	0.089	5822.3470
May	0.093	0.085	0.088	5979.8480
June	0.100	0.090	0.096	6466.0740
July	0.098	0.092	0.095	6445.9090
August	0.096	0.091	0.093	6321.7770
September	0.094	0.090	0.090	6235.6740
October	0.105	0.089	0.103	6402.5650
November	0.114	0.100	0.105	6371.8880
December	0.117	0.104	0.116	6577.9230

8. CHANNELS OF CONTACT WITH SHAREHOLDERS AND INVESTORS (CONTINUED)

8.2 Distribution of share ownership

The authorized share capital of the Bank is 4,000,000,000 shares (31 December 2020: 4,000,000,000). The issued shares of the Bank are 2,990,062,290 shares (31 December 2020: 2,434,506,735 shares). The paid up share capital of the Bank is RO 295.355 million (31 December 2020: RO 245.355 million).

As of 31 December 2021, the following shareholders held 5% or more of the Bank’s capital:

Name of Shareholder	Percentage of Shareholding
OIFC	15.4246
Royal Court Affairs	16.38665
Seventh Moon Investment LLC	9.02803
Neptune National Investment company LLC	7.81079
Western Sea Investments LLC	7.60147
MARS Development and Investment LLC.	6.8343
Oman Investment Authority /1	5.23736

9. STATUTORY ACCOUNTS:

The Bank has adopted the International Financial Report Standards (“IFRS”) in the preparation of its accounts and financial statements.

10. AUDITOR’S PROFILE:

Deloitte is a leading global provider of audit and assurance, consulting, financial advisory, risk advisory, tax and related services. Deloitte Middle East is a leading professional services firm established in the Middle East region with uninterrupted presence since 1926. DME’s presence in the Middle East region is established through its affiliated independent legal entities, which are licensed to operate and to provide services under the applicable laws and regulations of the relevant country. DME’s affiliates and related entities cannot oblige each other and/or DME, and when providing services, each affiliate and related entity engages directly and independently with its own clients and shall only be liable for its own acts or omissions and not those of any other affiliate.

During the year 2021 an amount of RO 106,195/- was charged by external auditors against the services rendered by them to the organisation (RO 90,195/- for audit of bank’s conventional and Islamic banking operations, RO 14,000/- for Sharia audit and RO 2,000/- for tax services).

11. RIGHTS OF SHAREHOLDERS:

All the Bank’s shares shall carry equal rights which are inherent in the ownership thereof, namely the right to receive dividends declared and approved at the general meeting, the preferential right of subscription for new shares, the right to a share in the distribution of the Bank’s assets upon liquidation, the right to transfer shares in accordance with the law, the right to inspect the Bank’s statement of financial position, statement of comprehensive income and register of shareholders, the right to receive notice of and the right to participate and vote at general meetings in person or by proxy, the right to apply for annulment of any decision by the general meeting or the Board of Directors, which is contrary to the law or the Articles of the Bank or regulations, and the right to institute actions against the directors and auditors of the Bank on behalf of the shareholders or on behalf of the Bank pursuant to the provisions of the Commercial Companies Law and its amendments. Sohar International gives minority shareholders prime importance in terms of safeguarding their interests and ensuring that their views are reflected in shareholders’ meetings. The “one share one vote” principle applies to all shareholders so that minority shareholders can nominate members of the Board and can take action against the Board or the management if the actions of the Board or management are in any way prejudicial to their interests.

12. RELATED PARTY TRANSACTIONS, DEALINGS AND POLICY:

There is a comprehensive policy on related party dealings, and processes and procedures laid down which are followed in the matter of all loans, advances and financings given to directors and their related parties and also any transactions with companies in which directors have a significant/ controlling interest. Details of loans, advances and financings, if any, given to any Director or his related parties are furnished with full details in the notes to the financial statements given in the annual report as public disclosures. Any other transactions with Directors carried in the normal course of business and without any preferential treatment are disclosed to the shareholders along with the agenda notes for the AGM.

13. CONCLUSION:

The Board of Directors acknowledge that the preparation of the Annual Report of the Bank together with the Management Discussion and Analysis Report, the Corporate Governance Report and the audited financial statements has been done with their full knowledge and in line with the standards for accounting and the statutory rules governing disclosure by the Capital Markets Authority and the Central Bank of Oman.

The Board of Directors also acknowledge that there is no material information and material things that will in any way affect the continuation of the business of the Bank in the coming financial year.

A desert landscape at sunset. The sky is dark with a bright orange and yellow glow on the horizon. A glowing, multi-colored light trail (yellow, orange, red) curves across the sand dunes in the foreground. The sand dunes are dark and textured.

MANAGEMENT

Leading the winners
of tomorrow

BACK ROW (Left to Right)

Mr. Hamood Khalfan Al Aisri
Chief Internal Audit Officer

Mr. Ewan John Macleod
Chief Transformation Officer

Mr. Elsamawal Abdulhadi Mohammed
Chief Legal Officer & Board secretary

BACK ROW (Left to Right)

Ms. Mahira Saleh Al Raisi
Chief Human Resources Officer

Mr. Khalid Khalfan Al Subhi
Chief Compliance Officer

Mr. Craig Barrington Bell
Chief Financial Officer

Mr. Abdul Wahid Mohamed Al Murshidi
Chief Islamic Banking Officer

Mr. Manish Dhameja
Chief Wholesale Banking Officer

FRONT ROW (Left to Right)

Mr. Hamood Abdullah Al Sawai
Chief Operations Officer

Mr. Abdulali Abdullah Al Lawati
Chief Corporate Services Officer

Mr. Majid Nasser Al Busaidi
Chief Risk Officer

FRONT ROW (Left to Right)

Mr. Ahmed Al Musalmi
Chief Executive Officer

Mr. Khalil Salim Al Hedaifi
Chief Retail Banking Officer



CHIEF EXECUTIVE OFFICER MESSAGE

Ahmed Al Musalmi



POSITIONED TO 'WIN'

Sohar International began a transformational journey three years ago, inking a new chapter in a succession of milestones, with a well-defined objective to enable people to 'win' by delivering banking for their ever-changing world. On this path, the bank is committed to realizing its vision of becoming a world-leading Omani service company that helps customers, communities, and people to prosper and grow.

Sohar International's vision has set in motion a strategic plan for the company, which is anchored by a strong agile growth strategy. Its continued growth is a testament to the bank's conviction, and the way it has responded to not just a global pandemic that led to economic unrest, but also to natural calamities, and unforeseeable circumstances. In the face of slow yet consistent socio-economic recovery, and with a keen eye on stimulation, we are focused on always doing better, and are looking for ways to bring forth the bank's strengths to create lasting and meaningful contributions that add value to all our stakeholders.

POSITIVE OUTLOOK & ECONOMIC RECOVERY

2021 marked the beginning of the Sultanate of Oman's 10th Five-year Development Plan (FDP), which, along with the 2022 General Budget is shaped by Oman's 2040 Vision priorities, such as achieving fiscal sustainability, economic diversity, and reducing the ratio of the size of public debt to the GDP.

Despite the economic downturn caused by the pandemic, 2021 witnessed massive changes to the business, legal, and tax frameworks in the country, sustaining the momentum of development measures, set forth in previous years, with the aim of achieving fiscal sustainability and economic diversification, among other objectives.

While Oman's Budget 2022 focuses on recovery, rebuilding national resilience and catalysing reform, to drive socio-economic recovery and the national development agenda, the 10th FDP focuses on increasing the contribution of non-oil industries to 90% of the GDP by 2040, while also reducing government debt.

A series of regulations have been introduced by the government to achieve a cross section of economic objectives. The Medium-Term Fiscal Balance Plan 2020-2024 (MTFP) aims to par the budget deficit down to 1.7 per cent of GDP by 2024. The plan focuses on supporting economic growth, diversifying and enhancing sources of government revenues, rationalising government expenditures and driving efficiency, enhancing the social safety net and strengthening financial management.

In an effort to shore up government revenues, Oman introduced a five per cent Value Added Tax (VAT) from April 2021. Water and electricity subsidies will be phased out from January 2021 until 2025 and an income tax on high earners is under consideration. While these steps will lead to a period of belt tightening, fiscal prudence is expected to help the government enhance its development expenditure in the years to come. The success of these measures can be seen from the fact that Oman achieved a budget deficit of RO 1.2 bn or 3.8% of gross domestic product in 2021. This is the lowest budget deficit recorded since 2014.

The Sultanate's Vision 'Oman 2040' plan lays down the future roadmap for the country over the next two decades. The Vision aims to build upon the gains made since the beginning of the Blessed Renaissance and to build a developed, diversified and sustainable Omani economy. The tenth Five-Year Plan (2021-2025) - the first plan of under Vision 2040 aims to achieve an average GDP growth of 3.5 per cent and create 135,000 jobs over the plan period.

The global health crisis caused by the Covid-19 pandemic, the volatility of oil prices, the rise of general debt, and the cost of borrowing may have deterred outlook and confidence, but several indicators point out that Oman is on track to achieving the 10th FDP deficit reduction objective. Clearly, the government is making efforts to position Oman as an attractive destination for domestic and foreign investors, by introducing and implementing fiscal, legal and regulatory reforms that not just support the growth of the private sector, but also enable an environment for lucrative investments and strategic partnerships. A major step in this direction was the introduction of long-stay residency visa for investors. Due to the policies and procedures undertaken by the Sultanate to address economic and health challenges, coupled with improved oil prices, it is expected to lead to a decline in fiscal deficits and net government debt over the next three years.

According to various reports, the Sultanate's economy is forecast to increase by 6.5% in 2022, and the budget approved in 2021 is a positive first step towards reducing the public debt from 71.3% of GDP in 2021 to 58.5% by 2026. The 2022 budget estimates total revenues at OMR 10.6 billion, 3% less compared to actual revenues in 2021. Oil and gas revenues comprise 68% of this figure at RO 7.2 billion, and the remaining RO 3.3 billion is estimated from non-oil and gas revenues.

Oman's post-pandemic priorities are focused on developing the private sector, accelerating economic diversification, and reducing the national deficit. Given that the 2022 General Budget was drafted with the 10th FDP and Oman Vision 2040 in mind, we can expect to see Government spending and fiscal policy

that consistently align with the objectives of these two medium and long-term plans. With this budget, the government seeks to sustain the recovery efforts and restore economic growth to pre-pandemic levels whilst achieving a sustainable debt position. In fact, in the last 6 months, Fitch has changed Oman's outlook from negative to stable, while both Moody's and S&P Global Ratings upgraded their outlook from stable to positive.

Maintaining spending on basic services like education, health, and social welfare figure high on the national agenda. In addition, enhancing the contribution of recently introduced taxes, such as the Value Added Tax (VAT) will also be an area of focus for the Government, as the implementation of these have created several tangible non-oil revenue streams. There are also efforts to improve the investment climate and offer support to small and medium enterprises by assigning a share of government projects to such entities.

What also becomes important here is to factor in environmental, social, and governance (ESG) principles, prioritising sustainability in strategies. Foreign investors are increasingly looking at the ESG environment, regulations, and incentives of the countries in which they are considering doing business. Oman is making considerable efforts to adapt environmental sustainability and social spheres, through correct governance structures, and an effective enforcement plan.

The Sultanate supports the agenda of job creation and Omanisation while also emphasizing on the need for research, learning and education, as a right of citizens. Investment in diverse sectors by the government and the private sector has helped promote these sectors, creating more job opportunities. The youth of the country have undergone a positive mental revolution, as they are now taking to newer avenues in terms of training, skilling, and preparing for a secure and financially stable future.

However, it is evident that the far-reaching economic consequences of the Covid-19 pandemic have envisaged a path of swift action, innovative change, and resilient continuity across businesses and industries globally. The Sultanate of Oman, too, has stepped forward, adopting learning and implementing agendas, through investments and efforts that are commendable. There are signs that economic activity is beginning to pick up mainly due to an effective and aggressive vaccination campaign launched by the government. This vaccination drive has helped the country to begin moving towards normality, also ensuring socio-economic revival.

Today, Oman has embarked upon a development programme that puts strategic focus on a diversified economy, developed around an ecosystem of small and medium-sized enterprises, public-private partnerships (PPPs) and an improved investment climate. The government is establishing programmes that will grant numerous opportunities to broaden the country's economic base, both vertical expansion of the sectors dependent on oil and the development of non-oil sectors such as manufacturing, fisheries, transportation & logistics, tourism and mining. The economic and structural reforms will improve multiple fronts, including financial and social objectives. Therefore, we expect to see a lot of movement in the public sector and amongst SMEs, as the government has published a number of projects it intends to undertake during the year as part of its digital transformation plans, fiscal performance improvement measures, and SME enhancement programmes.

BANKING: INNOVATION & CUSTOMER CENTRICITY

The effect of Covid-19 and the consequent lockdowns by governments affected several sectors globally. The banking industry was no exception. Oman's economy and the banking sector took a hit due to the slowdown in the economy and the decline of oil prices. However, the banks in Oman have been swift in adopting new modes of service delivery and technologies to serve the market more effectively especially during these challenging times.

According to Central Bank of Oman's September 2021 monthly statistics report, the total outstanding credit extended by conventional and Islamic banks in Oman grew by 4.9 percent to RO 27.7 billion at the end of September 2021. Total deposits held with banks registered a growth of 2.7 percent (y-o-y) to reach RO 25.0 billion at the end of September 2021. Total private sector deposits increased by 5.2 percent to RO 17.2 billion. The combined balance sheet of conventional banks showed a y-o-y growth of 3.4 percent in total outstanding credit as of end-September 2021. The aggregate deposits held with the conventional banks increased by 0.7 percent y-o-y to RO 20.7 billion at end-September 2021.

These numbers indicate slow, yet steady growth especially towards the second half of the year. Oman's banking sector continued to grow despite the challenging economic environment and is responding at an accelerated pace to the disruptive changes in financial services sector globally. With new technologies reshaping the financial services landscape and the rapidly evolving customer service requirements, Central Bank of Oman has effectively supported the banking sector by creating a sustainable environment to foster growth and level playing field for all market players, and FinTech start-ups.

Oman's banking sector plays an important role in the Sultanate's economic growth and social development. With 20 banks, the sector is highly competitive, compelling financial institutions to strive to differentiate themselves in the fields of customer experience and digitalization.

Central Bank of Oman has also been encouraging the growth of digitalization in the Sultanate's banking sector through various policy interventions - it is encouraging the use of digital payments in more than one way. Starting January 1, 2022, all commercial establishments have been mandated to provide electronic payment (cashless) facilities to consumers, as part of the efforts to achieve digital transformation in the Sultanate under Oman Vision 2040. To ensure this service can be easily provided, the Central Bank of Oman, in coordination with other banks and payment service providers, has issued point of sale (POS) devices for merchants, without any need for an installation fee, or any monthly and/or annual charges for the same.

Amidst these progressive steps by the government, Oman's banks continue to shift their focus on offerings that go beyond banking. With a primary focus on offering services, banks are going beyond the task of maintaining steady growth in their loan book and mobilising their deposits by introducing solutions that deliver convenience and new facilities affecting consumers' everyday life. In an interconnected world, customers are increasingly benchmarking locally available products against international standards from service delivery to technology enablement. Customer-centricity is the new trend and it is encouraging banks to explore additional avenues of creating value for customers.

The increasing adoption of technology is also enabling achievement of the other objectives of the government and the central bank, such as 'financial inclusion'. An integral part of 'financial inclusion' is to provide timely access to affordable credit, which is a challenge for small businesses and SMEs.

In the current scenario, it also becomes pivotal for the sector to contribute to national agendas of socio-economic development through strategic financing, thereby aiding the diversification process. Contributing positively to this growth and development, banks in Oman are making investments in projects that not only promise great returns but also positively influence the communities we operate in - health, education, agriculture, mining, real estate, and others.

Going by global trends, consolidation in the banking sector in challenging economic conditions is expected which ultimately strengthens the overall banking sector and improves competitiveness against larger regional banks. Overall, such a move in the banking sector would be welcomed by rating agencies and economic observers.

2021: THE YEAR THAT WAS

Cementing its position as one of the top three banks in the Sultanate, Sohar International has been able to record steady progress in all areas of business. While the bank's profit for the year increased 41.6% to reach RO 28.3 million compared to RO 20.0 million last year, its total assets as on 31 December 2021 increased by 14.5% to RO 4,134 million. The bank's prudent strategies in managing growth were also reflected by an increase in Loans, advances and financings (net) which grew by 4.3% to RO 2,612 million from RO 2,504 million as on 31 December 2020. Meanwhile, the bank's customer deposits also increased by 7.3% to RO 2,394 million, up from RO 2,232 million on 31 December 2020, which attests to its liquidity position and its growing preference in the market.

The bank crossed 4bn in total assets within a short span of three years while reflecting a phenomenal growth of over 40% despite a tough operating environment. Adopting a progressive mind-set, actively seeking out new opportunities, and ensuring that we always place our customers as a top priority has helped us achieve this stellar growth.

Whether it was providing strategic, well-conceived financial solutions to our wholesale and retail clients or financing large projects of national importance, Sohar International always had the socio-economic progress of the country in mind. The bank's strong corporate governance policies, focus on enhancing its core business areas, and efforts towards increasing customer engagement have significantly contributed to the bank's growth. However, the journey upward had its set of challenges. The bank's operational resilience and continuity planning were tested in unprecedented ways, but the agility that Sohar International has always been revered for helped us emerge stronger than before.

At Sohar International, we concentrated on four main pillars – better management of credit, embracing technological advancements to better serve our customers, innovation in our processes to increase overall efficiency, and introducing flexibility in our operational models to adapt to the dynamic needs of the market. The emphasis continued to be on long-term sustainable development – elements that would outlive the pandemic. We did our part to support customers by introducing deferred payments, extending relief packages to those affected, and providing the necessary financial advisory services to individuals, SMEs, and large corporates. At the same time, we commend the efforts of the local government and the reforms introduced by the regulatory authorities which were instrumental in helping us navigate through uncertainties.

The signing of a Memorandum of Understanding with Saudi EXIM Bank in 2021, which indicates that Sohar International will now be expanding regionally, is yet another indication of the bank's strong position. This agreement will also aid in the realization of substantial commercial and investment exchange between the two countries, while also aiding the development of industries and trade, lowering export and import risks, and empowering the local workforce, especially the youth. Sohar International has also obtained authorisation from the Central Bank of Oman to begin the due diligence process to investigate the viability of the bank's proposed merger with Bank Nizwa, which is in line with the bank's growth strategy.

Sohar International's increasing popularity can be attributed to product innovation, service excellence, and a high level of customer focus. The bank has been able to consistently develop its portfolio and meet the demands of even its most discerning clients thanks to the flexibility and foresight required to adapt to an ever-changing market. While customers have always been a priority, as a bank, we are also devoted to the nation's overall socioeconomic progress. We have been able to serve crucial sectors such as real estate, as specified in Vision 2040, with innovative services such as the Escrow account that were established in the previous year.

Strategic partnerships with organisations that share our vision have played a major role in driving growth. While we have joined hands with key players in the automobile, hospitality, real estate and telecom sectors, we have also partnered with public and private

companies as well as government entities to finance projects that are of national importance. These projects will provide sustained economic benefits in the years to come.

Another important aspect of our collaborations has been those with FinTech companies. By making the optimum use of technology, we have been able to increase internal efficiency, overall performance, and better engage with customers. We have also been able to deepen our customer bonds by leveraging the benefits of digitalization. Offering an Omni Channel experience, the bank launched its conventional and Islamic mobile banking apps with numerous updates and enhancements to create a "one-bank" experience. The bank has also used its social media platforms to boost engagement with existing and potential customers.

While we cannot undermine the importance of increasing our digital presence, Sohar International places equal emphasis on human interaction, and ensures that face-to-face channels of communication remain uncompromised. The bank has, therefore, continued to expand its network of state-of-the-art branches at key locations within the Sultanate.

As a result of such transformation and progressive steps, investor confidence has increased. Every part of our business is guided by the goal of achieving long-term growth with the community. As a result, Sohar International has responded to the needs of small and medium-sized businesses. The bank has been able to assist SMEs in leveraging market possibilities by offering easy and quick access to finance sources. The bank's intense focus on SME development has also resulted in the creation of job possibilities in the local market, with a focus on establishing a knowledge-based economy and achieving the country's diversification goals.

What backs these strategic measures is Sohar International's continued investment in people development. While the launch of Sohar Academy is a testament to the bank's ongoing commitment to enhance the skills of its employees, the bank's Tomohi Internship Program has honored its pledge to onboard local graduates and offer them the needed training to excel in a competitive work environment.

Meanwhile, the bank's thought leadership program, Viewpoints, has earned its place as one of the most anticipated events where inspirational global leaders from different industries and sectors share their experiences, knowledge, and ideas with a cross-section of Omani society.

Staying connected with the community is what underlines every aspect of our operational commitment. Sohar International has been eager to seize every opportunity to do its part for the development of society. While we have pledged our support to offer financial assistance to businesses and individuals who were affected by Covid-19 pandemic and Cyclone Shaheen, our team of volunteers has gone the extra mile to offer on-ground assistance to those in need. As a social and environmental conscious entity, the bank has also integrated Environmental, Social and Governance (ESG) practices into all aspects of our business operation and management.

Sohar International takes great pride in its team of industry experts, visionaries and leaders who reserve the necessary foresight to drive transformational change in the banking sector. Complementing this is a well-conceptualized business model that is aligned with the bank's vision to uphold its position as an Omani service company that helps customers, communities and people to prosper and grow. By demonstrating robustness in turning challenges into opportunities and responding promptly to the demands of a dynamic market, Sohar International has been able to deliver more velocity, more value and more vision to all stakeholders and partners

MANAGEMENT DISCUSSION AND ANALYSIS

OPERATING ENVIRONMENT

While the lingering economic effects of the pandemic remain, majority of the sectors globally are already showing signs of revival. In Oman too, this is visibly evident. Oman's GDP rose to RO24.2 billion at the end of the third quarter of 2021. Forecasts pointed to an expected increase to RO32 billion, with a 13.8 percent growth rate compared to 2020. As a percentage of GDP, the deficit fell from 15.5 percent in 2020 to 3.8 percent in 2021.

Prudent measures, policy interventions, regulatory norms, have helped mitigate the after-effects to a large extent. In fact, the Government of Oman, under the wise leadership and strong acumen of His Majesty Sultan Haitham Bin Tarik is already on a path to slow yet consistent recovery. A significant easing in market conditions compared with year 2020, and the introduction of measures that fuel diversity in revenue streams, creates jobs for the local workforce, supports entrepreneurship and overall community development, have put the Sultanate on track to achieve the goals of Vision 2040.

Oman has posted positive results across the country's financial, economic, and monetary indices in 2021, reveal the figures published by the government. Several indicators have shown positive growth, including gross domestic product (GDP), a decline in deficit, more control over public spending, positive feedback from credit agencies, and a large jump in exports. According to Ministry of Finance data, the country witnessed a decrease in the estimated deficit from RO4.8 billion – the amount before government measures were taken – to reach RO1.2 billion in 2021, a decrease of 75 percent. The government was also able to control public spending despite the financial challenges that required the following: adopting financial allocations to confront the outbreak of the coronavirus pandemic, increasing the absorptive capacity in higher education institutions to 31,000 academic seats, and covering the costs of employment and related training programs associated with employment.

Oman Vision 2040 identifies Economy and Development as a key pillar that aims at; Reading Wealth through Economic Diversification and Private Sector Partnership; Ensuring Balanced Governorates Development; Preserving Environment Sustainability; and Building World-class Infrastructure and Liveable Cities. The success of the initial phase of this strategic vision has supported the creation of the Sultanate of Oman's 10th Five-year Development Plan (FDP), which, along with the 2022 General Budget, focus on identified priority areas. With the government's directive of achieving goals for economic diversification, 2021 proved to be pivotal year for some of the identified sectors, namely Manufacturing, Logistics and Transport, Tourism, Mining and Agriculture and Fisheries. Investment in these sectors by the government and the private sector have helped promote them, creating more job opportunities, and the fruition of a SME ecosystem. These steps, led by a strategic national roadmap, will continue to allow opportunistic and long-term socio-economic development in Oman.

BANKING SECTOR

The Omani banking sector has remained resilient and robust, and maintained a steady growth in 2021 despite economic challenges. Organic growth and strengthened capital buffers have allowed banks to provide adequate credit and other services efficiently to all segments of the economy while posting reasonable profits. The prudent and farsighted policies of the Central Bank of Oman (CBO) combined with better than budgeted global oil prices helped steady the banking sector further. Several measures were implemented to encourage the use of digital mode for payments, which included relaxations in various access rules and quantitative restrictions.

The FinTech Regulatory Sandbox, launched in December 2020 received an overwhelming response, with several local and international participants, coming forward to present their payment solutions during the first cohort. Despite initial challenges, the relevant authorities are working toward overcoming these and foster the growth of an effective ecosystem, wherein the FinTech start-ups and banks work under a collaborative framework, for the benefit of all stakeholders. Accordingly, the Central Bank of Oman along with Oman Banks Association is working on various initiatives, including FinTech, such as the open banking strategy for the financial sector, cloud computing and extending banks' support to regulatory sandbox applicants.

Central Bank of Oman had also facilitated digital on-boarding of customers, recognising its importance and to make it an 'on-tap' facilitation. Accordingly, an e-KYC project has been initiated to be undertaken in collaboration with Oman Credit Bureau, Malaá. The platform, once operationalized, will pave the way for quick and compliant digital on-boarding of customers.

The 'Direct Debit Mandate Management', successfully rolled out July 2021, had been well received by corporates and businesses and is currently, in the integration stage with the banks. The Ministry of Commerce, Industry and Investment Promotion, mandating E-payment option in certain private sector activities from 2022, will further support the digital transformation in the Sultanate, under Oman Vision 2040, thus fulfilling the goal of being a 'less-cash' dependent society.

Islamic Banking

As the market continues to grow, Sohar Islamic – Sohar International’s Islamic Banking Window has been well positioned to ride the wave as well as seek out value added propositions that would further contribute to the customer and the business. Sohar Islamic has been actively involved in various business verticals offering Shari’ah-compliant financial solutions to customers while contributing to key sectors identified by the government. Mirroring Sohar International’s vision, values, and purpose, the window strives to offer more vision, more value, and more velocity in everything it does.

During the year, Sohar Islamic launched its new Saving Plan Account as a significant step in highlighting the importance of inculcating a savings mind-set for a healthy future. A recurring deposit in nature, the Sohar Islamic | Saving Plan Account gives customers the opportunity to meet their future financing needs by taking steps to start saving regularly. By promoting a culture of saving amongst the people, Sohar Islamic aims to help them accomplish their individual goals and secure their family’s future. Such customer-centric products also ride on our digital prowess, and the new Sohar Islamic mobile banking App has been designed with an aim to offer customers an advanced, yet easy to use, online banking experience.

The Bank reiterated its strong market position and investor confidence, by introducing Escrow Accounts for Oman’s real estate sector. Following the introduction of the Escrow Account, Sohar Islamic was quick on harnessing this capability and signed an agreement with Muscat Hills Joint Development Company to open Escrow account for the Muscat Pavilion Project for Smart Offices in Muscat.

To further drive growth through strategic partnerships and in an endeavour to boost Omani companies, Sohar Islamic has acted as a financial partner to leading private companies like Otaxi, Mzadcom Smart Auction Solutions, Al Adrak Trading & Contracting Co, and Emushrif. The year also witnessed Sohar Islamic sign an agreement with Oman Society for Petroleum Services (OPAL) in order to cater to the society’s member companies in its various endowment sectors. The scope of this MoU has enabled Sohar Islamic to support OPAL in creating a pipeline of potential target companies that will help the member company and its investments to grow vertically/horizontally to maintain healthy market share, and provide advice on proposed mergers and acquisitions, financial needs to meet bigger and long-term business objectives.

In an endeavour to support other socio-economic priorities of the Vision 2040, Sohar Islamic is committed to building the capabilities of SMEs, start-ups, and large businesses. The Bank opened an exclusive branch in the Salalah Free Zone to offer a versatile suite of products and services ranging from preliminary activities like opening bank accounts to ongoing services like financial and advisory consultancy for investments at the free zone. As an Islamic bank that believes in giving back to the community, the bank has also supported charitable institutions like Jabir bin Zaid Foundation..

PEOPLE DEVELOPMENT

Innovating and serving customers is at the forefront of disruption and change, which is supported by a delicate balancing act of the core and non-core functions while leveraging the cloud for operational resilience. None of this is possible without the right people and culture; reimagining the employee journey, therefore, becomes imperative. During this time of rapid developments, effective governance and regulation are of immense importance to ensure confidence in the banking sector.

Delivering the promise of an exceptional banking experience, achieving the highest level of customer satisfaction, and implementing well-structured strategies to keep pace with the evolving market trends requires building a workforce that goes beyond just inducting employees with the right skill sets; it mandates creating a team that is motivated, passionate and strongly aligned with the goals of the organisation. At Sohar International, we have continued to invest in our employees who are our most valuable assets. Whether as brand ambassadors or as the critical link that connects us to our customers and provides valuable insights into the market, our employees have played an instrumental role in our growth trajectory.

Ongoing learning and development

With a vision to create a paradigm shift and take learning to the next level, Sohar International launched Sohar|Academy located in Bousher to motivate employees to continuously develop their skills and capabilities and prepare them for the dynamic changes in the future workplace. The state-of-the-art academy features special learning halls equipped with smart screens, digital displays, and other innovative tools to assist individuals in their learning process. With a keen focus on technology as an integral part of the bank’s operations, the academy has a dedicated Innovation Lab for imparting a variety of trainings on different IT-related subjects. Through the academy, Sohar International seeks to instil a value-based corporate culture in the workplace, help employees develop a better understanding of international standards, ethics and norms, and encourage the youth to take initiatives to pioneer developments in their areas of specialization.

Sohar|Academy reaffirms the bank’s commitment toward enhancing the skills of its local workforce, and its ongoing efforts towards development of competent management cadres, while ensuring that its strategic initiatives and managerial systems are strongly aligned with the goals of the bank. Through ongoing quality training programs and workshops led by professionals, Sohar International has been able to inspire employees to take ownership of their development and has encouraged the youth to enhance their skills by imbibing in them the culture of continuous learning and development.

FINANCIAL PERFORMANCE

The Bank has shown significant growth in year ending 31 December 2021 placing it as one of the top three banks within the country. Profit for the year increased 41.6% to RO 28.3 million compared to RO 20.0 million last year on the back of increased business and healthy growth. Total operating income increased 20.3% to RO 110.7 million, (31 December 2020: RO 92.0 million), driven by increased income from all the banks various income streams.

With continuous investments in our people and technology supporting the bank’s capabilities, strategic objectives, as well as significant contributions to the community, the bank’s operating expenses witnessed an increase of 11.3% to RO 50.3 million (31 December 2020: RO 45.2 million).

Net operating income before impairment provisions increased by 29.0% to RO 60.4 million compared to RO 46.8 million last year, resulting in a cost-to- income ratio of 45.4% (31 December 2020: 49.1%). Net impairment charges and other credit risk provisions for the year was RO 27.1 million compared to RO 23.1 million last year. The increase reflects the bank’s continued prudence in managing its credit risk through current economic cycle whilst fulfilling its long-term growth aspirations.

Total assets as at 31 December 2021 increased by 14.5% to RO 4,134 million (31 December 2020: RO 3,611 million) mainly driven by increase in investment securities. Loans, advances and financings (net) increased by 4.3% to RO 2,612 million (31 December 2020: RO 2,504 million) reflecting the bank’s prudence in managing growth in the current economic conditions.

Customer deposits increased by 7.3% to RO 2,394 million (31 December 2020: RO 2,232 million), highlighting the bank’s strengthening funding & liquidity position even during challenging economic times. Increase in total shareholder’s equity of 19.6% to RO 306.6 million (31 December 2020: RO 331.7 million) includes the highly successful rights issue of RO 50 million. The year 2021 has been pivotal for Sohar International as it entered a new phase of excellence paving the way for the organisation to reach new heights.

GROWTH & STRATEGY

At Sohar International, we take winning to new heights and are determined to raise the bar in everything we do. 2021 was a year where we proved this in more than one way. Sohar International was able to achieve exemplary growth throughout all its operations despite the headwinds posed by the pandemic. This was because of its ability to improve its organisational competitiveness, enhance its market position while expanding its market share, and strengthen its relations with its investors. By keeping pace with the evolving digital demands and thereby implementing differential technological capabilities, drawing up prudent risk management systems, and transitioning to a performance-oriented work culture that places a greater emphasis on people development, the bank was able to exceed the expectations of all its shareholders.

As the bank ushers into a new era of banking in line with its growth strategy, Sohar International plans to setup operations through its first premises beyond borders in the Kingdom of Saudi Arabia (KSA). As the two brotherly country relations are set to scale new heights, this strategic move comes in line with the Bank’s growth agenda enhancing capabilities and being well aligned to seek out new opportunities. In line with the same, the bank signed a Memorandum of Understanding with Saudi EXIM Bank to enhance investment opportunities between the two nations opening up new opportunities in the short and long term. This milestone achievement will pave the way to realize meaningful commercial and investment exchanges between the countries while developing its industries and trade, reducing the risks associated with exports and imports, and empowering local youth workforce.

In pursuit of its strategic growth objectives, Sohar International has received approval from the Central Bank of Oman to initiate the due diligence process to assess the feasibility of the bank’s proposed merger with Bank Nizwa. While we are delighted with our regional expansion plans, the bank also seeks to expand locally through new value propositions and a network of touchpoints that seeks to contribute to further financial inclusion.

NETWORK EXPANSION & CUSTOMER PROXIMITY

As a bank that places customers at the very core of its strategy, our continued investment in innovative offerings, next-generation technological advancements, and steadfast expansion of our branch network has helped us boost what has been our greatest strength – delivering a premium banking experience for our customers.

In its commitment to enhance convenience and further encourage financial inclusion, the bank has added two premium state-of-the-art branches to its physical network. Strategically located in Shatti Al Qurum and Bowsher, the branches provide a comprehensive suite of banking solutions and offer the same unparalleled service that the bank prides itself in as well as a 24-hour digital lobby empowering customers to conduct self-banking.

On a digital sphere, Sohar International continues to connect with customers and the nation at large through various popular social media as well as other digital channels staying relevant and connected to the market it serves. Maintaining such relationships helps expand and enrich our presence within the market as well as expand our product portfolio to cater to the various needs of our different stakeholders.

Leveraging the strong social presence of the Bank to further engage, interact and connect with its audience, Sohar International registered a commendable rate of engagement ranking first within the banking sector for the year 2021. Closing the year with over 210K+ followers, the bank hit laudable milestones when it came to the number of impressions, views, and reach – all reflecting the ongoing followership the brand has acquired throughout the past few years. With significant popularity of such communication channels and the convenience they provide customers, dedicated Sohar Islamic social media channels were rolled out in the year 2021 gaining an impressive 20K+ follower in a short span of time.

With digital communication being a cornerstone for touchpoints, the Sohar International and Sohar Islamic corporate websites also witnessed significant attention and growth. Both websites underwent a transition in providing a better experience to visitors. In particular, the Investor Relations page which witnessed a complete revamp and underwent a paradigm shift attracting over 95% more viewers when compared to the previous year. The growth in the number of visitors from across the globe are truly a reflection of the Sohar International brand and how it has already crossed borders.

A PERVASIVE CULTURE OF INNOVATION

A bank that recognizes the importance of continuously injecting innovation in its processes, introducing new products and services, and increasing customer engagement, Sohar International has been improving its customers' digital experiences while ensuring security, reliability, and resilience in all its operations with the objective of heading towards paperless banking and straight through processes.

Staying ahead of the market, Sohar International was one of the first banks to leverage its Finacle capabilities to ensure a seamless transition to incorporate all VAT requirements as per the VAT policies of the country. The quick implementation enabled the bank to adapt and adopt the required practises swiftly without any interruption to its day-to-day operations whilst upskilling staff and through training and development.

As one of the key themes under its agile growth strategy, Sohar International's digitalization journey has set in place clear milestones and engaged in key strategic technological projects that will enable it to deliver on efficiencies internally as well as an enhanced overall customer experience. With the Business intelligence (BI) platform on the cusp of usage, the bank is keen to analyse and understand customer life journeys and life styles with the purpose of providing them banking and non-banking services that would further compliment their day-to-day requirements. Research & design phase would not be valuable without the delivery channels and experience and hence, the bank has embedded workflow atomization across its branch network linking key processes and therefore enhancing delivery times to customers and increasing internal efficiencies.

On the customer facing touchpoints, Sohar International has invested heavily in delivering a state-of-the-art Omni Channel experience with the launch of its conventional and Islamic mobile banking apps with numerous updates and enhancements in the year 2021 alone. This infrastructure and platform will further see significant upgrades vertically and horizontally encompassing many other digital touch points of the bank creating a "one-bank" experience for customers to enjoy securely and seamlessly.

Playing a role in fulfilling the country's aspirations of becoming a digitized economy and enhancing efficiencies, Sohar International rolled out its digital Transaction Banking platform for its wholesale banking clients specifically catering to Government entities and large corporates, providing secure cash and trade related banking services for their business requirements. This significant milestone will have a positive impact on the overall way of providing banking for corporate clients empowering them to manage their finances and therefore enhance their efficiencies.

Because of the dynamic and ever-changing nature of the world and the pace that we have maintained as an organisation, our employees have been given the opportunity and a platform to grow, improve and familiarize themselves with the digital world, as digital has progressed from an enabler to a way of life. The bank has provided the necessary training and has hired additional skilled employees in key strategic positions across the organisation upskilling Omanis as well as training them for the future of not only Sohar International, but also the nation at large.

Supported by a shift to a more agile way of working, Sohar International's continuous investment in technology and staff training has helped it to blend seamless digital experiences with premium services provided by its expert staff. With a keen focus on offering industry-leading solutions while upholding global best practices, the bank has set a new benchmark in customer experience.

SERVICE EXCELLENCE & CUSTOMER CENTRICITY

Sohar International has been able to attain exceptional levels of customer satisfaction by pioneering strategic initiatives, delivering superior products, and further complementing these with its premium services. We are committed to providing new products, services, and features that further enhance customer's banking experience with the purpose of delighting the customer. The Bank effectively continues to cater the needs of all its customer segments, introducing products that are based on our assessment of customer needs and an in-depth understanding of the prevailing market requirements.

By building and maintaining strong customer relationships, we have been able to better understand the varying needs of our diverse client base. We have used this knowledge as a springboard to deliver value-added services and customize products for our customers. Apart from propositions like bancassurance and wealth management, we also take great pride in our corporate financial advisory services that have helped our Wholesale Banking clients navigate through the changing economic landscape.

Dedicated to innovation and the creation of thoughtful value-added services, Sohar International also launched several new propositions for the benefit of both individual and corporate customers. While the salary transfer campaign entitled individuals to a host of special privileges like reduced interest rates on select loans, free credit card for life, and enrolment into the bank's Prize Scheme Draws, the 'Sohar Business Account' was restructured to cater to the dynamic needs of business owners in an endeavour to support the thriving local industries.

With the growing popularity of Islamic banking and to further encourage individuals to opt for Sharia-compliant products, Sohar Islamic offered special auto loans during Ramadan to help accountholders conveniently acquire a vehicle of their choice. Sohar Islamic's saving product and saving plan also provided the needed impetus to instil a savings mind-set amongst the community.

As a bank dedicated to offering value-added services to customers, Sohar International entered into partnerships with leading companies in key sectors such as automobile, hospitality, real estate, telecom, FinTech and beyond. While its partnership with

Al Jenaibi enabled the banks' customers to avail competitive auto finance interest rates starting from zero percent, its tie-up with Oman International Hospital entitled its customers to a range of exclusivities and discounts. With real estate development set to play a major role in the nation's economic growth, the bank signed an agreement with Al Hekmani Trading to extend thoughtfully created home financing solutions to its customers and boost the sale of the developer's units, therefore, contributing to the growth of the real estate market as well. Meanwhile, the bank's strategic agreement with Ooredoo (Omani Qatari Telecommunications Company S.A.O.G.) provided affordable and convenient payment options for its credit cardholders through its Easy Payment Plan. Sohar International's most recent alliance with Vodafone Oman outlines potential collaborations between the two companies with an eye on boosting modernization, enhancing customer satisfaction, and expanding the communication networks in the country.

Acknowledging the need to constantly evolve and go beyond just catering to the financial needs of customers, Sohar International expanded its portfolio to include a range of Travel Takaful products, provided to customers with competitive rates and privileges, through partnering with Takaful Oman Insurance SAOG. An agile, progressive and innovative bank that constantly evolves to the needs of the market, Sohar International has demonstrated the highest levels of operational standards and service levels that underpin its ability to serve its customers better.

Wealth Management

As part of its premium value proposition, Sohar International's Wealth Management services have been specially curated to provide fiduciary advice and highly customised financial and related facilities to the bank's niche clientele. The privileges offered to the bank's private customers include exclusive credit cards, free insurances, and competitive rates on loans along with a host of discounts on dining, shopping, and other advantages. With a keen eye on providing personalized services, the bank's wealth management advisors reserve the necessary knowledge, expertise, and insight on local and global investment trends and are uniquely positioned to offer world-class solutions to its clients.

With wealth management emerging as a key growth driver for banks, Sohar International has expanded its wealth management business by enhancing its offerings and deepening its customer relationships. The developments come in the form of dedicated sections in the bank's new branches that are designed to especially cater to the needs of its elite wealth management clients. The bank's wealth management sections in its state-of-the-art branch at the Waterfront, Shatti Al Qurum, as well as the Taminaat complex in Bowsher are prime examples of the emphasis placed on this division.

Wholesale Banking

Upholding the highest levels of ethicality, our expert financial advisors have been at the forefront of helping entrepreneurs, and businesses, better understand the prospects of their investments and analyse potential risks and threats prevalent in a dynamic market. Along with facilitating various working capital requirements for small, mid to large size corporates, the bank has further developed compelling value propositions to help them deepen their revenue generation opportunities.

Year 2021 witnessed the introduction of our Escrow Accounts to cater to the real estate sector that further attested to the bank's commitment to contribute and support the government's efforts in providing impetus to the sector. During the peak of the pandemic as well as during other challenging global economic turbulence, Sohar International experts ensured that they provide the right sort of financial plan for clients especially those that had undergone a significant impact due to the economic slow-down. This enabled the client to not only manage their finances better but also have a fresh look at their business model in order to find effective and efficient ways of adapting to current environments. With such internal capabilities and expertise, Sohar International has played a key role in attracting the right business that have an impact on the socioeconomical scene within the country thereby creating in-country value, job opportunities, supporting Omanization, supporting diversification of income and ultimately contributing to Oman Vision 2040.

Considered as the backbone of the country, the SME sector also witnessed significant challenges in the recent past. However being committed to the growth of SMEs, Sohar International has continued to facilitate easy and timely access to financial sources for them, thereby supporting the Sultanate's broader vision to build a robust knowledge-based economy, supporting value creation. Built on values of sustainable growth, Sohar International has a separate unit dedicated to catering to the needs of the thriving SME sector in Oman. Demonstrating its strong ability to finance the transformation of businesses and infrastructure, the bank's SME unit focuses on providing SMEs the essential tools and facilities to enhance their abilities to leverage investment opportunities. This in turn has led to the diversification of the economy and a steady increase in employment opportunities in the country.

Investment Banking

In response to the changing market scenarios, Sohar International's Investment Banking Department focuses on continuously evolving to deliver innovative solutions while incorporating leading advancements in technology in its operations. With dedicated experts reserving the intellect to tackle even the most complex market scenarios, the bank has joined hands with government agencies as well as corporate companies to provide the necessary strategic guidance and asset management services to frame capital structure, raise capital and monetize assets.

Having partnered with international entities, and expertise to advice on beyond border investments, Investment Banking continues to work closely with Wealth Management to construct and provide optimum solutions for specific client requirements that fit their investment appetite and acceptable risks. On the corporate business, the team has strong advisory and asset management capabilities.

Reiterating its strong market position and as part of its ongoing efforts to extend support to local start-ups and promote In-Country Value (ICV) within the Sultanate, Sohar Islamic – Sohar International's Islamic Banking window acted as the financial adviser to the popular on-demand delivery service major, Akeed, and helped in raising its equity capital from investors. Setting new benchmarks by introducing industry-firsts, the window also played a pivotal role as the issue manager and financial advisor to ensure the successful issuance and completion of Oman's first-ever perpetual Sukuk by Takaful Oman.

Employee health and wellbeing

We believe in growing with our people and placing the well-being of our employees as a priority. While technology has helped us to incorporate a flexible work environment, we have also ensured that we remain at the forefront of combating Covid-19 through an extensive Vaccination Drive that resulted in more than 95% of our employees being vaccinated. The benefit of vaccines had also been extended to cover the families of our employees. The effects of our campaign have resulted in improved productivity, increased efficiency, and higher dedication in delivering the bank's objectives. This has also elevated the brand image as a bank that emphasizes the values of employee welfare.

Staff engagement activities

To further align our employees with the bank's vision, Sohar International has demonstrated a keen focus on open channels of communication. As such, it implements transparent communication policies, whether external or internal, to ensure that employees are aware of necessary developments. Regarding strong communication as a vital component that drives success within the organisation, the bank has also been able to create a winning culture through staff engagement. By repurposing common digital platforms like Facebook @Workplace, the bank has been able to digitally connect staff through internal competitions, live chats, and group activities. Simultaneously, the bank also organized several team-building activities such as bowling, hiking, and celebrating occasions of national importance. Inculcating a team spirit, Sohar International went the extra mile to organize a trip to Qatar to cheer the national team.

UPHOLDING SOCIAL VALUES

Sohar International has continued to enhance the wellbeing of the community in which it operates, and drive social progress, by upholding its ethics of social responsibility. The bank has meaningfully contributed to the socio-economic development of the country by extending generous aids to those dealing with a crisis, encouraging individuals to continue their learning journey by inculcating a progressive mind-set in the community, and by lending its unfaltering support to promising sectors and local talents. Its corporate social responsibility programs have been implemented to ultimately contribute to national priorities, and support on-going efforts of the Oman government.

COVID-19 Pandemic

Complementing the extensive efforts of the government to support those affected by the pandemic, the bank committed up to RO 1,500,000 to relieve affected customers from personal loans. This demonstrated the bank's commitment to stand by its customers in times of crisis.

Demonstrating strong corporate values and ethics, Sohar International has not only been at the forefront of employee welfare but has gone the extra mile to extend support to others in the community. Having completed the vaccination drive for employees and their families, the Bank went the extra mile to extend the vaccination drive to include local welfare associations such as the Association for the Disabled in Sohar and Oman Cancer Association, as well as other strategic partners like those in the press and media.

The efforts to fight societal impact of the pandemic became more meaningful during the Holy month of Ramadan. Embracing its essence, and promoting the spirit of giving, the bank distributed items of essential needs to low-income households who were further affected by Covid-19. The bank's exclusive Ramadan competition also gave away a host of cash prizes and witnessed increased participation from the community.

Cyclone Shaheen

Sohar International allocated RO 5,000,000 through interest-free financing to help support customers and build back the cyclone-affected communities. However, the bank's efforts went beyond just offering financial support. The bank's employees volunteered to organize on-ground services that included clean-up drives and distribution of food packages and other rations. Through its combined efforts, Sohar International was able to contribute to the renovation of houses for 100 families. In an endeavour to continue to combat the impacts of the crisis, the bank also provided a 3-month deferment on personal and housing loans to reduce the financial burden on individuals.

National Talent

With an inherent zeal to provide opportunities to the local workforce and aid in their ongoing development, the bank committed to on-board 200 Omanis in collaboration with the Ministry of Labour. These college and university graduates have been enrolled into a 2-year training and development program in organisations from various sectors, thereby enhancing their employability. Providing the Sultanate's youth, a stepping-stone into the professional world, the program entails extensive experience, along with an attractive monthly pay.

Committed to support and empower the youth of Oman, Sohar International places strong belief in building a foundation and journey that creates ample opportunities for the youth, who will take on professional and senior roles in the future. Its inherent values of coaching, training, and helping individuals achieve their fullest potential is evident from its ongoing Tomohi Internship Programs, which has inducted its third batch of trainees in 2021. In line with Oman's Vision 2040 strategy that prioritizes empowering Omani youth across all sectors, the Tomohi program continues to give interns the necessary exposure in various departments and the opportunity to learn from on-the-job training, technical assignments, leadership programs, and coaching activities. Through such quality internship programs, the bank has been able to help the youth acquire the required skills and knowledge that are transferable to other employment settings.

Promoting Oman & Omanis

With a keen appreciation for the country's talent and determined to play a complementary role in supporting the government's initiatives to promote Oman as a key sports and tourism destination, Sohar International has been empowering skilled individuals while also sponsoring a number of activities and events that vitally contribute towards building the sports and tourist profile of the Sultanate.

In line with the bank's strategy to promote the spirit of 'winning', Sohar International extended its sponsorship to MENA Karting Championship Nations Cup 2021 and Oman Rally Sohar International. Promoting Omani talent within the sphere of racing, the bank also sponsored Omani racer Abdullah Al Rawahi as he continued to raise the Omani flag beyond borders achieving commendable rankings.

Highlighting Oman as a touristic hub for international sports, Sohar International recognised the importance of sponsoring Oman Cricket Academy to further promote cricket, popularize it amongst the youth, and extend more opportunities to local cricket clubs. The bank's association with such global sporting event reiterates its passion for the country and insight for its socio-economic development.

A woman of many accomplishments and an inspiration to the Omani female community, the bank also took it upon itself to become the exclusive sponsors of the Adventurer Nadhira Al Harthy - the first Omani woman to summit Mt Everest in 2019. The support provided her the opportunity to plant the Omani flag on one of the highest Himalayan peaks in the hilly country of Nepal.

As an institution that is invested in the country's progress, Sohar International has aligned itself to the diversification goals of the country where the tourism sector plays a major role. By strategically integrating stunning videos of key tourist locations for its marquee campaigns, and distributing these at the most popular Sohar Prize Scheme 2021 events, Sohar International has been able to highlight the beauty of Oman while bringing a winning experience to customers. Themed 'In Oman We Win', these events took viewers on a journey through distinctive touristic, cultural and historic locations, covering various governorates from Mussandam to Dhofar. While this uniquely themed and executed campaign has played a pivotal role in promoting tourism in Oman, the bank has also been a keen supporter of, and sponsored projects like Oman Infocus - "Not discovered Yet", a documentary series that seeks to uncover the Sultanate's diversified wildlife, and has put Oman on the global tourism map as a country that is environmentally conscious and prioritizes sustainability.

Thought Leadership

Spearheaded by the bank's Chairman, Viewpoints is a unique thought leadership initiative that has gained increasing popularity, for being a platform where inspirational global leaders from different industries and sectors share their experiences, knowledge, and ideas with a cross-section of Omani society. With a special focus on youth, the platform has been instrumental in inspiring and motivating collaboration, invoking curiosity in the individuals' minds, and instilling values of critical thinking amongst individuals, entrepreneurs, and other industry experts.

With four successful virtual sessions held in the past year, Viewpoints guest speakers included Doug Elmendorf, Dean and Don K. Price Professor of Public Policy at Harvard Kennedy, George de Lama, President of the Eisenhower Fellowships, Sir Ranulph Fiennes, a famous British explorer, UK Army and travel writer also named as 'the world's greatest living explorer' by Guinness Book of World Records, and Dr. Robbert Dijkgraaf, Director and Leon Levy Professor at Institute for Advanced Study in Princeton, New Jersey in the USA.

Reaping the Seeds of Winning

Progressive, agile, and innovative, Sohar International has exhibited the highest levels of corporate excellence and ethical business practices thus earning several local and international awards. The latest in its list of accolades was the Quality Achievement Award run by the European Society for Quality Research (ESQR) that recognised the bank's outstanding commitment, support, and efforts to endorse and improve achievements in quality management. Maintaining its pioneering position in the banking sector, Sohar International also bagged the 'Debt Deal of the Year - Oman' and 'Equity Deal of the Year - Oman' awards at the Corporate and Investment Banking Awards presented by Asian Banking and Finance (ABF) Magazine.

With visionary leaders heading industry-first initiatives, the bank's noble thought leadership platform, Viewpoints - Chairman Forum, received a coveted award at the OER Business Summit 2021. Meanwhile, in recognition of his exemplary business leadership and role in Sohar International's transformation journey, Mr. Ahmed al Musalmi, Chief Executive Officer of Sohar International, was also honoured with the coveted 'Business Leader of the Year Award', at the Alam Al-Iktisaad Awards 2021.

The bank's role as a reliable financial partner for various key projects in the Sultanate and its efforts in supporting SME development won it the Best Corporate Bank - Oman 2021 at the Business Outlook Media Awards. Further attesting to the bank's strong position in the market and its differential take on conducting consumer and community-led campaigns, Sohar International also won the highly coveted award titled 'Most Innovative Campaign of the Year' at the Oman Banking and Finance Awards, powered by OER and co-located with New Age Banking Summit 2021.

Furthermore, World Economic Magazine recognised Sohar International as the Most Innovative Bank Oman 2021 and also the Most Improved Bank in Profitability Management Oman 2021. These titles are a testament to the bank's leadership and strategic roadmap that places digital transformation and unparalleled business acumen at the heart of all its operations.

Striking the right balance between serving its customers and ensuring the holistic wellbeing of its employees, Sohar International was awarded the 'Best Employer Brand' Award as well as the Award for 'Managing Health at Work' by the World HRD Congress.

WAY FORWARD

Given the dynamically changing business landscape, Sohar International will remain cautiously optimistic about the year ahead. The higher oil prices have led to a large reduction in external vulnerabilities and liquidity pressures; we are now seeing signs of a stabilizing economy. The conservative regulatory framework has also been supporting the bank's governance practices. As such, Sohar International will remain agile and leverage the capabilities it has built in the past few years. While the bank will continue to implement prudent practices that have helped it overcome challenges, its take on innovation will remain unchanged. We will remain committed to conceptualizing new products and services in line with evolving market demands. With that being said, there are four broad initiatives that the bank will continue to pursue actively.

Customer experience is a key competitive differentiator and the growing success of the bank will be driven by the high levels of customer experience we provide. The future will be in providing an ecosystem of products and services that suit the customers' ever-changing world. The new-age customers are more demanding, and the best way to go about it is to embrace advanced technology in every step of banking and beyond. It is also therefore essential to develop a truly Omni channel customer experience providing a "one bank" experience across all the banks touchpoints. Sohar International continues to emerge strong by being consistent with a strategy that revolves around the customer.

High levels of customer service come from a highly motivated, knowledgeable, and skilled workforce. Through transparent channels of communication, ongoing training and development workshops, and harbouring a conducive work environment, we remain invested in the overall wellbeing of our employees. Sohar International is committed to creating a performance-based culture and sees this as a key pillar of its five-year plan. The organisation has promoted Omanis and is led and managed by a local workforce across all levels. It is committed to growing national talent and creating more employment opportunities for Omani youth both within the Bank and in the larger community that it serves. Moving forward, the Bank is set to create new benchmarks as a thought leader and an institution with a social conscience by promoting growth prospects for young Omanis and contributing to the society at large. Given these erstwhile gestures and initiatives by Sohar International, it is only natural for the bank to continue to demonstrate a strong investment in youth; and focus on becoming an 'employer of choice'.

Whilst investing in local task force to support local growth, the bank is also sharpening strategic focus, fortifying capabilities, and leveraging market credibility, to go beyond borders carving our niche regionally as we open our first presence in the Kingdom of Saudi Arabia. At the same time, locally, we will continue to explore new opportunities such as the proposed merger talks with Bank Nizwa achieving inorganic growth and uphold the same level of banking excellence we have always been revered for.

In line with Oman Vision 2040, the bank has remained invested in its digitalization efforts and will continue to do so. While digitalization has been critical to automating procedures, optimizing resources, and lowering costs, it has also helped us better understand our customers and develop new propositions. While we continue to expand our digital space, we are also focusing on new security frameworks for combating fraud and enhancing cyber security.

As we move towards a digital services economy, the way banks operate will have a significant impact on other industries, economies, and societies. At Sohar International, we will create winning journeys by leveraging industry knowledge, enhancing product portfolio through continuous research and analysis of customer demands and boosting Fintech partnerships. This will help us to integrate critical growth elements into our innovation ecosystem. By understanding drivers that shape innovation, we will continue to design new business models for growth thereby enhancing profitability, sustainability and contributing to the national goals.

We are optimistic that year 2022 will be a game-changing year for the Bank. Moving forward, large-scale digital developments are planned, including infrastructural and service advancements that are expected to differentiate the Bank, benchmarking itself against international players in sectors beyond the Banking sector such as telecom, hospitality and airlines. Customers will soon have the ability to control their finances and Banking processes like never before. With regard to our diverse customer portfolio, it is essential to understand the opportunities that the bank can provide to each segment. There has been an increase in the number of youth entrepreneurs and skilled workforce in the country. Characterised by agility, open culture, and high speeds of innovation, Sohar International will focus on devising fresh business models to align itself to the budding needs of the new generation of investors while leveraging its digital tools to boost engagement.

In line with its strategic vision and international standards, the Bank is working towards introducing new technology-driven solutions, products, and services. We have a clear intent to play a pivotal role in furthering the goals of Vision 2040, by playing the role of financier, and advisor for projects of national importance. With deepened transformation and innovation, we are positive towards driving value creation, bringing more profitability and benefits to our shareholders.

Moreover, Sohar International will step up efforts to support any new directives and mandates of the government to integrate Environmental, Social and Governance (ESG) practices into all aspects of our business operation and management, and continue to improve the management structure of social responsibility. Our people-oriented ideas and programs will continue to ride on the prime importance of talent cultivation while ensuring the growth of both the Bank and the employees.

Looking forward to the future, Sohar International will take on the mission of creating more vision, more value and more velocity for the nation, customers, shareholders, employees, environment and society.

BUSINESS CONTINUITY MANAGEMENT STATEMENT



Sohar International has established a Business Continuity Management (BCM) Program designed to minimize service disruption and the potential impact on the bank, our customers and our staff. This includes a BCM Policy and BCM Framework that are approved by our Board together with written Business Continuity and Disaster Recovery plans (DRPs) and procedures. Although the specific details of our BCM arrangements are confidential for security reasons, Sohar International /Islamic maintains Business Continuity Plans (BCPs) that address risk scenarios and events of varying scope including, but not exclusively, loss of services or infrastructure, denial of access, cyber-attack, pandemics, and regional crises.

Sohar International BCPs are focused on maintaining critical processes, including treasury, capital & liquidity, and payment services, providing customers with uninterrupted access to their funds, and maintaining effective communications with our customers, staff, and other stakeholders.

BCM testing of Sohar International for 2021 was successfully completed for all critical applications within defined scope, nevertheless, the bank will ensure a continual improvement to whole bank operations. Our BCPs and DRPs are reviewed and tested at least annually. Any areas for improvement that are identified are tracked to ensure appropriate resolution and our plans and infrastructure updated as appropriate.

Sohar International and in line with Sohar International principles for the containment of Covid-19 pandemic, gives prime importance to the health and safety of all its staff & customers. That was achieved by ensuring a safe banking experience is provided to the customers, whereby all the banks' digital capabilities were highlighted in campaigns to motivate the customers to extraordinary use of alternate channels for their banking requirements.

Throughout 2021 and during the pandemic, it was witnessed that Sohar International Business Continuity moved into its full gear. The regular testing of the program proved to be very effective. Similar to all other activities in the bank, the Business Continuity Program continues to be improved in line with the best international practices, which include the review of Business Continuity and Disaster Recovery plans at regular intervals. Such regular reviews enable the bank to address areas on improvements by putting into motion the appropriate plans, necessary infrastructure, and resources requirements to ensure a high-level of maturity while remediating the consequences of the Covid-19 pandemic in line with BCM guidelines.

It is worth to mention also that the emergency response plan to tackle the pandemic was followed at all touch points of the organisation. The bank has been fully prepared to function remotely increasing its capabilities to provide seamless banking for its valuable customers with high-level of quality and safety measures. In fact, our BCP site is operating successfully since the start of the Covid-19 pandemic.



FINANCIAL STATEMENTS

SOHAR INTERNATIONAL

Aspiring growth towards
higher victories

Independent auditor's report to the shareholders of Sohar International Bank SAOG

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Report on the audit of the financial statements

Opinion

We have audited the financial statements of **Sohar International Bank SAOG** ("the Bank"), which comprise the statement of financial position as at 31 December 2021, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Bank as at 31 December 2021, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards ("IFRSs").

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Bank in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the Bank's financial statements in Sultanate of Oman, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matters	How our audit addressed the key audit matters
Expected credit losses on loans and advances to customers As described in Notes 8 to the financial statements, the bank had loans and advances of RO 2,612 million as at 31 December 2021 (31 December 2020: RO 2,503 million) representing 63% (31 December 2020: 69%) of total assets. The determination of the Banks's expected credit losses for loans and advances to customers and off-balance sheet exposures measured at amortised cost is a material and complex estimate requiring significant management judgement in the	We established an audit approach which includes both testing the design and operating effectiveness of internal controls over the determination of expected credit losses and risk-based substantive audit procedures. Our procedures over internal controls focused on the governance over the process controls around the expected credit loss (ECL) methodology, completeness and accuracy of loan data used in the expected loss models, management review and approval of outcomes, the assignment of borrower's risk classification, consistency of application of accounting policies and the process for calculating individual allowances.

Independent auditor's report to the shareholders of Sohar International Bank SAOG

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Key audit matters	How our audit addressed the key audit matters
evaluation of the credit quality and the estimation of inherent losses in the portfolio. The financial statement risk arises from several aspects requiring substantial judgement of management, such as the estimation of probabilities of default and loss given defaults for various stages, the determination of significant increase in credit risk (SICR) and credit-impairment status (default), the use of different modelling techniques and consideration of manual adjustments. In calculating expected credit losses, the bank considered credit quality indicators for each loan and portfolio, stratifies loans and advances by risk grade and estimates losses for each loan based upon their nature and risk profile. Auditing these complex judgements and assumptions involved especially challenging auditor judgement due to the nature and extent of audit evidence and effort required to address these matters. The Bank has applied both post model adjustments and management judgement overlays to address the impacts of COVID-19. For further information on this key audit matter refer to Notes 4.3.f, 5.1, 8, 34 and 38.1.a to the financial statements.	The primary substantive procedures which we performed to address this key audit matter included, but were not limited to, the following: - For a risk-based sample of individual loans, we performed a detailed credit review, assessed the appropriateness of information for evaluating the credit-worthiness and staging classification of individual borrowers and challenged the assumptions underlying the expected credit loss allowance calculations, such as estimated future cash flows, collateral valuations and estimates of recovery as well as considered the consistency of the Bank's application of its impairment policy. Further we evaluated controls over approval, accuracy and completeness of impairment allowances and governance controls, including assessing key management committee meetings that form part of the approval process for loan impairment allowances; - For loans not tested individually, we tested the mathematical accuracy and computation of the expected credit losses by re-performing or independently calculating elements of the expected credit losses based on relevant source documents with the involvement of our modelling specialists. We challenged key assumptions, inspected the calculation methodology and traced a sample back to source data. - For the stage 3 portfolio and for a sample of corporate exposures we assessed whether relevant impairment events had been identified in a timely manner and the appropriateness of the provisioning assumptions such as estimated future cash flows, collateral valuations and estimates of recovery. - We have evaluated the approach employed by the Bank to measure the impact of Covid-19 on ECL which included assessing the design and implementation of controls over the related governance process that reviews and approves all stage migrations, management overlays to ECL estimates, and macro-economic scenarios and weightings. - We evaluated other post model adjustments and management overlays in order to assess the reasonableness of these adjustments. We further assessed the reasonableness of forward looking information incorporated into the impairment calculations by involving our specialists to challenge the multiple economic scenarios chosen and weighting applied to capture non-linear losses;

Independent auditor's report to the shareholders of Sohar International Bank SAOG

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Key audit matters	How our audit addressed the key audit matters
Risk of inappropriate access or changes to information technology systems The Bank is vitally dependent on its complex information technology environment for the reliability and continuity of its operations and financial reporting process due to the extensive volume and variety of transactions which are processed daily across the Bank's businesses; this includes cyber risks. Inappropriate granting of or ineffective monitoring of access rights to IT systems therefore presents a risk to the accuracy of financial accounting and reporting. Appropriate IT controls are required to protect the Bank's IT infrastructure, data and applications, ensure transactions are processed correctly and limit the potential for fraud and error as a result of change to an application or underlying data. Unauthorised or extensive access rights cause a risk of intended or unintended manipulation of data that could have a material effect on the completeness and accuracy of financial statements. Therefore, we considered this area as key audit matter. Further, the prevailing COVID-19 pandemic has caused the required IT applications to be made accessible to employees on a remote basis.	Our audit approach depends to a large extent on the effectiveness of automated and IT-dependent manual controls and therefore we updated our understanding of the Bank's IT-related control environment and identified IT applications, databases and operating systems that are relevant for the financial reporting process and to our audit. For relevant IT-dependent controls within the financial reporting process we identified, with the involvement of our internal IT specialists, supporting general IT controls and evaluated their design, implementation and operating effectiveness. We updated our understanding of applications relevant for financial reporting and tested key controls particularly in the area of access protection, integrity of system interfaces and linkage of such controls to the reliability, completeness and accuracy of financial reporting including computer-generated reports used in financial reporting. Our audit procedures covered, but were not limited to, the following areas relevant for financial reporting: - IT general controls relevant to automated controls and computer-generated information covering access security, program changes, data centre and network operations; - Controls regarding initial access granted to IT systems for new employees or employees changing roles, whether that access was subject to appropriate screening and it was approved by authorised persons; - Controls regarding removal of employee or former employee access rights within an appropriate period of time after having changed roles or leaving the Bank; - Controls regarding the appropriateness of system access rights for privileged or administrative authorisations (superuser) being subject to a restrictive authorisation assignment procedure and regular review thereof; - Password protection, security settings regarding modification of applications, databases and operating systems, the segregation of department and IT users and segregation of employees responsible for program development and those responsible for system operations; IT infrastructure i.e. operating systems and databases supporting the in-scope systems and related data security controls in relation to the large number of users working on the entity's systems remotely as a

Independent auditor's report to the shareholders of Sohar International Bank SAOG

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Key audit matters	How our audit addressed the key audit matters
	- consequence of the impact of the COVID-19 pandemic; - Program developers approval rights in the modification process and their capability to carry out any modifications in the productive versions of applications, databases and operating systems. We analysed the segregation of duties on critical trading and payment systems in order to assess whether the segregation between front and back office was effective; - Key automated controls on significant IT systems relevant to business processes; Computer generated information used in financial reports from relevant applications; and we performed journal entry testing as stipulated by International Standards on Auditing.

Other information

Board of Directors (the Board) is responsible for the other information. The other information comprises the Chairman's report, the Corporate Governance report, Chief Executive Officer's message, Management discussion and analysis, Regulatory disclosure under Basel II – Basel III framework and Annual report section of Sohar Islamic (comprising the Shari'ah Supervisory Board report including list of fatwas, Financial Statements and Regulatory disclosure under Basel II – Basel III framework of Sohar Islamic), but does not include the financial statements and our auditors' report thereon, which we obtained prior to the date of this auditor's report and the Bank's annual report, which is expected to be made available to us after that date.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs, and relevant disclosure requirements of the Commercial Companies Law of 2019, and the disclosure requirements issued by Capital Market Authority of the Sultanate of Oman and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Bank's financial reporting process.

Independent auditor's report to the shareholders of Sohar International Bank SAOG

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Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management
- Conclude on the appropriateness of management's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2021

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
381,784	384,964	Interest income	148,211	146,987
(194,847)	(182,974)	Interest expense	(70,445)	(75,016)
186,937	201,990	Net interest income	77,766	71,971
14,803	20,797	Net income from Islamic financing and investing activities	8,007	5,699
37,182	64,652	Other operating income	24,891	14,315
238,922	287,439	TOTAL OPERATING INCOME	110,664	91,985
(70,826)	(77,603)	Staff costs	(29,877)	(27,268)
(38,743)	(44,888)	Other operating expenses	(17,282)	(14,916)
(7,717)	(8,057)	Depreciation	(3,102)	(2,971)
(117,286)	(130,548)	TOTAL OPERATING EXPENSES	(50,261)	(45,155)
121,636	156,891	NET OPERATING INCOME BEFORE IMPAIRMENT PROVISIONS	60,403	46,830
(60,088)	(70,364)	Loan impairment charges and other credit risk provisions (net)	(27,090)	(23,134)
61,548	86,527	PROFIT BEFORE TAX	33,313	23,696
(9,566)	(12,922)	Income tax expense	(4,975)	(3,683)
51,982	73,605	PROFIT FOR THE YEAR	28,338	20,013
		OTHER COMPREHENSIVE INCOME / (EXPENSE)		
		Items that will not be reclassified to profit and loss		
(410)	(714)	Revaluation loss on equity instruments held at fair value through other comprehensive income (FVOCI)	(275)	(158)
(4,990)	2,672	Items to be reclassified subsequently to profit and loss	1,029	(1,921)
		Net changes in fair value on debt instruments classified FVOCI		
(5,400)	1,958	OTHER COMPREHENSIVE INCOME FOR THE YEAR, NET OF INCOME TAX	754	(2,079)
46,582	75,563	TOTAL COMPREHENSIVE INCOME FOR THE YEAR, NET OF INCOME TAX	29,092	17,934
		PROFIT FOR THE YEAR		
50,720	62,927	Conventional banking	24,227	19,527
1,262	10,678	Islamic banking	4,111	486
51,982	73,605		28,338	20,013
Cents	Cents		Baisa	Baisa
0.51	1.31	Basic earnings per share for the year	5.03	1.96

The accompanying notes 1 to 41 form an integral part of these financial statements

STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2021 (RO'000)

	Share capital	Share premium	Legal reserve	General reserve	Fair value reserve	Subordinated loans reserve	Impairment reserve	Retained earnings	Total Shareholders' Equity	Perpetual Tier 1 Capital Securities	Total Equity
Balance as at 1 January 2021	245,355	18,038	30,520	988	(3,437)	21,000	5,464	13,774	331,702	200,000	531,702
Profit for the year	-	-	-	-	-	-	-	28,338	28,338	-	28,338
Other comprehensive income for the year	-	-	-	-	754	-	-	-	754	-	754
Total comprehensive income for the year	-	-	-	-	754	-	-	28,338	29,092	-	29,092
Issue of rights shares	50,000	-	-	-	-	-	-	-	50,000	-	50,000
Issue expenses – rights shares	-	-	1,034	-	-	-	-	-	1,034	-	1,034
Reclassification of net change in fair value of equity instruments upon de-recognition	-	-	-	-	502	-	-	(502)	-	-	-
Additional Tier 1 coupon paid during the period	-	-	-	-	-	-	-	(15,250)	(15,250)	-	(15,250)
Transfers (Note 16 & 19)	-	-	2,835	-	-	7,000	-	(9,835)	-	-	-
Balance as at 31 December 2021	295,355	18,038	34,389	988	(2,181)	28,000	5,464	16,525	396,578	200,000	596,578

STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2021 (R0'000)

	Share capital	Share premium	Legal reserve	General reserve	Fair value reserve	Subordinated loans reserve	Impairment reserve	Retained earnings	Shareholders' Equity	Perpetual Tier 1 Capital Securities	Total Equity
Balance as at 1 January 2020	236,360	19,942	28,519	988	(2,213)	14,000	-	38,513	336,109	200,000	536,109
Profit for the year	-	-	-	-	-	-	-	20,013	20,013	-	20,013
Other comprehensive loss for the year	-	-	-	-	(2,079)	-	-	-	(2,079)	-	(2,079)
Total comprehensive income for the year	-	-	-	-	(2,079)	-	-	20,013	17,934	-	17,934
Share premium transferred to share capital	1,904	(1,904)	-	-	-	-	-	-	-	-	-
Dividends paid for 2019	-	-	-	-	-	-	-	(7,091)	(7,091)	-	(7,091)
Issue of bonus shares for 2019	7,091	-	-	-	-	-	-	(7,091)	-	-	-
Additional Tier1 coupon paid during the year	-	-	-	-	-	-	-	(15,250)	(15,250)	-	(15,250)
Reclassification of net change in fair value of equity instruments upon de-recognition	-	-	-	-	855	-	-	(855)	-	-	-
Provision for credit Impairment (BM1149)	-	-	-	-	-	-	5,464	(5,464)	-	-	-
Transfers (Note 16 & 19)	-	-	2,001	-	-	7,000	-	(9,001)	-	-	-
Balance as at 31 December 2020	245,355	18,038	30,520	988	(3,437)	21,000	5,464	13,774	331,702	200,000	531,702

The accompanying notes 1 to 41 form an integral part of these financial statements

STATEMENT OF CHANGES IN EQUITY (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2021 (USD'000)

	Share capital	Share premium	Legal reserve	General reserve	Fair value reserve	Subordinated loans reserve	Impairment reserve	Retained earnings	Shareholders' Equity	Perpetual Tier 1 Capital Securities	Total Equity
Balance as at 1 January 2021	637,286	46,852	79,272	2,566	(8,927)	54,546	14,192	35,777	861,564	519,481	1,381,045
Profit for the year	-	-	-	-	-	-	-	73,605	73,605	-	73,605
Other comprehensive gain for the year	-	-	-	-	1,958	-	-	-	1,958	-	1,958
Total comprehensive income for the year	-	-	-	-	1,958	-	-	73,605	75,563	-	75,563
Issue of rights shares	129,870	-	-	-	-	-	-	-	129,870	-	129,870
Issue expenses – rights shares	-	-	2,686	-	-	-	-	-	2,686	-	2,686
Reclassification of net change in fair value of equity instruments upon de-recognition	-	-	-	-	1,304	-	-	(1,304)	-	-	-
Additional Tier 1 coupon paid during the year	-	-	-	-	-	-	-	(39,611)	(39,611)	-	(39,611)
Transfers (Note 16 & 19)	-	-	7,364	-	-	18,181	-	(25,545)	-	-	-
Balance as at 31 December 2021	767,156	46,852	89,322	2,566	(5,665)	72,727	14,192	42,922	1,030,072	519,481	1,549,553

The accompanying notes 1 to 41 form an integral part of these financial statements

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The accompanying notes 1 to 41 form an integral part of these financial statements

The accompanying notes 1 to 41 form an integral part of these financial statements

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NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021

1. LEGAL STATUS AND PRINCIPAL ACTIVITIES

Sohar International Bank SAOG ("the Bank") was established in the Sultanate of Oman on 4 March 2007 as a public joint stock company and is primarily engaged in commercial, investment and Islamic banking through a network of thirty commercial banking branches and eight Islamic banking branches within the Sultanate of Oman. The Bank operates under commercial, investment and an Islamic banking licence issued by the Central Bank of Oman (CBO) and is covered by its deposit insurance scheme. The Bank started commercial operations from 9 April 2007. The registered address of the Bank is PO Box 44, Hai Al Mina, Postal Code 114, Muscat, Sultanate of Oman. The Bank has its primary listing on the Muscat Securities Market.

With effect from 30 April 2013, the Bank obtained a license to operate an Islamic Banking Window (IBW) also referred to as Sohar Islamic. Sohar Islamic offers a full range of Islamic banking services and products. The principal activities of the window include accepting Shari'a compliant customer deposits, providing Shari'a compliant financing based on Murabaha, Mudaraba, Musharaka, Ijarah, Istisna'a, Salam and providing commercial banking services, investment and other activities permitted under Islamic Banking Regulatory Framework (IBRF).

The Bank employed 888 employees as of 31 December 2021 (31 December 2020: 873).

2 BASIS OF PREPARATION

2.1 Statement of compliance

These financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) as issued by International Accounting Standards Board (IASB) the relevant requirements of the Commercial Companies Law and disclosure requirements of the Capital Market Authority of the Sultanate of Oman and the applicable regulations of the CBO.

In accordance with the Royal Decree 69/2012 regarding the amendment in the Banking Law 2000, CBO has issued circular no. IB - 1 under which a complete IBRF has been promulgated. The framework identifies the permissible form of trade-related modes of financing including purchase of goods by banks from their customers and immediate resale to them at appropriate profit in price on deferred payment basis. The purchases and sales arising under these arrangements are not reflected in these financial statements as such, but are restricted to the amount of facility actually utilised and the appropriate portion of profit thereon.

The Bank also prepares a separate set of financial statements for its Islamic Banking Window in accordance with the requirements of Section 1.2 of Title 3 of the IBRF issued by the CBO. The separate set of financial statements of its IBW are prepared in accordance with Financial Accounting Standards issued by Accounting and Auditing Organisation for Islamic Financial Institutions (AAOIFI), the Shari'ah Rules and Principles as determined by the Shari'ah Supervisory Board of the Islamic Window (SSB) and other applicable requirements of CBO. The IBWs financial statements are then converted into IFRS compliant financial statements and consolidated in these financial statements. All inter branch balances and transactions have been eliminated.

2.2 Basis of measurement

These financial statements have been prepared under the historical cost convention except for the following:

- Derivative financial instruments are measured at fair value;
- Financial instruments classified as fair value through profit or loss (FVTPL) are measured at fair value;
- Financial assets classified at fair value through other comprehensive income (FVOCI) are measured at fair value;

The statement of financial position is presented in descending order of liquidity as this presentation is more appropriate to the Bank's operations.

2.3 Functional and presentation currency

These financial statements are presented in Rial Omani, which is the Bank's functional currency and also in US Dollars. The US Dollar amounts presented in these financial statements have been translated from the Rial Omani amounts at an exchange rate of US Dollar 1 = RO 0.385 and RO 1 = 1000 baisa. All financial information presented in Rial Omani and US Dollars has been rounded to the nearest thousand unless otherwise indicated.

2.4 Use of estimates and judgments

In preparation of the Banks' financial statements, management requires to make certain estimates and assumptions that affect the reported amount of financial assets and liabilities and the resultant allowances for impairment and fair values. In particular, considerable judgment by management is required in the estimation of the amount and timing of future cash flows when determining the level of allowances required for impaired loans and receivables as well as allowances for impairment provision for unquoted investment securities. Estimates and judgments are continually evaluated and are based on historical experience and other factors including expectations of future events that are believed to be reasonable under the circumstances. Actual results may differ from these estimates.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

2. BASIS OF PREPARATION (CONTINUED)

2.4 Use of estimates and judgments (continued)

The estimates and underlying assumptions are reviewed on a regular basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods. Estimates considered by the Bank to have a significant risk of material adjustment in subsequent periods are discussed in note 5.

3. ADOPTION OF NEW AND REVISED INTERNATIONAL FINANCIAL REPORTING STANDARDS (IFRS)

3.1 New and amended IFRS applied with no material effect on the financial statements operations

The following new and revised IFRSs, which became effective for annual periods beginning on or after 1 January 2021, have been adopted in these financial statements.

New and revised IFRS	Effective for annual periods beginning on or after
IFRS 10 and IAS 28 (amendments) Sale or Contribution of Assets between an Investor and its Associate or Joint Venture	1 January 2021
IFRS 9 Financial Instruments - Amendments regarding replacement issues in the context of the IBOR reform	1 January 2021
IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors - Amendments regarding the definition of accounting estimates	1 January 2021

The application of above revised standards has not had impact on the amount reported for the current and prior periods but may affect the accounting for future transactions or arrangements.

3.2 New and amended IFRSs in issue but not yet effective and not early adopted

The Bank has not yet applied the following new and revised IFRSs that have been issued but are not yet effective:

New and revised IFRS	Effective for annual periods beginning on or after
IFRS 16 Leases - Amendment to extend the exemption from assessing whether a Covid-19-related rent concession is a lease modification	1 April 2021
Amendment to IFRS 3 Reference to the Conceptual Framework	1 January 2022
Amendments to IAS 16 Property, Plant and Equipment - Proceeds before Intended Use	1 January 2022
Amendments to IAS 37 Onerous Contracts - Cost of Fulfilling a Contract	1 January 2022
Annual Improvements to IFRS Standards 2018-2020 Cycle Amendments to:	
• IFRS 9 Financial Instruments,	1 January 2022
• IAS 41 Agriculture, and	1 January 2022
• IFRS 3 Business combination	1 January 2022
• IFRS 16 Leases	No effective date is stated
IFRS 3 Business Combinations - Amendments updating a reference to the Conceptual Framework	1 January 2022
Amendments to IAS 1 regarding:	
• Classification of Liabilities as Current or Non-current, and	1 January 2023
• Amendments regarding the disclosure of accounting policies	1 January 2023
Amendments regarding deferred tax on leases and decommissioning obligations	1 January 2023
IFRS 17 Insurance Contracts	1 January 2023
Amendments to IFRS 10 Consolidated Financial Statements and IAS 28 Investments in Associates and Joint Ventures (2011) relating to the treatment of the sale or contribution of assets from and investor to its associate or joint venture.	Effective date deferred indefinitely. Adoption is still permitted.

The Bank anticipates that these new standards, interpretations and amendments will be adopted in the Banks's financial statements as and when they are applicable and adoption of these new standards, interpretations and amendments as highlighted in previous paragraphs, may have no material impact on the financial statements of the Bank in the period of initial application.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

3. ADOPTION OF NEW AND REVISED INTERNATIONAL FINANCIAL REPORTING STANDARDS (IFRS) (CONTINUED)

3.3 Interest Rate Benchmark Reforms

IASB issued amendments to IFRS 9, IAS 39 and IFRS 7 in September 2019 through Interest Rate Benchmark Reforms. These amendments modify specific hedge accounting requirements to allow hedge accounting to continue for affected hedges during the period of uncertainty before the hedged items or hedging instruments affected by the current interest rate benchmarks are amended as a result of the on-going interest rate benchmark reforms. The amendments are relevant to the Bank, provided that the Bank hedges and applies hedge accounting to its benchmark interest rate exposure. The application of the amendments has no significant impact on the Bank's accounting as currently the Bank has limited exposure to hedge accounting relationships.

The Bank has modest volumes of derivative and non-derivative financial instruments, mostly within its Banking Book, that are not included in hedge accounting relationships. The fair value of these financial assets and liabilities reflects the uncertainties arising from the interest rate benchmark reforms.

The Bank is closely monitoring the market and the output from the various industry working groups managing the transition to new benchmark interest rates. This includes announcements made by LIBOR regulators (including the Financial Conduct Authority (FCA) and the US Commodity Futures Trading Commission) regarding the transition away from LIBOR (including GBP LIBOR, USD LIBOR and JPY LIBOR) to Sterling Overnight Index Average Rate (SONIA), the Secured Overnight Financing Rate (SOFR), and the Tokyo Overnight Average Rate (TONA) respectively and announcements on the transition from EONIA to Euro Short Term Rate (€STR). The FCA has made clear that, at the end of 2021, it will no longer seek to persuade, or compel, banks to submit to LIBOR. Furthermore, EONIA will cease to be published from 3 January 2022.

The Bank established an IBOR transition management team comprising senior executives from Risk management, Finance, Treasury, Legal and IT. The transition programme is under the governance of the ALCO Committee, chaired by the Chief Executive Officer who reports to the Board. The Bank's transition arrangements to alternative benchmark rates have been established. The Bank's current IBOR linked contracts do not generally include adequate and robust fall back provisions for a cessation of the referenced benchmark interest rate. However, the Bank is in process of updating its legal documentation as appropriate and in line with industry best practice.

For the Bank's derivatives, the International Swaps and Derivatives Association's (ISDA) fall back clauses were made available at the end of 2019 and the Bank has commenced discussion with its correspondent banks with the aim to implement this language into its ISDA agreements for derivatives in both the banking and trading book.

In respect of floating rate customer advances and deposits, the Bank's response is focused on treating customers fairly and considers several aspects of transition including the reduction of clients' exposures to legacy IBOR contracts by amending or replacing existing contracts to include robust fall back provisions or replace IBOR with relevant alternative benchmark interest rates. A critical aspect of this response is also the development of new products linked to relevant alternative benchmark interest rates. The Bank will develop a detailed communication plan with a focus on communicating with customers in a way that is clear, fair and not misleading.

Implementation of this plan commenced in 2021, and will include explanation of what will happen to contracts that mature beyond the end of 2021 and the effect of IBOR replacement on the customer. The Bank is engaging with the customer to ensure availability of suitable options in this regard. Initial communications will focus on raising awareness and engagement will increase with detailed discussions with all clients for the required changes in the contracts, if any. Our response also includes a rigorous training programme to ensure that relevant client-facing staff have adequate knowledge and competence to understand the implications of IBORs ending and can respond to customers appropriately.

The Bank will continue to apply the amendments to IFRS 9/IAS 39 until the uncertainty arising from the interest rate benchmark reforms with respect to the timing and the amount of the underlying cash flows that the Bank is exposed ends. The Bank has assumed that this uncertainty will not end until the Bank's contracts that reference IBORs are amended to specify the date the interest rate benchmark will be replaced and the cash flows of the alternative benchmark rate and the relevant spread adjustment. This will, in part, be dependent on the introduction of fall back clauses which have yet to be added to the Bank's contracts and the negotiation with lenders and bondholders.

3.4 COVID-19 and Expected Credit Loss (ECL)

ECL provisions and Management Overlays during the pandemic:

The Bank continues to assess borrowers for other indications of default, taking into consideration the underlying cause of any financial difficulty and whether it is likely to be temporary as a result of Covid-19 or of a longer term nature. The Bank continues to assess significant corporate exposures to adequately safeguard against any adverse movements due to Covid-19 in addition to industry specific account level adjustments for retail exposures with regards to specific industry sectors whose employees are expected to be most impacted.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

3. ADOPTION OF NEW AND REVISED INTERNATIONAL FINANCIAL REPORTING STANDARDS (IFRS) (CONTINUED)

3.4 COVID-19 and Expected Credit Loss (ECL) (Continued)

The Bank has included within its loan impairment charges and other credit risk provisions (net) an element of management overlay in response to expected credit deterioration due to the economic impact of Covid-19. The impact of such an uncertain economic environment is judgmental and the Bank will continue to assess its ECL taking into account initiatives by the Central Bank of Oman as well as guidance issued by the International Accounting Standards Board (IASB).

Accounting for modification loss:

For both corporate and retail customers, the Bank has added the simple interest accrued during the deferral period (DP) to the principal outstanding and either extended the original maturity period of the loan or increased the instalments at the end of the DP. The Bank has determined that the modifications due to deferment of instalment and waiver of profit allowed in line with CBO relaxation measures do not result in de-recognition of financial assets. Further, the impact of day one modification loss was not considered material for the period.

Relaxation from the IFRS 9 Significant increase in Credit Risk (SICR) criteria:

CBO Circular BSD/CB&FLC/2021/002 dated March 18, 2021 temporarily suspended the requirement of IFRS 9 Significant increase in Credit Risk (SICR) and two-track approach for loan loss provisioning for FY 2021. This relaxation mitigates the effects of stage downgrades of customer accounts most impacted by qualitative and specific quantitative factors relating to credit deterioration.

In addition, CBO circular BSD/CB & FLC/2022/001 further extended this suspension until financial year ending 31 December 2022.

4. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently by the Bank to all periods presented in these financial statements.

4.1 Foreign currency transactions

Transactions in foreign currencies are translated into functional currency at the spot exchange rate at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated into the functional currency at the spot exchange rate at that date. The foreign currency gains or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the period, adjusted for the effective interest and payments during the period, and the amortised cost in the foreign currency translated at the spot exchange rate at the end of the period. The non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated into the functional currency at the spot exchange rate at the date the fair value was determined. Foreign currency differences arising on retranslation are recognised in the statement of comprehensive income, except for non-monetary financial assets, such as equities classified as fair value through other comprehensive income, which are included in other comprehensive income. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction.

4.2 Revenue and expense recognition

4.2a Interest income and expense

Interest income and expense is recorded using the effective interest rate (EIR) method for all financial instruments measured at amortised cost and financial instruments designated at FVTPL. Interest income on interest bearing financial assets measured at FVOCI are recorded by using the EIR method. The calculation takes into account all contractual terms of the financial instrument and includes any fees or incremental costs that are directly attributable to the instrument and are an integral part of the EIR, but not future credit losses.

The EIR (and therefore, the amortised cost of the asset) is calculated by taking into account any discount or premium on acquisition, fees and costs that are an integral part of the EIR. The Bank recognises interest income using a rate of return that represents the best estimate of a constant rate of return over the expected life of the loan. Hence, it recognises the effect of potentially different interest rates charged at various stages, and other characteristics of the product life cycle (including prepayments, penalty interest and charges).

Interest income which is doubtful of recovery is included in impairment allowance and excluded from income until it is received in cash.

When a financial asset becomes credit-impaired (as set out in Note 4.3.f) and is, therefore, regarded as 'Stage 3', the Bank calculates interest income by applying the effective interest rate to the net amortised cost of the financial asset.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

4. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

4.2 Revenue and expense recognition (continued)

4.2b Fair value gains and losses

Fair value changes on derivatives held for risk management purposes and FVOCI are presented in other comprehensive income. Net income from financial assets measured at FVTPL, including all realised and unrealised fair value changes, interest, dividend and foreign exchange differences are presented in the income statement for the year.

4.2c Dividend income

Dividend income is recognised when the right to receive dividend is established.

4.2d Fees and commission

The Bank earns fee and commission income from a diverse range of services it provides to its customers. Fee income, which is not an integral part of the effective interest rate of a financial instrument, is accounted for based on the basis of performance obligation satisfaction criteria. Fee income is measured by the Bank based on the consideration specified in a contract with a customer and excludes amounts collected on behalf of third parties. The Bank recognises revenue when it transfers control over a product or service to a customer.

Fees and commission income and expenses that are integral to the effective interest rate on a financial asset or liability are included in the measurement of the effective interest rate.

Other fees and commission income including account or loan servicing fees, advisory fee, investment management fees and sales commission are recognised as the related services are performed. Loan syndication fees and placement fees are recognised when the loan has been arranged where either the Bank retained any package of the Loan or retained the package at equivalent risk. Loan commitment fees for loans that are likely to be drawn down and other credit related fees are deferred (together with any incremental costs) and recognised as an adjustment to the EIR on the loan. When it is unlikely that a loan will be drawn down, the loan commitment fees are recognised over the commitment period on a straight line basis.

4.2e Provisions

A provision is recognised if, as a result of a past event, the Bank has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are equivalent to the amortised value of the future liabilities which is determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risk specific to the liability.

4.2f Offsetting of income and expense

Income and expenses are presented on a net basis only when permitted by the IFRS, or for gains and losses arising from a group of similar transactions such as those within the Bank's trading activity.

4.2g Temporary significant influence

The Bank is exempt from applying the equity method when significant influence over an associate is intended to be temporary. The temporary significant influence infers that there is an evidence that an associate is acquired with the intention to reduce its stake that it no more has a significant influence on the investee company by soliciting investors to inject fresh capital to the investee company. The investment is classified as available for sale in the financial statements.

4.3 Financial instruments

4.3a Date of recognition and initial measurement

The Bank initially recognises loans, advances and financings, deposits, debt securities issued and subordinated liabilities on the date on which they originated. All other financial instruments (including regular-way purchases and sales of financial assets) are recognised on the trade date, which is the date on which the Bank becomes a party to the contractual provisions of the instrument.

A financial asset or financial liability is measured initially at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. When the fair value of financial instruments at initial recognition differs from the transaction price, the Bank accounts for the Day 1 profit or loss, as described below.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

4. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

4.3 Financial instruments (continued)

4.3b Day 1 profit or loss

When the transaction price of the instrument differs from the fair value at origination and the fair value is based on a valuation technique using only inputs observable in market transactions, the Bank recognises the difference between the transaction price and fair value in net trading income. In those cases, where fair value is based on models for which some of the inputs are not observable, the difference between the transaction price and the fair value is deferred and is only recognised in profit or loss when the inputs become observable, or when the instrument is derecognised.

4.3c Measurement categories of financial assets and liabilities

The Bank classifies all of its financial assets based on the business model for managing the assets and the asset's contractual terms, measured at either:

- Amortised cost, as explained in note 4.3.c(i);
- FVOCI, as explained in notes 4.3.c (iv) and 4.3.c(v); or
- FVTPL, as explained in note 4.3.c(vii)

Financial liabilities, other than loan commitments and financial guarantees, are measured at amortised cost or at FVTPL when they are held for trading and derivative instruments at the fair value designation.

The Bank classifies and measures its derivative and trading portfolio at FVTPL. The Bank may designate financial instruments at FVTPL, if so doing eliminates or significantly reduces measurement or recognition inconsistencies.

(i) Due from banks, loans, advances and financings and financial investments at amortised cost

The Bank only measures due from banks, Loans, advances and financings and other financial investments at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows;
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

The details of these conditions are outlined below.

On initial recognition of an equity investment that is not held for trading, the Bank may irrevocably elect to present subsequent changes in fair value in OCI. This election is made on an investment-by-investment basis. All other financial assets are classified and measured at FVTPL.

In addition, on initial recognition, the Bank may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or FVOCI as FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

- Business model assessment

The Bank makes an assessment of the objective of a business model in which an asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- The stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realising cash flows through the sale of the assets;
- How the performance of the portfolio is evaluated and reported to the Bank's management;
- The risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- How managers of the business are compensated – e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- The frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Bank's stated objective for managing the financial assets is achieved and how cash flows are realised.

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realised in a way that is different from the Bank's original expectations, the Bank does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

4. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

4.3 Financial instruments (continued)

4.3c Measurement categories of financial assets and liabilities (continued)

- Assessment whether contractual cash flows are solely payments of principal and interest (The 'SPPI' test)

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Bank considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Bank considers:

- Contingent events that would change the amount and timing of cash flows;
- Leverage features;
- Prepayment and extension terms;
- Terms that limit the Bank's claim to cash flows from specified assets (e.g. non-recourse asset arrangements); and features that modify consideration of the time value of money e.g. periodical reset of interest rates.

The Bank holds a portfolio of long-term fixed rate loans for which the Bank has the option to revise the interest rate at periodic reset dates. These reset rights are limited to the market rate at the time of revision. The borrowers have an option to either accept the revised rate or redeem the loan at par without penalty. The Bank has determined that the contractual cash flows of these loans are solely payments of principal and interest because the option varies the interest rate in a way that is consideration for the time value of money, credit risk, other basic lending risks and costs associated with the principal amount outstanding.

Contractual terms that introduce a more than de minimise exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely payments of principal and interest on the amount outstanding. In such cases, the financial asset is required to be measured at FVTPL.

- (ii) Derivatives recorded at fair value through profit or loss

A derivative is a financial instrument or other contract with all three of the following characteristics:

- Its value changes in response to the change in a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of prices or rates, credit rating or credit index, or other variable, provided that, in the case of a non-financial variable, it is not specific to a party to the contract (i.e., the 'underlying').
- It requires no initial net investment or an initial net investment that is smaller than would be required for other types of contracts expected to have a similar response to changes in market factors.
- It is settled at a future date.

The Bank enters into derivative transactions with various counterparties. These include interest rate swaps, futures, cross-currency swaps, forward foreign exchange contracts and options on interest rates, foreign currencies. Derivatives are recorded at fair value and carried as assets when their fair value is positive and as liabilities when their fair value is negative. The notional amount and fair value of such derivatives are disclosed separately in Note 36. Changes in the fair value of derivatives are included in net trading income unless hedge accounting is applied. Hedge documentation, effectiveness assessment, and discontinuation accounting disclosures are provided in Note 4.3.n.

Embedded derivatives:

Derivatives may be embedded in another contractual arrangement (a host contract). The Bank accounts for an embedded derivative separately from the host contract when:

- The host contract is not an asset in the scope of IFRS 9;
- The host contract is not itself carried at FVTPL;
- The terms of the embedded derivative would meet the definition of a derivative if they were contained in a separate contract;
- The economic characteristics and risks of the embedded derivative are not closely related to the economic characteristics and risks of the host contract.

Separated embedded derivatives are measured at fair value, with all changes in fair value recognised in profit or loss unless they form part of a qualifying cash flow or net investment hedging relationship. Separated embedded derivatives are presented in the statement of financial position together with the host contract.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

4. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

4.3 Financial instruments (continued)

4.3c Measurement categories of financial assets and liabilities (continued)

- (iii) Debt instruments at FVOCI

The Bank classifies debt instruments measured at FVOCI when both of the following conditions are met:

- The instrument is held within a business model, the objective of which is achieved by both collecting contractual cash flows and selling financial assets; and
- The contractual terms of the financial asset meet the SPPI test.

These instruments largely comprise assets that had previously been classified as financial investments available for sale under IAS 39.

For debt securities measured at FVOCI, gains and losses are recognised in OCI, except for the following, which are recognised in profit or loss in the same manner as for financial assets measured at amortised cost:

- Interest revenue using the effective interest method;
- Expected credit loss (ECL) and reversals; and
- Foreign exchange gains and losses.

When debt securities measured at FVOCI are derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss.

- (iv) Equity instruments at FVOCI

Upon initial recognition, the Bank occasionally elects to irrevocably classify some of its equity investments as equity instruments at FVOCI when they meet the definition of Equity under IAS 32 Financial Instruments: Presentation and are not held for trading. Such classification is determined on an instrument by instrument basis.

Gains and losses on these equity instruments are never recycled to profit. Dividends are recognised in profit or loss as other operating income when the right of the payment has been established, except when the Bank benefits from such proceeds as a recovery of part of the cost of the instrument, in which case, such gains are recorded in OCI. Equity instruments at FVOCI are not subject to an impairment assessment.

- (v) Debt issued and other borrowed funds

After initial measurement, debt issued and other borrowed funds are subsequently measured at amortised cost. Amortised cost is calculated by taking into account any discount or premium on issued funds, and costs that are an integral part of the EIR. A compound financial instrument which contains both a liability and an equity component is separated at the issue date.

- (iv) Equity instruments at FVOCI

Upon initial recognition, the Bank occasionally elects to irrevocably classify some of its equity investments as equity instruments at FVOCI when they meet the definition of Equity under IAS 32 Financial Instruments: Presentation and are not held for trading. Such classification is determined on an instrument by instrument basis.

Gains and losses on these equity instruments are never recycled to profit. Dividends are recognised in profit or loss as other operating income when the right of the payment has been established, except when the Bank benefits from such proceeds as a recovery of part of the cost of the instrument, in which case, such gains are recorded in OCI. Equity instruments at FVOCI are not subject to an impairment assessment.

- (v) Debt issued and other borrowed funds

After initial measurement, debt issued and other borrowed funds are subsequently measured at amortised cost. Amortised cost is calculated by taking into account any discount or premium on issued funds, and costs that are an integral part of the EIR. A compound financial instrument which contains both a liability and an equity component is separated at the issue date.

- (vi) Financial assets and financial liabilities at fair value through profit or loss

Financial assets and financial liabilities in this category are those that are not held for trading and have been either designated by management upon initial recognition or are mandatorily required to be measured at fair value under IFRS 9. Management only designates an instrument at FVTPL upon initial recognition when one of the following criteria is met. Such designation is determined on an instrument by instrument basis:

- The designation eliminates, or significantly reduces, the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognising gains or losses on them on a different basis; or
- The liabilities are part of a group of financial liabilities or financial assets, or both which are managed and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy; or
- The liabilities containing one or more embedded derivatives, unless they do not significantly modify the cash flows that would otherwise be required by the contract, or it is clear with little or no analysis when a similar instrument is first considered that separation of the embedded derivative(s) is prohibited.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

4. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

4.3 Financial instruments (continued)

4.3c Measurement categories of financial assets and liabilities (continued)

(vii) Financial guarantees, letters of credit and undrawn loan commitments

The Bank issues financial guarantees, letters of credit and loan commitments.

Financial guarantees are initially recognised in the financial statements at fair value, being the premium received. Subsequent to initial recognition, the Bank's liability under each guarantee is measured at the higher of the amount initially recognised less cumulative amortisation recognised in the statement of comprehensive income and an Expected Credit Loss (ECL) provision as set out in Note 4.3.f.

The premium received is recognised in the statement of comprehensive income in net fees and commission income on a straight line basis over the life of the guarantee.

Undrawn loan commitments and letters of credits are commitments under which, over the duration of the commitment, the Bank is required to provide a loan with pre-specified terms to the customer.

The nominal contractual value of financial guarantees, letters of credit and undrawn loan commitments, where the loan agreed to be provided is on market terms, are not recorded in the statement of financial position.

(viii) Financial liabilities

IFRS 9 largely retains the existing requirements of IAS 39 for the classification of financial liabilities. However, although under IAS 39 all fair value changes of liabilities designated under the fair value option were recognised in profit or loss, under IFRS 9 fair value changes are generally presented as follows:

- The amount of change in the fair value that is attributable to changes in the credit risk of the liability is presented in OCI; and
- The remaining amount of change in the fair value is presented in profit or loss.

The amount presented separately in OCI related to changes in own credit risk of a designated financial liability at FVTPL are not recycled to profit or loss, even when the liability is derecognised and the amounts are paid. Instead, own credit gains and losses should be reclassified to retained earnings within equity upon de-recognition of the relevant liability.

4.3d De-recognition

(i) Financial assets

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognised when:

- The rights to receive cash flows from the asset have expired; or
- The Bank has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either:
 - The Bank has transferred substantially all the risks and rewards of the asset; or
 - The Bank has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Bank has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the Bank's continuing involvement in the asset. In that case, the Bank also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Bank has retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Bank could be required to repay.

4.3e Offsetting of financial assets and financial liabilities

For de-recognition due to substantial modification, refer note 4.3.p.

(ii) Financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a de-recognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in profit or loss.

Financial assets and financial liabilities are only offset and the net amount reported in the statement of financial position when there is a legally enforceable right to set off the recognised amounts and the Bank intends to either settle on a net basis or to realise the asset and settle the liability simultaneously. Income and expenses are presented on a net basis only when permitted by the accounting standards or for gains and losses arising from a group of similar transactions.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

4. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

4.3 Financial instruments (continued)

4.3f Impairment of financial assets

The Bank recognises loss allowances for ECL on the following financial instruments that are not measured at FVTPL:

- Financial assets that are debt instruments;
- Financial guarantee contracts issued;
- Loan commitments issued.

No impairment loss is recognised on equity investments. The Bank measures loss allowances at an amount equal to lifetime ECL, except for other financial instruments on which credit risk has not increased significantly since their initial recognition which they are measured as 12 month ECL.

12 month ECL are the portion of ECL that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

(i) Measurement of ECL

ECL is a probability-weighted estimate of credit losses. They are measured as follows:

- Financial assets that are not credit-impaired at the reporting date: as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Bank expects to receive);
- Financial assets that are credit-impaired at the reporting date: as the difference between the gross carrying amount and the present value of estimated future cash flows;
- Undrawn loan commitments: as the present value of the difference between the contractual cash flows that are due to the Bank if the commitment is drawn down and the cash flows that the Bank expects to receive;
- Financial guarantee contracts: the expected payments to reimburse the holder less any amounts that the Bank expects to recover.

(ii) Overview of the ECL principles

The Bank has been recording the allowance for expected credit losses for all loans and other debt financial assets not held at FVTPL, together with loan commitments and financial guarantee contracts, in this section all referred to as 'financial instruments'. Equity instruments are not subject to impairment under IFRS 9.

The ECL allowance is based on the credit losses expected to arise over the life of the asset (the lifetime expected credit losses or LTECL), unless there has been no significant increase in credit risk since origination, in which case, the allowance is based on the 12 months expected credit losses (12mECL).

The 12mECL is the portion of LTECL that represent the ECL that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

Both LTECL and 12mECL are calculated on either an individual basis or a collective basis, depending on the nature of the underlying portfolio of financial instruments.

The Bank has established a policy to perform an assessment, at the end of each reporting period, of whether a financial instrument's credit risk has increased significantly since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial instrument.

Based on the above process, the Bank groups its loans into Stage 1, Stage 2, Stage 3 and Purchased or Originated and Credit Impaired (POCI), as described below:

Stage 1

When financing is first recognised, the Bank recognises an allowance based on 12mECL. Stage 1 financing exposure also includes facilities where the credit risk has improved and the financing exposure has been reclassified from Stage 2.

Stage 2

When a financing exposure has shown a significant increase in credit risk since origination, the Bank records an allowance for the LTECL. Stage 2 financing exposures also include facilities, where the credit risk has improved and the financing exposure has been reclassified from Stage 3.

Stage 3

Financing exposure considered credit-impaired. The Bank records an allowance for the LTECL.

At initial recognition of a financial asset, the Bank recognises a loss allowance equal to 12mECL. After initial recognition, the three stages under the proposals would be applied as follows:

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

4. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

4.3 Financial instruments (continued)

4.3f Impairment of financial assets (continued)

POCI is a restructured financial exposure which results in a net present value of the future cash flows from the restructured arrangement exceeding the original carrying value by greater than 30%.

Stage 1

Credit risk has not increased significantly since initial recognition – recognise 12mECL

Stage 2

Credit risk has increased significantly since initial recognition – recognise lifetime expected credit losses (this is recognising a provision earlier than under IAS 39 Financial assets: Recognition and Measurement) with revenue being calculated based on the gross amount of the asset

Stage 3

There is objective evidence of impairment as at the reporting date to recognise lifetime expected credit losses, with revenue being based on the net amount of the asset (i.e. based on the impaired amount of the asset).

(iii) The calculation of ECL

The Bank calculates ECL based on three probability-weighted scenarios to measure the expected cash shortfalls, discounted at an approximation to the EIR. A cash shortfall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive.

The mechanics of the ECL calculations are outlined below and the key elements are as follows:

- **PD** – The Probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognised and is still in the portfolio.
- **EAD** – The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected drawdowns on committed facilities, and accrued interest from missed payments.
- **LGD** – The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the Bank would expect to receive, including from the realisation of any collateral. It is usually expressed as a percentage of the EAD.

(iv) Presentation of allowance for ECL in the statement of financial position

Loss allowances for ECL are presented in the statement of financial position as follows:

- Financial assets measured at amortised cost: as a deduction from the gross carrying amount of the assets;
- Loan commitments and financial guarantee contracts: generally, as a provision;
- Where a financial instrument includes both a drawn and an undrawn component, and the Bank cannot identify the ECL on the loan commitment component separately from those on the drawn component, the Bank presents a combined loss allowance for both components. The combined amount is presented as a deduction from the gross carrying amount of the drawn component. Any excess of the loss allowance over the gross amount of the drawn component is presented as a provision;
- Debt instruments measured at FVOCI: no loss allowance is recognised in the statement of financial position because the carrying amount of these assets is their fair value. However, the loss allowance is disclosed and is recognised in the fair value reserve.

(v) Debt instruments measured at FVOCI

The ECL for debt instruments measured at FVOCI do not reduce the carrying amount of these financial assets in the statement of financial position, which remains at fair value. Instead, an amount equal to the allowance that would arise if the assets were measured at amortised cost is recognised in OCI as an accumulated impairment amount, with a corresponding charge to profit or loss. The accumulated loss recognised in OCI is recycled to the profit and loss upon de-recognition of the assets.

(vi) Purchased or originated credit impaired financial assets (POCI)

For POCI financial assets, the Bank only recognises the cumulative changes in LTECL since initial recognition is in the loss allowance.

(vii) Credit cards and other revolving facilities

The Bank's product offering includes a variety of corporate and retail overdraft and credit cards facilities, in which the Bank has the right to cancel and/or reduce the facilities with one day notice. The Bank does not limit its exposure to credit losses to the contractual notice period, but instead calculates ECL over a period that reflects the Bank's expectations of the customer behaviour, its likelihood of default and the Bank's future risk mitigation procedures, which could include reducing or cancelling the facilities.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

4. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

4.3 Financial instruments (continued)

4.3f Impairment of financial assets (continued)

(vii) Credit cards and other revolving facilities (continued)

The ongoing assessment of whether a significant increase in credit risk has occurred for revolving facilities is similar to other lending products. This is based on shifts in the customer's internal credit grade, but greater emphasis is also given to qualitative factors such as changes in usage.

The interest rate used to discount the ECL for credit cards is based on the average effective interest rate that is expected to be charged over the expected period of exposure to the facilities. This estimation takes into account that many facilities are repaid in full each month and are consequently charged no interest.

(viii) Forward looking information

In its ECL models, the Bank relies on a broad range of forward looking information as economic inputs, such as:

- Gross domestic product
- Savings and investment
- Inflation
- Trade statistics
- Demographics
- Revenue and expenditure
- Public debt
- Real estate
- Composite indicators
- Oil prices and production

The inputs and models used for calculating ECLs may not always capture all characteristics of the market at the date of the financial statements. To reflect this, qualitative adjustments are made as temporary adjustments to ECL when such differences are considered by management to be significant.

(ix) Collateral valuation

To mitigate its credit risks on financial assets the Bank seeks to use collateral where possible. The collateral comes in various forms such as cash, securities, letters of credit/guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting agreements. Collateral, unless repossessed, is not recorded on the Bank's statement of financial position. However, the fair value of collateral affects the calculation of ECL. It is generally assessed, at a minimum, at inception and re-assessed periodically based on the type of asset, for example, cash or securities relating to margining requirements, is valued daily.

To the extent possible, the Bank uses active market data for valuing financial assets held as collateral. Non-financial collateral, such as real estate, is valued by certified third party valuers.

(x) Write-offs

Loans and debt securities are written off (either partially or in full) when there is no realistic prospect of recovery. This is generally the case when the Bank determines that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Bank's procedures for recovery of amounts due.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

4. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

4.3g Restructured financial assets

If the terms of a financial asset are renegotiated or modified or an existing financial asset is replaced with a new one due to financial difficulties of the borrower, then an assessment is made of whether the financial asset should be derecognised and ECL are measured as follows.

- ✚ If the expected restructuring will not result in de-recognition of the existing asset, then the expected cash flows arising from the modified financial asset are included in calculating the cash shortfalls from the existing asset.
- ✚ the expected restructuring will result in de-recognition of the existing asset, then the expected amortised fair value of the new asset is treated as the final cash flow from the existing financial asset at the time of its de-recognition. This amount is included in calculating the cash shortfalls from the existing financial asset that are discounted from the expected date of de-recognition to the reporting date using the original effective interest rate of the existing financial asset.

4.3h Credit-impaired financial assets

At each reporting date, the Bank assesses whether financial assets carried at amortised cost and debt financial assets carried at FVOCI are credit-impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- ✚ Significant financial difficulty of the borrower or issuer;
- ✚ A breach of contract such as a default or past due event;
- ✚ The restructuring of a loan or advance by the Bank on terms that the Bank would not consider otherwise;
- ✚ It is becoming probable that the borrower will enter bankruptcy or other financial reorganisation; or
- ✚ The disappearance of an active market for a security because of financial difficulties.

A loan that has been renegotiated due to a deterioration in the borrower's condition is usually considered to be credit-impaired unless there is evidence that the risk of not receiving contractual cash flows has reduced significantly and there are no other indicators of impairment. In addition, a retail loan that is overdue for 90 days or more is considered impaired.

In making an assessment of whether an investment in sovereign debt is credit-impaired, the Bank considers the following factors.

- ✚ The market's assessment of creditworthiness as reflected in the bond yields.
- ✚ The rating agencies' assessments of creditworthiness.
- The country's ability to access the capital markets for new debt issuance.
- ✚ The probability of debt being restructured, resulting in holders suffering losses through voluntary or mandatory debt forgiveness.
- The international support mechanisms in place to provide the necessary support as 'lender of last resort' to that country, as well as the intention, reflected in public statements, of governments and agencies to use those mechanisms. This includes an assessment of the depth of those mechanisms and, irrespective of the political intent, whether there is the capacity to fulfil the required criteria.

4.3i Amortised cost measurement

The amortised cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the effective interest rate of any difference between the initial amount recognised and the maturity amount, minus any reduction for impairment.

4.3j Fair value measurement

A number of the Bank's accounting policies and disclosures require the determination of fair value, for both financial and non-financial assets and liabilities. Fair values have been determined for measurement and/or disclosure purposes based on a number of accounting policies and methods. Where applicable, information about the assumptions made in determining fair values is disclosed in the notes specific to that asset or liability. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- ✚ In the principal market for the asset or liability, or
- ✚ In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to the Bank. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

4. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

4.3 Financial instruments (continued)

4.3j Fair value measurement (continued)

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Bank uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 – Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- ✚ Level 2 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- ✚ Level 3 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Bank determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

At each reporting date, the Bank analyses the movements in the values of assets and liabilities which are required to be re-measured or re-assessed as per the Bank's accounting policies. For this analysis, the Bank verifies the major inputs applied in the latest valuation by agreeing the information in the valuation computation to contracts and other relevant documents.

The Bank also compares the changes in the fair value of each asset and liability with relevant external sources to determine whether the change is reasonable.

For the purpose of fair value disclosures, the Bank has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

4.3k Cash and cash equivalents

Cash and cash equivalents consist of cash in hand, unrestricted balances held with central banks and highly liquid financial assets with original maturities of up to three months, which are subject to insignificant risk of changes in their fair value, and are used by the Bank in management of its short term commitments. Cash and cash equivalents are carried at amortised cost in the statement of financial position.

Securities sold with a commitment to repurchase (repos) at a specified future date are recognised in the statement of financial position and are measured in accordance with accounting policies for trading securities or investment securities. The counterparty liability for amounts received under these agreements is included in 'due to banks'. The difference between sale and repurchase price is treated as interest expense and accrued over the life of the repo agreement.

Securities purchased with a corresponding commitment to resell at a specified future date (reverse repos) are not recognised in the statement of financial position and the amounts paid under these agreements are included in 'due from banks'. The difference between purchase and resale price is treated as interest income and accrued over the life of the reverse repo agreement.

4.3l Acceptances

Acceptances are disclosed on the statement of financial position under other assets with corresponding liability disclosed under other liabilities. Therefore, there is no off-balance sheet commitment for acceptances.

4.3m Derivatives held for risk management purposes

Derivatives held for risk management purposes include all derivative assets and liabilities that are not classified as trading assets or trading liabilities. Derivatives held for risk management purposes are measured at fair value in the statement of financial position. The treatment of changes in their fair value depends on their classification into the following categories:

- (i) Fair value hedge

When a derivative is designated as a hedge of the change in fair value of a recognised asset or liability or a firm commitment, changes in the fair value of the derivative are recognised immediately in statement of comprehensive income together with changes in the fair value of the hedged item that are attributable to the hedged risk.

If the derivative expires or is sold, terminated, or exercised, no longer meets the criteria for fair value hedge accounting, or the designation is revoked, hedge accounting is discontinued. Any adjustment up to that point, to a hedged item for which the effective interest method is used, is amortised to profit or loss as part of the recalculated effective interest rate of the item over its remaining life.

4. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

4.3 Financial instruments (continued)

4.3m Derivatives held for risk management purposes (Continued)

ii) Cash flow hedge

When a derivative is designated as the hedging instrument in a hedge of the variability in cash flows attributable to a particular risk associated with a recognised asset or a liability or a highly probable forecast transaction that could affect profit or loss, the effective portion of changes in the fair value of the derivative is recognised in other comprehensive income in hedging reserve. The amount recognised in other comprehensive income is reclassified to profit or loss as a reclassification adjustment in the same period as the hedged cash flows affect profit or loss, and in the same line item in the statement of comprehensive income. Any ineffective portion of changes in the fair value of the derivative is recognised immediately in profit or loss.

If the hedging derivative expires or is sold, terminated, or exercised, or the hedge no longer meets the criteria for cash flow hedge accounting, or the hedge designation is revoked, then the hedge accounting is discontinued prospectively. In a discontinued hedge of a forecast transaction the cumulative amount recognised in other comprehensive income from the period when the hedge was effective is reclassified from the equity to statement of comprehensive income as a reclassification adjustment when the forecast transaction occurs and affects profit or loss. If the forecast transaction is no longer expected to occur, then the balance in other comprehensive income is reclassified immediately to profit or loss as a reclassification adjustment.

(iii) Other non-trading derivative

When a derivative is not held for trading, and is not designated in a qualifying hedge relationship, all changes in its fair value are recognised immediately in statement of comprehensive income.

4.3n Reclassifications

The Bank does not reclassify its financial assets subsequent to their initial recognition, except in the period after the Bank changes its business model for managing financial assets. Financial liabilities are never reclassified. The Bank did not reclassify any of its financial assets or liabilities in 2021.

4.3o Modifications of financial assets and liabilities

Financial assets

If the terms of a financial asset are modified, the bank evaluates whether the cash flows of the modified asset are substantially different. If the cash flows are substantially different, the original financial asset is derecognised and a new financial asset is recognised at fair value. If the cash flows are not substantially different, then the modification does not result in de-recognition of the financial asset. In this case, the bank recalculates the gross carrying amount of the financial asset and recognises the amount arising from adjusting the gross carrying amount as a modification gain or loss in the statement of comprehensive income. If such a modification is carried out because of financial difficulties of the borrower, then the gain or loss is presented together with impairment losses. In other cases, it is presented as interest income.

If the terms of a financial asset were modified because of financial difficulties of the borrower and the asset was not derecognised, then impairment of the asset was measured using the pre-modification interest rate.

Financial liabilities

The bank derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different. In this case, a new financial liability based on the modified terms is recognised at either amortised cost or fair value. The difference between the carrying amount of the financial liability derecognised and the new financial liability with modified terms is recognised in the statement of comprehensive income.

4.4 Property and equipment

Items of property and equipment are measured at historical cost less accumulated depreciation and impairment losses. Historical cost includes expenditure that is directly attributable to the acquisition of the asset and preparing the asset for its intended use. Depreciation is provided on a straight-line basis over the estimated useful lives of property and equipment, except freehold land. The estimated useful lives for the current year are as follows:

Asset	Years
Motor vehicles	5
Furniture and fixtures	6-7
Office equipment	6-7
Software	10

Freehold land and capital work in progress are not depreciated, but tested for impairment. The assets' residual values, useful lives and depreciation methods are reviewed and adjusted if appropriate at each reporting date.

4. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

4.4 Property and equipment (Continued)

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognised within 'other operating income' in the statement of comprehensive income.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognised. All other repairs and maintenance are charged to the profit or loss during the financial period in which they are incurred.

4.5 Investment properties

Investment properties are carried at cost less accumulated impairments, if any.

4.6 Deposits, debt securities issued and subordinated liabilities

All money market and customer deposits are initially measured at fair value plus transaction cost and subsequently carried at amortised cost. Deposits, debt securities issued and subordinated liabilities are measured at their amortised cost using the effective interest method. The Bank classifies capital instruments as financial liabilities or equity instruments in accordance with the substance of the contractual terms of the instrument.

4.7 Taxation

Taxation is provided in accordance with Omani fiscal regulations. Income tax comprises current and deferred tax. Income tax expense is recognised in the statement of comprehensive income except to the extent that it relates to items recognised directly in equity or other comprehensive income.

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

Deferred tax assets/liabilities are calculated using the liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is measured at the tax rates that are expected to be applied to the temporary difference when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

4.8 Leases

Operating lease payments are recognised as an expense in the statement of comprehensive income on a straight-line basis over the lease term.

IFRS 16 results in accounting for most leases by a lessee within the scope of the standard in a manner similar to that in which finance leases were accounted for under IAS 17 'Leases'. Lessees recognise a 'right of use' asset and a corresponding financial liability on the statement of financial position. The right of use asset is amortised over the length of the lease, and the financial liability is measured at amortised cost. Lessor accounting remains substantially the same as under IAS 17. The Bank applied the IFRS 16 standard using a modified retrospective approach and therefore comparatives are not restated.

The Bank initially measures the right-of-use asset at cost; and the lease liability at the present value of the future lease payments. The amount is discounted using the interest rate implicit in the lease if this can be readily determined; otherwise, the incremental borrowing rate. The commencement date is the date on which a lessor makes an underlying asset available for use. After initial recognition, the Bank measures the right-of-use asset at cost less accumulated amortization and accumulated impairment losses.

After initial recognition, the Bank measures the lease liability by (a) increasing the carrying amount to reflect interest on the lease liability; (b) reducing the carrying amount to reflect the lease payments made; and (c) re-measuring the carrying amount to reflect any reassessment or lease modifications, or to reflect revised in-substance fixed lease payments. Interest on the lease liability is the amount that produces a constant periodic rate of the interest on the remaining balance of the lease liability. The periodic rate of interest is the rate used to discount the lease payments to calculate the lease liability.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

4. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

4.9 Financial guarantees

Financial guarantees are contracts that require the issuer to make specified payments to reimburse the beneficiary for a loss incurred because the debtor fails to make payments when due, in accordance with the terms of the debt. Such guarantees are given to banks, financial institutions or other entities on behalf of the customers.

Financial guarantees are initially recognised in the financial statements at fair value on the date the guarantee was issued. Subsequent to initial recognition, the Bank's liabilities under such guarantees are measured at the higher of initial measurement, less amortisation calculated to recognise in the statement of comprehensive income the fee income earned on the straight line basis over the life of the guarantee and the best estimate of the expenditure required to settle any financial obligation arising at the reporting date. These estimates are determined based on experience of similar transactions and history of past losses, supplemented by the judgment of management. Any increase in the liability relating to guarantees is taken to the statement of comprehensive income. For ECL assessment on financial guarantees ref note 4.3f

4.10 Employee benefits

4.10a Terminal benefits

End of service benefits are accrued in accordance with the terms of employment of the Bank's employees at the reporting date, having regard to the requirements of the Oman Labour Law 2003, as amended.

Contributions to a defined contribution retirement plan and occupational hazard insurance for Omani employees in accordance with the Omani Social Insurances Law of 1991 are recognised as an expense in the statement of comprehensive income as incurred.

4.10b Short term benefits

Short term benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

A provision is recognised for the amount expected to be paid if the Bank has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

4.11 Earnings per share

The Bank presents basic earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Bank by the weighted average number of ordinary shares outstanding during the year.

4.12 Dividends on ordinary shares

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the shareholders. Interim dividends are deducted from equity when they are paid.

Dividends for the year that are approved after the reporting date are disclosed as an event subsequent to balance sheet date.

4.13 Segment reporting

An operating segment is the component of the Bank that engages in business activities from which it may earn revenues and incur expenses, including revenue and expenses that relate to transactions with any of the Bank's other components, whose operating results are reviewed regularly by the Bank's CEO (being the chief operating decision maker) to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available.

4.14 Directors' remuneration and sitting fees

The Board of Directors' remuneration is determined within the limits specified by the Capital Market Authority and the requirements of the Commercial Companies Law of the Sultanate of Oman. These costs are recorded as expenses in the period in which they are paid. Distribution of directors' remuneration is from the net profits after deduction of taxes, legal and optional reserves and the funds allocated from the profits for capitalization and dividends.

The ordinary annual general meeting determine the directors' remuneration as follows:

- shall not exceed in total RO 300,000 where realised net profits equal or exceed the profits realised in the previous financial year and there is no accumulated losses or losses in the capital.
- shall not exceed in total RO 150,000 where realised net profits are less than the profits realised in the previous financial year and no losses in the capital.

Sitting fees, as approved by the ordinary annual general meeting, shall not exceed RO 10,000 for each director per annum.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

4. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

4.15 Perpetual Tier I Capital Securities

The Bank classifies perpetual Tier I Capital Securities as financial liabilities or equity instruments in accordance with the substance of the contractual terms of the Tier I Capital Securities. The Bank's perpetual Tier I Capital Securities are not redeemable by holders and bear an entitlement to distribution that is non-cumulative and at the discretion of the Board of Directors. Accordingly, they are presented as component of total equity.

5. CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS

The preparation of financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets, liabilities, income and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about carrying values of assets and liabilities that are not readily apparent from other sources. The resulting accounting estimates will, by definition, seldom equal the related actual results.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods. The Bank's significant accounting estimates are on:

5.1 Inputs, assumptions and techniques used for ECL calculation – IFRS 9 Methodology

The measurement of impairment losses both under IFRS 9 and IAS 39 across all categories of financial assets requires judgement, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses and the assessment of a significant increase in credit risk. These estimates are driven by a number of factors, changes in which can result in different Levels of allowances. The Bank's ECL calculations are outputs of complex models with a number of underlying assumptions regarding the choice of variable inputs and their interdependencies. Elements of the ECL models that are considered accounting judgements and estimates include:

- The Bank's internal credit grading model, which assigns PD to the individual grades;
- The Bank's criteria for assessing if there has been a significant increase in credit risk and so allowances for financial assets should be measured on a LTECL basis and the qualitative assessment;
- The segmentation of financial assets when their ECL is assessed on a collective basis;
- Development of ECL models, including the various formulas and the choice of inputs;
- Determination of associations between macroeconomic scenarios and economic inputs, such as unemployment levels and collateral values, and the effect on PD, EAD and LGD;
- Selection of forward looking macroeconomic scenarios and their probability weightings, to derive the economic inputs into the ECL models.

5.2 Fair value of derivatives and other financial instruments

The fair value of financial instruments that are not traded in an active market (for example, over-the-counter derivatives) is determined by using valuation techniques. The Bank uses its judgement to select a variety of methods and makes assumptions that are mainly based on market conditions existing at the end of each reporting period. The Bank uses expected cash flow analysis for certain FVOCI that are not traded in active markets.

5.3 Fair value estimation of unquoted securities

In cases where the underlying assets are fair valued such as private equity funds, management uses net assets value. Management believes that net assets values of these investments are representative of their fair values as the majority of the underlying assets are fair valued and the reported net assets of those entities takes into account the updated fair values changes.

5.4 Fee and commission income

The recognition of fee and commission income depends on the purpose for which fees are assessed and the basis of accounting for any associated financial instrument. Management applies certain assumptions and judgements to determine the fees that are an integral part of the effective interest rate of a financial instrument, fees that are earned as services are provided, and fees that are earned on the execution of a significant act.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

5. CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS (CONTINUED)

5.5 Taxation

Uncertainties exist with respect to the interpretation of tax regulations and the amount and timing of future taxable income. Given the wide range of business relationships and nature of existing contractual agreements, differences arising between the actual results and the assumptions made, or future changes to such assumptions, could necessitate future adjustments to tax income and expense already recorded. The Bank establishes provisions, based on reasonable estimates, for possible consequences of finalisation of tax assessments of the Bank. The amount of such provisions is based on various factors, such as experience of previous tax assessments and differing interpretations of tax regulations by the taxable entity and the responsible tax authority.

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

5.6 Determination of lease term

In determining the lease term, the Bank considers all facts and circumstances. Extension options (or periods after termination options) are only included in the lease term if the lease is reasonably certain to be extended (or not terminated). The Bank considers the nature and enforceability of extension clause in the lease agreement, the value of leasehold improvements, penalties on termination, costs and business disruption required to replace the leased premises as factors to determine the lease term. Lease agreements for premises occupied by the Bank may contain an extension option, where the Bank has not considered extension options after analysing above factors.

Lease term is reassessed if an option is actually exercised (or not exercised) or the Bank becomes obliged to exercise (or not exercise) it. The assessment is only revised if a significant event or a significant change in circumstances occurs which affects this assessment and that is within the control of the Bank. During the financial year, the Bank has not revised its assessment of lease term as no significant events or changes occurred.

5.7 Impact of COVID-19

Certain judgments were involved in determining the ECL impact of Covid-19 deferrals as detailed in note 38.

6. CASH AND BALANCES WITH CENTRAL BANK

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
75,779	89,743	Cash	34,551	29,175
1,317	1,317	Capital deposit with CBO	507	507
449,216	157,961	Balance with CBO	60,815	172,948
526,312	249,021		95,873	202,630

(i) The Capital deposit with CBO cannot be withdrawn without CBO approval.

(ii) During the year average minimum balance to be kept with CBO as statutory reserves is RO 95.690 million (2020: RO 86.694 million).

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

7. DUE FROM BANKS

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
976	-	Local currency: Money market placements	-	376
976	-		-	376
84,080	377,005	Foreign currency: Money market placements	145,147	32,371
7,060	1,200	Lending to banks	462	2,718
119,873	71,042	Demand balances	27,351	46,151
211,013	449,247		172,960	81,240
211,989	449,247		172,960	81,616
(83)	(3)	Expected credit loss allowance	(1)	(32)
211,906	449,244		172,959	81,584

The analysis of changes in the gross carrying amount and corresponding ECL allowance on due from banks is as follows:

	31 December 2021 RO'000				31 December 2020 RO'000
Gross carrying amount	Stage 1	Stage 2	Stage 3	Total	Total
As at 1 January	81,616	-	-	81,616	199,053
New assets originated or purchased	122,301	462	-	122,763	39,807
Assets derecognised or matured	(31,419)	-	-	(31,419)	(157,244)
As at 31 December	172,498	462	-	172,960	81,616

	31 December 2021 USD'000				31 December 2020 USD'000
Gross carrying amount	Stage 1	Stage 2	Stage 3	Total	Total
As at 1 January	211,989	-	-	211,989	517,020
New assets originated or purchased	317,666	1,200	-	318,866	103,395
Assets derecognised or matured	(81,608)	-	-	(81,608)	(408,426)
As at 31 December	448,047	1,200	-	449,247	211,989

	31 December 2021 RO'000				31 December 2020 RO'000
ECL	Stage 1	Stage 2	Stage 3	Total	Total
As at 1 January	32	-	-	32	816
Net release for the year (note 31)	(32)	1	-	(31)	(784)
As at 31 December	-	1	-	1	32

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

7. DUE FROM BANKS (CONTINUED)

ECL	31 December 2021 USD'000				31 December 2020 USD'000
	Stage 1	Stage 2	Stage 3	Total	Total
As at 1 January	83	-	-	83	2,119
Net release for the year (note 31)	(83)	3	-	(80)	(2,036)
As at 31 December	-	3	-	3	83

8. LOANS, ADVANCES AND FINANCINGS (NET)

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
4,404,777	4,761,807	Corporate	1,833,296	1,695,839
2,431,875	2,379,655	Retail	916,167	936,272
6,836,652	7,141,462	Gross loans, advances and financings	2,749,463	2,632,111
(276,475)	(291,202)	Expected credit loss allowance	(112,113)	(106,443)
(57,587)	(65,304)	Contractual interest not recognised	(25,142)	(22,171)
(334,062)	(356,506)		(137,255)	(128,614)
6,502,590	6,784,956	Loans, advances and financings (net)	2,612,208	2,503,497

Gross loans, advances and financings include RO 336.012 million (31 December 2020: RO 264.549 million) under Islamic mode of financing through Sohar Islamic financing activities.

Loans, advances and financings (net) comprise:

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
6,240,704	6,560,576	Loans	2,525,822	2,403,050
257,335	318,125	Overdrafts	122,478	99,074
214,096	180,629	Loans against trust receipts	69,542	82,427
124,517	82,132	Bills discounted	31,621	47,560
6,836,652	7,141,462	Gross loans, advances and financings	2,749,463	2,632,111
(276,475)	(291,202)	Expected credit loss allowance	(112,113)	(106,443)
(57,587)	(65,304)	Contractual interest not recognised	(25,142)	(22,171)
(334,062)	(356,506)		(137,255)	(128,614)
6,502,590	6,784,956	Loans, advances and financings (net)	2,612,208	2,503,497

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

8. LOANS, ADVANCES AND FINANCINGS (NET) (CONTINUED)

The analysis of changes in the gross carrying amount and corresponding ECL allowance on loans, advances and financings is as follows:

Gross carrying amount	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
As at 1 January 2021	2,130,737	344,288	157,086	2,632,111
New assets originated or purchased	757,625	79,873	10,200	847,698
Assets derecognised or repaid	(629,666)	(72,202)	(10,119)	(711,987)
Loans written off	-	-	(1,574)	(1,574)
Loans transferred to memoranda portfolio	-	-	(17,317)	(17,317)
Loans brought back from memoranda portfolio	-	-	532	532
Transfers to Stage 1	21,285	(19,749)	(1,536)	-
Transfers to Stage 2	(23,091)	24,627	(1,536)	-
Transfers to Stage 3	(3,982)	(8,273)	12,255	-
At 31 December 2021	2,252,908	348,564	147,991	2,749,463

ECL	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
As at 1 January 2021	5,125	41,659	59,659	106,443
Expected credit losses recognised	3,650	28,209	35,303	67,162
Recoveries from expected credit losses	(4,401)	(34,721)	(4,012)	(43,134)
Loans written off	-	-	(1,574)	(1,574)
Loans transferred to memoranda portfolio	-	-	(17,317)	(17,317)
Loans brought back from memoranda portfolio	-	-	532	532
Transfers to Stage 1	1,197	(714)	(483)	-
Transfers to Stage 2	(294)	972	(677)	-
Transfers to Stage 3	(71)	(1,282)	1,353	-
At 31 December 2021	5,206	34,123	72,784	112,113

Gross carrying amount	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
As at 1 January 2020	2,092,096	353,416	123,973	2,569,485
New assets originated or purchased	518,382	47,355	15,149	580,886
Assets derecognised or repaid	(437,607)	(52,425)	(10,108)	(500,140)
Loans written off	-	(261)	(206)	(467)
Loans transferred to memoranda portfolio	-	-	(17,918)	(17,918)
Loans brought back from memoranda portfolio	-	-	265	265
Transfers to Stage 1	46,741	(45,867)	(874)	-
Transfers to Stage 2	(79,774)	80,696	(922)	-
Transfers to Stage 3	(9,101)	(38,626)	47,727	-
At 31 December 2020	2,130,737	344,288	157,086	2,632,111

ECL	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
As at 1 January 2020	10,811	41,745	47,112	99,668
Expected credit losses recognised	1,456	14,900	26,874	43,230
Recoveries from expected credit losses	(8,629)	(8,766)	(937)	(18,332)
Loans written off	-	(261)	(206)	(467)
Loans transferred to memoranda portfolio	-	-	(17,918)	(17,918)
Loans brought back from memoranda portfolio	-	-	265	265
Transfers to Stage 1	3,038	(2,693)	(346)	-
Transfers to Stage 2	(1,419)	1,751	(334)	-
Transfers to Stage 3	(132)	(5,017)	5,149	-
At 31 December 2020	5,125	41,659	59,659	106,443

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

8. LOANS, ADVANCES AND FINANCINGS (NET) (CONTINUED)

Gross carrying amount	Stage 1 USD'000	Stage 2 USD'000	Stage 3 USD'000	Total USD'000
As at 1 January 2021	5,534,381	894,255	408,016	6,836,652
New assets originated or purchased	1,967,856	207,462	26,494	2,201,812
Assets derecognised or repaid	(1,635,495)	(187,537)	(26,283)	(1,849,315)
Loans written off	-	-	(4,088)	(4,088)
Loans transferred to memoranda portfolio	-	-	(44,979)	(44,979)
Loans brought back from memoranda portfolio	-	-	1,382	1,382
Transfers to Stage 1	55,286	(51,296)	(3,990)	-
Transfers to Stage 2	(59,977)	63,965	(3,990)	-
Transfers to Stage 3	(10,343)	(21,488)	31,831	-
At 31 December 2021	5,851,708	905,361	384,393	7,141,462

ECL	Stage 1 USD'000	Stage 2 USD'000	Stage 3 USD'000	Total USD'000
As at 1 January 2021	13,312	108,205	154,958	276,475
Expected credit losses recognised	9,481	73,270	91,696	174,447
Recoveries from expected credit losses	(11,431)	(90,184)	(10,421)	(112,036)
Loans written off	-	-	(4,088)	(4,088)
Loans transferred to memoranda portfolio	-	-	(44,979)	(44,979)
Loans brought back from memoranda portfolio	-	-	1,382	1,382
Transfers to Stage 1	3,110	(1,855)	(1,255)	-
Transfers to Stage 2	(766)	2,525	(1,758)	-
Transfers to Stage 3	(184)	(3,330)	3,514	-
At 31 December 2021	13,521	88,631	189,049	291,202

Gross carrying amount	Stage 1 USD'000	Stage 2 USD'000	Stage 3 USD'000	Total USD'000
As at 1 January 2020	5,434,016	917,963	322,008	6,673,987
New assets originated or purchased	1,346,445	123,000	39,348	1,508,793
Assets derecognised or repaid	(1,136,641)	(136,167)	(26,255)	(1,299,063)
Loans written off	-	(678)	(535)	(1,213)
Loans transferred to memoranda portfolio	-	-	(46,540)	(46,540)
Loans brought back from memoranda portfolio	-	-	688	688
Transfers to Stage 1	121,405	(119,135)	(2,270)	-
Transfers to Stage 2	(207,205)	209,599	(2,394)	-
Transfers to Stage 3	(23,639)	(100,327)	123,966	-
At 31 December 2020	5,534,381	894,255	408,016	6,836,652

ECL	Stage 1 USD'000	Stage 2 USD'000	Stage 3 USD'000	Total USD'000
As at 1 January 2020	28,081	108,429	122,368	258,878
Expected credit losses recognised	3,782	38,701	69,803	112,286
Recoveries from expected credit losses	(22,412)	(22,769)	(2,434)	(47,615)
Loans written off	-	(678)	(535)	(1,213)
Loans transferred to memoranda portfolio	-	-	(46,540)	(46,540)
Loans brought back from memoranda portfolio	-	-	688	688
Transfers to Stage 1	7,890	(6,995)	(898)	-
Transfers to Stage 2	(3,686)	4,548	(868)	-
Transfers to Stage 3	(343)	(13,031)	13,374	-
At 31 December 2020	13,312	108,205	154,958	276,475

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

8. LOANS, ADVANCES AND FINANCINGS (NET) (CONTINUED)

The analysis of the changes in contractual interest not recognised is as follows:

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
		Contractual interest not recognised		
40,686	57,587	Balance at beginning of year	22,171	15,664
26,205	25,153	Not recognised during the year	9,684	10,089
(9,304)	(17,436)	Written back during the year	(6,713)	(3,582)
57,587	65,304	Balance at end of the year	25,142	22,171

All loans, advances and financings require payment of interest, some at fixed rates and others at rates that reprice prior to maturity. Interest reserve account is maintained to comply with rules, regulations and guidelines issued by CBO on loans, advances and financings that are impaired. As of 31 December 2021, loans, advances and financings on which interest was not being accrued or where interest was reserved amounted to RO 148 million. (31 December 2020: RO 157.1 million).

Concentration of gross loans, advances and financings by economic sector:

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
2,431,873	2,379,655	Personal	916,167	936,271
979,919	1,192,748	Construction	459,208	377,269
751,117	874,673	Wholesale and retail	336,749	289,180
1,118,790	1,133,353	Services	436,341	430,734
204,673	186,494	Financial institutions	71,800	78,799
153,992	145,740	Transport and communication	56,110	59,287
714,397	785,161	Manufacturing	302,287	275,043
49,106	26,509	International trade	10,206	18,906
197,784	186,247	Mining and quarrying	71,705	76,147
208,826	217,340	Electricity, gas and water	83,676	80,398
22,488	11,361	Non - resident	4,374	8,658
3,687	2,181	Other	840	1,419
6,836,652	7,141,462		2,749,463	2,632,111

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

9. INVESTMENT SECURITIES

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
		Equity Investments:		
16,075	14,958	Held at FVOCI	5,759	6,189
16,075	14,958	Total Equity Investments	5,759	6,189
		Debt Investments:		
249,727	244,413	Held at FVTPL	94,099	96,145
982,138	1,530,532	Held at FVOCI	589,255	378,123
(2,286)	(2,070)	Less : Expected credit loss allowance	(797)	(880)
979,852	1,528,462	FVOCI debt investments (net)	588,458	377,243
577,055	897,753	Held at amortised cost	345,635	222,166
(1,623)	(5,057)	Less : Expected credit loss allowance	(1,947)	(625)
575,432	892,696	Held at amortised cost (net)	343,688	221,541
1,805,011	2,665,571	Total Debt Investments	1,026,245	694,929
1,821,086	2,680,530	Total Investment securities	1,032,004	701,118

9.1 Held at FVTPL

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
		Unquoted equity investments – Oman		
6,494	6,494	Service sector	2,500	2,500
		Quoted debt investments – Foreign		
304	296	Service sector	114	117
		Quoted debt investments – Oman		
237,940	237,623	Government development bonds (GDB)	91,485	91,607
4,989	-	Sukuk trust certificates – secured	-	1,921
249,727	244,413	Total FVTPL investments	94,099	96,145

- As at 31 December 2021, unquoted equity investments include an investment of RO 2.50 million in the Oman Development Fund SAOC (Fund). The Fund was incorporated on 7 May 2014 under license no. 1196427 with the Bank being the founder shareholder. The purpose of the Fund is to identify mid-segment industrial and manufacturing sectors that leverage Oman's unique advantages such as its infrastructure, tax treaties, geography and natural mineral resources for potential investment opportunities. The Bank currently holds a 12.66% stake in the Fund (31 December 2020: 12.66%). The Bank has an Investment Management Agreement with the Fund.

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

9. INVESTMENT SECURITIES (CONTINUED)

9.2 Held at FVOCI

	Carrying / fair value 31 December 2021 RO'000	Cost 31 December 2021 RO'000	Carrying / fair value 31 December 2020 RO'000	Cost 31 December 2020 RO'000
Quoted equity investments – Oman				
Service Sector	5,759	7,013	6,189	7,669
Unquoted equity investments – Oman				
Service sector	-	34	-	34
Total equity investments	5,759	7,047	6,189	7,703
Quoted debt investments – Oman				
Real estate	7,138	7,854	6,105	7,854
Less : Expected credit loss allowance	(429)	-	(866)	-
Finance sector (Treasury bills & GDB)	227,874	227,707	29,956	29,942
Less : Expected credit loss allowance	(14)	-	(2)	-
Quoted debt investments – Foreign				
Treasury bills	354,243	354,258	342,062	342,083
Less : Expected credit loss allowance	(354)	-	(12)	-
Total debt investments	588,458	589,819	377,243	379,879
Total investments held at FVOCI	594,217	596,866	383,432	387,582

	Carrying / fair value 31 December 2021 USD'000	Cost 31 December 2021 USD'000	Carrying / fair value 31 December 2020 USD'000	Cost 31 December 2020 USD'000
Quoted equity investments – Oman				
Service Sector	14,958	18,216	16,075	19,919
Unquoted equity investments – Oman				
Service sector	-	88	-	88
Total equity investments	14,958	18,304	16,075	20,008
Quoted debt investments – Oman				
Real estate	18,540	20,400	15,857	20,400
Less : Expected credit loss allowance	(1,115)	-	(2,249)	-
Finance sector (Treasury bills & GDB)	591,881	591,447	-	-
Less : Expected credit loss allowance	(36)	-	-	-
Quoted debt investments – Foreign				
Treasury bills	920,111	920,151	966,280	966,299
Less : Expected credit loss allowance	(919)	-	(36)	-
Total debt investments	1,528,462	1,531,998	979,852	986,699
Total investments held at FVOCI	1,543,420	1,550,302	995,927	1,006,706

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

9. INVESTMENT SECURITIES (CONTINUED)

9.2 Held at FVOCI (continued)

The analysis of changes in the ECL allowance on debt investments classified as FVOCI is as follows:

	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000	31 December 2020 RO'000
Balance as at 1 January 2021	14	866	-	880	28
Expected credit losses recognised/(released)	354	(437)	-	(83)	852
At 31 December 2021	368	429	-	797	880

- Treasury bills of RO 354.3 million (31 December 2020: RO 342.1 million) assigned as collaterals against the bank's borrowings of RO 354.2 million (31 December 2020: RO 329.1 million)
- In 2021, the Bank received dividends of RO 0.40 million from its FVOCI equities (2020: RO 0.46 million), recorded as other operating income.

9.3 Held at amortised cost

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
		Quoted debt investments – Oman		
516,935	838,795	Government Development Bonds	322,936	199,020
60,120	58,958	Service sector	22,699	23,146
577,055	897,753		345,635	222,166
(1,623)	(5,057)	Expected credit loss allowance	(1,947)	(625)
575,432	892,696	Total	343,688	221,541

The analysis of changes in the fair value and the corresponding ECL allowance on debt investments classified as held at amortised cost is as follows:

Gross carrying amount	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
Balance as at 1 January 2021	219,429	2,737	-	222,166
New assets originated or purchased	117,983	5,486	-	123,469
At 31 December 2021	337,412	8,223	-	345,635

ECL	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
Balance as at 1 January 2021	567	58	-	625
Expected credit losses recognised	987	335	-	1,322
At 31 December 2021	1,554	393	-	1,947

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

9. INVESTMENT SECURITIES (CONTINUED)

9.3 Held at amortised cost (continued)

Gross carrying amount	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
Balance as at 1 January 2020	173,329	28,031	-	201,360
New assets originated or purchased	20,806	-	-	20,806
Transfer to stage 1	25,294	(25,294)	-	-
At 31 December 2020	219,429	2,737	-	222,166

ECL	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
Balance as at 1 January 2020	618	890	-	1,508
Expected credit losses recognised/(released)	(51)	(832)	-	(883)
At 31 December 2020	567	58	-	625

	Stage 1 USD'000	Stage 2 USD'000	Stage 3 USD'000	Total USD'000
Balance as at 1 January 2021	569,946	7,109	-	577,055
New assets originated or purchased	306,449	14,249	-	320,698
At 31 December 2021	876,395	21,358	-	897,753

	Stage 1 USD'000	Stage 2 USD'000	Stage 3 USD'000	Total USD'000
Balance as at 1 January 2021	1,472	151	-	1,623
Expected credit losses recognised	2,562	872	-	3,434
At 31 December 2021	4,034	1,023	-	5,057

	Stage 1 USD'000	Stage 2 USD'000	Stage 3 USD'000	Total USD'000
Balance as at 1 January 2020	450,205	72,808	-	523,013
New assets originated or purchased	54,042	-	-	54,042
Transfer to stage 1	65,699	(65,699)	-	-
At 31 December 2020	569,946	7,109	-	577,055

	Stage 1 USD'000	Stage 2 USD'000	Stage 3 USD'000	Total USD'000
Balance as at 1 January 2020	1,605	2,312	-	3,917
Expected credit losses recognised	(133)	(2,161)	-	(2,294)
At 31 December 2020	1,472	151	-	1,623

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

10. PROPERTY, EQUIPMENT AND FIXTURES

	Freehold land RO'000	software RO'000	Furniture and fixtures RO'000	Office equipment RO'000	Motor vehicles RO'000	Capital work-in- progress RO'000	Total RO'000
Cost:							
1 January 2021	20,509	20,993	11,356	9,051	945	5,799	68,653
Additions	-	4,048	148	1,051	-	1,316	6,563
As at 31 December 2021	20,509	25,041	11,504	10,102	945	7,115	75,216
Accumulated depreciation:							
1 January 2021	-	11,408	5,619	6,476	872	-	24,375
Depreciation	-	1,615	764	689	34	-	3,102
As at 31 December 2021	-	13,023	6,383	7,165	906	-	27,477
Net book value as at 31 December 2021 (RO'000)	20,509	12,018	5,121	2,937	39	7,115	47,739
31 December 2021 (USD'000)	53,270	31,216	13,301	7,629	101	18,481	123,997

	Freehold land RO'000	Computer software RO'000	Furniture and fixtures RO'000	Office equipment RO'000	Motor vehicles RO'000	Capital work-in- progress RO'000	Total RO'000
Cost:							
1 January 2020	20,509	18,741	7,332	7,995	945	4,271	59,793
Additions	-	2,252	4,024	1,056	-	1,528	8,860
Transfers/ disposals	-	-	-	-	-	-	-
As at 31 December 2020	20,509	20,993	11,356	9,051	945	5,799	68,653
Accumulated depreciation:							
1 January 2020	-	9,928	4,772	5,889	815	-	21,404
Depreciation	-	1,480	847	587	57	-	2,971
As at 31 December 2020	-	11,408	5,619	6,476	872	-	24,375
Net book value as at 31 December 2020 (RO'000)	20,509	9,585	5,737	2,575	73	5,799	44,278
31 December 2020(USD'000)	53,270	24,896	14,901	6,688	190	15,063	115,008

i) Included in capital work in progress are costs incurred towards a new head office building project.

11. INVESTMENT PROPERTIES

Investment properties represent two plots of land received by the Bank as a grant from the Government of Sultanate of Oman in 2008. The Bank has recorded the land based on the average valuation carried out in 2008 by two professional valuers and subsequently measured at cost less accumulated impairment. The plots of land are currently held vacant. The fair value of these properties as at 31 December 2021, is RO 3.0 million (31 December 2020: RO 3.0 million).

As at 31 December 2021 and 2020, the fair values of the properties are based on valuations performed by an accredited independent valuer. The valuation was conducted on an open market basis.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

12. OTHER ASSETS

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
116,073	357,909	Acceptances (i)	137,795	44,688
4,647	9,273	Prepayments	3,570	1,789
2,590	5,691	Receivables	2,191	997
6,530	11,112	Positive fair value of derivatives (note 36)	4,278	2,514
15,319	19,317	Right-to-use assets	7,437	5,898
49,594	39,041	Others	15,031	19,094
194,753	442,343		170,302	74,980

(i) Disclosure on ECL on acceptances (note 15).

13. DUE TO BANKS

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
150,005	44,229	Local currency:		
14,670	13,270	Money market borrowings	17,028	57,752
		Demand balances	5,109	5,648
164,675	57,499		22,137	63,400
		Foreign currency:		
1,354,851	1,906,405	Money market borrowings	733,966	521,618
1,073	122,088	Demand balances	47,004	413
350,987	300,665	Syndicated borrowings	115,756	135,130
1,706,911	2,329,158		896,726	657,161
1,871,586	2,386,657		918,863	720,561

Foreign currency borrowings include bank borrowings amounting to RO 354.24 million (2020: RO 329.03 million) with underlying collateral in the form of USD Treasury bills of RO 354.26 million (2020: RO 342.03 million)

Applicable financial covenants for the syndicated borrowings include the requirement for a minimum tangible net worth of the Bank and a minimum capital adequacy ratio to be maintained by the Bank.

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

14. CUSTOMER DEPOSITS

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
2,912,927	2,646,029	Term deposits	1,018,721	1,121,477
1,862,390	2,426,925	Demand deposits	934,366	717,020
848,242	974,291	Saving deposits	375,102	326,573
172,714	172,145	Margin deposits	66,276	66,495
<u>5,796,273</u>	<u>6,219,390</u>		<u>2,394,465</u>	<u>2,231,565</u>

	31 December 2021			31 December 2020		
	Conventional banking RO'000	Islamic banking RO'000	Total RO'000	Conventional banking RO'000	Islamic banking RO'000	Total RO'000
Term deposits	880,737	137,984	1,018,721	985,749	135,728	1,121,477
Demand deposits	841,706	92,660	934,366	626,189	90,831	717,020
Saving deposits	324,360	50,742	375,102	283,695	42,878	326,573
Margin accounts	64,919	1,357	66,276	64,357	2,138	66,495
Total	<u>2,111,722</u>	<u>282,743</u>	<u>2,394,465</u>	<u>1,959,990</u>	<u>271,575</u>	<u>2,231,565</u>

	31 December 2021			31 December 2020		
	Conventional banking USD'000	Islamic banking USD'000	Total USD'000	Conventional banking USD'000	Islamic banking USD'000	Total USD'000
Term deposits	2,287,629	358,400	2,646,029	2,560,387	352,540	2,912,927
Demand deposits	2,186,249	240,675	2,426,924	1,626,465	235,925	1,862,390
Saving deposits	842,494	131,797	974,291	736,870	111,372	848,242
Margin accounts	168,621	3,525	172,146	167,161	5,553	172,714
Total	<u>5,484,993</u>	<u>734,397</u>	<u>6,219,390</u>	<u>5,090,883</u>	<u>705,390</u>	<u>5,796,273</u>

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

15. OTHER LIABILITIES

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
116,073	357,909	Acceptances	137,795	44,688
10,031	13,821	Staff entitlements	5,321	3,862
23,081	24,977	Income tax payable	9,616	8,886
5,018	205	Negative fair value of derivatives (note 36)	79	1,932
2,241	2,897	Deferred tax liabilities	1,115	863
62,247	62,805	Other accruals and provisions	24,180	23,965
5,122	9,943	Expected credit loss allowance on loan	3,828	1,972
1,322	-	Commitments, financial guarantees & acceptances	-	509
13,221	17,539	Certificates of deposit	6,753	5,090
		Lease liability on right of use assets		
<u>238,356</u>	<u>490,096</u>	Total	<u>188,687</u>	<u>91,767</u>
		Staff entitlements:		
1,218	1,283	End of service benefits	494	469
8,813	12,538	Other liabilities	4,827	3,393
<u>10,031</u>	<u>13,821</u>		<u>5,321</u>	<u>3,862</u>
		Movement in the end of service benefits liability		
1,582	1,218	At 1 January	469	609
441	488	Expenses recognised in the profit or loss	188	170
(805)	(423)	End of service benefits paid	(163)	(310)
<u>1,218</u>	<u>1,283</u>		<u>494</u>	<u>469</u>

(i) The analysis of changes in the gross carrying amount and corresponding ECL allowance on loan commitments, financial guarantees and acceptances is as follows:

Outstanding exposure	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
Balance as at 1 January 2021	863,770	34,236	3,008	901,014
New assets originated or purchased	543,354	15,899	314	559,567
Assets derecognised or repaid	(446,985)	(19,894)	(740)	(467,619)
Transfers to Stage 1	1,224	(1,210)	(14)	-
Transfers to Stage 2	(18,053)	18,085	(32)	-
Transfers to Stage 3	(117)	(121)	238	-
At 31 December 2021	<u>943,193</u>	<u>46,995</u>	<u>2,774</u>	<u>992,962</u>
ECL	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
Balance as at 1 January 2021	1,398	225	349	1,972
Expected credit losses recognised	2,357	485	1,384	4,226
Recoveries from expected credit losses	(2,045)	(22)	(304)	(2,371)
Transfers to Stage 1	3	(3)	-	-
Transfers to Stage 2	(40)	46	(5)	-
Transfers to Stage 3	-	(4)	4	-
At 31 December 2021	<u>1,673</u>	<u>727</u>	<u>1,428</u>	<u>3,828</u>

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

15. OTHER LIABILITIES (CONTINUED)

Outstanding exposure	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
Balance as at 1 January 2020	750,257	53,821	1,338	805,416
New assets originated or purchased	537,474	7,771	69	545,314
Assets derecognised or repaid	(417,936)	(30,063)	(1,717)	(449,716)
Transfers to Stage 1	3,877	(3,814)	(63)	-
Transfers to Stage 2	(9,779)	9,872	(93)	-
Transfers to Stage 3	(123)	(3,351)	3,474	-
At 31 December 2020	863,770	34,236	3,008	901,014

ECL	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
Balance as at 1 January 2020	1,817	1,063	41	2,921
Expected credit losses recognised	4,352	73	288	4,713
Recoveries from expected credit losses	(4,737)	(925)	-	(5,662)
Transfers to Stage 1	12	(12)	-	-
Transfers to Stage 2	(45)	45	-	-
Transfers to Stage 3	(1)	(19)	20	-
At 31 December 2020	1,398	225	349	1,972

Outstanding exposure	Stage 1 USD'000	Stage 2 USD'000	Stage 3 USD'000	Total USD'000
Balance as at 1 January 2021	2,243,559	88,925	7,812	2,340,296
New assets originated or purchased	1,411,309	41,296	816	1,453,421
Assets derecognised or repaid	(1,161,000)	(51,673)	(1,922)	(1,214,595)
Transfers to Stage 1	3,179	(3,143)	(36)	-
Transfers to Stage 2	(46,891)	46,974	(83)	-
Transfers to Stage 3	(303)	(314)	617	-
At 31 December 2021	2,449,853	122,065	7,204	2,579,122

	Stage 1 USD'000	Stage 2 USD'000	Stage 3 USD'000	Total USD'000
Balance as at 1 January 2021	3,632	583	907	5,122
New assets originated or purchased	6,122	1,260	3,595	10,977
Assets derecognised or repaid	(5,312)	(57)	(790)	(6,159)
Transfers to Stage 1	8	(8)	-	-
Transfers to Stage 2	(104)	119	(12)	-
Transfers to Stage 3	-	(10)	10	-
At 31 December 2021	4,346	1,887	3,710	9,943

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

15. OTHER LIABILITIES (CONTINUED)

Outstanding exposure	Stage 1 USD'000	Stage 2 USD'000	Stage 3 USD'000	Total USD'000
Balance as at 1 January 2020	1,948,719	139,795	3,476	2,091,990
New assets originated or purchased	1,396,037	20,184	180	1,416,400
Assets derecognised or repaid	(1,085,548)	(78,086)	(4,460)	(1,168,094)
Transfers to Stage 1	10,070	(9,906)	(164)	-
Transfers to Stage 2	(25,400)	25,642	(242)	-
Transfers to Stage 3	(319)	(8,704)	9,023	-
At 31 December 2020	2,243,559	88,925	7,812	2,340,296

ECL	Stage 1 USD'000	Stage 2 USD'000	Stage 3 USD'000	Total USD'000
Balance as at 1 January 2020	4,719	2,762	106	7,587
New assets originated or purchased	11,306	187	749	12,242
Assets derecognised or repaid	(12,304)	(2,403)	-	(14,707)
Transfers to Stage 1	31	(31)	-	-
Transfers to Stage 2	(117)	117	-	-
Transfers to Stage 3	(3)	(49)	52	-
At 31 December 2020	3,632	583	907	5,122

16. SUBORDINATED LOANS

The Bank had raised unsecured subordinated loans of RO 35 million during the year 2016 with a maturity of 7 years. These instruments are unlisted, non-transferable, non-negotiable and non-convertible with no early call option and carries a fixed rate of interest. The principal amount of the subordinated loans is repayable on maturity in 2023 while interest is payable semi-annually. The Bank is required to create a subordinated loan reserve equal to 20% of the issue value annually during the last five years of the term of the subordinated loans. This reserve is created at the end of each financial year from retained earnings. Accordingly, during the year 2021 a reserve of RO 7.0 million (2020: RO 7.0 million) was created. The outstanding of this subordinated loan with accrued interest as of 31 December 2021 stands at RO 35.392 million (2020: RO 35.392 million).

According to the Regulations of CBO, the amount of subordinated loans as reduced by subordinated loan reserve is considered as Tier II capital for capital adequacy purposes.

17. SHARE CAPITAL AND SHARE PREMIUM

The authorised share capital of the Bank is 4,000,000,000 shares (31 December 2020: 4,000,000,000). The issued shares of the Bank are 2,990,062,290 shares (31 December 2020: 2,434,506,735 shares). The paid up share capital of the Bank is RO 295.355 million (31 December 2020: RO 245.355 million).

On 12 September 2021, the Bank issued 555,555,555 shares through rights issue to its existing shareholders at a price of 92 baisa per share consisting of nominal value of 90 baisa per share and 2 baisa per share to cover the rights issue expenses, resulting in an increase in share capital of RO 50 million and legal reserve of RO 1.034 million.

As of 31 December 2021, the following shareholders held 10% or more of the Bank's capital, either individually or together with related parties:

	Number of shares	% Holding
The Royal Court of Affairs	489,971,007	16.39
Oman Investment & Finance Co SAOG	461,205,072	15.42

18. PROPOSED DIVIDEND

For the year 2021, the Board of Directors proposed a cash dividend of 4 baisa per share amounting to RO 11.96 million (31 December 2020: Nil). The proposed dividend is subject to approval of the shareholders at the Annual General Meeting. The proposed dividend is a deduction from CET 1 capital for the purpose of calculating the Bank's capital adequacy ratios (note 39.1)

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

19. LEGAL RESERVE

In accordance with the Commercial Companies Law of Oman of 1974, an annual appropriation of 10% of the profit for the year is required to be made to legal reserve until such time that the accumulated reserve is equal to at least one third of the Bank's issued share capital.

20. GENERAL RESERVE

General reserve of RO 988,000 (31 December 2020: RO 988,000) was created to cover the losses incurred by Sohar Islamic window for the year 2013 and 2014. It commenced reporting profits from 2015 and accordingly; no further transfer was made post 2014.

21. FAIR VALUE RESERVE

The fair value reserve includes the cumulative net change in the fair value of the investment securities held as FVOCI net of applicable income tax until the investment is derecognised, sold or impaired.

22. IMPAIRMENT RESERVE

As per the CBO circular BM 1149, in the year of adoption, if IFRS9 based provision for impairment is lower than the provision for the impairment as per regulatory guidelines, the excess, shall be transferred as appropriation from profit for the year to a regulatory reserve "Impairment reserve" under shareholder's equity. In subsequent years, if IFRS9 based provision for impairment is lower than provision for impairment as regulatory guidelines, the excess shall be transferred as appropriation from profit for the year to the Impairment reserve.

The regulatory impairment reserve cannot be used by the bank for capital adequacy calculation or for declaration of any dividends. Utilization of the impairment reserve created above would require prior approval of the Central Bank of Oman.

In accordance with the CBO circular BSD/CB & FLC/2022/001 requirements for additional CBO provisions have been suspended until the end of financial year 2022.

Accordingly, for the year ending December 2021, the Bank did not make any transfer to impairment reserve (refer note 34) (31 December 2020: 5.464 million).

23. PERPETUAL TIER 1 CAPITAL SECURITIES

The Bank issued its first perpetual Tier 1 Capital Securities amounting to RO 100 million on 25 September 2017. These securities bear interest on their nominal amount from the issue date to the first call date at a fixed annual rate of 7.75% with interest rate reset at five year intervals. Interest will be payable semi-annually in arrears and treated as a deduction from equity.

On 14 March 2019, the Bank issued its second perpetual Tier 1 Capital Securities amounting to RO 100 million. These securities bear interest on their nominal amount from the issue date to the first call date at a fixed annual rate of 7.50% with interest rate reset at five year intervals. Interest will be payable semi-annually in arrears and treated as a deduction from equity.

Both the securities constitute direct, unconditional, subordinated and unsecured obligations of the Bank and are classified as equity in accordance with IAS 32: Financial Instruments – Classification. They do not have a fixed or final maturity date. The Bank may at its discretion and after prior consent from the relevant regulatory authority, exercise its option to redeem the securities in full (not in part) on the first Call Date, i.e. the 5th anniversary of the Issue Date, and on every fifth anniversary thereafter, again subject to the prior consent of the regulatory authorities. The Bank at its sole discretion may elect not to distribute interest. This is not considered as an event of default. If the Bank does not pay interest, on a scheduled interest payment date (for whatever reason), it cannot make any other distribution or payment on or with respect to its ordinary shares or any of its other Common Equity Tier 1 instruments or securities, ranking junior to or pari-passu with the perpetual Tier 1 Capital Securities unless and until it has paid one interest payment in full on the securities.

The terms of the perpetual Tier 1 Capital Securities issuance allow the Bank to write-down (in whole or in part) any amounts due to the holders of the securities under certain circumstances.

RO 15.25 million was paid as coupon during 2021 (2020: 15.25 million) and is recognised in the statement of changes in equity.

24. NET ASSETS PER SHARE

The calculation of net assets per share is based on net assets of RO 396.578 million as at 31 December 2021 (31 December 2020: RO 331.70 million) attributable to ordinary shareholders of 2,990,062,290 ordinary shares (31 December 2020: 2,434,506,735 ordinary shares), being the number of shares outstanding as at 31 December 2021.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

25. CONTINGENT LIABILITIES AND COMMITMENTS

25a Contingent liabilities

Standby letters of credit and guarantees commit the Bank to make payments on behalf of customers, contingent upon the failure of the customer to perform under the terms of a specified contract.

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
570,609	611,537	Guarantees	235,442	219,684
523,022	267,738	Documentary letters of credit	103,079	201,364
1,093,631	879,275		338,521	421,048

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
279,616	211,629	Construction	81,477	107,652
57,725	152,312	Financial institution	58,640	22,224
393,086	161,400	International trade	62,139	151,338
135,558	137,839	Services	53,068	52,190
26,545	43,608	Manufacturing	16,789	10,220
138,634	96,509	Government	37,156	53,374
45,161	42,977	Transport and communication	16,546	17,387
-	725	Mining and quarrying	279	-
9,977	7,995	Electricity, gas and water	3,078	3,841
7,329	24,281	Others	9,349	2,822
1,093,631	879,275		338,521	421,048

25b Commitments

Credit related commitments include commitments to extend credit, standby letters of credit and guarantees that are designed to meet the requirements of the Bank's customers. Commitments to extend credit represent contractual commitments to make loans and revolving credits. Commitments generally have fixed expiry dates or other termination clauses and require the payment of a fee. Since commitments may expire without being drawn upon, the total contracted amounts do not necessarily represent future cash obligations.

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
7,340	8,600	Capital commitments	3,311	2,826
1,130,592	1,341,597	Credit related commitments	516,515	435,278
1,137,932	1,350,197		519,826	438,104

25c Litigation

Litigation is a common occurrence in the Banking industry due to the nature of the business it undertakes. The Bank has formal controls and policies for managing legal claims. Once professional advice has been obtained and the amount of loss reasonably estimated, the Bank makes provision for such loss within its financial statements. No provision (2020: None) has been made as at 31 December 2021, as professional advice indicates that it is unlikely that any significant loss will arise.

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

26. INTEREST INCOME

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
3,530	1,494	Due from banks	575	1,359
329,849	324,551	Loans, advances and financings	124,952	126,992
48,405	58,919	Investment securities	22,684	18,636
<u>381,784</u>	<u>384,964</u>		<u>148,211</u>	<u>146,987</u>

27. INTEREST EXPENSE

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
39,325	33,351	Due to banks	12,840	15,140
149,143	143,262	Customer deposits	55,156	57,420
6,379	6,361	Subordinated loans	2,449	2,456
<u>194,847</u>	<u>182,974</u>		<u>70,445</u>	<u>75,016</u>

28. NET INCOME EARNED FROM ISLAMIC FINANCING AND INVESTING ACTIVITIES

28a Gross income earned from Islamic financing and investing activities

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
273	65	Due from banks	25	104
32,927	41,901	Financing to customers	16,132	12,678
3,735	4,325	Investments	1,665	1,438
<u>36,935</u>	<u>46,291</u>		<u>17,822</u>	<u>14,220</u>

28b Profit paid to depositors / money market borrowings

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
21,218	24,546	Profit paid to depositors	9,450	8,169
914	948	Profit paid to banks	365	352
<u>22,132</u>	<u>25,494</u>		<u>9,815</u>	<u>8,521</u>
<u>14,803</u>	<u>20,797</u>	Net income from Islamic financing and investing activities	<u>8,007</u>	<u>5,699</u>

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

29. OTHER OPERATING INCOME

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
33,179	42,076	Fees and commission	16,199	12,774
2,977	13,062	Net gains from foreign exchange dealings	5,029	1,146
1,205	1,026	Dividend income	395	464
-	122	Bad debt recovery	47	-
(179)	8,366	Gain/(loss) from investments	3,221	(69)
<u>37,182</u>	<u>64,652</u>		<u>24,891</u>	<u>14,315</u>

30. OTHER OPERATING EXPENSES

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
28,941	34,917	Operating and administration costs	13,443	11,142
9,145	9,314	Occupancy cost	3,586	3,521
405	390	Directors remuneration	150	156
109	124	Directors sitting fees	48	42
143	143	Shari'ah supervisory board remuneration and sitting fees	55	55
<u>38,743</u>	<u>44,888</u>		<u>17,282</u>	<u>14,916</u>

31. LOAN IMPAIRMENT CHARGES AND OTHER CREDIT RISK PROVISIONS, NET

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
		Impairment charges provided/(released) on:		
64,670	62,410	Loans, advances and financings	24,028	24,898
(2,465)	4,817	Loan commitments and financial guarantees	1,854	(949)
(2,036)	(81)	Due from banks	(31)	(784)
(2,294)	3,434	Debt securities at amortised cost	1,322	(883)
2,213	(216)	Debt securities at FVOCI	(83)	852
<u>60,088</u>	<u>70,364</u>	Loan impairment charges and other credit risk provisions under IFRS 9 (net)	<u>27,090</u>	<u>23,134</u>

32. INCOME TAX

32a Recognised in the statement of comprehensive income

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
		Tax expenses		
8,561	12,267	- Current tax	4,723	3,296
374	-	- Prior period tax	-	144
631	655	- Deferred tax expense	252	243
<u>9,566</u>	<u>12,922</u>	Total income tax expenses	<u>4,975</u>	<u>3,683</u>

The Bank is liable for income tax for the year in accordance with the income tax laws of the Sultanate of Oman at the rate of 15% on its taxable profits.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

32. INCOME TAX (CONTINUED)

32b Reconciliation

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
61,548	86,527	Profit before tax for the year	33,313	23,696
9,234	12,979	Income tax @ 15%	4,997	3,555
		Tax impact of:		
254	96	- non-deductible expenses/losses	37	98
(158)	(153)	- tax exempt income	(59)	(61)
236	-	-Prior period tax	-	91
9,566	12,922	Income tax expense	4,975	3,683

32c Tax assessment

Tax assessment of the Bank until 2017 have been completed and for the year 2018 to 2020 have not yet been agreed with the Secretariat General for Taxation at the Ministry of Finance. The Bank is of the opinion that additional taxes, if any, related to the open tax years would not be significant to the financial position of the Bank as at 31 December 2021.

32d Movement of current tax provision

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
25,135	23,081	Balance as at the beginning of the year	8,886	9,677
8,935	12,273	Charge during the year	4,725	3,440
(10,989)	(10,377)	Paid during the year	(3,995)	(4,231)
23,081	24,977	Balance as at the end of the year	9,616	8,886

32e Movement of deferred tax asset/(liability)

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
(1,613)	(2,241)	Balance as at the beginning of the year	(863)	(621)
(628)	(656)	Created during the year	(252)	(242)
(2,241)	2,897	Balance as at the end of the year	(1,115)	(863)
281	268	Deferred tax asset	103	109
(2,522)	(3,165)	Deferred tax liability	(1,218)	(972)
(2,241)	(2,897)	Balance as at the end of the year	(1,115)	(863)

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

33. BASIC AND DILUTED EARNINGS PER SHARE

Basic earnings per share are calculated by dividing net profit for the year by the weighted average number of shares outstanding during the year.

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
51,982	73,605	Profit for the year	28,338	20,013
(39,610)	(39,613)	Less: Additional Tier 1 coupon	(15,250)	(15,250)
12,372	33,992	Profit for the year attributable to equity holders of the Bank after coupon on Additional Tier 1 capital securities Tier 1 capital securities	13,088	4,763
2,434,507	2,603,457	Weighted average number of shares outstanding during the year (in '000)	2,603,457	2,434,507
0.51	1.31	Basic earnings per share for the year (cents / balsa)	5.03	1.96

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

34. FINANCIAL INSTRUMENTS

The following table compares the provision held as per IFRS 9 versus CBO circular BM 977

31 December 2021

Classification:		Gross carrying amount	CBO Provision	IFRS9 Provisions	Difference	Net carrying amount	IFRS9 Reserve interest	CBO Reserve interest
CBO	IFRS 9	RO'000	RO'000	RO'000	RO'000	RO'000	RO'000	RO'000
		(1)	(2)	(3)	(4)=(2)-(3)	(5)=(1)-(3)		
Standard	Stage 1	2,176,534	31,065	4,832	26,233	2,171,702	-	-
	Stage 2	64,740	928	2,699	(1,771)	62,041	-	-
	Stage 3	-	-	-	-	-	-	-
		2,241,274	31,993	7,531	24,462	2,233,743	-	-
Sub Total								
Special mention	Stage 1	76,374	844	374	470	76,000	-	-
	Stage 2	283,824	7,065	31,424	(24,359)	252,400	-	-
	Stage 3	-	-	-	-	-	-	-
		360,198	7,909	31,798	(23,889)	328,400	-	-
Sub Total								
Sub standard	Stage 1	-	-	-	-	-	-	-
	Stage 2	-	-	-	-	-	-	-
	Stage 3	4,856	1,247	1,626	(379)	3,230	109	109
		4,856	1,247	1,626	(379)	3,230	109	109
Sub Total								
Doubtful	Stage 1	-	-	-	-	-	-	-
	Stage 2	-	-	-	-	-	-	-
	Stage 3	23,559	11,406	11,045	361	12,514	1,744	1,744
		23,559	11,406	11,045	361	12,514	1,744	1,744
Sub Total								
Loss	Stage 1	-	-	-	-	-	-	-
	Stage 2	-	-	-	-	-	-	-
	Stage 3	119,576	72,766	85,255	(12,489)	34,321	23,289	23,289
		119,576	72,766	85,255	(12,489)	34,321	23,289	23,289
Sub Total								
Gross Loans, advances and financing								
	Stage 1	2,252,908	31,909	5,206	26,703	2,247,702	-	-
	Stage 2	348,564	7,993	34,123	(26,130)	314,441	-	-
	Stage 3	147,991	85,419	97,926	(12,507)	50,065	25,142	25,142
		2,749,463	125,321	137,255	(11,934)	2,612,208	25,142	25,142
Sub Total								
*Due from banks, Investment securities, Loan commitments & Financial guarantees	Stage 1	2,032,190	3	3,587	(3,584)	2,028,603	-	-
	Stage 2	65,848	-	1,558	(1,558)	64,290	-	-
	Stage 3	2,774	-	1,428	(1,428)	1,346	-	-
		2,100,812	3	6,573	(6,570)	2,094,239	-	-
Sub Total								
	Stage 1	4,285,098	31,912	8,793	23,119	4,276,305	-	-
	Stage 2	414,412	7,993	35,681	(27,688)	378,731	-	-
	Stage 3	150,765	85,419	99,354	(13,935)	51,411	25,142	25,142
		4,850,275	125,324	143,828	(18,504)	4,706,447	25,142	25,142
Total								

*Other items not covered under CBO circular BM 977 and related instructions

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

34. FINANCIAL INSTRUMENTS (CONTINUED)

31 December 2020

Classification :		Gross carrying amount	CBO Provision	IFRS9 Provisions	Difference	Net carrying amount	IFRS9 Reserve interest	CBO Reserve interest
CBO	IFRS 9	RO'000	RO'000	RO'000	RO'000	RO'000	RO'000	RO'000
		(1)	(2)	(3)	(4)=(2)-(3)	(5)=(1)-(3)		
Standard	Stage 1	2,107,397	26,867	4,966	21,901	2,102,431	-	-
	Stage 2	86,447	1,164	4,911	(3,747)	81,536	-	-
	Stage 3	-	-	-	-	-	-	-
		2,193,844	27,798	9,877	18,154	2,183,967	-	-
Sub Total								
Special mention	Stage 1	23,340	304	159	145	23,181	-	-
	Stage 2	257,841	6,410	36,748	(30,338)	221,093	-	-
	Stage 3	-	-	-	-	-	-	-
		281,181	6,714	36,907	(30,193)	244,274	-	-
Sub Total								
Sub standard	Stage 1	-	-	-	-	-	-	-
	Stage 2	-	-	-	-	-	-	-
	Stage 3	8,414	2,133	2,662	(529)	5,752	103	103
		8,414	2,133	2,662	(529)	5,752	103	103
Sub Total								
Doubtful	Stage 1	-	-	-	-	-	-	-
	Stage 2	-	-	-	-	-	-	-
	Stage 3	37,231	10,983	13,174	(2,191)	24,057	852	852
		37,231	10,983	13,174	(2,191)	24,057	852	852
Sub Total								
Loss	Stage 1	-	-	-	-	-	-	-
	Stage 2	-	-	-	-	-	-	-
	Stage 3	111,441	68,506	65,994	2,512	45,447	21,216	21,216
		111,441	68,506	65,994	2,512	45,447	21,216	21,216
Sub Total								
Gross Loans, advances and financing								
	Stage 1	2,130,737	27,171	5,125	22,046	2,125,612	-	-
	Stage 2	344,288	7,574	41,659	(34,085)	302,629	-	-
	Stage 3	157,086	81,622	81,830	(208)	75,256	22,171	22,171
		2,632,111	116,367	128,614	(12,247)	2,503,497	22,171	22,171
Sub Total								
*Due from banks, Investment securities, Loan commitments & Financial guarantees	Stage 1	1,543,020	13	2,011	(1,998)	1,541,009	-	-
	Stage 2	43,080	-	1,149	(1,149)	41,931	-	-
	Stage 3	3,008	-	349	(349)	2,659	-	-
		1,589,108	13	3,509	(3,496)	1,585,599	-	-
Sub Total								
Total	Stage 1	3,673,757	27,184	7,136	20,048	3,666,621	-	-
	Stage 2	387,368	7,574	42,808	(35,234)	344,560	-	-
	Stage 3	160,094	81,622	82,179	(557)	77,915	22,171	22,171
		4,221,219	116,380	132,123	(15,743)	4,089,096	22,171	22,171
Total								

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

34. FINANCIAL INSTRUMENTS (CONTINUED)

31 December 2021

Classification:		Gross carrying amount	CBO Provision	IFRS9 Provisions	Difference	Net carrying amount	IFRS9 Reserve interest	CBO Reserve interest
CBO	IFRS 9	USD'000	USD'000	USD'000	USD'000	USD'000	USD'000	USD'000
		(1)	(2)	(3)	(4)=(2)-(3)	(5)=(1)-(3)		
Standard	Stage 1	5,653,335	80,688	12,551	68,137	5,640,784	-	-
	Stage 2	168,156	2,410	7,010	(4,600)	161,146	-	-
	Stage 3	-	-	-	-	-	-	-
Sub Total		5,821,491	83,098	19,561	63,537	5,801,930	-	-
Special mention	Stage 1	198,374	2,192	971	1,221	197,403	-	-
	Stage 2	737,205	18,351	81,621	(63,270)	655,584	-	-
	Stage 3	-	-	-	-	-	-	-
Sub Total		935,579	20,543	82,592	(62,049)	852,987	-	-
Sub standard	Stage 1	-	-	-	-	-	-	-
	Stage 2	-	-	-	-	-	-	-
	Stage 3	12,613	3,239	4,223	(984)	8,390	283	283
Sub Total		12,613	3,239	4,223	(984)	8,390	283	283
Doubtful	Stage 1	-	-	-	-	-	-	-
	Stage 2	-	-	-	-	-	-	-
	Stage 3	61,192	29,626	28,688	938	32,504	4,530	4,530
Sub Total		61,192	29,626	28,688	938	32,504	4,530	4,530
Loss	Stage 1	-	-	-	-	-	-	-
	Stage 2	-	-	-	-	-	-	-
	Stage 3	310,587	189,003	221,442	(32,439)	89,145	60,491	60,491
Sub Total		310,587	189,003	221,442	(32,439)	89,145	60,491	60,491
Gross Loans, advances and financing								
	Stage 1	5,851,709	82,880	13,522	69,358	5,838,187	-	-
	Stage 2	905,361	20,761	88,631	(67,870)	816,730	-	-
	Stage 3	384,392	221,868	254,353	(32,485)	130,039	65,304	65,304
Sub Total		7,141,462	325,509	356,506	(30,997)	6,784,956	65,304	65,304
*Due from banks, Investment securities, Loan commitments & Financial guarantees	Stage 1	5,278,416	8	9,317	(9,309)	5,269,099	-	-
	Stage 2	171,034	-	4,047	(4,047)	166,987	-	-
	Stage 3	7,205	-	3,709	(3,709)	3,496	-	-
Sub Total		5,456,655	8	17,073	(17,065)	5,439,582	-	-
	Stage 1	11,130,125	82,888	22,839	60,049	11,107,286	-	-
	Stage 2	1,076,395	20,761	92,678	(71,917)	983,717	-	-
	Stage 3	391,597	221,868	258,062	(36,194)	133,535	65,304	65,304
Total		12,598,117	325,517	373,579	(48,062)	12,224,538	65,304	65,304

*Other items not covered under CBO circular BM 977 and related instructions

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

34. FINANCIAL INSTRUMENTS (CONTINUED)

31 December 2020

Classification :		Gross carrying amount	CBO Provision	IFRS9 Provisions	Difference	Net carrying amount	IFRS9 Reserve interest	CBO Reserve interest
CBO	IFRS 9	USD'000	USD'000	USD'000	USD'000	USD'000	USD'000	USD'000
		(1)	(2)	(3)	(4)=(2)-(3)	(5)=(1)-(3)		
Standard	Stage 1	5,473,758	69,784	12,899	56,885	5,460,859	-	-
	Stage 2	224,538	3,023	12,756	(9,733)	211,782	-	-
	Stage 3	-	-	-	-	-	-	-
Sub Total		5,698,296	72,807	25,655	47,152	5,672,641	-	-
Special mention	Stage 1	60,623	790	413	377	60,210	-	-
	Stage 2	669,717	16,649	95,449	(78,800)	574,268	-	-
	Stage 3	-	-	-	-	-	-	-
Sub Total		730,340	17,439	95,862	(78,423)	634,478	-	-
Sub standard	Stage 1	-	-	-	-	-	-	-
	Stage 2	-	-	-	-	-	-	-
	Stage 3	21,855	5,540	6,914	(1,374)	14,941	268	268
Sub Total		21,855	5,540	6,914	(1,374)	14,941	268	268
Doubtful	Stage 1	-	-	-	-	-	-	-
	Stage 2	-	-	-	-	-	-	-
	Stage 3	96,704	28,527	34,218	(5,691)	62,486	2,213	2,213
Sub Total		96,704	28,527	34,218	(5,691)	62,486	2,213	2,213
Loss	Stage 1	-	-	-	-	-	-	-
	Stage 2	-	-	-	-	-	-	-
	Stage 3	289,457	177,938	171,413	6,525	118,044	55,106	55,106
Sub Total		289,457	177,938	171,413	6,525	118,044	55,106	55,106
Gross Loans, advances and financing								
	Stage 1	5,534,381	70,574	13,312	57,262	5,521,069	-	-
	Stage 2	894,255	19,672	108,205	(88,533)	786,050	-	-
	Stage 3	408,016	212,005	212,545	(540)	195,471	57,587	57,587
Sub Total		6,836,652	302,251	334,062	(31,811)	6,502,590	57,587	57,587
*Due from banks, Investment securities, Loan commitments & Financial guarantees	Stage 1	4,007,844	34	5,223	(5,189)	4,002,621	-	-
	Stage 2	111,896	-	2,984	(2,984)	108,912	-	-
	Stage 3	7,813	-	906	(906)	6,907	-	-
Sub Total		4,127,553	34	9,113	(9,079)	4,118,440	-	-
Total	Stage 1	9,542,225	70,608	18,535	52,073	9,523,690	-	-
	Stage 2	1,006,151	19,672	111,189	(91,517)	894,962	-	-
	Stage 3	415,829	212,005	213,451	(1,446)	202,378	57,587	57,587
	Total	10,964,205	302,285	343,175	(40,890)	10,621,030	57,587	57,587

In accordance with CBO requirements, where the aggregate provision on portfolio & specific basis computed as per CBO norms is higher than the impairment allowance computed under IFRS9, the difference, net of impact of taxation, will be transferred to an impairment reserve as an appropriation from the retained earnings. The Bank generally transfers this amount annually at year end.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

34. FINANCIAL INSTRUMENTS (CONTINUED)

December 2021	As per CBO RO'000	As per IFRS 9 RO'000	Difference RO'000
Impairment loss charged to statement of comprehensive income	26,340	27,090	750
Provisions	150,466	143,828	(6,638)
Gross NPL ratio (percentage)*	5.38	5.38	-
Net NPL ratio (percentage)*	1.44	1.92	0.48

*NPL ratios are calculated on the basis of funded non-performing loans, advances and financings.

The reconciliation of expected credit loss allowance for all financial assets is as below:

	CBO	IFRS 9
Gross loans, advances and financings	125,321	112,113
Due from banks	3	1
Investment securities (amortised cost)	-	1,947
Investment securities (FVOCI)	-	797
Loan commitments and financial guarantees	-	3,828
Total ECL	125,324	118,686
Contractual interest not recognised	25,142	25,142
Total ECL and Contractual interest not recognised	150,466	143,828

The analysis of changes in the ECL allowance on due from banks, loans, advances and financings (excluding contractual interest not recognised), investment securities and loan commitments and financial guarantees is as follows:

	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
As at 1 January 2021	7,136	42,808	60,008	109,952
Expected credit losses recognised	7,340	29,030	36,688	73,058
Recoveries from expected credit losses	(6,479)	(35,173)	(4,316)	(45,968)
Loans written off	-	-	(1,574)	(1,574)
Loans transferred to memorandum	-	-	(17,317)	(17,317)
Loans brought back from memorandum portfolio	-	-	532	532
Transfers to Stage 1	1,200	(717)	(483)	-
Transfers to Stage 2	(335)	1,018	(682)	-
Transfers to Stage 3	(69)	(1,285)	1,356	-
At 31 December 2021	8,793	35,681	74,212	118,686

The analysis of changes in the ECL allowance on due from banks, loans, advances and financings (excluding contractual interest not recognised), investment securities and loan commitments and financial guarantees is as follows:

	Stage 1 USD'000	Stage 2 USD'000	Stage 3 USD'000	Total USD'000
As at 1 January 2021	18,535	111,189	155,864	285,588
Expected credit losses recognised	19,065	75,403	95,293	189,761
Recoveries from expected credit losses	(16,829)	(91,358)	(11,210)	(119,397)
Loans written off	-	-	(4,088)	(4,088)
Loans brought back from memorandum portfolio	-	-	(44,979)	(44,979)
Loans brought back from memorandum	-	-	1,382	1,382
Transfers to Stage 1	3,117	(1,862)	(1,255)	-
Transfers to Stage 2	(870)	2,644	(1,771)	-
Transfers to Stage 3	(179)	(3,339)	3,523	-
At 31 December 2021	22,839	92,677	192,759	308,275

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

34. FINANCIAL INSTRUMENTS (CONTINUED)

Loans with renegotiated terms are defined as loans, advances and financings that have been restructured due to deterioration in the borrower's financial position, for which the Bank has made concessions by agreeing to terms and conditions that are more favourable for the borrower than the Bank had provided initially and that it would not otherwise consider. A loan continues to be presented as part of loans with renegotiated terms until maturity, early repayment or write-off.

31 December 2021

Classification:		Gross carrying amount RO'000	CBO Provision RO'000	IFRS9 Provisions RO'000	Difference RO'000	Net carrying amount RO'000
CBO	IFRS 9	(1)	(2)	(3)	(4)=(2)-(3)	(5)=(1)-(3)
Classified as performing	Stage 1	75,445	727	371	356	75,074
	Stage 2	193,791	5,485	15,379	(9,894)	178,412
	Stage 3	-	-	-	-	-
Sub Total		269,236	6,212	15,750	(9,538)	253,486
Classified as non-performing	Stage 1	-	-	-	-	-
	Stage 2	-	-	-	-	-
	Stage 3	-	-	-	-	-
Sub Total		-	-	-	-	-
Total	Stage 1	75,445	727	371	356	75,074
	Stage 2	193,791	5,485	15,379	(9,894)	178,412
	Stage 3	-	-	-	-	-
Total		269,236	6,212	15,750	(9,538)	253,486

31 December 2020

Classification:		Gross carrying amount RO'000	CBO Provision RO'000	IFRS9 Provisions RO'000	Difference RO'000	Net carrying amount RO'000
CBO	IFRS 9	(1)	(2)	(3)	(4)=(2)-(3)	(5)=(1)-(3)
Classified as performing	Stage 1	69,765	452	234	218	69,531
	Stage 2	197,190	7,209	31,247	(24,038)	165,943
	Stage 3	-	-	-	-	-
Sub Total		266,955	7,661	31,481	(23,820)	235,474
Classified as non-performing	Stage 1	-	-	-	-	-
	Stage 2	-	-	-	-	-
	Stage 3	-	-	-	-	-
Sub Total		-	-	-	-	-
Total	Stage 1	69,765	452	234	218	69,531
	Stage 2	197,190	7,209	31,247	(23,820)	165,943
	Stage 3	-	-	-	-	-
Total		266,955	7,661	31,481	(23,820)	235,474

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

34. FINANCIAL INSTRUMENTS (CONTINUED)

31 December 2021

Classification:		Gross carrying amount USD'000	CBO Provision USD'000	IFRS9 Provisions USD'000	Difference USD'000	Net carrying amount USD'000
CBO	IFRS 9					
		(1)	(2)	(3)	(4)=(2)-(3)	(5)=(1)-(3)
Classified as performing	Stage 1	195,961	1,888	964	924	194,997
	Stage 2	503,353	14,247	39,945	(25,698)	463,408
	Stage 3	-	-	-	-	-
Sub Total		699,314	16,135	40,909	(24,774)	658,405
Classified as non-performing	Stage 1	-	-	-	-	-
	Stage 2	-	-	-	-	-
	Stage 3	-	-	-	-	-
Sub Total		-	-	-	-	-
Total	Stage 1	195,961	1,888	964	924	194,997
	Stage 2	503,353	14,247	39,945	(25,698)	463,408
	Stage 3	-	-	-	-	-
Total		699,314	16,135	40,909	(24,774)	658,405

31 December 2020

Classification:		Gross carrying amount USD'000	CBO Provision USD'000	IFRS9 Provisions USD'000	Difference USD'000	Net carrying amount USD'000
CBO	IFRS 9					
		(1)	(2)	(3)	(4)=(2)-(3)	(5)=(1)-(3)
Classified as performing	Stage 1	181,208	1,174	608	566	180,600
	Stage 2	512,182	18,725	81,161	(62,436)	431,021
	Stage 3	-	-	-	-	-
Sub Total		693,390	19,899	81,769	(61,870)	611,621
Classified as non-performing	Stage 1	-	-	-	-	-
	Stage 2	-	-	-	-	-
	Stage 3	-	-	-	-	-
Sub Total		-	-	-	-	-
Total	Stage 1	181,208	1,174	608	566	180,600
	Stage 2	512,182	18,725	81,161	(62,436)	431,021
	Stage 3	-	-	-	-	-
Total		693,390	19,899	81,769	(61,870)	611,621

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

35. RELATED PARTY TRANSACTIONS

In the ordinary course of business, the Bank enters into transactions with certain of its directors, shareholders, senior management, Shari'ah supervisory board, Shari'ah reviewer and companies in which they have a significant interest. These transactions are conducted on an arm's length basis and are approved by the Bank's management and Board of Directors.

The aggregate amount of balances and the income and expenses generated with such related parties are as follows:

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
		Directors & Senior Management		
6,431	9,104	Loans, advances and financings at end of year	3,505	2,476
1,777	4,704	Disbursed during the year	1,811	684
(927)	(1,023)	Repaid during the year	(394)	(357)
4,091	4,340	Deposits at end of year	1,671	1,575
3,875	3,374	Received during the year	1,299	1,492
(3,795)	(5,174)	Matured/paid during the year	(1,992)	(1,461)
270	312	Interest income during the year	120	104
29	57	Interest expense during the year	22	11
514	514	Directors' sitting fees and remuneration	198	198
143	143	Shari'ah Supervisory Board members	55	55
		Other related parties		
179,545	186,875	Loans, advances and financings at end of year	71,947	69,125
124,026	90,678	Disbursed during the year	34,911	47,750
(22,932)	(9,055)	Repaid during the year	(3,486)	(8,829)
46,730	38,688	Deposits at end of year	14,895	17,991
33,488	17,470	Received during the year	6,726	12,893
(10,829)	(13,792)	Matured/paid during the year	(5,310)	(4,169)
8,309	10,016	Interest income during the year	3,856	3,199
564	642	Interest expense during the year	247	217

Key management compensation

Key management comprises of 7 (2020:7) senior management executives. The Bank considers these members to be key management personnel for the purpose of IAS 24 Related Party Disclosures.

In the ordinary course of business, the Bank conducts transactions with certain of its key management personnel and companies in which they have a significant interest. The balances in respect of these related parties as at the reporting date are as follows

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
		Key management personnel		
686	3,894	Loans, advances and financings at end of year	1,499	264
758	787	Deposits at end of year	303	292
34	57	Interest Income during the year	22	13
5	3	Interest expense during the year	1	2
4,049	4,971	Salaries and other short term benefits	1,914	1,559
109	88	Post-employment benefits	34	42

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

35. RELATED PARTY TRANSACTIONS (CONTINUED)

The aggregate amount of balances and the income and expenses generated with shareholders holding 10% or more of the Banks' shares are as follows:

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
16,870	20,509	Loans, advances and financings at end of year	7,896	6,495
15,691	20,073	Disbursed during the year	7,728	6,041
-	(808)	Repaid during the year	(311)	-
374	135	Deposits at end of year	52	144
371	3	Received during the year	1	143
-	(234)	Matured/paid during the year	(90)	-
1,296	1,109	Interest income during the year	427	499
184	3	Interest expense during the year	1	71

As at 31 December 2021, no loans to related parties are classified under stage 3 (31 December 2020: Nil)

36. FAIR VALUE OF FINANCIAL INSTRUMENTS

Fair value (FV) is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the accessible principal market for the asset or liability; or
- In the absence of a principal market, in the most advantageous accessible market for the asset or liability.

The Bank uses the following hierarchy for determining and disclosing the fair value of financial instruments:

- Level 1: quoted prices in active markets for the same instrument without modification or repacking;
- Level 2: quoted prices in active markets for similar assets and liabilities or other valuation techniques for which all significant inputs are based on observable market data; and
- Level 3: valuation techniques for which any significant input is not based on observable market data.

The Bank considers that the fair value of financial instruments was not significantly different to their carrying value (including accrued interest) at each of those dates. The table below sets out the classification and fair value of each class of financial assets and liabilities including accrued interest.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

36. FAIR VALUE OF FINANCIAL INSTRUMENTS (CONTINUED)

At 31 December 2021	Amortised cost RO'000	FVOCI RO'000	FVTPL RO'000	Total carrying /fair value RO'000
Assets				
Cash and balances with Central Bank	95,873	-	-	95,873
Due from banks	172,959	-	-	172,959
Investment securities	343,688	594,217	94,099	1,032,004
Loans, advances and financings	2,612,208	-	-	2,612,208
Other assets (excluding prepayments)	166,732	-	-	166,732
Total	3,391,460	594,217	94,099	4,079,776
Liabilities				
Due to banks	918,863	-	-	918,863
Customer deposits	2,394,465	-	-	2,394,465
Other liabilities (excluding other accruals & provisions)	164,507	-	-	164,507
Subordinated loans	35,392	-	-	35,392
Total	3,513,227	-	-	3,513,227

At 31 December 2020	Amortised cost RO'000	FVOCI RO'000	FVTPL RO'000	Total carrying/ fair value RO'000
Assets				
Cash and balances with Central Bank	202,630	-	-	202,630
Due from banks	81,584	-	-	81,584
Investment securities	221,541	383,432	96,145	701,118
Loans, advances and financings	2,503,497	-	-	2,503,497
Other assets (excluding prepayments)	73,191	-	-	73,191
Total	3,082,443	383,432	96,145	3,562,020
Liabilities				
Due to banks	720,561	-	-	720,561
Customer deposits	2,231,565	-	-	2,231,565
Other liabilities (excluding other accruals & provisions)	67,802	-	-	67,802
Subordinated loans	35,392	-	-	35,392
Total	3,055,320	-	-	3,055,320

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

36. FAIR VALUE OF FINANCIAL INSTRUMENTS (CONTINUED)

At 31 December 2021	Amortised cost USD'000	FVOCI USD'000	FVTPL USD'000	Total carrying /fair value USD'000
Assets				
Cash and balances with Central Bank	249,021	-	-	249,021
Due from banks	449,244	-	-	449,244
Investment securities	892,696	1,543,421	244,413	2,680,530
Loans, advances and financings	6,784,956	-	-	6,784,956
Other assets (excluding prepayments)	433,070	-	-	433,070
Total	8,808,987	1,543,421	244,413	10,596,821
Liabilities				
Due to banks	2,386,657	-	-	2,386,657
Customer deposits	6,219,390	-	-	6,219,390
Other liabilities (excluding other accruals & provisions)	427,290	-	-	427,290
Subordinated loans	91,927	-	-	91,927
Total	9,125,264	-	-	9,125,264

At 31 December 2020	Amortised cost USD'000	FVOCI USD'000	FVTPL USD'000	Total carrying/ fair value USD'000
Assets				
Cash and balances with Central Bank	526,312	-	-	526,312
Due from banks	211,906	-	-	211,906
Investment securities	575,432	995,927	249,727	1,821,086
Loans, advances and financings	6,502,590	-	-	6,502,590
Other assets (excluding prepayments)	190,106	-	-	190,106
Total	8,006,346	995,927	249,727	9,252,000
Liabilities				
Due to banks	1,871,586	-	-	1,871,586
Customer deposits	5,796,273	-	-	5,796,273
Other liabilities (excluding other accruals & provisions)	176,109	-	-	176,109
Subordinated loans	91,927	-	-	91,927
Total	7,935,895	-	-	7,935,895

Estimation of fair values

The following summarises the major methods and assumptions used in estimating the fair value of assets and liabilities.

Loans, advances and financings

Fair value is calculated based on discounted expected future principal and interest cash flows. Loan repayments are assumed to occur at contractual repayment dates, where applicable. For loans that do not have fixed repayment dates or that are subject to prepayment risk, repayments are estimated based on experience in previous periods when interest rates were at levels similar to current levels, adjusted for any differences in interest rate outlook. Expected future cash flows are estimated considering credit risk and any indication of impairment. Expected future cash flows for homogeneous categories of loans are estimated on a portfolio basis and discounted at current rates offered for similar loans to new borrowers with similar credit profiles. The estimated fair values of loans reflect changes in credit status since the loans were made and changes in interest rates in the case of fixed rate loans.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

36. FAIR VALUE OF FINANCIAL INSTRUMENTS (CONTINUED)

Investment securities carried at amortised cost and derivatives

Fair value is based on quoted market prices at the reporting date without any deduction for transaction costs. If a quoted market price is not available, fair value is estimated based on discounted cash flow and other valuation techniques.

Where discounted cash flow techniques are used, estimated future cash flows are based on management's best estimates and the discount rate is a market related rate for a similar instrument at the reporting date.

Bank and customer deposits

For demand deposits and deposits with no defined maturities, fair value is taken to be the amount payable on demand at the reporting date. The estimated fair value of fixed-maturity deposits, including certificates of deposit, is based on discounted cash flows using rates currently offered for deposits of similar remaining maturities. The value of long-term relationships with depositors is not taken into account in estimating fair values.

Other on-balance sheet financial instruments

The fair values of all other on-balance sheet financial instruments are considered to approximate their book values.

Off-balance sheet financial instruments

No fair value adjustment is made with respect to credit-related off-balance sheet financial instruments, which include commitments to extend credit, standby letters of credit and guarantees, as the related future income streams materially reflect contractual fees and commissions actually charged at the reporting date for agreements of similar credit standing and maturity.

Foreign exchange contracts are valued based on market prices. The market value adjustments in respect of foreign exchange contracts are included in the book values of other assets and other liabilities.

Financial instruments measured at fair value at the end of the reporting year:

31 December 2021	Investment securities RO'000	Positive FV of derivatives RO'000	Negative FV of derivatives RO'000	Total RO'000
Level 1	5,759	-	-	5,759
Level 2	680,057	4,278	(79)	684,256
Level 3	2,500	-	-	2,500
	688,316	4,278	(79)	692,515

31 December 2020	Investment securities RO'000	Positive FV of derivatives RO'000	Negative FV of derivatives RO'000	Total RO'000
Level 1	6,189	-	-	6,189
Level 2	470,888	2,514	(1,932)	471,470
Level 3	2,500	-	-	2,500
	479,577	2,514	(1,932)	480,159

Level 3 investment securities are investments in shares of an unquoted company, the shares of which are thinly traded. The management values the investment using net asset value of the investee based on the investee's financial statements, plus an applicable premium. Management considers the carrying value of the investment to approximate its fair value as a significant portfolio of the underlying investments of the investee company (a major turnkey project) is currently in the construction phase. Therefore, the carrying value is representative of fair value of the investments.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

36. FAIR VALUE OF FINANCIAL INSTRUMENTS (CONTINUED)

31 December 2021	Investment securities USD'000	Positive FV of derivatives USD'000	Negative FV of derivatives USD'000	Total USD'000
Level 1	14,958			14,958
Level 2	1,766,382	11,112	(206)	1,777,288
Level 3	6,494			6,494
	<u>1,787,834</u>	<u>11,112</u>	<u>(206)</u>	<u>1,798,740</u>

As at 31 December 2020	Investment securities USD'000	Positive FV of derivatives USD'000	Negative FV of derivatives USD'000	Total USD'000
Level 1	16,075			16,075
Level 2	1,223,085	6,530	(5,018)	1,224,597
Level 3	6,494	-	-	6,494
	<u>1,245,654</u>	<u>6,530</u>	<u>(5,018)</u>	<u>1,247,166</u>

37. DERIVATIVES

In the ordinary course of business, the Bank enters into various types of transactions that involve derivative financial instruments. A derivative financial instrument is a financial contract between two parties where payments are dependent upon movements in price in one or more underlying financial instruments, reference rate or index. These derivatives are stated at fair value. The fair value of a derivative is the equivalent of the unrealised gain or loss from marking to market the derivative using prevailing market rates or internal pricing models. Unrealised gains or losses are included in the statement of comprehensive income. The derivative financial instruments used by the Bank are described below:

37.1 Derivative product types

Forwards and futures are contractual agreements to either buy or sell a specified currency, commodity or financial instrument at a specific price and date in the future.

Swaps are contractual agreements between two parties to exchange interest or foreign currency differentials based on a specific notional amount. For interest rate swaps, counter parties generally exchange fixed and floating rate interest payments based on a notional value in a single currency.

Options are contractual agreements that convey the right, but not the obligation, to either buy or sell a specific amount of a commodity, foreign currency or financial instrument at a fixed price, either at a fixed future date or at any time within a specified period.

37.2 Derivatives held or issued for hedging purposes

As part of its asset and liability management the Bank uses derivatives for hedging purposes in order to reduce its exposure to currency and interest rate risks. This is achieved by hedging specific financial instruments and forecasted transactions as well as strategic hedging against overall statement of financial position exposures.

The Bank uses forward foreign exchange contracts, to hedge against specifically identified currency risks and to comply with the net open position limit as specified by CBO.

Strategic hedging is carried out for interest rate risk by monitoring the re-pricing of financial assets and liabilities and entering into interest rate swaps to hedge a proportion of the interest rate exposure. As strategic hedging does not qualify for special hedge accounting, the related derivatives are accounted for as trading instruments.

The table below sets out the positive and negative fair values of derivative financial instruments, together with their notional amounts, analysed by term to maturity. The notional amounts, which provide an indication of the volumes of the transactions outstanding at the end of the period, do not necessarily reflect the amounts of future cash flows involved. These notional amounts, therefore, are neither indicative of the Bank's exposure to credit risk, which is generally limited to the positive fair value of the derivatives, nor to market risk.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

37. DERIVATIVES (CONTINUED)

As at 31 December 2021	Positive FV RO'000	Negative FV RO'000	Notional amount RO'000	Notional amounts by term to maturity		
				Within 3 months RO'000	3 - 12 months RO'000	More than 1 year RO'000
Forward foreign exchange purchase contracts	20	68	882,431	743,102	139,329	-
Forward foreign exchange sales contracts	4,258	11	880,233	744,165	136,069	-

As at 31 December 2020	Positive FV RO'000	Negative FV RO'000	Notional amount RO'000	Notional amounts by term to maturity		
				Within 3 months RO'000	3 - 12 months RO'000	More than 1 year RO'000
Forward foreign exchange purchase contracts	52	216	877,111	480,625	187,188	209,298
Forward foreign exchange sales contracts	2,462	1,716	876,653	482,648	188,914	205,091

As at 31 December 2021	Positive FV USD'000	Negative FV USD'000	Notional amount USD'000	Notional amounts by term to maturity		
				Within 3 months USD'000	3 - 12 months USD'000	More than 1 year USD'000
Forward foreign exchange purchase contracts	52	177	2,292,029	1,930,135	361,894	-
Forward foreign exchange sales contracts	11,062	28	2,286,319	1,932,896	353,426	-

As at 31 December 2020	Positive FV USD'000	Negative FV USD'000	Notional amount USD'000	Notional amounts by term to maturity		
				Within 3 months USD'000	3 - 12 months USD'000	More than 1 year USD'000
Forward foreign exchange purchase contracts	135	561	2,278,210	1,248,376	486,203	543,631
Forward foreign exchange sales contracts	6,395	4,457	2,277,021	1,253,631	490,686	532,704

38. FINANCIAL RISK MANAGEMENT

The primary objective of risk management is to safeguard the Bank's capital and its financial resources from various risks. The Bank has exposure to the following risks from its use of financial instruments:

- Credit risk
- Liquidity risk
- Market risk
- Operational risk

The Board of Directors has overall responsibility for the establishment and oversight of the Bank's risk management framework. Such responsibility is discharged by the Board through four sub-committees being Executive Nomination & Remuneration Committee (ENRC), Board Audit Committee (BAC), Credit Approval Committee (CAC) and Board Risk Committee (BRC).

Executive Nomination & Remuneration Committee

The ENRC assists the Directors to discharge the Board's responsibilities of oversight and governance in relation to : (1) General Performance aspects of the Bank such as strategy setting and implementation, banking business, annual budget recommendations, information technology and generally to assist the board in reviewing business proposals and other related issues that require a detailed study and analysis. (2) HR, Nomination and Remuneration issues such as to provide direction and guidance to have the right CEO and Senior Management team and provide support and direction to the Bank and its stakeholders and ensure their interests are protected, etc.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

Board Audit Committee

The main functions of BAC are to assess and review the financial reporting system of the Bank to ensure that the financial statements are correct, sufficient and credible. The Committee reviews with the Management the quarterly / annual financial statements before their submission to the Board for adoption. The Committee also reviews the adequacy of regulatory compliance, regulatory reporting, internal control systems and structure of Internal Audit and Compliance Departments. The Committee also holds discussions with the internal auditors / external auditors on significant finding on the control environment.

The role of Head of Internal Audit is to provide reasonable assurance that the management control framework used within the Bank is operating effectively. The role of Head of Compliance is to ensure that the Bank complies with all the Laws, rules and regulations as applicable under the regulatory framework in Sultanate of Oman and international best practice. Both heads report directly to the Audit committee of the Board.

Credit Approval Committee

The CAC approves loans which are above the lending mandate of Executive Credit Committee (ECC) of the management, reviewing credit product policies, credit policy, credit portfolio and existing credit facilities on annual basis.

Board Risk Committee

The BRC assists the Directors to discharge the Board's responsibilities of oversight and governance in relation to the risk performance of the Bank. The Committee is responsible for making recommendations to the Board of Directors on the risk appetite of the Bank in relation to credit, interest rate, market, liquidity and operational risk.

The committee ensures the implementation of risk strategy and policy in addition to ensuring that a robust risk framework is in place within the Bank which optimises the quality and return on deployment of assets. The Committee also provides guidance and direction on all credit, market, interest rate, liquidity and operational risk policy matters.

The banks risk management policies focus on identification, measurement, monitoring and mitigation of risk, irrespective of its manner of manifestation. In this process, the Bank recognises that the dynamics of markets may necessitate decisions that may deviate on occasions from the principles of Credit Risk Management (CRM). For such requirements, minimal and requisite level of flexibilities are defined within the Risk Management policies, along with suitable and adequate safeguards/controls.

Internal Audit department undertakes both regular and ad-hoc reviews of risk management controls and procedures, the results of which are reported to the Audit Committee.

There are sub-committees at management level for managing risks. The Asset and Liability Committee (ALCO) manages the risks in the balance sheet arising out of liquidity management, interest rates management as well as tenor of exposures taken by the Bank. ALCO provides management with guidance on managing these risks. Risk appetite is articulated through various limits, ratios and caps. Operational Risk is managed under the guidance of MRC (Management Risk Committee) at the management level. A separate ALCO has also been established to monitor the performance of the assets of Sohar Islamic. IFRS Steering Committee and Stress Assets Management Committee manages the governance requirements of IFRS-9 standard, to monitor and approve the Bank's credit risk provisions and the underlying drivers. The Bank's Management Risk Committee (MRC) oversees the risk management functions across the bank.

38.1 Credit risk

Credit risk is the risk of financial loss to the Bank if counterparty to a financial instrument fails to meet its contractual obligations. Credit risk represents the probability of default by any counterparty in repayment of principal obligations and / or servicing interest obligations in accordance with the set redemption schedule or terms of contract.

Management of credit risk

The Board of Directors manage credit risk through the Board Risk Committee (BRC) which is responsible for the overall risk framework of the bank covering both conventional and Islamic banking. The Bank has a Chief Risk Officer who heads the Risk Management department with a reporting line to the Board Risk Committee. Credit risk management includes:

- Setting up a strong risk culture within the bank through risk limits and boundaries, within the regulatory guidelines, for risk origination to be within the approved risk appetite of the Bank;
- Robust lending policy and governed delegation of authorities for both conventional and Islamic banking division;
- Time tested and a credit appraisal process which includes independent credit risk review of individual corporate credit proposals duly adhering the bank's lending policy and through a Board approved retail products policy and template lending. Exceptions are reviewed by Credit Risk function;
- Robust Portfolio monitoring and periodic client level review through an independent loan review group (LRG), reporting to Chief Risk Officer;
- limiting concentrations of exposure to counterparties, geographic locations and industries (for loans, advances and financings), and by issuer, market liquidity and country (for investment securities) to promote best practice throughout the Bank in the management of credit risk.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.1 Credit risk (continued)

The Bank employs a range of policies and practices to mitigate credit risk. The Bank follows a risk mitigation practice of identifying business cash flows as the primary driver for the advances extended. These cash flows are then tested for sustainability over the tenor of the credit facility and a suitable mechanism is put in place to capture the same into the client account with the Bank. To cover unforeseen risk, which dries up the cash flows, additional tangible securities are taken such as Cash Margin, Mortgages, Equity Shares etc. The Bank implements guidelines on the acceptability of specific classes of collateral credit risk mitigation. The principal types of collaterals for loans, advances and financings are:

- Mortgages over Assets;
- Charges of assets under Murabaha agreements;
- Ownership/title of assets under Ijarah financing;
- Charges over business assets such as premises inventory and accounts receivable; and
- Charges over financial instruments such as debt securities and equities.

All loans, advances and financings of the Bank are regularly monitored to ensure compliance with the stipulated repayment terms. Those loans, advances and financings are classified into one of the 5 risk classification categories: Standard, Special Mention, Substandard, Doubtful and Loss – as required by CBO regulations and guidelines. Further, as mandated by IFRS 9, the loans, advances and financings are also classified into stage 1, stage 2, stage 3 based on the internal credit ratings / significant increase in credit risk criteria / requirements of CBO circular BM 1149, including POCL assessment. The responsibility for identifying problem accounts and classifying them rests with business line function and a separate unit manages problem accounts.

38.1a Coronavirus (COVID-19) and Expected credit loss (ECL)

On 11 March 2020, the World Health Organisation officially declared Covid-19 as a global pandemic. Measures to contain the spread of Covid-19 including tightening of market conditions, lockdowns, restrictions on trade and movement of people have caused significant disruptions to businesses and economic activities globally and across industries & sectors. As the Covid-19 pandemic evolves, including through the emergence and progression of new variants of Covid-19 in different regions, governments continue to adjust their response and approach to the pandemic. While rising vaccination rates have supported a substantial or full easing of containment measures, progress towards re-opening has been accompanied by resurgences in the spread of Covid-19 and the re-imposition of restrictions. Despite positive developments, uncertainty remains regarding new variants of Covid-19, the potential impact of vaccine hesitancy, and global vaccine supply and availability.

Government measures

Governments and regulatory authorities across the globe have implemented several measures to contain the impact of the spread of the virus. In line with this, the Central Bank of Oman (CBO), also instituted a host of measures to protect the stability of country's economy. These measures include deferral of loan instalments for the affected borrowers (particularly the corporates and SMEs), deferment and waiver of interest/profit for affected Omani nationals employed in private sector, waiver of point of sale (POS) charges, lowering of regulatory capital ratios and increasing the lending ratio etc. (refer CBO circular no. BSD/CB/2020/001 for details) and subsequent circulars. These measures have been extended until 31 Dec 2021. In addition, CBO circular BSD/CB & FLC/2022/001 further extended this suspension until financial year ending 31 December 2022.

Assessing impact of COVID-19 on the Bank

The assessment of Significant Increase in Credit risk (SICR) and the measurement of ECLs are based on reasonable and supportable information that is available without undue cost or effort. In assessing forecast conditions, consideration is given both to the effects of Covid-19 and the significant government support measures being undertaken. Relief measures, such as payment holidays, do not automatically lead to loans being measured on the basis of lifetime losses and considerable judgment is needed by management to measure ECLs at this time. When it is not possible to reflect such information in the models, post-model overlays or adjustments are considered. This is also broadly consistent with guidelines issued by other regulators including those issued by the CBO. Additional IFRS 9 guidelines issued by the CBO include the following:

- CBO's measures related to deferment of loan repayment by a borrower may not on its own trigger the counting of 30 DPD or more backstop used to determine SICR or the 90 days past due backstop used to determine default. However, banks shall continue to assess the obligor's likelihood of payment of amount due after the deferment period, and in case of SICR or credit impairment and if the same is not of a temporary nature, accordingly fairly recognize such risk.
- The deferment of repayment by borrowers may indicate short term liquidity or cash flow problems and hence the deferment of loan repayment may not be a sole deciding factor for SICR or impairment until and unless banks and FLC's might have experienced other supportable evidence on having deterioration in the credit quality of the obligor.
- Similarly, any covenant breach having particular relevance to Covid-19 e.g. delay in submission of audited financial accounts or any other breach, may be considered differently than normal breaches related to consistent borrower specific risk factors leading to borrower's default. This sort of breach may not necessarily and automatically trigger SICR resulting in moving accounts to Stage-2. However, it may be noted that CBO vide its recent circular dated March 18, 2021 (refer: BSD/CB&FLC/2021/002) has suspended SICR criteria assessment for additional accounts for FY 2021.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.1 Credit risk (continued)

38.1a Coronavirus (COVID-19) and Expected credit loss (ECL) (continued)

- Banks must develop estimates based on the best available supportable information about past events, current conditions and forecasts of economic conditions. In assessing forecast conditions consideration should be given both to the effects of Covid-19 coupled with oil prices & significant CBO policy measures being undertaken.
- Nevertheless, any changes made to ECL estimate the impact of Covid-19 distress will be subject to very high levels of uncertainty as reasonable and supportable forward-looking information may not be currently available to substantiate those changes. As such, the macro-economic forecasts applied by the banks in their IFRS 9/ECL models couldn't be recalibrated upfront with pre-mature effects of Covid-19 and CBO support measures, besides the individual and collective LGD's may get impacted due to Covid-19 effect on market prices of collateral and guarantees. However, Banks are expected to use post model adjustments and management overlays by applying multiple macroeconomic scenarios with careful application of probability weights to each of such scenarios while computing ECL on portfolio basis as prudence.

The exercise of the deferment option by a customer, in its own, is not considered by the Bank as triggering SICR. CBO has suspended the applicability of SICR Criteria for a further period of one year given the overall economic uncertainty. Notwithstanding the same, as part of the Bank's credit evaluation process especially given the current economic situation due to after effects of lock down, the Bank has always strived to obtain further information from the customer to understand their financial position and ability to repay the amount and in case where indicators of significant deterioration were noted, the customers' credit ratings and accordingly exposure staging were adjusted, where applicable.

The Chief Risk Officer is primarily responsible for overseeing the Bank's adequacy on ECL. This is done by closely monitoring the impact of Covid-19 by an ongoing review of the portfolio including a review of all individually significant exposures in the directly impacted industries and sectors. SME customers are evaluated based on the stability of the business owner and business and any short term cash flow mismatches are supported by the Bank.

Bank's retail portfolio largely comprises of nationals employed in government sector and hence this segment is expected to largely remain insulated from job cuts and salary reductions. Retail lending to private sector employees which forms a small proportion of banks total retail portfolio is expected to witness some impact in the short to medium term due to the pandemic and hence could lead to potential credit issues. The bank is fully committed to help its customers through this turbulent period as directed by the CBO. The Bank continued to support its customers and partners through well-executed business continuity plans, in addition to adopting health and safety measures announced by the Supreme Committee entrusted with finding mechanisms for dealing with developments resulting from the Covid-19 pandemic. The Bank continually reviews its precautionary and administrative measures in response to changes on the ground.

Post-model adjustments and management overlays

The Bank's models have been constructed and calibrated using historical trends and correlations as well as forward looking economic scenarios. The severity of the current macro-economic projections and the added complexity caused by the various support schemes and regulatory guidance across the main regions in which the Bank operates could not be reliably modelled for the time being. As a consequence, the existing models may generate results that are either overly conservative or overly optimistic depending on the specific portfolio / segment. As a result, post-model adjustments are needed. Given model changes take a significant amount of time to develop and test and the data limitation issues noted above, the Bank expects that post-model adjustments will be applied for the foreseeable future.

During 2021, the Bank enhanced obligor risk rating scales for the wholesale banking portfolio and re-calibrated associated PD estimates, implemented robust statistical calculation methodology for stage 3 and modelled LGD for the wholesale banking portfolio based on the bank's historic cash recovery experience. These enhancements were implemented as at December 2021 and will be subject to independent validation in 2022 in line with the bank's internal risk management framework.

The Bank uses relevant forward looking macroeconomic inputs namely oil price, percentage change in real gross domestic product etc. for ECL calculations. Following regulatory guidance on retaining the pre-Covid macro forecasts in the banks' ECL models due to the prevailing economic uncertainty, management overlays over and above the model were provided for.

The management overlay of RO 13 million (December 2020: RO 3.6 million) or 11% (December 2020: 2.7%) is arrived basis following scenarios:

- Stressing the probability weighted of three scenarios i.e. Base case, Upside and Downside with Base: 15% Upside: 10% Downside: 75% against the normal weights of 40% 30% and 30% for these scenarios respectively. No change in the macro indicators per se are considered as the bank has already considered conservative pre-Covid estimates in their ECL models. As per the current estimates, the relevant macro indicators used in the bank's ECL models are stated to have improved significantly. Alongside, the PDs are also stressed in select portfolio in light of the market conditions.
- Available valuation of hard collaterals are stressed by 20% in view of the expected decline in the value of such collaterals since the beginning of Covid in early 2020.

This management overlay is in addition to the existing ECL provisions, however, The Bank will continue to reassess and appropriately adjust such overlays, both specific and collective, on a regular basis throughout the affected period.

Given the ever evolving nature of the current health and economic crisis, the banks management is of the view that the forward looking macro-economic data and the PD term structures published by the economists and rating agencies is yet to reasonably reflect the impact of the economic disruption caused by Covid-19 and also to fully factor in the financial intervention by the relevant state authorities. Hence, based on regulatory and IASB's guidance, as a measure of prudence, wherever necessary, the bank has considered post model adjustments and management judgment overlays, while computing its ECL to collectively cover for Covid-19 and other prevailing economic stress.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.1 Credit risk (continued)

38.1a Coronavirus (COVID-19) and Expected credit loss (ECL) (continued)

The following table shows a comparison of the Bank's allowances for credit losses on non-impaired financial assets (Stages 1 and 2) under IFRS 9 as at December 31, 2021 based on the probability weightings of three scenarios with allowances for credit losses resulting from simulations of each scenario weighted at 100%.

Sensitivity of impairment estimates	At 31 December 2021		At 31 December 2020	
	ECL RO'000's	Impact on ECL RO'000's	ECL RO'000's	Impact on ECL RO'000's
ECL on non-impaired loans under IFRS9	39,329	-	49,944	-
Simulations				
Upside case - %100 weighted	34,304	5,025	35,273	14,671
Base case - %100 weighted	39,037	292	45,381	4,563
Downside scenario - 100% weighted	46,030	(6,701)	57,916	(7,972)

Accounting for modification loss

For corporate customers the Bank adds the simple interest accrued during the deferral period to the principal outstanding and either extends the original maturity period of the loan or increases the instalments at the end of the deferment period. The Bank has determined that the modifications due to deferment of instalment and waiver of profit allowed in line with CBO relaxation measures did not result in de-recognition of financial assets. The impact of day one modification loss was not considered material for the period.

The following table contains an analysis of the deferred amount of principal outstanding and accrued interest / profit pertinent to loans, advances and financings and Islamic financing receivables of the customers, who have been provided with such benefits, and the related ECL:

31 December 2021	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
Loans, advances and financings and Islamic financing receivables and acceptances	445,037	155,646	3,531	604,214
Total ECL on exposure to customers benefiting from payment deferrals	961	3,315	1,475	5,752
Of Which:				
Deferred amount (Principal)	44,819	6,942	167	51,928
Deferred amount (Interest / Profit)	23,348	8,860	73	32,281
Total Deferred amount	68,167	15,802	240	84,209
Allowance for impairment (ECL)	168	327	86	581
Carrying amount	67,999	15,475	154	83,628

Impact on the Capital Adequacy

Besides, the Bank has also applied in its capital adequacy calculations the "Prudential filter" under interim adjustment arrangement for Stage-1 and Stage-2 ECL. The impact of above filter on the Bank's regulatory capital is 5 bps.

Although above measures are not exhaustive and may not fully counteract the impact of Covid-19 in the short run, they will mitigate the long-term negative impact of the pandemic. In response to this crisis, the Bank continues to monitor and respond to all liquidity and funding requirements. As at the reporting date the liquidity, funding and capital position of the Bank remains strong and is well placed to absorb the impact of the current disruption.

Low Credit Risk Exemption

Under IFRS 9, Stage 2 consists of facilities where there has been a significant increase in credit risk since initial recognition (unless they are classified under low credit risk at reporting date). The bank measures loss allowance at an amount equal to the life time ECL, except for the below where 12 M ECL are applied:

- Sovereign (including quasi sovereign) exposures/debt investment securities that are determined to have low credit risk at the reporting date
- Other financial instruments on which Credit Risk has not significantly increased since initial recognition.

The bank does not apply low credit exemption to any other financial instruments.

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.1 Credit risk (continued)

38.1b Exposure to credit risk (continued)

The following table sets out information about the credit quality of financial assets measured at amortised cost. Unless specifically indicated, for financial assets, the amounts in the table represent gross carrying amounts.

31 December 2021	Performing RO'000	Past due but not impaired RO'000	Credit impaired RO'000	Total RO'000
Loans, advances and financings - corporate				
Performing loans (Grades 1-5)	1,193,126	26,796	-	1,219,923
Performing loans (Grades 6)	182,044	114,731	-	296,775
Performing loans (Grades 7)	1,549	187,556	-	189,105
Non-performing loans (Grades 8-10)	-	-	127,494	127,494
	<u>1,376,719</u>	<u>329,083</u>	<u>127,494</u>	<u>1,833,296</u>
Loans, advances and financings - retail				
Performing loans (Grades 1-7)	876,189	19,481	-	895,670
Non-performing loans (Grades 8-10)	-	-	20,497	20,497
	<u>876,189</u>	<u>19,481</u>	<u>20,497</u>	<u>916,167</u>
Total gross loans, advances and financings	<u>2,252,908</u>	<u>348,564</u>	<u>147,991</u>	<u>2,749,463</u>
Credit related contingent items				
Performing loans (Grades 1-5)	740,551	1,129	-	741,680
Performing loans (Grades 6)	199,453	25,412	-	224,865
Performing loans (Grades 7)	3,192	20,454	-	23,646
Non-performing loans (Grades 8-10)	-	-	2,774	2,774
Total gross contingent items to customers	<u>943,196</u>	<u>46,995</u>	<u>2,774</u>	<u>992,965</u>
Due from banks	<u>172,498</u>	<u>462</u>	<u>-</u>	<u>172,960</u>
Investment securities	<u>916,497</u>	<u>18,391</u>	<u>-</u>	<u>934,888</u>

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.1 Credit risk (continued)

38.1b Exposure to credit risk (continued)

31 December 2020	Performing RO'000	Past due but not impaired RO'000	Credit impaired RO'000	Total RO'000
Loans, advances and financings - corporate				
Performing loans (Grades 1-5)	1,139,405	60,552	-	1,199,957
Performing loans (Grades 6)	103,496	100,605	-	204,101
Performing loans (Grades 7)	7,605	155,863	-	163,467
Non-performing loans (Grades 8-10)	-	-	128,314	128,314
	<u>1,250,506</u>	<u>317,019</u>	<u>128,314</u>	<u>1,695,839</u>
Loans, advances and financings - retail				
Performing loans (Grades 1-7)	880,231	27,269	-	907,500
Non-performing loans (Grades 8-10)	-	-	28,772	28,772
Gross loans, advances and financings to customers - retail banking	<u>880,231</u>	<u>27,269</u>	<u>28,772</u>	<u>936,272</u>
Total gross loans, advances and financings	<u>2,130,737</u>	<u>344,288</u>	<u>157,086</u>	<u>2,632,111</u>
Credit related contingent items				
Performing loans (Grades 1-5)	659,376	1,112	-	660,488
Performing loans (Grades 6)	208,582	9,414	-	218,496
Performing loans (Grades 7)	1,965	17,058	-	19,023
Non-performing loans (Grades 8-10)	-	-	3,007	3,007
Total gross contingent items to customers	<u>869,923</u>	<u>28,084</u>	<u>3,007</u>	<u>901,014</u>
Due from banks and money market placements	<u>81,616</u>	<u>-</u>	<u>-</u>	<u>81,616</u>
Investment securities	<u>606,478</u>	<u>-</u>	<u>-</u>	<u>606,478</u>

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.1 Credit risk (continued)

38.1b Exposure to credit risk (continued)

31 December 2021	Performing USD'000	Past due but not impaired USD'000	Credit impaired USD'000	Total USD'000
Loans, advances and financings – corporate				
Performing loans (Grades 1-5)	3,099,029	69,600	-	3,168,629
Performing loans (Grades 6)	472,842	298,003	-	770,844
Performing loans (Grades 7)	4,023	487,158	-	491,182
Non-performing loans (Grades 8-10)	-	-	331,153	331,153
	<u>3,575,894</u>	<u>854,761</u>	<u>331,153</u>	<u>4,761,808</u>
Loans, advances and financings – retail				
Performing loans (Grades 1-7)	2,275,816	50,600	-	2,326,416
Non-performing loans (Grades 8-10)	-	-	53,239	53,239
	<u>2,275,816</u>	<u>50,600</u>	<u>53,239</u>	<u>2,379,655</u>
Total gross loans, advances and financings	<u>5,851,710</u>	<u>905,361</u>	<u>384,392</u>	<u>7,141,463</u>
Credit related contingent items				
Performing loans (Grades 1-5)	1,923,509	2,932	-	1,926,442
Performing loans (Grades 6)	518,060	66,005	-	584,065
Performing loans (Grades 7)	8,291	53,127	-	61,418
Non-performing loans (Grades 8-10)	-	-	7,205	7,205
Total gross contingent items to customers	<u>2,449,860</u>	<u>122,065</u>	<u>7,205</u>	<u>2,579,130</u>
Due from banks	<u>448,047</u>	<u>1,200</u>	<u>-</u>	<u>449,247</u>
Investment securities	<u>2,380,512</u>	<u>47,769</u>	<u>-</u>	<u>2,428,281</u>

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.1 Credit risk (continued)

38.1b Exposure to credit risk (continued)

31 December 2020	Performing USD'000	Past due but not impaired USD'000	Credit impaired USD'000	Total USD'000
Loans, advances and financings – corporate				
Performing loans (Grades 1-5)	2,959,494	157,278	-	3,116,771
Performing loans (Grades 6)	268,821	261,312	-	530,132
Performing loans (Grades 7)	19,753	404,839	-	424,590
Non-performing loans (Grades 8-10)	-	-	333,283	333,283
	<u>3,248,068</u>	<u>823,426</u>	<u>333,283</u>	<u>4,404,777</u>
Loans, advances and financings – retail				
Performing loans (Grades 1-7)	2,286,314	70,829	-	2,357,143
Non-performing loans (Grades 8-10)	-	-	74,732	74,732
	<u>2,286,314</u>	<u>70,829</u>	<u>74,732</u>	<u>2,431,875</u>
Total gross loans, advances and financings	<u>5,534,382</u>	<u>894,255</u>	<u>408,016</u>	<u>6,836,652</u>
Credit related contingent items				
Performing loans (Grades 1-5)	1,712,665	2,888	-	1,715,553
Performing loans (Grades 6)	541,771	24,452	-	567,522
Performing loans (Grades 7)	5,104	44,306	-	49,410
Non-performing loans (Grades 8-10)	-	-	7,810	7,810
Total gross contingent items to customers	<u>2,259,540</u>	<u>72,945</u>	<u>7,810</u>	<u>2,340,296</u>
Due from banks	<u>211,990</u>	<u>-</u>	<u>-</u>	<u>211,990</u>
Investment securities	<u>1,575,268</u>	<u>-</u>	<u>-</u>	<u>1,575,268</u>

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.1 Credit risk (continued)

38.1b Exposure to credit risk (continued)

Maximum exposure to credit risk before collateral held or other credit enhancements for all on-balance sheet assets are based on net carrying amounts as reported in the statement of financial position.

The maximum credit risk exposures relating to off-balance sheet items calculated as per Basel II guidelines are provided in note 38.1. The amounts represented in note 38.1 represent a worst case scenario of credit risk exposure as of 31 December 2021 and 2020, without taking into account of any collateral held or other credit enhancements attached.

Impairment assessment

Definition of default and cure

The Bank considers a financial instrument defaulted and therefore Stage 3 (credit-impaired) for ECL calculations in all cases when the borrower becomes 90 days past due on its contractual payments. The Bank considers treasury and interbank balances defaulted and takes immediate action when the required intraday payments are not settled by the close of business as outlined in the individual agreements.

As a part of a qualitative assessment of whether a customer is in default, the Bank also considers a variety of instances (in line with CBO circular BM 1149) that may indicate unlikeliness to pay. When such events occur, the Bank carefully considers whether the event should result in treating the customer as defaulted and therefore assessed as Stage 3 for ECL calculations or whether Stage 2 is appropriate. Such events include:

- Internal rating of the borrower indicating default or near-default and/or substantial downgrade of rating
- Borrower is subject to litigation by third parties that may have a significant impact on his financial position
- A material decrease in the underlying collateral value
- A material covenant breach not waived by the Bank
- Unexplained delay in commencement of commercial operation
- Unreliable or delay in submission of financial statements the debtor (or any legal entity within the debtor’s group) filing for bankruptcy application/protection

It is the Bank’s policy to consider a financial instrument as ‘cured’ and therefore re-classified out of Stage 3 when none of the default criteria have been present for at least twelve consecutive months which is six months for accounts classified as Stage 2. The decision whether to classify an asset as Stage 2 or Stage 1 once cured depends on the updated credit grade, at the time of the cure, and whether this indicates there has been a significant increase in credit risk compared to initial recognition.

Incorporation of forward-looking information

The Bank incorporates forward-looking information into both its assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL. Based on consideration of a variety of external actual and forecast information, the bank formulates a fundamental view of the future direction of relevant economic variables as well as a reasonable range of possible scenarios.

Given the nature of the bank’s exposures and availability of historical statistically reliable information, the bank derives the point-in-time (PIT) probability of default (PD) using the through-the-cycle (TTC) PD data computed from historical bank default data for each rating category. The bank follows Roll rate estimation to calculate the through the cycle PDs and the PD term structure for calculating lifetime PiT PDs. Macroeconomic models are to adjust PDs to reflect the impact of the macroeconomic variables, thus making them forward looking. Bank has adopted Vasicek framework to transform long term unconditional PD or through the cycle PD estimates into conditional PiT PDs.

The Bank’s internal rating and PD estimation process

The Bank’s independent Credit Risk Department operates its internal rating models. The Bank runs separate models for its key portfolios in which its customers are rated from 1 to 10 using 22 internal grades. Granular scales were implemented in 2021 as a part of the overall enhancement to the Obligor Risk Rating framework. The models incorporate both qualitative and quantitative information and, in addition to information specific to the borrower, utilise supplemental external information that could affect the borrower’s behaviour. Where practical, they also build on information from Good Rating Agency. These information sources are first used to determine the PDs within the Bank’s Basel III framework. The internal credit grades are assigned based on these Based III grades.

PDs are then adjusted for IFRS 9 ECL calculations to incorporate forward looking information and the IFRS 9 Stage classification of the exposure. This is repeated for each economic scenario as appropriate.

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.1 Credit risk (continued)

38.1b Exposure to credit risk (continued)

Generating the term structure of Probability of Default (PD)

The bank employs statistical models to analyse the data collected and generate estimates of PD of exposures and how these are expected to change as a result of the passage of time. This analysis includes the identification and calibration of relationships between changes in default rates and changes in key macro-economic factors, across various geographies in which the bank has exposures.

The Bank’s internal credit rating grades along with the respective PDs are as below:

Internal rating grades	Internal rating grade description	PD range (%)
1	Investment Grade	0.91% to 4.69%
2+	Investment Grade	
2	Investment Grade	
2-	Investment Grade	
3+	Investment Grade	
3	Investment Grade	
3-	Investment Grade	
4+	Investment Grade	
4	Investment Grade	
4-	Investment Grade	
5+	Investment Grade	
5	Investment Grade	
5-	Investment Grade	
6+	Investment Grade	
6	Investment Grade	
6-	Investment Grade	
7+	Sub Investment Grade	5.15% to 7.01%
7	Sub Investment Grade	
7-	Sub Investment Grade	
8 to 10	Non-Performing	100%

Economic variable assumptions

The Bank obtains the data used from third party sources (Moody’s, World Bank, other public and private sources) for Bank’s macro-economic /ECL model and determines weights attributable to multiple scenarios. A correlation analysis has been performed among historical default rate of the portfolio with the macro-economic factors to identify the factors to be considered to compute the macro-economic impact. The macro-economic factors that are having good correlation with the historical movements of default rate are further put to regression analysis to identify the appropriate combination of macro-economic factors to be considered. Several macroeconomic variables (MEVs) were explored to decide on the best set of independent variables in order to explain the historical credit losses. These included Real GDP, Real GDP growth rate, Oil price, Unemployment, etc. The final ones to be selected were:

- a) Real GDP (% change)
- b) Europe Brent Spot Price FOB
- c) Gross domestic saving/GDP (% change)

These economic variables and their associated impact on the PD, EAD and LGD vary by financial instrument. Expert judgment has also been applied in this process. Forecasts of these economic variables (the “base economic scenario”) are collected from statistical database of Moody’s, World Bank and other public and private sources to provide the best estimate view of the economy.

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.1 Credit risk (continued)

38.1b Exposure to credit risk (continued)

Economic variable assumptions (continued)

As with any economic forecasts, the projections and likelihoods of occurrence are subject to a high degree of inherent uncertainty and therefore the actual outcomes may be significantly different to those projected. The bank considers these forecasts to represent its best estimate of the possible outcomes and has analysed the non-linear and asymmetries within the bank's different portfolios to establish that the chosen scenarios are appropriately representative of the range of possible scenarios.

Other forward-looking considerations not otherwise incorporated within the above scenarios, such as the impact of any regulatory, legislative or political changes, have also been considered, but are not deemed to have a material impact and therefore no adjustment has been made to the ECL for such factors. This is reviewed and monitored for appropriateness on a quarterly basis.

Treasury, trading and interbank relationships

The Bank's treasury, trading and interbank relationships and counterparties comprise financial services institutions, banks, broker-dealers, exchanges and clearing-houses. For these relationships, the Bank's credit risk department analyses publicly available information such as financial information and other external data, e.g., the rating of Moody's or equivalent, and assigns the internal rating.

Corporate and small business lending

For corporate and investment banking loans, the borrowers are assessed by the business teams duly complemented by an independent review by Credit Risk Management Team. The credit risk assessment is based on a robust credit scoring model that takes into account various historical, current and forward-looking information such as:

Historical financial information together with forecasts and budgets prepared by the client. This financial information includes realised and expected results, solvency ratios, liquidity ratios and any other relevant ratios to measure the client's financial performance. Some of these indicators are captured in covenants with the clients and are, therefore, measured with greater attention.

- Any publicly available information on the clients from external parties. This includes external rating grades issued by rating agencies, independent analyst reports, publicly traded bond or CDS prices or press releases and articles.
- Any macro-economic or geopolitical information, e.g., GDP growth relevant for the specific industry and geographical segments where the client operates.
- Any other objectively supportable information on the quality and abilities of the client's management relevant for the company's performance.
- The complexity and granularity of the rating techniques varies based on the exposure of the Bank and the complexity and size of the customer. Some of the less complex small business loans are rated within the Bank's models for retail products.

Consumer lending and retail mortgages

Consumer lending comprises unsecured personal loans, credit cards and overdrafts. These products along with retail mortgages and some of the less complex small business lending are rated by an automated scorecard tool primarily driven by days past due. Other key inputs into the models are:

- Consumer lending products: use of limits and volatility thereof, GDP growth, unemployment rates, changes in personal income/salary levels based on records of current accounts, personal indebtedness and expected interest repricing
- Retail mortgages: GDP growth, unemployment rates, changes in personal income/salary levels based on records of current accounts, personal indebtedness and expected interest repricing

Exposure at default

The exposure at default (EAD) represents the gross carrying amount of the financial instruments subject to the impairment calculation, addressing both the client's ability to increase its exposure while approaching default and potential early repayments too.

To calculate the EAD for a Stage 1 loan, the Bank assesses the possible default events within 12 months for the calculation of the 12mECL. However, if a Stage 1 loan that is expected to default in the 12 months from the balance sheet date and is also expected to cure and subsequently default again, then all linked default events are taken into account. For Stage 2, Stage 3 and POCI financial assets, the exposure at default is considered for events over the lifetime of the instruments.

The Bank determines EADs by modelling the range of possible exposure outcomes at various points in time, corresponding the multiple scenarios. The IFRS 9 PDs are then assigned to each economic scenario based on the outcome of Bank's models

38. FINANCIAL RISK MANAGEMENT ONTINUED)

38.1 Credit risk (continued)

38.1b Exposure to credit risk (continued)

LGD is the share of an asset that is lost when a borrower default. The recovery rate is defined as 1 minus the LGD, the share of an asset that is recovered when a borrower default. Loss given default is facility-specific because such losses are generally understood to be influenced by key transaction characteristics such as the presence of collateral and the degree of subordination, if any.

The Bank segments its retail lending products into smaller homogeneous portfolios, based on key characteristics that are relevant to the estimation of future cash flows. This comprehensive loan portfolio segmentation strategy enabled the bank to quickly identify the underlying behaviours that drive credit risk. This comprehensive loan portfolio segmentation strategy enabled the bank to quickly identify the underlying behaviors that drive credit risk. The applied data is based on historically collected loss data and involves a wider set of transaction characteristics (e.g., product type, wider range of collateral types) as well as borrower characteristics.

Further recent data and forward-looking economic scenarios are used in order to determine the IFRS 9 LGD rate for each group of financial instruments. When assessing forward-looking information, the expectation is based on multiple scenarios. Examples of key inputs involve changes in, collateral values including property prices for mortgages, commodity prices, payment status or other factors that are indicative of losses in the Bank.

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Further recent data and forward-looking economic scenarios are used in order to determine the IFRS 9 LGD rate for each group of financial instruments. When assessing forward-looking information, the expectation is based on multiple scenarios. Examples of key inputs involve changes in, collateral values including property prices for mortgages, commodity prices, payment status or other factors that are indicative of losses in the bank.

The Bank estimates regulatory and IFRS 9 LGD on a different basis. Under IFRS 9, LGD rates are estimated for the Stage 1, Stage 2, Stage 3 and POCI IFRS 9 segment of each asset class. The inputs for these LGD rates are estimated and, where possible, calibrated through back testing against recent recoveries. These are repeated for each economic scenario as appropriate.

Significant Increase in Credit Risk

The Bank continuously monitors all assets subject to ECL. In order to determine whether an instrument or a portfolio of instruments is subject to 12mECL or Life Time ECL, the Bank assesses whether there has been a significant increase in credit risk since initial recognition.

The Bank also applies a secondary qualitative method for triggering a significant increase in credit risk for an asset, such as moving a customer/facility to the watch list, or the account becoming forborne. In certain cases, the Bank may also consider that events set out below are a significant increase in credit risk as opposed to a default. Regardless of the change in credit grades, if contractual payments are more than 30 days past due, the credit risk is deemed to have increased significantly since initial recognition. Given the overall uncertainty in the macro economic situation, the regulator has further suspended the applicability of the below SICR criteria for a period of another one year.

- a. Inadequate or unreliable financial or other information such as unavailability of audited financial statements and non-cooperation by borrower in matters pertaining to documentation.
- b. Borrower is subject to litigation by third parties that may have a significant impact on his financial position.
- c. Frequent changes in key senior management personnel without acceptable successors or professional management.
- d. Significant Intra Group transfer of funds without underlying transactions.
- e. Deferral/delay in the date for commencement of commercial operations by more than one year except in Government projects or delays are due to Government approvals.
- f. Modifications of terms resulting in concessions granted to the borrower (after examining the cash flows of the borrower/ financial position/ability to repay) including extension of moratorium, deferral of payment, waiver of covenants etc. This requirement shall be in conformity to the restructuring guidelines issued by CBO from time to time.
- g. A fall of 25% or more in the turnover or in the EBIT as compared to the previous year except in the case of change in business model/one of material events.
- h. A fall in Debt Service coverage ratio to below 1 except in cases which have acceptable external credit support.
- i. 7 notch downgrade in Master Rating Scale (MRS) of the bank along with associated downgrade in PD except for accounts rated as 1 at origination for which a 3 notch downgrade in sub investment grades
- j. Erosion in net worth by more than 20% compared to previous year coupled with increase in leverage by 1.5 times.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.1 Credit risk (continued)

38.1b Exposure to credit risk (continued)

Model risk management:

The Bank has utilised models in many of its financial and business activities from underwriting a credit facility to reporting expected loss under the IFRS9 accounting standards.

To manage the model risks, the bank has established the IFRS 9 Steering Committee thus building a robust framework around the governance of the ECL Models and all other such models that directly affect the financial reporting on Expected Loss (EL).

The Framework establishes a systematic approach to manage the development, validation, approval, implementation and on-going use of the models. It sets out an effective management structure with clearly defined roles and responsibilities, policies and controls for managing model risk. The Framework is reviewed on a regular basis to ensure it meets regulatory standards and international practices. Any major change to the Framework must be approved by the Board of Directors or the BRC.

38.1c Credit rating analysis

The table below presents an analysis of debt securities, treasury bills and other eligible bills by rating agency designation, based on Moody's ratings or equivalent.

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
42,883	-	Ba1	-	16,510
-	35,823	Ba2	13,792	-
14,319	-	Baa3	-	5,513
-	20,481	Ba3	7,885	-
13,608	17,426	Caa2	6,709	5,239
14,270	14,291	Unrated bonds	5,502	5,494
1,724,818	2,582,442	Sovereign securities	994,240	664,055
1,809,898	2,670,463	Total	1,028,128	696,811

The following table shows the gross placements held with counterparties at the reporting date:

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
85,467	7,569	Aaa1 to Aaa3	2,914	32,905
48,205	43,574	A1 to A3	16,776	18,559
9,881	36,712	Baa1 to Baa3	14,134	3,804
1,187	50,343	Ba1 to Ba3	19,382	457
67,249	311,049	B1 to Caa	119,754	25,891
211,989	449,247	Total	172,960	81,616

The Bank performs an independent assessment based on quantitative and qualitative factors in cases where a Bank is unrated.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.1 Credit risk (continued)

38.1d Collateral securities

The Bank holds collateral against loans, advances and financings to customers in the form of mortgage interests over property, other registered securities, assets and guarantees. Estimates of fair value are based on the value of the collateral assessed at the time of borrowing and updated once in three years, except when a loan is individually assessed as impaired. In appropriate cases, two valuation reports are also collected for validation. The shares of MSM listed companies which are taken as securities are valued on a monthly basis, unless it is a highly volatile stock whereby the valuation is done on more frequent basis.

An estimate of the fair value of collateral and other security enhancements held against Loans, advances and financings is shown below:

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
Against past due but not impaired				
292,301	355,810	Property	136,987	112,536
78,551	47,764	Equity	18,389	30,242
186,797	366,166	Commercial mortgage	140,974	71,917
11,878	4,031	Vehicles	1,552	4,573
3,974	6,748	Fixed deposits	2,598	1,530
573,501	780,519	Total	300,500	220,798
Against past due and impaired				
66,125	83,057	Property	31,977	25,458
90,473	81,504	Commercial mortgage	31,379	34,832
-	990	Fixed deposits	381	-
4,429	2,823	Vehicles	1,087	1,705
161,027	168,374	Total	64,824	61,995
Against neither past due nor impaired				
1,965,623	1,913,343	Property	736,637	756,765
909,896	971,255	Commercial mortgage	373,933	350,310
578,761	457,109	Fixed deposits	175,987	222,823
27,164	142,556	Equity	54,884	10,458
85,488	47,709	Vehicles	18,368	32,913
3,566,932	3,531,972	Total	1,359,809	1,373,269
4,301,460	4,480,865	Total collateral held	1,725,133	1,656,062

38.1e Settlement risk

Settlement risk is the risk of loss due to the failure of a party to honour its obligations to deliver cash, securities or other assets as contractually agreed on the day of settlement.

In foreign exchange trades, though there is fulfilment of both the legs of the transaction on the settlement date as is common practice between trading partners (free settlement), there will be risk on account of different time zones. In these cases, the settlement risk is mitigated through the execution of bilateral payment netting agreements.

38.1f Concentrations

Concentrations of credit risk arise when a number of counter- parties are engaged in similar business activities or activities in the same geographic region or have similar economic features that would cause their ability to meet contractual obligations to be affected similarly by changes in economic, political or other conditions. Concentrations of credit risk indicate the relative sensitivity of the Bank's performance to developments affecting a particular industry or geographic location.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.1 Credit risk (continued)

38.1f Concentrations (continued)

The Bank manages its credit risk exposure through diversification of lending activities to avoid undue concentrations of risks with individuals or group of customers in specific locations or businesses. It also obtains appropriate security. Concentration of the gross credit exposure is given below:

	31 December 2021			31 December 2020		
	Loans, advances and financings RO'000	Due from banks RO'000	Debt securities RO'000	Loans, advances and financings RO'000	Due from banks RO'000	Debt securities RO'000
Concentration by sector						
Corporate	1,833,296	-	29,578	1,695,839	-	62,436
Personal	916,167	-	-	936,272	-	-
Sovereign	-	-	998,550	-	-	634,375
Banks	-	172,960	-	-	81,616	-
	2,749,463	172,960	1,028,128	2,632,111	81,616	696,811
Concentration by location						
Middle east	2,749,463	135,732	673,902	2,632,111	30,533	354,763
Europe	-	18,358	-	-	34,308	-
North America	-	5,156	354,226	-	8,221	342,048
Asia	-	13,714	-	-	8,554	-
	2,749,463	172,960	1,028,128	2,632,111	81,616	696,811

	31 December 2021			31 December 2020		
	Loans, advances and financings USD'000	Due from banks USD'000	Debt securities USD'000	Loans, advances and financings USD'000	Due from banks USD'000	Debt securities USD'000
Concentration by sector						
Corporate	4,761,808	-	76,826	4,404,777	-	162,171
Personal	2,379,655	-	-	2,431,875	-	-
Sovereign	-	-	2,593,637	-	-	1,647,727
Banks	-	449,247	-	-	211,989	-
	7,141,463	449,247	2,670,463	6,836,652	211,989	1,809,898
Concentration by location						
Middle east	7,141,463	352,551	1,750,395	6,836,652	79,307	921,462
Europe	-	47,683	-	-	89,112	-
North America	-	13,392	920,068	-	21,353	888,436
Asia	-	35,621	-	-	22,217	-
	7,141,463	449,247	2,670,463	6,836,652	211,989	1,809,898

Refer to note8 for analysis by economic sector.

Concentration by location for loans, advances and financings is measured based on the location of the entity holding the asset, which has a high correlation with the location of the borrower. Concentration by location for investment securities is measured based on the location of the issuer of the security. The Bank seeks to manage its credit risk exposure through diversification of lending activities to avoid undue concentrations of risk with banks or customers in a specific currency. It also obtains security when appropriate.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.2 Liquidity risk

Liquidity risk is the risk arises from the bank's potential inability either to meet all payment obligations or only being able to meet such obligations at higher cost. The objective of the bank's liquidity risk management framework is to ensure that the bank can meet all its payment obligations as and when it is due and thus managing the bank's liquidity and funding risks within the Board approved risk appetite.

Management of liquidity risk

The Bank's approach to managing liquidity is to ensure that it always has sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions without incurring unacceptable losses or risking damage to the Bank's reputation. The Bank has a robust Liquidity Contingency Plan to facilitate management of liquidity under stressed conditions.

The bank's treasury is mandated to manage the overall liquidity and funding position for the bank under the guidance and supervision of the ALCO. The sources and maturities of assets and liabilities are closely monitored to avoid any undue concentration and to ensure that the bank is fully prepared to meet any unforeseen stress conditions.

The bank maintains a diversified sources of funding that includes retail deposits, wholesale deposits and certain high quality bonds. These funding sources along with the bank's equity and asset quality ensures that the bank has adequate liquidity buffer at all times at competitive rates.

The bank uses the following tools to manage liquidity and funding:

- Liquidity gaps in line with regulatory and internal thresholds. Gap management ensures that the bank monitor maturity of assets and liabilities to avoid any undue concentration
- Periodic stress testing and simulation of liquidity buffer to ensure "crisis survivability"
- Liquidity Early Warning Indicators are monitored by ALCO
- Compliance and adequate maintenance of regulatory ratios such as LCR and NSFR
- The bank's risk management performs periodic stress testing and simulation of liquidity buffer and all the material cash inflows and outflows that impact the bank's liquidity. The simulation results are presented to ALCO for deliberation and further action plan. As part of ICAAP submission, the bank performs liquidity sensitivity analysis and based on the outcome the bank provides economic capital under Pillar II. Further, the bank performs a quarterly liquidity stress testing in line with CBO guidelines and the results are submitted to CBO.

38.2a Exposure to liquidity risk

Liquidity management in the bank considers both the stock approach and the cash flow approach. Under the stock approach, liquid assets to total assets, lending ratio, loan to deposits etc. are closely monitored.

The lending ratio, that measures total loans, advances and financings to customer deposits plus capital, is monitored on a daily basis in line with regulatory guidelines. Internally the lending ratio threshold is set at a more conservative level than required by regulator. On a monthly frequency the Bank also manages its liquidity risk by monitoring the liquid ratio, i.e. net liquid assets to total assets. For this purpose, net liquid assets include cash and cash equivalents and investment grade debt securities for those securities that has an active and liquid market. Last year, the Bank has taken a number of initiatives to increase customer deposits progressively. Under the cash flow approach, the bank spread its assets and liabilities over various time buckets based on a residual maturity basis to ascertain liquidity gaps.

Details of the reported lending and liquid ratio were as follows:

	31 December 2021		31 December 2020	
	Lending ratio	Liquid ratio	Lending ratio	Liquid ratio
Average for the year	69.89%	16.76%	75.09%	15.85%
Maximum for the year	73.32%	19.57%	77.03%	18.06%
Minimum for the year	67.73%	13.85%	73.16%	12.80%

The Bank also monitors the liquidity through Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR). Current levels of these ratios are given below

	31 December 2021	31 December 2020
LCR	271.64%	134.02%
LCR (average for the quarter)	196.57%	146.11%
NSFR	113.21%	113.18%
Leverage ratio	13.65%	14.3%

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.2 Liquidity risk (continued)

38.2a Exposure to liquidity risk (continued)

The Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR) is calculated in accordance with Basel III framework and guidelines adopted by CBO vide circular BM 1127 and BM 1147. The complete disclosures required under these circulars are available on the Investor Relations page of the Bank's website.

The table below summarises the maturity profile of the Bank's liabilities as on the reporting date based on contractual repayment arrangements. The contractual maturities of liabilities have been determined on the basis of the remaining period at the statement of financial position date to the contractual maturity date and do not take account of the effective maturities as indicated by the Bank's deposit retention history and the availability of liquid funds.

	Carrying amount RO'000	Gross nominal outflow RO'000	Within 3 months RO'000	3 - 12 months RO'000	Over 1 year RO'000
31 December 2021					
Non-derivative liabilities					
Due to banks	918,863	1,023,051	468,507	2,752	551,792
Customer deposits	2,394,465	2,468,811	1,422,861	574,783	471,167
Other liabilities	188,687	188,687	183,544	2,035	3,108
Subordinated loans	35,392	38,668	325	1,956	36,387
Total	3,537,407	3,719,217	2,080,380	579,491	1,059,346

	Carrying amount RO'000	Gross nominal outflow RO'000	Within 3 months RO'000	3 - 12 months RO'000	Over 1 year RO'000
31 December 2020					
Non-derivative liabilities					
Due to banks	720,561	727,551	235,289	153,513	338,749
Customer deposits	2,231,565	2,337,350	1,194,642	652,262	490,446
Other liabilities	91,767	91,776	91,264	512	-
Subordinated loans	35,392	41,389	349	2,101	38,939
Total	3,079,285	3,198,066	1,521,544	808,388	868,134

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.2 Liquidity risk (continued)

38.2a Exposure to liquidity risk (continued)

	Carrying amount USD'000	Gross nominal outflow USD'000	Within 3 months USD'000	3 - 12 months USD'000	Over 1 year USD'000
31 December 2021					
Non-derivative liabilities					
Due to banks	2,386,657	2,657,275	1,216,901	7,148	1,433,226
Customer deposits	6,219,390	6,412,496	3,695,743	1,492,943	1,223,810
Other liabilities	490,096	490,097	476,738	5,286	8,073
Subordinated loans	91,927	100,436	844	5,081	94,512
Total	9,188,070	9,660,304	5,403,585	1,505,172	2,751,548

	Carrying amount USD'000	Gross nominal outflow USD'000	Within 3 months USD'000	3 - 12 months USD'000	Over 1 year USD'000
31 December 2020					
Non-derivative liabilities					
Due to banks	1,871,586	1,889,743	611,140	398,735	879,868
Customer deposits	5,796,273	6,071,041	3,102,966	1,694,188	1,273,887
Other liabilities	238,356	238,379	237,050	1,330	-
Subordinated loans	91,927	107,504	906	5,457	101,140
Total	7,998,142	8,306,667	3,952,062	2,099,710	2,254,895

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.3 Market risk

Market risk is defined as potential losses on account of changes in market variables. The sources of market risk include changes in interest rate, foreign exchange rates, credit spreads, commodity prices and equity prices.

Measurement and Management of Market Risk

One of the primary objectives of Market Risk Management (MRM), a part of the bank's independent Risk Management Department (RMD) function, is to ensure that the business units do not expose the bank to unacceptable exposures outside of the bank's Board approved risk appetite. MRM works closely together with risk takers ("the business units") and other control and support groups to achieve this objective.

The bank faces predominantly two types of market risk:

1. Trading market risk arises primarily through the market-making activities. This involves taking positions in currencies, debt, equity or related securities.
2. Non-trading market risk arises from market movements in the bank's banking book and from off-balance sheet items. This includes interest rate risk, credit spread risk, investment risk, foreign exchange risk and commodity price risk.

MRM governance is designed and established to promote oversight of all market risks, effective decision-making and timely escalation to senior management. Further, MRM defines and implements a framework to systematically identify, assess, monitor and report market risk. The bank has an independent Middle Office (MO) within the bank's RMD, which monitors treasury, investment banking and financial institutions department. The MO monitors and reports adherence to set risk thresholds and escalates breaches, if any, for timely remedial action. The process ensures that the risks assumed by various front office desks are within the Board approved risk appetite and related policies of the Bank.

The market risk management is governed by the following limits / thresholds and best practices:

- Exposure limits, variation margin limits with counterparties and credit risk equivalent (CRE) for derivatives
- Permitted derivative structures
- Stop loss thresholds for investments
- Open currency position thresholds
- Sectoral limits for investments.

The risk management function is responsible for development of detailed risk management policies (subject to approval by ALCO and BRC). The market risk policy is periodically reviewed and updated based on the evolving business environment and regulatory changes.

38.3a Exposure to Interest Rate Risk – non trading portfolios

Interest rate risk arises from the adverse impact on the bank's financial position because of shift in market interest rates. The trading book impact is reflected by way of change in the value of investments the banking book impact reflects through the change in Net Interest Income (NII) and Economic Value of Equity (EVE). The bank's Asset Liability Committee (ALCO) is responsible for managing interest rate risk. The ALCO report includes interest rate risk reports, currency wise and consolidated balance sheet positions, liquidity gaps and measurement of NII and EVE. The ALCO regularly reviews the reports and provide direction to treasury to manage interest rate risk. Further key information related to interest rate risk is periodically reported to the bank's Board Risk Committee (BRC).

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.3 Market risk (continued)

38.3a Exposure to interest rate risk – non trading portfolios (continued)

The Bank's interest rate sensitivity position based on contractual re-pricing arrangements at 31 December 2021 was as follows:

	Effective annual interest rate %	Within three months RO'000	Four months to twelve months RO'000	Over one year RO'000	Non-sensitive to interest rate RO'000	Total RO'000
31 December 2021						
Assets						
Cash and balances with Central Banks	0.01	507	-	-	95,366	95,873
Due from banks	0.64	145,607	-	-	27,352	172,959
Investment securities	2.64	641,745	31,307	350,595	8,357	1,032,004
Loans, advances and financings (net)	5.32	1,161,298	372,661	1,065,156	13,093	2,612,208
Other assets	-	-	-	-	170,302	170,302
Investment properties	-	-	-	-	2,900	2,900
Property and equipment	-	-	-	-	47,739	47,739
Total assets		1,949,157	403,968	1,415,751	365,109	4,133,985
Liabilities and equity						
Due to banks	2.38	847,777	19,337	-	51,749	918,863
Customer deposits	2.86	619,728	542,688	282,908	949,141	2,394,465
Other liabilities	-	-	-	-	188,687	188,687
Subordinated loans	7.00	-	-	35,392	-	35,392
Total equity	-	-	-	-	596,578	596,578
Total liabilities and equity		1,467,505	562,025	318,300	1,786,155	4,133,985
Gap		481,652	(158,057)	1,097,451	(1,421,046)	-
Cumulative Gap		481,652	323,595	1,421,046	-	-

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.3 Market risk (continued)

38.3a Exposure to interest rate risk – non trading portfolios (continued)

	Effective annual interest rate %	Within three months RO'000	Four months to 12 months RO'000	Over one year RO'000	Non- sensitive to interest rate RO'000	Total RO'000
31 December 2020						
Assets						
Cash and balances with Central Banks	0.01	-	-	507	202,123	202,630
Due from banks	1.06	36,998	71	17	44,498	81,584
Investment securities	3.07	433,856	31,712	204,789	30,761	701,118
Loans, advances and financings, (net)	5.41	1,131,722	276,996	1,079,906	14,873	2,503,497
Other assets	-	-	-	-	74,980	74,980
Investment properties	-	-	-	-	2,900	2,900
Property and equipment	-	-	-	-	44,278	44,278
Total assets		<u>1,602,576</u>	<u>308,779</u>	<u>1,285,219</u>	<u>414,413</u>	<u>3,610,987</u>
Liabilities and equity						
Due to banks	2.38	524,027	23,146	167,327	6,061	720,561
Customer deposits	2.99	825,034	521,620	142,152	742,759	2,231,565
Other liabilities	4.75	-	509	-	91,258	91,767
Subordinated loans	7.00	-	-	35,392	-	35,392
Total equity	-	-	-	-	531,702	531,702
Total liabilities and equity		<u>1,349,061</u>	<u>545,275</u>	<u>344,871</u>	<u>1,371,780</u>	<u>3,610,987</u>
Gap		254,015	(236,496)	940,348	(957,867)	-
Cumulative Gap		254,015	17,519	957,867	-	-

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.3 Market risk (continued)

38.3a Exposure to interest rate risk – non trading portfolios (continued)

	Effective annual interest rate %	Within three months USD'000	Four months to 12 months USD'000	Over one year USD'000	Non-sensitive to interest rate USD'000	Total USD'000
31 December 2021						
Assets						
Cash and balances with Central Banks	0.01	1,317	-	-	247,704	249,021
Due from banks	0.64	378,200	-	-	71,044	449,244
Investment securities	2.64	1,666,870	81,317	910,636	21,707	2,680,530
Loans, advances and financings (net)	5.32	3,016,358	967,951	2,766,639	34,008	6,784,956
Other assets	-	-	-	-	442,343	442,343
Investment properties	-	-	-	-	7,532	7,532
Property and equipment	-	-	-	-	123,997	123,997
Total assets		<u>5,062,745</u>	<u>1,049,268</u>	<u>3,677,275</u>	<u>948,334</u>	<u>10,737,623</u>
Liabilities and equity						
Due to banks	2.38	2,202,018	50,226	-	134,413	2,386,657
Customer deposits	2.86	1,609,683	1,409,580	734,826	2,465,300	6,219,390
Other liabilities	-	-	-	-	490,096	490,096
Subordinated loans	7.00	-	-	91,927	-	91,927
Total equity	-	-	-	-	1,549,553	1,549,553
Total liabilities and equity	-	<u>3,811,701</u>	<u>1,459,806</u>	<u>826,753</u>	<u>4,639,362</u>	<u>10,737,623</u>
Gap	-	1,251,044	(410,538)	2,850,522	(3,691,028)	-
Cumulative Gap	-	1,251,044	840,506	3,691,028	-	-

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.3 Market risk (continued)

38.3a Exposure to interest rate risk – non trading portfolios (continued)

	Effective annual interest rate %	Within three months USD'000	Four months to 12 months USD'000	Over one year USD'000	Non-sensitive to interest rate USD'000	Total USD'000
31 December 2020						
Assets						
Cash and balances with Central Banks	0.01	1,299	-	1,317	523,696	526,312
Due from banks	1.06	96,099	184	44	115,579	211,906
Investment securities	3.07	1,126,899	82,369	531,919	79,899	1,821,086
Loans, advances and financings (net)	5.41	2,939,539	719,469	2,804,951	38,631	6,502,590
Other assets	-	-	-	-	194,753	194,753
Investment properties	-	-	-	-	7,532	7,532
Property and equipment	-	-	-	-	115,008	115,008
Total assets		<u>4,163,836</u>	<u>802,022</u>	<u>3,338,231</u>	<u>1,075,098</u>	<u>9,379,187</u>
Liabilities and equity						
Due to banks	2.38	1,361,109	60,119	434,616	15,742	1,871,586
Customer deposits	2.99	2,142,945	1,354,857	369,226	1,929,245	5,796,273
Other liabilities	4.75	-	1,322	-	237,034	238,356
Subordinated loans	7.00	-	-	91,927	-	91,927
Total equity	-	-	-	-	1,381,045	1,381,045
Total liabilities and equity	-	<u>3,504,054</u>	<u>1,416,298</u>	<u>895,769</u>	<u>3,563,066</u>	<u>9,379,187</u>
Gap	-	659,782	(614,276)	2,442,462	(2,487,968)	-
Cumulative Gap	-	659,782	45,506	2,487,968	-	-

Interest rate risk is managed by taking views on interest rate movements for the year and realigning the portfolios and covenants of lending, so as to be proactive and minimise adverse effects. The benchmark presently available in Oman is the 28-day CBO CD rate. The trend of the weighted average interest on loans and cost of deposits for the year is provided below:

2021	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Lending rate	5.48%	5.45%	5.51%	5.50%	5.50%	5.52%	5.51%	5.40%	5.50%	5.51%	5.52%	NA*
Deposit rate	1.97%	2.01%	2.00%	1.98%	1.98%	1.95%	1.92%	1.98%	1.96%	2.00%	1.96%	NA*

NA* (Not Available)

2020	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Lending rate	5.48%	5.51%	5.48%	5.48%	5.39%	5.38%	5.44%	5.48%	5.48%	5.48%	5.49%	5.51%
Deposit rate	2.09%	1.98%	1.94%	1.92%	1.93%	1.95%	1.97%	1.94%	1.92%	1.95%	1.95%	2.01%

The management of interest rate risk is one of the critical components of market risk management in banks. Interest rate risk primarily arises on account of mismatch of the Bank's repricing assets with its repricing liabilities that fund the assets. There are basically two approaches to management of interest rate risk in banks, namely "Earnings Approach" and "Economic Value Approach". The interest rate risk is assessed based on the impact of interest rate shock on the Bank's earnings and capital.

The focus of earnings approach understands the impact of interest rate changes (shock) of assets and liabilities on the Net Interest Income of the Bank. It measures the extent of capability of the Bank to absorb decline in net interest income caused by interest rate changes.

Interest rate risk also influences the present value of the Bank's asset and liabilities. Economic value perspective considers the present value of the Bank's assets and liabilities and assesses the potential longer term impact of interest rates on the Bank. This perspective focuses on how the economic value of the Bank's assets and liabilities change with movements in interest rates and it reflects the impact of fluctuation in the interest rates on the economic value of the institution.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.3 Market risk (continued)

38.3a Exposure to interest rate risk – non trading portfolios (continued)

The Basel-II Accord recommended that banks should assess the impact of interest rate risk by applying a 200 bps interest rate sensitivity and accordingly the impact of 200 bps interest rate shock on the Bank's earnings and capital is provided below:

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
201,740	222,787	Net interest income (including Islamic financing)	85,773	77,670
1,467,182	1,568,029	Total Regulatory Capital (note 39.1)	603,691	564,865
Based on 50 bps interest rate shock				
727	6,712	Impact of 50 bps interest rate shock	2,584	280
0.39%	3.01%	Impact as % to net interest income	3.01%	0.39%
0.05%	0.43%	Impact as % to capital	0.43%	0.05%
Based on 100 bps interest rate shock				
1,455	13,424	Impact of 100 bps interest rate shock	5,168	560
0.78%	6.03%	Impact as % to net interest income	6.03%	0.78%
0.10%	0.86%	Impact as % to capital	0.86%	0.10%
Based on 200 bps interest rate shock				
2,909	26,848	Impact of 200 bps interest rate shock	10,337	1,120
1.56%	12.05%	Impact as % to net interest income	12.05%	1.56%
0.20%	1.71%	Impact as % to capital	1.71%	0.20%

38.3b Exposure to other market risks

Investment value risk is the risk of reduction in the market value of the Bank's portfolio as a result of diminution in the market value of individual investments. The responsibility for management of investment value risk rests with the Investment division under the supervision and guidance of the Management Investment Committee. The Bank's investments are governed by an investment policy approved by the Board of Directors. The ratings and prices of the instruments are monitored on a regular basis and necessary actions are taken to reduce exposure if needed. The portfolio is revalued at market price to ensure that unrealised losses, if any, on account of reduction in the market value of the investments remains within acceptable parameters.

Security as per country	Changes in fair value +/- 5%	
	31 December 2021 RO'000	31 December 2020 RO'000
Organisation for Economic Co-operation (OECD) Countries	-	-
Oman	412	435
Other Gulf Co-operation Council (GCC) countries	5	5

Security as per country	Changes in fair value +/- 5%	
	31 December 2021 USD'000	31 December 2020 USD'000
Organisation for Economic Co-operation (OECD) Countries	-	-
Oman	1,070	1,130
Other Gulf Co-operation Council (GCC) countries	13	13

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.3 Market risk (continued)

38.3b Exposure to other market risks (continued)

Currency risk

Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates. The Board has set limits on the total open position and open position per currency. The open position limits include overnight and intraday open position. Open positions are monitored on a daily basis and hedging strategies used to ensure positions are maintained within established limits. The Bank had the following net open positions denominated in foreign currencies:

	31 December 2021			31 December 2020		
	Assets FCY' 000	Liabilities FCY' 000	Net (liabilities)/ assets FCY' 000	Assets FCY' 000	Liabilities FCY' 000	Net (liabilities)/ assets FCY' 000
US Dollar	6,755,887	7,186,943	(431,056)	3,449,801	3,877,921	(428,120)
Euro	2,184,576	2,184,975	(399)	140,196	140,192	4
UAE Dirhams	26,491	41,661	(15,170)	48,068	56,539	(8,471)
Japanese Yen	7,803	4,525	3,278	2,396	3,136	(740)
Swiss Franc	465	446	19	5,261	5,217	44
Pound Sterling	6,237	6,180	57	1,338	1,290	48
Indian Rupee	17,971	3,414	14,557	16,525	86	16,439

The Bank's open foreign currency positions are a result of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. The Board sets limits on the level of exposure by currency and in aggregate for both overnight and intra-day positions, which are monitored daily.

38.4 Operational risk

Operational risk is defined as the risk of direct or indirect loss resulting from inadequate or failed internal processes, people, technology, infrastructure or from external events and excludes credit, market and liquidity risks.

The Bank's objective is to manage operational risk to avoid/reduce financial losses to the Bank by the establishment of the necessary controls, systems and procedures. The Bank recognises that an over-controlled environment will affect the Bank's business and earnings, besides adding to costs. Therefore, the Bank aims to effectively manage operational risk through control optimisation and well established systems, methods and governance framework.

The primary responsibility for development and implementation of controls to address operational risk is assigned to senior management within each business unit. This responsibility is supported by the development of overall Bank standards in the following areas:

- Clear reporting lines;
- Proper delegation of powers;
- Appropriate segregation of duties and authorisation of transactions through a maker checker system and authorisation matrix;
- Ownership reconciliation and monitoring of accounts;
- Documentation of controls and processes;
- Compliance with regulatory and other legal requirements;
- Periodic assessment of the operational risks faced and evaluating the adequacy of controls and procedures to address the risks identified;
- Reporting of operational losses and incidents triggering operational losses and remedial action;
- Development of contingency plans;
- Training, skill up gradation and professional development;
- Ethical and business standards; and
- Risk mitigation through insurance, wherever desirable.

Compliance with Bank standards for both Conventional and Islamic banking divisions is supported by a programme of periodic reviews undertaken by Internal Audit. The results of Internal Audit reviews are discussed with the management of the business unit to which they relate, with summaries submitted to the Audit Committee and Management. The Bank has a comprehensive Operational Risk Management Framework, Operational Risk Management Policy, Risk and Control Self-Assessment (RCSA) procedures, Operational Risk Loss Event Reporting Framework, Maintenance of Operational Risk Loss Data Base and RCSA Framework. The Bank operates an in-house RCSA model and conducts Risk and Control Self-Assessment for all major business activities like Corporate Banking, Retail Banking, Treasury, Card operations, Deposits, HR, E-banking, Administration, Branch operations, Compliance, Legal, IT, Credit Administration, Payment unit etc. The Bank has identified Key Risk Indicators (KRI) of operational risk in major activities of the Bank and set threshold limits that are monitored monthly to assess and manage the level of risk.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

38. FINANCIAL RISK MANAGEMENT (CONTINUED)

38.4 Operational risk (continued)

The Bank has an effective Fraud Risk Management policy and framework. The Policy sets out the Governance framework for implementing Enterprise wide Fraud Risk Management environment and culture. It covers the requirements for effective identification, assessment, measurement, monitoring and managing the fraud risk across the Bank with a high level requirement for prevention, detection and reporting of frauds.

The objective of the Policy is to comply with various aspects of Fraud Risk Management stipulated by Central Bank of Oman (CBO) in Circular BM1153 dated 25 December 2017.

Business Continuity Management

Business Continuity Management (BCM) is imperative to ensure smooth functioning of critical bank operations in the event of a disruption, however severe or localised.

The Bank has established a Business Continuity Management (BCM) framework designed to minimize service disruption and the potential impact on the Bank, our customers and our staff. Business continuity framework within the Bank consists of a number of different layers of approach, documentation & implementation. The documentations consist of high level requirements to low level guidelines, checklists and processes. This includes a BCM Framework & BCM Policy that is approved by our Board together with written Business Continuity and Disaster Recovery plans (DRPs) and procedures that are subject to periodically independent review. Although the specific details of our BCM arrangements are confidential for security reasons, the bank maintains Business Continuity Plans (BCPs) that address risk scenarios and events of varying scope including, but not exclusively, loss of services or infrastructure, denial of access, cyber-attack, pandemics and regional crises.

Sohar International BCPs are focused on maintaining critical processes, including treasury, capital & liquidity and payment services, providing customers with uninterrupted access to their funds and maintaining effective communications with our customers, staff and other stakeholders."

To ensure a degree of consistency with other management systems standards, such as ISO 27001:2013 (Information Security Management Systems), Business Continuity Management at Sohar International follows the "Plan-Do-Check-Act" (PDCA) model, thereby supporting consistent and integrated implementation and operations with related international management systems.

DR testing of Sohar International for 2020-2021 was successfully completed within defined scope, nevertheless the bank will ensure a continual improvement to whole bank operations. Our BCPs and DRPs are reviewed and tested regularly. Any areas for improvement that are identified are tracked to ensure appropriate resolution and our plans and infrastructure updated as appropriate.

The BCM at Sohar international does not only address technical and business disruptions but also any concerns that could impact the human aspects, taking into consideration the availability of relevant expertise/personnel in the event of a disruption. During Covid-19 pandemic, Sohar International gives prime importance to the health and safety of all its staff & customers. That was achieved by ensuring a safe banking experience is provided to the customers whereby all the banks digital capabilities were highlighted in campaigns to motivate the customers to extra ordinary use of alternate channels for their banking requirements.

Throughout 2020-2021 and during the pandemic, it was witnessed that Sohar International Business Continuity moved into its full gear. The regular testing of the program proved to be very effective. Similar to all other activities in the bank, the Business Continuity Program continues to be improved in line with the international best practices which include the review of Business Continuity and Disaster Recovery plans at least annually. Such regular reviews enable the bank to address areas on improvements by putting into motion the appropriate plans, necessary infrastructure and resources requirements to ensure a high level of maturity while remediating the consequences of Covid-19 pandemic in line with BCM guidelines.

Business Continuity Management (BCM) framework at Sohar International is aligned with the International Standard ISO 22301:2012 which is "an holistic management process that identifies potential threats to an organisation and impacts to the business operations threats, if realised, might cause, and which provides a framework for building the organisational resilience with the capability of an effective response that safeguards the interests of its key stakeholders, reputation, brand and value-creating activities".

At Sohar International, and as per best practices, the key steps in Business Continuity Management (BCM), which are being followed are:

- Building and maintaining the Policy and Governance framework
- Identification of the Risk and Management of Risk
- Performing Business Impact Analysis (BIA)
- Identifying the response options
- Develop the Business Continuity Plan and strategy
- Train, test and review the Business Continuity Plan
- Managing the Crisis & Incident

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

39. CAPITAL MANAGEMENT

39.1 Regulatory capital

The Bank's lead regulator, the CBO, sets and monitors the capital requirements for the Bank as a whole. In implementing current capital requirements CBO requires the Bank to maintain a prescribed ratio of total capital to total risk-weighted assets. The Bank calculates capital requirements for market risk and operational risk based upon the model prescribed by the CBO as follows:

- Claims against sovereign entities in the respective national currencies – Nil
- Claims against sovereign entities in other currencies – 100% risk weighting is applied as prescribed by the CBO
- Retail and Corporate loans – In the absence of credit rating model 100% risk weighting is applied
- Off balance sheet items – As per credit conversion factors and risk weighting prescribed by the CBO

The Bank's regulatory capital is analysed into two tiers:

- Tier 1 capital includes ordinary share capital, share premium, perpetual Tier 1 capital securities classified as innovative Tier 1 securities, retained earnings, translation reserve and minority interests after deductions for goodwill and intangible assets, and other regulatory adjustments relating to items that are included in equity but are treated differently for capital adequacy purposes.
- Tier 2 capital includes qualifying subordinated liabilities, collective impairment allowances and unrealised losses on equity instruments classified as available for sale investments.

Various limits are applied to elements of the capital base. The amount of innovative tier 1 securities cannot exceed 15 per cent of total tier 1 capital; qualifying tier 2 capital cannot exceed tier 1 capital; and qualifying term subordinated loan capital may not exceed 50 per cent of tier 1 capital. There are also restrictions on the amount of collective impairment allowances that may be included as part of tier 2 capital. Other deductions from capital include the carrying amounts of investments in subsidiaries that are not included in the regulatory consolidation, investments in the capital of banks and certain other regulatory items.

Banking operations are categorised as either trading book or banking book, and risk-weighted assets are determined according to specified requirements that seek to reflect the varying levels of risk attached to assets and off-balance sheet exposures. The Bank's policy is to maintain a strong capital base to maintain investor, creditor and market confidence and to sustain future development of the business. The impact of the level of capital on shareholders' return is also recognised and the Bank recognises the need to maintain a balance between the higher returns that might be possible with greater gearing and the advantages and security afforded by a sound capital position.

In order to smoothen the higher volatility in ECL computation and its impact on regulatory capital of the banks due to Covid19, CBO has issued a new interim requirement to apply a "prudential filter" on IFRS 9 ECL provisions for calculating the regulatory capital. The impact of this prudential filter on the Bank's regulatory capital is 5 bps.

The capital adequacy ratio is calculated in accordance with Basel II & Basel III requirements as adopted by CBO. Disclosures required under Basel III and circular BM-1114 dated 17 November 2013 issued by CBO are available on the Investor Relations page of the Bank's website.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

39. CAPITAL MANAGEMENT

39.1 Regulatory capital (continued)

The international standard for measuring capital adequacy is the risk asset ratio, which relates capital to balance sheet assets and off balance sheet exposures weighted according to broad categories of risk. The risk asset ratio calculated in accordance with the capital adequacy guidelines of the Bank for International Settlement is as follows:

31 December 2020 USD'000	31 December 2021 USD'000		31 December 2021 RO'000	31 December 2020 RO'000
		CET 1 capital		
637,286	767,156	Ordinary share capital	295,355	245,355
46,852	46,852	Share premium	18,038	18,038
79,272	89,322	Legal reserve	34,389	30,520
2,566	2,566	General reserve	988	988
54,546	72,727	Subordinated loan reserve	28,000	21,000
35,777	11,857	Retained earnings *	4,565	13,774
(8,927)	(5,665)	Fair value losses	(2,181)	(3,437)
847,372	984,815	Total CET 1 capital	379,154	326,238
		Additional Tier 1 capital		
519,481	519,481	Perpetual Tier 1 Capital Securities	200,000	200,000
1,366,853	1,504,296	Total Tier 1 capital	579,154	526,238
		Tier 2 capital		
63,966	45,551	Impairment allowance on portfolio basis	17,537	24,627
36,364	18,182	Subordinated loan	7,000	14,000
100,330	63,733	Total Tier 2 capital	24,537	38,627
1,467,183	1,568,029	Total regulatory capital	603,691	564,865
		Risk weighted assets		
7,203,112	7,708,569	Credit and market risks	2,967,799	2,773,198
498,410	518,761	Operational risk	199,723	191,888
7,701,522	8,227,330	Total risk weighted assets	3,167,522	2,965,086
		Capital adequacy ratio		
19.05%	19.06 %	Total regulatory capital expressed as a percentage of total risk weighted assets	19.06 %	19.05%
17.75%	18.28 %	Total tier I capital expressed as a percentage of total risk weighted assets	18.28 %	17.75%
11.00%	11.97 %	Total CET 1 capital expressed as a percentage of total risk weighted assets	11.97 %	11.00%

*Retained earnings for the year 2021 is stated after deducting proposed dividend of RO 11.96 million, as disclosed in note 18.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

40. SEGMENTAL INFORMATION

Segmental information is presented for the Bank's operating segments. For management purposes the Bank is organised into the following operating segments:

Retail banking:

- Including loans to and deposits from retail customers, credit card and fund transfer facilities.

Wholesale banking:

- Corporates including loans to and deposits from large and mid-sector corporates, small & medium enterprises and trade finance customers.
- Government and project finance syndication including loans to and deposits from government and financial institutions, project finance and syndicated loans.
- Investments including proprietary investments, correspondent and investment banking.
- Treasury including money market instruments, derivatives and foreign exchange products.

Head office

- Includes balance sheet, income and expense related items that are not directly related to the Bank's operating segments

Islamic banking

- Including Islamic financing activities, current accounts, unrestricted investment accounts and other products and services to corporate and individual customers under Shari'ah principles. Segmental balance sheet has been adjusted, as appropriate, to ensure consistency of presentation with other segments.

The CEO monitors the operating results of business units separately for the purpose of making decisions about resource allocation and performance assessment.

Transfer pricing between operating segments is on an arm's length basis in a manner similar to transactions with third parties.

No revenue from transactions with a single external counterparty or customer amounted to 10% or more of the Bank's total revenue in 2021 or 2020.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

40. SEGMENTAL INFORMATION (CONTINUED)

31 December 2021	Retail banking RO'000	Wholesale banking RO'000	Islamic banking RO'000	Head Office RO'000	Total RO'000
PROFIT AND LOSS					
Net interest income	19,088	58,678	-	-	77,766
Net income from Islamic financing and investing activities	-	-	8,007	-	8,007
Other operating income	7,170	16,046	1,675	-	24,891
Total Operating income	26,258	74,724	9,682	-	110,664
Total Operating expenses	(21,167)	(24,462)	(4,632)	-	(50,261)
Net Operating Income Before Impairment Provisions	5,091	50,262	5,050	-	60,403
Loan impairment charges and other credit risk provisions, net	(4,172)	(22,704)	(214)	-	(27,090)
Segment profit	919	27,558	4,836	-	33,313
Income tax expense	(149)	(4,101)	(725)	-	(4,975)
PROFIT FOR THE YEAR	770	23,457	4,111	-	28,338

FINANCIAL POSITION

Assets

Cash and balances with Central Bank	-	86,762	9,111	-	95,873
Due from banks	-	170,766	2,193	-	172,959
Investment securities	-	1,003,492	28,512	-	1,032,004
Loans, advances and financings (net)	756,820	1,521,949	333,439	-	2,612,208
Other assets	-	142,061	2,022	26,219	170,302
Investment properties	-	-	-	2,900	2,900
Property and equipment	-	-	697	47,042	47,739
TOTAL ASSETS	756,820	2,925,030	375,974	76,161	4,133,985

Liabilities

Due to banks	-	867,490	51,373	-	918,863
Customer deposits	553,258	1,558,464	282,743	-	2,394,465
Other liabilities	-	137,874	2,664	48,149	188,687
Subordinated loans	-	-	-	35,392	35,392
TOTAL LIABILITIES	553,258	2,563,828	336,780	83,541	3,537,407
Internal Funding (net)	203,562	361,202	-	(564,764)	-
TOTAL EQUITY	-	-	39,194	557,384	596,578
TOTAL LIABILITIES & EQUITY	756,820	2,925,030	375,974	76,161	4,133,985

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

40. SEGMENTAL INFORMATION (CONTINUED)

31 December 2020	Retail banking RO'000	Wholesale banking RO'000	Islamic banking RO'000	Head Office RO'000	Total RO'000
PROFIT AND LOSS					
Net interest income	20,542	51,429	-	-	71,971
Net income from Islamic financing and investing activities	-	-	5,699	-	5,699
Other operating income	5,576	7,787	952	-	14,315
Total Operating income	26,118	59,216	6,651	-	91,985
Total Operating expenses	(20,411)	(19,153)	(5,591)	-	(45,155)
Net Operating Income Before Impairment Provisions	5,707	40,063	1,060	-	46,830
Loan impairment charges and other credit risk provisions, net	(277)	(22,369)	(488)	-	(23,134)
Segment profit	5,429	17,695	572	-	23,696
Income tax expense	(885)	(2,712)	(86)	-	(3,683)
PROFIT FOR THE YEAR	4,544	14,983	486	-	20,013
FINANCIAL POSITION					
Assets					
Cash and balances with Central Bank	-	184,191	18,439	-	202,630
Due from banks	-	69,556	12,028	-	81,584
Investment securities	-	678,278	22,840	-	701,118
Loans, advances and financings (net)	791,305	1,455,672	256,520	-	2,503,497
Other assets	-	47,024	6,378	21,578	74,980
Investment properties	-	-	-	2,900	2,900
Property and equipment	-	-	871	43,407	44,278
TOTAL ASSETS	791,305	2,434,721	317,076	67,885	3,610,987
Liabilities					
Due to banks	-	710,935	9,626	-	720,561
Customer deposits	447,823	1,512,157	271,585	-	2,231,565
Other liabilities	-	51,395	2,445	37,927	91,767
Subordinated loans	-	-	-	35,392	35,392
TOTAL LIABILITIES	447,823	2,274,487	283,656	73,319	3,079,285
Internal Funding (net)	343,482	160,234	-	(503,716)	-
TOTAL EQUITY	-	-	33,420	498,282	531,702
TOTAL LIABILITIES & EQUITY	791,305	2,434,721	317,076	67,885	3,610,987

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

40. SEGMENTAL INFORMATION (CONTINUED)

31 December 2021	Retail banking USD'000	Wholesale banking USD'000	Islamic banking USD'000	Head Office RO'000	Total RO'000
PROFIT AND LOSS					
Net interest income	49,580	152,410	-	-	201,990
Net income from Islamic financing and investing activities	-	-	20,797	-	20,797
Other operating income	18,623	41,678	4,351	-	64,652
Total Operating income	68,203	194,088	25,148	-	287,439
Total Operating expenses	(54,979)	(63,538)	(12,031)	-	(130,548)
Net Operating Income Before Impairment Provisions	13,224	130,550	13,117	-	156,891
Loan impairment charges and other credit risk provisions, net	(10,836)	(58,972)	(556)	-	(70,364)
Segment profit	2,388	71,578	12,561	-	86,527
Income tax expense	(387)	(10,652)	(1,883)	-	(12,922)
PROFIT FOR THE YEAR	2,001	60,926	10,678	-	73,605
FINANCIAL POSITION					
Assets					
Cash and balances with Central Bank	-	225,356	23,665	-	249,021
Due from banks	-	443,548	5,696	-	449,244
Investment securities	-	2,606,473	74,057	-	2,680,530
Loans, advances and financings (net)	1,965,766	3,953,114	866,076	-	6,784,956
Other assets	-	368,990	5,252	68,101	442,343
Investment properties	-	-	-	7,532	7,532
Property and equipment	-	-	1,810	122,187	123,997
TOTAL ASSETS	1,965,766	7,597,481	976,556	197,820	10,737,623
Liabilities					
Due to banks	-	2,253,221	133,436	-	2,386,657
Customer deposits	1,437,034	4,047,959	734,397	-	6,219,390
Other liabilities	-	358,114	6,920	125,062	490,096
Subordinated loans	-	-	-	91,927	91,927
TOTAL LIABILITIES	1,437,034	6,659,294	874,753	216,989	9,188,070
Internal Funding (net)	528,732	938,187	-	(1,466,919)	-
TOTAL EQUITY	-	-	101,803	1,447,750	1,549,553
TOTAL LIABILITIES & EQUITY	1,965,766	7,597,481	976,556	197,820	10,737,623

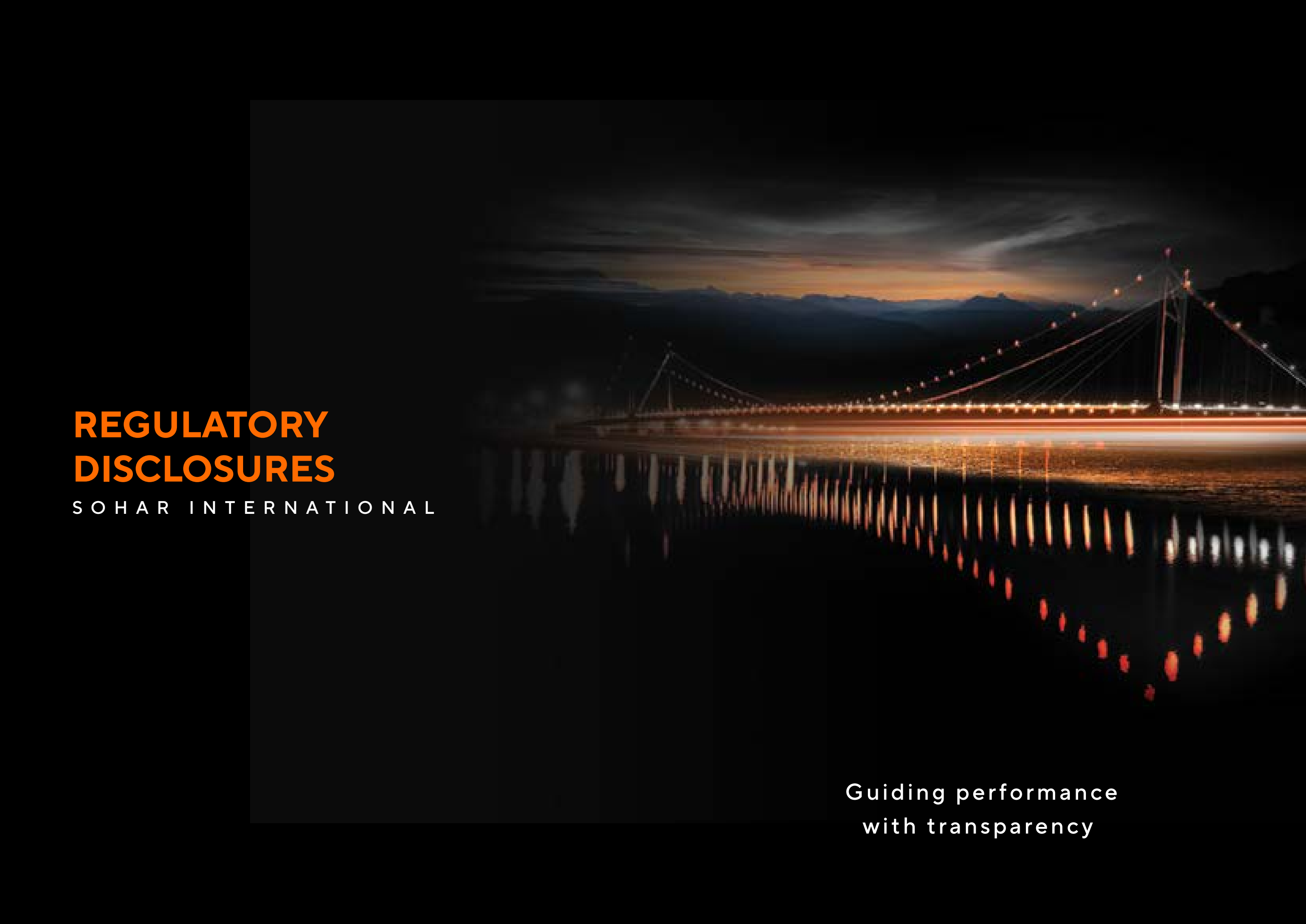
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

40. SEGMENTAL INFORMATION (CONTINUED)

31 December 2020	Retail banking USD'000	Wholesale banking USD'000	Islamic banking USD'000	Head Office RO'000	Total RO'000
PROFIT AND LOSS					
Net interest income	53,356	133,581	-	-	186,937
Net income from Islamic financing and investing activities	-	-	14,803	-	14,803
Other operating income	14,483	20,226	2,472	-	37,182
Total Operating Income	67,839	153,808	17,275	-	238,922
Total Operating Expenses	(53,016)	(49,748)	(14,522)	-	(117,286)
Net Operating Income Before Impairment Provisions	14,823	104,060	2,753	-	121,636
Loan impairment charges and other credit risk provisions, net	(721)	(58,099)	(1,268)	-	(60,088)
Segment profit	14,102	45,961	1,485	-	61,548
Income tax expense	(2,299)	(7,044)	(223)	-	(9,566)
PROFIT FOR THE YEAR	11,803	38,917	1,262	-	51,982
FINANCIAL POSITION					
Assets					
Cash and balances with Central Bank	-	478,418	47,894	-	526,312
Due from banks	-	180,665	31,241	-	211,906
Investment securities	-	1,761,761	59,325	-	1,821,086
Loans, advances and financings (net)	2,055,338	3,780,966	666,286	-	6,502,590
Other assets	-	122,141	16,565	56,047	194,753
Investment properties	-	-	-	7,532	7,532
Property and equipment	-	-	2,262	112,746	115,008
TOTAL ASSETS	2,055,338	6,323,951	823,573	176,325	9,379,187
Liabilities					
Due to banks	-	1,846,584	25,002	-	1,871,586
Customer deposits	1,163,177	3,927,681	705,415	-	5,796,273
Other liabilities	-	133,493	6,351	98,512	238,356
Subordinated loans	-	-	-	91,927	91,927
TOTAL LIABILITIES	1,163,177	5,907,758	736,768	190,439	7,998,142
Internal Funding (net)	892,161	416,193	-	(1,308,354)	-
TOTAL EQUITY	-	-	86,805	1,294,240	1,381,045
TOTAL LIABILITIES & EQUITY	2,055,338	6,323,951	823,573	176,325	9,379,187

41. COMPARATIVE FIGURES

Certain comparative figures for 2020 have been reclassified in order to conform to the presentation for the current period. Such reclassifications do not affect previously reported net profit or shareholders' equity.



REGULATORY DISCLOSURES

SOHAR INTERNATIONAL

Guiding performance
with transparency

Report of factual findings to the Board of Directors of Sohar International Bank SAOG. in respect of Basel II - Pillar III Disclosures and Basel III related disclosures

We have performed the procedures agreed with you in our letter of engagement dated 10 May 2021 and as prescribed in the Central Bank of Oman (“CBO”) Circular No BM 1027 dated 4 December 2007 and Circular No. BM 1157 dated 30 December 2018, with respect to the Basel II - Pillar III disclosures and Basel III related disclosures (the disclosures) of the **Sohar International Bank** (“the bank”) set out on the attached pages as at and for the year ended 31 December 2021. The disclosures were prepared by the management in accordance with the CBO’s Circular No. BM 1009 dated 13 September 2006 and Circular No. BM 1027 dated 4 December 2007 and BM 1114 dated 17 November 2013. Our engagement was undertaken in accordance with the International Standard on Related Services applicable to agreed-upon procedures engagements (ISRS 4400). The procedures, as set out in Circular No. BM 1027 dated 4 December 2007, were performed solely to assist you in evaluating the Bank’s compliance with the disclosure requirements set out in CBO’s Circular number BM 1009 dated 13 September 2006 and BM 1114 dated 17 November 2013 Circular No. BM 1149 dated 13 April 2017 amended with letter BSD/CB/FLC/2018/17 dated 26 November 2018 and CBO letter BSD/CB/2020/005 dated 03 June 2020.

We report no findings based on the work performed.

Because the above procedures do not constitute either an audit or a review made in accordance with International Standards on Auditing or International Standards of Review Engagements, we do not express any assurance on the disclosures as at and for the year ended 31 December 2021.

Had we performed additional procedures or had we performed an audit or review of the financial statements in accordance with International Standards on Auditing or International Standards on Review Engagements, other matters might have come to our attention that would have been reported to you.

Our report is solely for the purpose set forth in the first paragraph of this report and for your information and is not to be used for any other purpose or to be distributed to any other parties other than Central Bank of Oman; and we accept no liability to any third party. This report relates only to the Bank’s disclosures and does not extend to any financial statements of the Bank taken as a whole or to any other reports of the Bank.


Deloitte & Touche (M.E.) & Co. LLC
Muscat, Sultanate of Oman
14 March 2022



REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK
AS AT 31 DECEMBER 2021

1. PURPOSE AND BASIS OF REGULATORY DISCLOSURES

The following disclosures are being made in accordance with the revised capital adequacy rules under the Basel II & Basel III framework issued by the Central Bank of Oman (CBO) through circular number BM 1009 dated 13 September 2006 and BM 1114 dated 17 November 2013. The CBO guidelines for banks are structured around three pillars such as the Pillar I Minimum Capital Requirements, the Pillar II Supervisory review process and the Pillar III the Market discipline. The Pillar III disclosures complement Pillar I and Pillar II. The disclosures aim to provide market participants material qualitative and quantitative information about Sohar International Bank’s (the bank) risk management processes, risk exposures, risk management strategies and processes of capital adequacy status.

2. SUBSIDIARIES AND SIGNIFICANT INVESTMENTS

Sohar International Bank is not part of any group either as a member or as the top corporate entity in the group.

3. INTRODUCTION AND OVERVIEW

The bank’s business model requires the bank to identify, assess, measure, aggregate and manage the risks, and to allocate capital among the bank’s businesses. The bank’s material risks can be categorized as financial risks and non-financial risks. Financial risk comprises credit risk (including default, transaction, settlement, exposure, country, mitigation and concentration risks), market risk (including interest-rate, foreign exchange and investment price risk), liquidity risk and business (strategic) risk. Non-financial risk comprises operational risks and reputational risks (including compliance risk, legal risk, model risk and information security risk).

The bank manages identification, assessment and mitigation of top and emerging risks through an internal governance process and also with the use of risk management tools and processes. The bank’s approach to risk identification and impact assessment aims to ensure that the bank mitigates the impact of these risks in its financial results, long term strategic goals and reputation.

4. RISK MANAGEMENT PROCESS & FRAMEWORK

Under the risk management process, the bank identify all material risks then apply consistent risk measures and recommends what type of risks to reduce and what type of risks to hold and by what means and established procedures to monitor and report the resulting risk position for necessary action. The overall responsibility of risk management lies with the bank’s Board of Directors managed through Board Risk Committee (BRC). The Board regularly monitors the risk and capital profile. For the purpose of day-to-day management of risks, the bank has created an independent Risk Management Department (RMD). The RMD objectively reviews and ensures that the various functions of the bank operate in compliance with the risk parameters set by the BRC. RMD ensures prudent management of risks assumed by the bank in its normal course of business. Further, the bank has formed Management Risk Committee (MRC) to ensure that all the key risks that the bank faces are addressed and also to ensure that the bank’s strategic objectives are achieved within the Board approved risk appetite.

The bank follows a holistic approach to the management of risk and return throughout the organisation as well as the effective management of risk, capital and reputational profile. The risk management approach is communicated across the organisation and ownership of risk is clearly defined. Risk and capital are managed through a framework of principles, policies, organisational structures, measurement and monitoring processes. Responsible stakeholders ensure that such risks are closely aligned with the activities of the divisions and business units.

The bank operates on a Three Lines of Defense risk management model in which risk taking, risk monitoring and risk reporting responsibilities are clearly defined.

Defense line	I	II	III
Role	Risk	Risk Review	Assurance
Stakeholders	Business	Risk Management & Compliance	Internal Audit
Process	Generate risks in line with Risk Appetite	Risk measurement, risk monitoring and risk reporting	Assure alignment with risk appetite and risk strategy
	Transparent and complete disclosure of all risks	Escalate breaches / deviations / concerns for action	Major deviations analyzed & escalates non-alignment
	Pro-active post approval monitoring	Facilitate Risk Appetite framework	Major losses analyzed and recommend corrective actions

Risk Management is an enterprise wide responsibility. The roles and responsibilities are clearly segregated and thus three lines of defense model promotes transparency, accountability and consistency between various stakeholders.

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK
AS AT 31 DECEMBER 2021

5. RISK APPETITE

The bank ensures that it has a sound risk – reward relationship within and across the business lines. The bank maintains a strong risk management culture and continuously reviews its risk management policies and practices to ensure that the bank is not subject to material earnings volatility and deterioration in asset quality. The risk appetite framework of a bank formally defines and expresses the willingness and ability of a bank to take on certain type, amount and tenure of risk in order to pursue its strategic objectives. In this view, the bank maintains a risk appetite framework that enables the bank to carry risks according to its risk capacity and monitor various risks against the internal and regulatory risk thresholds.

The risk appetite framework is a mix of qualitative and quantitative aspects. The qualitative aspects represent the bank’s business model which is based on the fundamental principles that ensures sustainability, growth and profitability. The quantitative aspects consist of key metrics that covers the areas such as credit risk, market risk, liquidity risk operational risk, capital and so on.

The business activities of the bank underpin the following set of principles:

Regulatory: Adherence and compliance with local supervisory and applicable international regulations

Investor Confidence: The bank promotes economic growth by reinforcing the trust and confidence of the bank’s shareholders and investors.

Rating Agency Confidence: The bank to maintain a favorable credit rating from external credit rating agencies by maintaining strong capital adequacy ratio, sound risk management practices and adequate liquidity buffer.

Liquidity: The bank shall ensure that it has sufficient liquidity buffer in order to meet all funding obligations from its depositors and creditors.

Reputation: This is the risk of damage to the bank’s brand and its subsequent impact on earnings, capital and liquidity. The bank’s reputation is founded on the trust of customers, shareholders, employees, regulators and the public. The bank shall always endeavor to maintain its reputation and perception to all stakeholders and associated parties.

The risk appetite thresholds and actual positions are updated and monitored on a monthly basis at management level and quarterly basis at Board Risk Committee (BRC) level. The breach of thresholds is escalated to management and or to Board, according to the level of breach, to decide the corrective remedial action. The risk appetite framework is reviewed and updated annually based on the evolving business environment, regulatory changes, business strategy and objectives. The outcome of the updated framework is shared with BRC.

6. CAPITAL STRUCTURE

The authorised share capital of the Bank is 4,000,000,000 shares of RO 0.100 each. The issued and paid up share capital of the Bank is 2,990,062,290 shares of RO 0.100 each amounting to RO 295.355 million.

On 12 September 2021, the Bank issued 555,555,555 shares through rights issue to its existing shareholders at a price of 92 baisa per share consisting of nominal value of 90 baisa per share and 2 baisa per share to cover the rights issue expenses, resulting in an increase in share capital of RO 50 million and legal reserve of RO 1.034 million.

The Bank issued its first perpetual Tier 1 Capital Securities amounting to RO 100 million on 25 September 2017. These securities bear interest on their nominal amount from the issue date to the first call date at a fixed annual rate of 7.75%. Thereafter the interest rate will reset at five year intervals. Interest will be payable semi-annually in arrears and treated as a deduction from equity.

On 14 March 2019, the Bank issued its second issuance of perpetual Tier 1 Capital Securities amounting to RO 100 million. These securities bear interest on their nominal amount from the issue date to the first call date at a fixed annual rate of 7.50% with interest rate reset at five year intervals. Interest will be payable semi-annually in arrears and treated as a deduction from equity.

Both the securities constitute direct, unconditional, subordinated and unsecured obligations of the Bank and are classified as equity in accordance with IAS 32: Financial Instruments – Classification. They do not have a fixed or final maturity date. The Bank may at its discretion and after prior consent from the relevant regulatory authority, exercise its option to redeem the securities in full (not in part) on the first Call Date, i.e the 5th anniversary of the Issue Date, and on every fifth anniversary thereafter, again subject to the prior consent of the regulatory authorities. The Bank at its sole discretion may elect not to distribute interest. This is not considered as an event of default. If the Bank does not pay interest, on a scheduled interest payment date (for whatever reason), it cannot make any other distribution or payment on or with respect to its ordinary shares or any of its other Common Equity Tier 1 instruments or securities, ranking junior to or pari passu with the perpetual Tier 1 Capital Securities unless and until it has paid one interest payment in full on the securities. The terms of the perpetual Tier 1 Capital Securities issuance allow the Bank to write-down (in whole or in part) any amounts due to the holders of the securities under certain circumstances.

RO 15.250 million was paid as coupon during 2021 (2020: 15.250 million) and is recognised in the statement of changes in equity.

The Bank has a diverse shareholder profile providing the Bank the necessary opportunity to raise additional capital upon necessity.

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK
AS AT 31 DECEMBER 2021

6. CAPITAL STRUCTURE (CONTINUED)

The Bank also carries unsecured subordinated loans of RO 35 million raised in 2016 with a maturity of 7 years. These instruments are unlisted, non-transferable, non-negotiable and non-convertible with no early call option and with a fixed rate of interest. The principal amount of the subordinated loans is repayable on maturity in 2023 with interest payable semi-annually. The Bank is required to create a subordinated loan reserve equal to 20% of the issue value annually during the last five years of the term of the subordinated loans. According to the Regulations of CBO, the amount of subordinated loans as reduced by subordinated loan reserve is considered as Tier II capital for capital adequacy purposes.

Capital structure	RO '000
Tier 1 capital	
Paid-up share capital	295,355
Share premium	18,038
Legal reserve	34,389
General reserve	988
Subordinated loans reserve	28,000
Retained earnings	4,565
Other capital instruments	200,000
Other amounts deducted from Tier 1 capital including goodwill, deferred tax and investments	(2,181)
Total amount of Tier 1 capital	579,154
Total amount of Tier 2 capital	24,537
Total eligible capital	603,691

7. CAPITAL ADEQUACY

The Bank has adopted the standardized approach for credit risk and basic indicator approach for operational risk and standardized duration approach for market risk under the Basel II regulations, as prescribed by the CBO for all banks operating in Oman with effect from 1 January 2007.

The Bank’s capital adequacy ratio, calculated according to guidelines set by the Bank of International Settlements (BIS) as adopted by CBO was 19.06%. While the international requirement as per BIS is 8%, the CBO’s regulations stipulate that local banks maintain a minimum capital adequacy ratio of 11% and an additional 2.5% towards capital conservation buffer. For the purposes of supporting the banks to tide over the Covid 19 crisis, CBO introduced policy measures allowing the banks to lower the capital conservation buffer by 50% from 2.5% to 1.25%.

The Banks strategy is to maintain adequate capital to allow the Bank to operate under adverse market conditions and which can absorb unforeseen losses.

The Bank has an Internal Capital Adequacy Assessment Process (ICAAP) through which senior management assesses the Bank’s capital against its risk profile. Asset Liability Committee (ALCO) is the forum in which the capital adequacy is assessed, based on the next quarter’s business forecast and the risk profile envisaged. CBO, vide circular BM 1114 dated November 17, 2013, has issued guidelines on Regulatory Capital under Basel III and on composition of Capital disclosure requirements.

As per the above guidelines, until 31 March 2018, the minimum Total Capital Adequacy Ratio was 12% of Risk Weighted Assets (RWA). Effective 1 April 2018, as per circular BSO/2018/1, CBO has advised to maintain a total capital adequacy ratio of 11% together with minimum CET 1 and Tier 1 ratios at 7% and 9% respectively. Tier 2 capital will be restricted to 2% as against 3% earlier.

In addition to the minimum Total Capital Adequacy Ratio, a Capital Conservation Buffer (CCB) of 2.5% of RWA is also stipulated by CBO. The CCB of 2.5% of RWA was to be achieved in four equal annual installments of 0.625% each beginning from January 1, 2014. However CBO vide circular BSD/2014/BASELIII/ALL BANKS/1485 deferred the implementation of last three instalments till December 31, 2016. Thus as of December 31, 2019, regulatory minimum capital buffer to be applied is 2.5% and the total capital requirement is 13.50%. However, in 2020 for the purposes of supporting the banks to tide over the Covid 19 crisis, CBO introduced policy measures allowing the banks to lower the capital conservation buffer by 50% from 2.5% to 1.25% and total capital requirement stands revised to 12.25%.

As per the above guidelines, CBO may require banks to have a Counter Cyclical Buffer (CCyB) up to a maximum of 2.5% of RWA. The timelines for achieving the CCyB of 2.5%, if required, will be the same as that of CCB.

Capital buffer such as Capital Conservation Buffer, Counter Cyclical Buffer and enhanced Capital surcharge for D-SIB(s) will continue to be comprised of CET 1 and will be held above the regulatory minimum capital requirement.

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7. CAPITAL ADEQUACY (CONTINUED)

Total and Tier 1 Capital Ratio, Risk Weighted Assets				RO '000
S. No.	Details	Gross Balances (Book Value)	Net Balances (Book Value)*	Risk Weighted Assets
1	On-balance sheet items	4,186,542	4,107,467	2,599,147
2	Off - balance sheet items	211,575	205,456	176,464
3	Derivatives	19,646	19,646	16,463
4	Total for Credit Risk	4,417,763	4,332,569	2,792,074
5	Risk Weighted Asset for Market Risk		-	175,725
6	Risk Weighted Asset for Operations Risk		-	199,723
7	Total Risk Weighted Assets		4,332,569	3,167,522
8	Tier 1 Capital		579,154	
9	Tier 2 Capital		24,537	
10	Tier 3 Capital		-	
11	Total Regulatory Capital		603,691	
11.1	Capital requirement for credit risk			376,930
11.2	Capital requirement for market risk			23,723
11.3	Capital requirement for operational risk			26,963
12	Total required capital			427,616
13	Tier 1 Ratio			18.28%
14	Total Capital Ratio			19.06%

The capital adequacy ratio is calculated in accordance with the Basel II & Basel III norms as adopted by CBO. Disclosures required under Basel III and circular BM-1114 dated 17 November 2013 issued by Central Bank of Oman are available at investor relations section of the banks website.

8. RISK EXPOSURE AND ASSESSMENT

8.1 Management of risk in Sohar International Bank - approach and policy

The Bank’s activities expose it to a variety of financial risks. Taking risk is core to the financial business, and the operational risks are an inevitable consequence of being in business. The Bank’s aim is therefore to achieve an appropriate balance between risk and return and minimize potential adverse effects on the Bank’s financial performance.

The risks in the Bank are managed through a “Three Lines of Defense model”, with all Businesses acting as the front line by owning the respective risks and managing them. The second line of defense is shared by Risk and Compliance functions. While Risk provides “Functional Leadership” to the businesses by educating and training them on the policies, processes and controls set by Risk and also identifying risks, measuring and reporting to the management. Compliance ensures application of all the policies and processes conform with the current regulatory guidelines and applicable laws of Oman. Internal Audit acts as the third line of defense through reviews and exercising oversight of the first two lines of defense. The review findings act as a risk reporting tool for the Board and as inputs for upgrading of processes and plugging gaps in controls by Risk. Thus an “Integrated Risk Management” practice is followed by Sohar International Bank.

The Risk department prepares a comprehensive risk profile of the Bank on a monthly basis covering credit risk, market risk and operational risk. In addition to standalone risk, risk at the portfolio level, risk movement across the portfolio etc. are tracked. The risk profile indicates the state of various risks and risk recommendations for mitigation and control of risk. The report is placed before the top management every month and quarterly to the Board Risk Committee.

Bank’s philosophy is to undertake risks which are well understood and within the laid down risk appetite of the Bank.

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK
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8. RISK EXPOSURE AND ASSESSMENT (CONTINUED)

8.2 Credit risk management

Credit risk is the risk that counterparty will fail to meet their contractual obligations to the Bank as they become due. Credit risk arises primarily from loans and other credit products available to the customers and from the liquid and investment assets held by our treasury division. Credit risk is managed at three stages - at the origination stage, approval stage and at the transaction/ portfolio monitoring stage.

The Bank has a robust wholesale Lending Policy in place, which has laid down policies and framework relating to credit risk management, for all the three stages stated above.

All the commercial and corporate credit originations have to go through a borrower internal rating system obtained from Moody’s (credit lens) and only those with acceptable ratings as per the Bank’s wholesale lending policy are progressed further for approval of credit. The Bank has a credit approval delegation matrix in place approved by the board of directors, which is risk sensitized and backed by strong governance.

For retail loans products the Board has approved policies for various retail lending products based on approval parameters

In compliance with guidelines issued by the CBO, on the implementation of Basel II recommendations, in the case of credit risk, the Bank follows standardised approach with risk weights as recommended by the CBO.

The core banking software of the Bank has the capability to carry out asset classification on a daily basis. In accordance with this, specific provisioning is made as per the guidelines of the CBO. Non-specific standard asset provisioning is made as per the guidelines of the CBO.

The Bank’s disclosure policy was approved by the Board of Directors on 15 November 2009 and these disclosures have been prepared in accordance with the same.

8.3 Credit risk measurement

The Bank measures credit risk in terms of asset quality using two primary measures- the provisioning ratio and the non-performing loans ratio. The provisioning ratio is total ECLs the annual charge for provisions as a percentage of Non Performing total loans. The non-performing loans ratio is the ratio of nonperforming loans as a percentage of total loans. Further, the risk movement is tracked through portfolio analysis with focus on concentrations. These are detailed out in the following tables.

The Bank strictly adheres to the extant regulatory guidelines of assigning risk weights to its credit exposures based on counterparties involved and risk weights for funded and non-funded exposures after application of credit conversion factors. It has adopted standardized approach in computing capital adequacy. Lending directly to the Government or investment in sovereign instruments alone will be considered to be sovereign exposures and all others as corporate and risk weights as applicable will be assigned.

8.3.1 Counterparty Credit Risk (CCR)

The Basel defined CCR as the risk that the counterparty to a transaction could default before the final settlement of the transaction’s cash flow. An economic loss would occur if the transaction or a portfolio of transactions with the counterparty has a positive economic value at the time of default. Thus the bank’s CCR includes exposure to sovereigns, banks and corporates of other countries.

The bank has an extensive due diligence process for assessing, measuring and reporting the counterparty credit risk. The bank assesses default risk at country level and at individual bank level. The country limits are set based on external agency credit rating / OECD rating and other subjective assessment such as economic condition, political condition, independence of central bank, relationship outlook and so on. Similarly bank limits are set based on extensive analysis such as credit rating of the bank, audited financial reports, third party bank references and periodic visits by the bank’s personnel. Further, Central Bank of Oman (CBO) has issued guidelines for monitoring and reporting cross border exposures and the bank’s cross border exposures is subject to compliance with CBO guidelines.

Settlement Risk

Settlement risk is the risk that one party will fail to deliver as per the terms of a contract with another party at the time of settlement. Settlement risk can be the risk associated with default at settlement and any timing differences in settlement between the two parties. The bank follows a delivery vs payment (DVP) method for client related FX transactions. Settlement for FX transactions with international counterparties are through SWIFT messages. For derivative transactions such as IRS the bank follows the net settlement method to mitigate the settlement risk.

Definitions of past due and impaired

The classification of credit exposures is considered by the Bank for identifying impaired credit facilities, as per CBO circular number BM 977 dated 25 September 2004.

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK
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8. RISK EXPOSURE AND ASSESSMENT (CONTINUED)

8.4 Total gross credit risk exposures, plus average gross exposure over the period broken down by major types of credit exposure

S. No.	Type of credit exposure	RO '000			
		Average gross exposure		Total gross exposure	
		2021	2020	2021	2020
1	Overdrafts	110,776	102,740	122,478	99,074
2	Personal loans	926,220	918,639	916,167	936,271
3	Loans against trust receipts	75,985	88,266	69,542	82,427
4	Other loans	1,538,217	1,440,934	1,609,655	1,466,779
5	Bills purchased /discounted	39,591	50,221	31,621	47,560
	Total	2,690,789	2,600,800	2,749,463	2,632,111

8.5 Geographic distribution of total gross exposures, broken down in significant areas by major type of credit exposure

S. No.	Type of credit exposure	RO '000			
		Oman	Other GCC countries	Others	Total
1	Overdrafts	122,478	-	-	122,478
2	Personal loans	916,167	-	-	916,167
3	Loans against trust receipts	69,542	-	-	69,542
4	Other loans	1,605,970	3,685	-	1,609,655
5	Bills purchased /discounted	31,621	-	-	31,621
6	Any other	-	-	-	-
	Total	2,745,778	3,685	-	2,749,463

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK
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8. RISK EXPOSURE AND ASSESSMENT (CONTINUED)

8.6 Industry or counter party type distribution of total gross exposures, broken down by major types of Credit exposure

S. No.	Economic sector	Overdraft	Loans	Bills purchased/ discounted	Loans against trust receipts	RO '000	
						Total	Off-balance sheet exposure
1	Import & export trade	3,941	2,871	67	3,327	10,206	62,139
2	Wholesale & retail trade	29,723	285,246	374	21,406	336,749	-
3	Mining & quarrying	1,147	67,608	1,684	1,266	71,705	279
4	Construction	40,779	378,162	22,047	18,220	459,208	81,477
5	Manufacturing	22,103	262,763	192	17,229	302,287	16,789
6	Electricity, gas and water	1,412	80,125	1,816	323	83,676	3,078
7	Transport and communication	797	55,248	-	65	56,110	16,546
8	Financial institutions	-	71,800	-	-	71,800	58,640
9	Services	13,755	411,461	3,419	7,706	436,341	53,068
10	Personal loans	8,716	907,451	-	-	916,167	-
11	Agriculture and allied activities	-	-	-	-	-	-
12	Government	-	-	-	-	-	37,156
13	Non-Resident lending	-	2,862	1,512	-	4,374	-
14	All others	105	225	510	-	840	9,349
	Total	122,478	2,525,822	31,621	69,542	2,749,463	338,521

8.7 Residual contractual maturity breakdown of the whole portfolio, broken down by major types of credit exposures

S. No.	Time band	Overdraft	Loans	Bills purchased/ discounted	Loans against trust receipts	RO '000	
						Total	Off-balance sheet exposure
1	upto 1 month	122,478	317,952	31,621	69,542	541,593	66,363
2	1 - 3 months	-	75,639	-	-	75,639	20,907
3	3 - 6 months	-	46,735	-	-	46,735	36,815
4	6 - 9 months	-	53,512	-	-	53,512	47,677
5	9 - 12 months	-	57,759	-	-	57,759	31,728
6	1 - 3 years	-	407,972	-	-	407,972	38,196
7	3 - 5 years	-	375,393	-	-	375,393	30,372
8	Over 5 years	-	1,190,860	-	-	1,190,860	66,463
	Total	122,478	2,525,822	31,621	69,542	2,749,463	338,521

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK AS AT 31 DECEMBER 2021

8. RISK EXPOSURE AND ASSESSMENT (CONTINUED)

8.8 Total Loans breakdown by major industry or counter party type

RO '000								
S. No.	Economic sector	Gross loans	Of which NPLs as per IFRS 9	Performing loans	Provisions held		Reserve interest	Provisions made during the year
					Stage 1 and Stage 2	Stage 3		
1	Import Trade	10,206	4,384	5,822	42	1,890	186	1,180
2	Wholesale & Retail Trade	336,749	29,389	307,360	5,295	10,927	5,288	1,939
3	Mining & Quarrying	71,705	7,842	63,863	361	2,674	1,208	739
4	Construction	459,208	62,601	396,605	13,589	34,001	14,267	19,878
5	Manufacturing	302,287	10,520	291,767	9,436	5,312	589	(981)
6	Electricity, gas and water	83,676	3,003	80,673	426	2,492	115	334
7	Transport and Communi-cation	56,110	228	55,882	70	81	22	(432)
8	Financial Institutions	71,800	-	71,800	260	-	-	218
9	Services	436,341	6,889	429,452	6,954	2,735	1,412	(6,107)
10	Personal Loans	916,167	20,273	895,894	2,890	11,481	2,055	7,566
11	Agriculture and Allied Activities	-	-	-	-	-	-	-
12	Non-Resident Lending	4,374	2,862	1,512	3	1,190	-	-
13	All Others	840	(0)	842	3	-	-	(306)
Total		2,749,463	147,991	2,601,472	39,329	72,784	25,142	24,028

8.9 Amount of impaired loans broken down by significant geographic areas including with the amounts of specific and general allowances related to each geographical area

RO '000								
S. No.	Countries	Gross loans	Of which NPLs as per IFRS 9	Provisions held		Reserve interest	Total provisions	Advances written off during the year
				Stage 1 and Stage 2	Stage 3			
1	Oman	2,745,778	147,298	39,329	72,784	25,142	137,255	1,574
2	Other GCC countries	3,685	693	-	-	-	-	-
3	Others	-	-	-	-	-	-	-
Total		2,749,463	147,991	39,329	72,784	25,142	137,255	1,574

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK AS AT 31 DECEMBER 2021

8. RISK EXPOSURE AND ASSESSMENT (CONTINUED)

8.10 Movements of gross loans

RO '000				
S. No.	Details	Performing loans		Non- Performing loans
		Stage 1	Stage 2	Stage 3
1	Opening balance	2,130,737	344,288	157,086
2	Migration/changes (+/-)	(629,666)	(72,202)	(10,119)
3	New loans	757,625	79,873	10,200
4	Recovery of loans	-	-	-
5	Net Movement in memoranda accounts	-	-	(16,785)
6	Loans written off	-	-	(1,574)
7	Closing balance	2,258,696	351,959	138,808
8	Provisions held	5,206	34,123	72,784
9	Reserve interest	-	-	25,142
				2,749,463
				112,113
				25,142

9. CREDIT RISK: DISCLOSURES FOR PORTFOLIOS SUBJECT TO THE STANDARDIZED APPROACH

9.1 Qualitative disclosures: For portfolios under standardised approach

The Bank is following standardised approach in assessing regulatory capital for credit risk. For sovereign risk i.e. claims on the Sultanate of Oman or the Central Bank of Oman in Rial Omani or foreign currency, zero risk weight is applied, whereas for other sovereign risk and central banks' exposures, the exposure will be risk weighted appropriately within a range of 0% to 100% based on the rating awarded by Eligible Credit Assessment Institution (ECAI) approved by CBO like, Moody's Standard & Poor, Fitch and Capital Intelligence. For exposures on banks, the risk weight applied depends on the rating of the banks, subject to the respective country rating. In the absence of external ratings for most of the corporate, the Bank treats them as unrated and applies 100% risk weight on their funded exposures. On the off-balance sheet exposures, the relevant credit conversion factors are applied and aggregated to banks or the corporate, as the case may be, and then the risk weight is applied as stated above. Unavailed or yet to be disbursed exposures are taken under commitments and risk weights assigned as permitted by the CBO guidelines.

9.2 Quantitative disclosures

The Bank is following a uniform approach of considering all corporates as unrated and applying 100% risk weights.

10. CREDIT RISK MITIGATION: DISCLOSURE FOR STANDARDISED APPROACH

The Bank does not make use of netting whether on or off-balance sheet. The Bank's wholesale lending policy specifies the acceptable types of collateral, source of valuation and frequency of revaluation as once in three years for mortgaged properties and shares are valued on monthly basis unless where there is a high volatility situation where the shares shall be valued at shorter intervals. The main types of acceptable collaterals are cash deposits, equity shares listed in the Muscat Securities Market and mortgages. The main type of guarantors are individuals and corporates. The Bank is taking only the cash deposits and equity shares for the purpose of credit risk mitigation under comprehensive approach.

RO '000			
	Gross credit Exposure before CCF, CRM and Provisions	Eligible financial Collateral (after Application of Haircuts)	Eligible guarantees
1	Claims on Sovereigns	1,181,039	-
2	Claims on Banks	74,124	-
3	Claims on Corporates	(78,613)	-
4	Retail	(462)	-
5	Other Exposures	-	-
Total		(79,075)	-

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11. MARKET RISK

Market risk is defined as potential losses on account of changes in market variables. The sources of market risks are changes in interest rate, foreign exchange rates, credit spreads, commodity prices, equity prices and so on. Some of the bank's business lines are subject to such market risks.

11.1 Market Risk Management Framework

One of the primary objectives of the Market Risk Management, a part of the bank's independent Risk management function, is to ensure that the business units do not expose the bank to unacceptable exposures outside of the bank's Board approved risk appetite. Market Risk Management works closely together with risk takers ("the business units") and other control and support groups to achieve this objective.

The bank faces predominantly two types of market risk:

- i) Trading market risk arises primarily through the market-making activities. This involves taking positions in currencies, debt, equity or related securities.
- ii) Non-trading market risk arises from market movements in the bank's banking book and from off-balance sheet items. This includes interest rate risk, credit spread risk, investment risk, foreign exchange risk and commodity price risk.

Market Risk Management governance is designed and established to promote oversight of all market risks, effective decision-making and timely escalation to senior management. Further, Market Risk Management defines and implements a framework to systematically identify, assess, monitor and report market risk. The bank has an independent Middle Office (MO) within the the bank's Risk Management Department (RMD) which monitors treasury, investment banking and FIG. The Middle- office monitors and reports adherence to set risk thresholds and escalates breaches, if any, for timely remedial action. The process ensures that the risks assumed by various front office desks are within the Board approved risk appetite and related policies of the Bank.

The market risk management is governed by the following limits / thresholds and best practices:

- Exposure limits, variation margin limits with counterparties and credit risk equivalent (CRE) for derivatives
- Permitted derivative structures
- Stop loss thresholds for investments
- Open currency position thresholds
- Sectoral limits for investments.

11.2 Foreign Exchange Risk:

Foreign exchange risk refers to the possibility that an investment's value may decrease due to changes in the relative value of the involved currencies. The foreign exchange risk in the bank is managed and monitored through measurement of open currency positions. The bank has established thresholds for intraday and overnight net open currency positions. The bank's foreign exchange exposures arise from client transactions and balance sheet management with a limited amount of exposure arise from overseas investments. The bank's open currency position predominantly is with USD and other pegged GCC currencies.

The Bank had the following net open positions denominated in foreign currencies as at Dec 21:

	Assets FCY' 000	Liabilities FCY' 000	Net (liabilities)/assets FCY' 000
US Dollar	6,755,887	7,186,943	(431,056)
Euro	2,184,576	2,184,975	(399)
UAE Dirhams	26,491	41,661	(15,170)
Japanese Yen	7,803	4,525	3,278
Swiss Franc	465	446	19
Pound Sterling	6,237	6,180	57
Indian Rupee	17,971	3,414	14,557

The bank applies Basel II standardized approach for market risk capital allocation for foreign exchange risk. Market risk capital for the bank's foreign exchange position as at the end of 2021 is OMR 168,795.

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11. MARKET RISK (CONTINUED)

11.3 Investment w Risk

Investment price risk is the risk of decline in value of the bank's investment portfolio as a result of market price movements. The objective of investment price risk management is to ensure that the potential loss arising out of decline in the value of investments is within the bank's Risk Appetite. The bank's investments are governed by the Board approved investment policy and are subject to rigorous due diligence. Further the bank follows all the regulatory and internal thresholds that are applicable for each type of investment.

The investment committee, comprises of the bank's senior management, monitors investments on a periodic basis. The stop loss thresholds are established for various types of investments through investment policy. The market risk unit in the bank monitor all the investments for compliance and escalate breaches for appropriate corrective action. The bank follows IFRS 9 classifications such as amortised cost, FVOCI and FVPL for all investments and relative provision / impairment is accounted accordingly.

11.4 Interest Rate Risk

Interest rate risk arises from the adverse impact on the bank's financial position because of shift in market interest rates. The trading book impact is reflected by way of change in the value of investments the banking book impact reflects through the change in Net Interest Income (NII) and Economic Value of Equity (EVE). The bank's Asset Liability Committee (ALCO) is responsible for managing interest rate risk. The ALCO report includes interest rate risk reports, currency wise and consolidated balance sheet positions, liquidity gaps and measurement of NII and Eve. The ALCO regularly reviews the reports and provide direction to treasury to manage interest rate risk. Further key information related to interest rate risk is periodically reported to the bank's Board Risk Committee (BRC).

11.4.1 Interest Rate Risk in Banking Book (IRRBB)

Interest rate risk in the banking book is the current or prospective risk, to the bank's capital and earnings. Such risk arises from movements in interest rates, which affect the bank's banking book exposures. These risks include gap risk, basis risk, and optionality risks.

The bank manages short term interest rate impact through earnings based measures and long term interest rate impact through economic value based measures. The bank measures the change in Economic Value of Equity ("EVE") as the maximum decrease of the banking book economic value under the 6 standard scenarios prescribed by Basel guidelines. The bank maintains economic capital for IRRBB under Pillar II based on the outcome.

11.5 Derivatives

The bank offers interest rate and foreign exchange derivatives to its clients for hedging purposes. Such products are offered according to the client's hedging requirements and underlying exposures. Interest rate swaps are covered back to back with an interbank counterparty and thus the bank does not run a proprietary book.

The market risk team set appropriate limit for derivative products in line with the global best practices. Such limits are monitored against the exposures and breaches are escalated for corrective action. The mark to market valuation (MTM) of derivatives is measured daily. The bank has executed ISDA and Credit Support Annexure (CSA) with some of the counterparties and variation margins are exchanged based on the MTM and CSA thresholds.

The Bank also undertakes interest rate derivative to manage its own interest rate exposures by way of Interest Rate Swaps, Forward Rate Agreements and so on. The transactions are executed after deliberation and direction from the bank's ALCO. Hedge effectiveness for such interest rate swaps are performed periodically and necessary accounting entries are posted as per IFRS hedge accounting guidelines.

12. LIQUIDITY RISK

Liquidity risk is the risk arises from the bank's potential inability either to meet all payment obligations or only being able to meet such obligations at higher cost. The objective of the bank's liquidity risk management framework is to ensure that the bank can meet all its payment obligations as and when it is due and thus managing the bank's liquidity and funding risks within the Board approved risk appetite.

- The bank's treasury is mandated to manage the overall liquidity and funding position for the bank under the guidance and supervision of the ALCO. The sources and maturities of assets and liabilities are closely monitored to avoid any undue concentration and to ensure that the bank is fully prepared to meet any unforeseen stress conditions. The bank uses the following tools to manage liquidity and funding: Liquidity gaps in line with regulatory and internal thresholds
- Periodic stress testing and simulation of liquidity buffer to ensure "crisis survivability"
- Liquidity Early Warning Indicators have established and deliberated at ALCO
- Compliance and adequate maintenance of regulatory ratios such as LCR and NSFR

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12. LIQUIDITY RISK (CONTINUED)

The bank's risk management performs periodic stress testing and simulation of liquidity buffer and all the material cash inflows and outflows that impact the bank's liquidity. The simulation results are presented to ALCO for deliberation and further action plan. In addition, the bank performs liquidity sensitivity analysis and based on the outcome the bank provides economic capital under Pillar II as part of ICAAP submission.

12.1 Basel III Liquidity Ratios

Liquidity Coverage Ratio (LCR): LCR measures the stock of High Quality Liquid Assets (HQLA) against short-term obligations (30 days). The Bank maintains LCR in excess of the regulatory requirement.

Net Stable Funding Ratio (NSFR): NSFR regulation seeks that the Bank diversify its funding sources and reduce their dependency on short-term wholesale markets. The ratio compares the stock of Stable Funding against Required Funding. The Bank maintains adequate NSFR ratio above the regulatory threshold to avoid any funding mis-match. The Bank is compliant with the Basel III Liquidity Norms and ratios as of December 2021 are hereunder:

Table with 3 columns: Liquidity Ratio, Ratio as on 31 Dec 2021, Regulatory Threshold. Rows include LCR (271.64%, 100%) and NSFR (113.21%, 100%).

13. OPERATIONAL RISK

Operational risk is defined as the risk of direct or indirect loss resulting from inadequate or failed internal processes, people and systems or from external events. Operational risk arises due to variety of causes associated with the Bank's processes, personnel, technology and infrastructure and from external events and to include risks other than credit, market and liquidity risks.

Bank's objective is to manage operational risk to avoid /reduce financial losses to the Bank by establishment of necessary controls, systems and procedures. The Bank recognises that over controlled environment will affect Bank's business and earnings, besides adding to costs. Therefore, the Bank aims at effective management of operational risk through control optimisation and well established systems, methods and governance framework. The Bank has laid down the necessary policies, guidelines and framework to manage operational risk incidents and losses.

The primary responsibility for development and implementation of controls to address operational risk is assigned to senior management within each business unit. This responsibility is supported by the development of overall Bank's standards in the following areas for management of operational risk:

- Clear reporting lines;
- Proper delegation of powers;
- Appropriate segregation of duties and authorisation of transactions through a maker checker system and authorisation matrix;
- Ownership reconciliation and monitoring of accounts;
- Documentation of controls and processes;
- Compliance with regulatory and other legal requirements;
- Periodic assessment of the operational risks faced and evaluating the adequacy of controls and procedures to address the risks identified;
- Reporting of operational losses and incidents triggering operational losses and remedial action;
- Development of contingency plans;
- Training, skill up gradation and professional development;
- Ethical and business standards; and
- Risk mitigation through insurance, wherever desirable.

Compliance with Bank's standards is supported by a programme of periodic reviews undertaken by Internal Audit department. The findings of internal audit are discussed with the business unit heads and summary observations of audit are placed to Audit Committee and Senior Management of the Bank for corrective action.

Bank has documented processes and controls relating to the material activities of the Bank. The process document included process map with a SOX format, detailing the work flow, controls and the responsibilities of the persons involved in the process.

Bank has put in place Board of Directors approved Operational Risk Management Policy, Risk Control Self-Assessment (RCSA) and Loss Data Management procedures. Bank has implemented Operational Risk Loss Event reporting framework to monitor operational risk. Bank has developed in-house models for RCSA and has conducted RCSA for significant business lines. Bank maintains internal loss data base duly categorising them under Basel-II designated business lines and event types to study the loss trends and for preparing towards higher approaches for Operational Risk Management. Thus Bank manages the operational risks through the process of well laid down policies, models, tools, procedures and governance system, which is periodically reviewed and improved. Bank has a top level Management Risk Committee which closely monitors and manages operational risk of the bank.

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13. OPERATIONAL RISK (CONTINUED)

Bank has put in place a Board approved Fraud Risk Management policy and framework. The Policy sets out the Governance framework for implementing Enterprise wide Fraud Risk Management environment and culture. It covers the requirements for effective identification, assessment, measurement, monitoring and managing the fraud risk across the Bank with high level requirements for prevention, detection and reporting of frauds.

The objective of the Policy is to comply with various aspects of Fraud Risk Management stipulated by Central Bank of Oman (CBO) in Circular BM1153 dated 25 December 2017.

BUSINESS CONTINUITY

The Bank has established a Business Continuity Management (BCM) Program designed to minimize service disruption and the potential impact on the Bank, our customers and our staff. This includes a BCM Policy that is approved by our Board together with written Business Continuity and Disaster Recovery plans (DRPs) and procedures that are subject to period independent review. Although the specific details of our BCM arrangements are confidential for security reasons, the bank maintains Business Continuity Plans (BCPs) that address risk scenarios and events of varying scope including, but not exclusively, loss of services or infrastructure, denial of access, cyber-attack, pandemics and regional crises.

Sohar International BCPs are focused on maintaining critical processes, including treasury, capital & liquidity and payment services, providing customers with uninterrupted access to their funds and maintaining effective communications with our customers, staff and other stakeholders."

BCM testing of Sohar International for 2020 was successfully completed within defined scope, nevertheless the bank will ensure a continual improvement to whole bank operations. Our BCPs and DRPs are reviewed and tested at least annually. Any areas for improvement that are identified are tracked to ensure appropriate resolution and our plans and infrastructure updated as appropriate.

During Covid-19 pandemic, Sohar International gives prime importance to the health and safety of all its staff & customers. That was achieved by ensuring a safe banking experience is provided to the customers whereby all the banks digital capabilities were highlighted in campaigns to motivate the customers to extra ordinary use of alternate channels for their banking requirements.

Throughout 2020 and during the pandemic, it was witnessed that Sohar International Business Continuity moved into its full gear. The regular testing of the program proved to be very effective. Similar to all other activities in the bank, the Business Continuity Program continues to be improved in line with the international best practices which include the review of Business Continuity and Disaster Recovery plans at least annually. Such regular reviews enable the bank to address areas on improvements by putting into motion the appropriate plans, necessary infrastructure and resources requirements to ensure a high level of maturity while remediating the consequences of Covid-19 pandemic in line with BCM guidelines.

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK
AS AT 31 DECEMBER 2021

BUSINESS CONTINUITY (CONTINUED)

Exposure to interest rate risk – Annexure 2

	2021 RO'000
Net interest income	85,773
Capital	603,691
Based on 50 bps interest rate shock	
Impact of 50 bps interest rate shock	2,584
Impact as % to net interest income	3.01%
Impact as % to capital	0.43%
Based on 100 bps interest rate shock	
Impact of 100 bps interest rate shock	5,168
Impact as % to net interest income	6.03%
Impact as % to capital	0.86%
Based on 200 bps interest rate shock	
Impact of 200 bps interest rate shock	10,337
Impact as % to net interest income	12.05%
Impact as % to capital	1.71%

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK
AS AT 31 DECEMBER 2021

STATEMENT ON SENSITIVITY OF ASSETS AND LIABILITIES (SAL)
Annexure 1

Inflows No. (Assets and OBS)	Up to 1 month	1-3 months	3-6 months	6-12 months	1-2 years	2-3 years	3-4 years	4-5 years	5-7 years	7-10 years	10-15 years	15-20 years	Over 20 years	Non Sensitive	Total	RO '000
1	Cash on Hand	-	-	-	-	-	-	-	-	-	-	-	-	-	34,552	34,552
2	Deposits with CBO	500	-	-	-	-	-	-	-	-	-	-	-	-	60,814	61,314
3	Balance due from HO/ Affiliate Branches	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
4	Balances due from Other Banks	145,146	462	-	-	-	-	-	-	-	-	-	-	-	-	-
5	Investments	304,543	337,202	31,307	-	72,063	34,483	7,466	126,241	81,479	-	-	-	27,351	172,959	172,959
6	Bills of Exchange and Promissory Notes	41,043	16,757	11,673	1,694	-	-	-	-	-	-	-	-	-	-	71,167
7	Overdrafts	86,826	-	-	-	-	-	-	-	-	-	-	-	-	-	86,826
8	Loans, advances and financings	636,064	398,092	265,405	99,500	184,036	173,269	72,989	57,168	96,195	101,463	70,129	115,892	13,290	2,443,596	2,443,596
9	Non-Performing Loans	-	-	-	-	-	2,944	-	47,004	-	-	-	-	-	-	49,948
10	Fixed Assets	-	-	-	-	-	-	-	-	-	-	-	-	50,639	50,639	50,639
11	Accrued Interest	-	-	-	-	-	-	-	-	-	-	-	-	503	503	503
12	Other Assets	-	-	-	-	-	-	-	-	-	-	-	-	32,004	32,004	32,004
13	Swaps	592,731	141,780	305	239	14,980	-	-	52,708	-	-	-	-	-	-	802,743
Total	1,806,853	894,293	308,690	101,433	203,949	256,099	210,696	80,455	283,121	177,674	101,463	70,129	115,892	227,510	4,838,257	4,838,257

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK
AS AT 31 DECEMBER 2021

STATEMENT ON SENSITIVITY OF ASSETS AND LIABILITIES (SAL) CONTINUED
Annexure 1 (continued)

STATEMENT ON SENSITIVITY OF ASSETS AND LIABILITIES (SAL) CONTINUED																
Annexure 1 (continued)																
No.	Outflows (Liabilities and OBS)	Up to 1 month	1-3 months	3-6 months	6-12 months	1-2 years	2-3 years	3-4 years	4-5 years	5-7 years	7-10 years	10-15 years	15-20 years	Over 20 years	Non Sensitive	RO '0000
1	Current Deposits	-	-	-	-	-	-	-	-	-	-	-	-	-	934,366	934,366
2	Saving Deposits	361,684	-	-	-	-	-	-	-	13,418	-	-	-	-	13,418	375,102
3	Time Deposits	44,791	148,334	156,386	386,302	138,977	23,357	50,278	70,296	-	-	-	-	-	-	1,018,721
4	Other Deposits	64,919	-	-	-	-	-	-	-	-	-	-	-	-	1,357	66,276
5	Balances due to HO/ Affiliates/ Branches	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6	Balances due to other Banks	26,801	724,557	-	19,337	-	-	-	-	-	-	-	-	-	51,749	822,444
8	Other Borrowings	-	96,419	-	-	-	-	-	-	-	-	-	-	-	-	96,419
11	Interest Payable	-	-	-	-	-	-	-	-	-	-	-	-	-	348	348
14	Capital	-	-	-	-	-	-	-	-	-	-	-	-	-	313,393	313,393
15	Reserves	-	-	-	-	-	-	-	-	-	-	-	-	-	105,989	105,989
16	Retained Earnings	-	-	-	-	-	-	-	-	-	-	-	-	-	(7,702)	7,702
17	Sub-ordinated Debts	-	-	-	-	-	35,392	-	-	-	-	-	-	-	-	35,392
18	Others (Current Year's Profit/Loss)	-	-	-	-	-	-	-	-	-	-	-	-	-	28,338	28,338
22	Swaps	593,624	143,177	305	240	14,980	18,703	-	-	34,005	-	-	-	-	-	805,034
25	Other Liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	50,544	50,544
26	Others (Specify)	-	-	-	-	100,000	-	100,000	-	-	-	-	-	-	-	200,000
	Total	1,091,819	1,112,487	156,691	405,879	253,957	77,452	150,278	70,296	34,005	-	-	-	-	1,491,800	4,844,664
	Gap	715,041	(218,194)	151,999	(304,446)	(50,009)	178,647	60,418	10,159	249,116	177,674	101,463	70,129	115,892	(1,264,290)	6,402
	Cumulative Gap	715,041	496,847	648,846	344,400	294,392	473,038	533,456	543,615	792,730	970,404	1,071,867	1,141,996	1,257,888	(6,402)	

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK
AS AT 31 DECEMBER 2021

STATEMENT ON MATURITY OF ASSETS AND LIABILITIES (MAL)
Annexure 3

STATEMENT ON MATURITY OF ASSETS AND LIABILITIES (MAL)											RO '000
Annexure 3											
No.	Inflows (Assets and OBS)	Up to 1 month	1-3 months	3-6 months	6-9 months	9-12 months	1-3 years	3-5 years	Over 5 years	Total	
1	Cash on Hand	34,559	-	-	-	-	-	-	-	34,559	
2	Deposits with CBO	5,797	13,307	5,613	5,213	6,030	13,358	3,901	8,095	61,314	
3	Balances due from Other Banks	172,651	154	-	154	-	-	-	-	172,959	
4	Investments	307,787	340,446	34,551	-	-	109,663	31,837	207,721	1,032,005	
5	Bills of Exchange and Promissory Notes	41,043	16,757	11,673	1,694	-	-	-	-	71,167	
6	Overdrafts	4,341	4,341	4,341	4,341	4,341	21,707	21,707	21,707	86,826	
7	Loans, advances and financings	310,516	75,110	46,247	52,822	56,763	401,437	370,110	1,130,591	2,443,596	
8	Non Performing Loans	-	-	-	-	12,487	-	-	37,461	49,948	
9	Fixed Assets	-	-	-	-	-	-	-	50,639	50,639	
10	Accrued Interest	458	-	-	-	-	-	-	-	458	
11	Other Assets	30,935	-	-	-	-	1,114	-	-	32,049	
12	Spot and Forward Purchases	17,176	59,102	39,784	39,878	59,123	-	-	-	215,063	
13	Swaps	525,044	141,780	305	239	-	-	-	-	667,368	
14	Options	-	-	-	-	-	-	-	-	-	
15	Committed Lines of Credit	40,425	-	-	-	-	-	-	-	40,425	
16	Letters of Credit/Guarantees/Acceptances	24	9,087	30,783	35,893	8,623	1,238	-	1,084	86,732	
17	Unutilized portion of Overdraft and Loans & Advances	5,425	8,444	617	581	784	1,434	776	6,021	24,082	
18	Undrawn Exposure (Syn Loans)	1,558	-	-	62	402	57,975	18,806	8,819	87,622	
Total		1,497,739	668,528	173,914	140,877	148,553	607,926	447,137	1,472,138	5,156,812	

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK
AS AT 31 DECEMBER 2021

STATEMENT ON MATURITY OF ASSETS AND LIABILITIES (MAL) CONTINUED
Annexure 3 (continued)

										RO '000
No.	Outflows (Liabilities and OBS)	Up to 1 month	1-3 months	3-6 months	6-9 months	9-12 months	1-3 years	3-5 years	Over 5 years	Total
1	Current Deposits	186,873	186,873	140,155	93,437	93,437	-	-	233,591	934,366
2	Saving Deposits	18,755	18,755	18,755	18,755	18,755	93,776	93,776	93,775	375,102
3	Time Deposits	43,711	139,711	129,168	169,704	184,504	157,071	118,586	76,266	1,018,721
4	Other Deposits	2,228	848	10,709	542	27,353	23,869	621	106	66,276
5	Balances due to Other Banks	78,550	370,047	-	19,337	-	354,510	-	-	822,444
6	Other Borrowings	-	-	-	-	-	96,419	-	-	96,419
7	Interest Payable	348	-	-	-	-	-	-	-	348
8	Other Liabilities	45,180	4,250	-	-	-	1,114	-	-	50,544
9	Spot and Forward Sales	17,175	57,874	38,808	38,967	57,750	-	-	-	210,574
10	Swaps	525,937	143,177	305	240	-	-	-	-	669,659
11	Letters of Credit/Guarantees/Acceptances	10,863	43,291	28,254	3,663	482	179	-	-	86,732
12	Committed Lines of Credit	-	-	-	15,400	25,025	-	-	-	40,425
13	Utilized portion of Overdraft and loans, advances and financings	6,656	9,964	2,619	2,476	2,224	120	23	-	24,082
14	Others (Specify)	-	-	-	-	-	-	-	200,000	200,000
15	Capital	-	-	-	-	-	-	-	313,393	313,393
16	Reserves	-	-	-	-	-	-	-	105,989	105,989
17	Retained Earnings	-	-	-	-	-	-	-	(7,702)	(7,702)
18	Sub-ordinated Debts	-	-	-	-	-	35,392	-	-	35,392
19	Others (Current Year's Profit/Loss)	-	-	-	-	-	-	-	28,338	28,338
20	Undrawn Exposure (Syn Loans)	87,622	-	-	-	-	-	-	-	87,622
Total		1,023,898	974,790	368,773	362,521	409,530	762,450	213,006	1,043,756	5,158,724
Cumulative Liabilities		1,023,898	1,998,688	2,367,461	2,729,982	3,139,512	3,901,962	4,114,968	5,158,724	
Gap		473,841	(306,262)	(194,859)	(221,644)	(260,977)	(154,524)	234,131	428,382	
Cumulative Gap		473,841	167,579	(27,280)	(248,924)	(509,901)	(664,425)	(430,294)	(1,913)	
Cumulative Gap as a percentage of Cumulative Liabilities		46.28	8.38	(1.15)	(9.12)	(16.24)	(17.03)	(10.46)	(0.04)	

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK
AS AT 31 DECEMBER 2021

BASEL III COMMON DISCLOSURE TEMPLATE TO BE USED DURING THE TRANSITION OF REGULATORY ADJUSTMENTS (31 DECEMBER 2021)

			RO '000
Common Equity Tier 1 capital: instruments and reserves			
1	Directly issued qualifying common share capital (and equivalent for non-joint stock companies) plus related stock surplus		313,393
2	Retained earnings		4,565
3	Accumulated other comprehensive income (and other reserves)		63,377
4	Directly issued capital subject to phase out from CET1 (only applicable to non-joint stock companies)		-
	Public sector capital injections grandfathered until 1 January 2018		-
5	Common share capital issued by subsidiaries and held by third parties (amount allowed in group CET1)		-
6	Common Equity Tier 1 capital before regulatory adjustments		381,335
Common Equity Tier 1 capital: regulatory adjustments			
7	Prudential valuation adjustments		2,181
8	Goodwill (net of related tax liability)		-
9	Other intangibles other than mortgage-servicing rights (net of related tax liability)		-
10	Deferred tax assets that rely on future profitability excluding those arising from temporary differences (net of related tax liability)		-
11	Cash-flow hedge reserve		-
12	Shortfall of provisions to expected losses		-
13	Securitisation gain on sale (as set out in paragraph 14.9 of CP-1)		-
14	Gains and losses due to changes in own credit risk on fair valued liabilities.		-
15	Defined-benefit pension fund net assets		-
16	Investments in own shares (if not already netted off paid-in capital on reported balance sheet)		-
17	Reciprocal cross-holdings in common equity		-
18	Investments in the capital of banking, financial, insurance and takaful entities that are outside the scope of regulatory consolidation, net of eligible short positions, where the bank does not own more than 10% of the issued share capital (amount above 10% threshold)		-
19	Significant investments in the common stock of banking, financial, insurance and takaful entities that are outside the scope of regulatory consolidation, net of eligible short positions (amount above 10% threshold)		-
20	Mortgage Servicing rights (amount above 10% threshold)		-
21	Deferred tax assets arising from temporary differences (amount above 10% threshold, net of related tax liability)		-
22	Amount exceeding the 15% threshold		-
23	Of which: significant investments in the common stock of financials		-
24	Of which: mortgage servicing rights		-
25	Of which: deferred tax assets arising from temporary differences		-
26	National specific regulatory adjustments REGULATORY ADJUSTMENTS APPLIED TO COMMON EQUITY TIER 1 IN RESPECT OF AMOUNTS SUBJECT TO PRE-BASEL III TREATMENT"		-
	Of which: [INSERT NAME OF ADJUSTMENT]		-
	Of which: [INSERT NAME OF ADJUSTMENT]		-
	Of which: [INSERT NAME OF ADJUSTMENT]		-
27	Regulatory adjustments applied to Common Equity Tier 1 due to insufficient Additional Tier 1 and Tier 2 to cover deductions		-
28	Total regulatory adjustments to Common equity Tier 1		2,181
29	Common Equity Tier 1 capital (CET1)		379,154

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK
AS AT 31 DECEMBER 2021

BASEL III COMMON DISCLOSURE TEMPLATE TO BE USED DURING THE TRANSITION OF REGULATORY
ADJUSTMENTS (31 DECEMBER 2021) (CONTINUED)

		RO '000
Additional Tier 1 capital: instruments		
30	Directly issued qualifying Additional Tier 1 instruments plus related stock surplus	200,000
31	of which: classified as equity under applicable accounting standards ⁵	200,000
32	of which: classified as liabilities under applicable accounting standards ⁶	-
33	Directly issued capital instruments subject to phase out from Additional Tier ¹	-
34	Additional Tier 1 instruments (and CET1 instruments not included in row 5) issued by subsidiaries and held by third parties (amount allowed in group AT1)	-
35	of which: instruments issued by subsidiaries subject to phase out	-
36	Additional Tier 1 capital before regulatory adjustments	200,000
Additional Tier 1 capital: regulatory adjustments		
37	Investments in own Additional Tier 1 instruments	-
38	Reciprocal cross-holdings in Additional Tier 1 instruments	-
39	Investments in the capital of banking, financial, insurance and takaful entities that are outside the scope of regulatory consolidation, net of eligible short positions, where the bank does not own more than 10% of the issued common share capital of the entity (amount above 10% threshold)	-
40	Significant investments in the capital of banking, financial, insurance and takaful entities that are outside the scope of regulatory consolidation (net of eligible short positions)	-
41	National specific regulatory adjustments REGULATORY ADJUSTMENTS APPLIED TO ADDITIONAL TIER 1 IN RESPECT OF AMOUNTS SUBJECT TO PRE-BASEL III TREATMENT"	-
	Of which: [INSERT NAME OF ADJUSTMENT]	-
	Of which: [INSERT NAME OF ADJUSTMENT]	-
	Of which: [INSERT NAME OF ADJUSTMENT]	-
42	Regulatory adjustments applied to Additional Tier 1 due to insufficient Tier 2 to cover deductions	-
43	Total regulatory adjustments to Additional Tier 1 capital	-
44	Additional Tier 1 capital (AT1)	200,000
45	Tier 1 capital (T1 = CET1 + AT1)	579,154
Tier 2 capital: instruments and provision		
46	Directly issued qualifying Tier 2 instruments plus related stock surplus	
47	Directly issued capital instruments subject to phase out from Tier 2	7,000
48	Tier 2 instruments (and CET1 and AT1 instruments not included in rows 5 or 34) issued by subsidiaries and held by third parties (amount allowed in group Tier 2)	-
49	of which: instruments issued by subsidiaries subject to phase out	-
50	Provisions	17,537
51	Tier 2 capital before regulatory adjustments	24,537

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK
AS AT 31 DECEMBER 2021

BASEL III COMMON DISCLOSURE TEMPLATE TO BE USED DURING THE TRANSITION OF REGULATORY
ADJUSTMENTS (31 DECEMBER 2021) (CONTINUED)

		RO '000
Tier 2 capital: regulatory adjustments		
52	Investments in own Tier 2 instruments	-
53	Reciprocal cross-holdings in Tier 2 instruments	-
54	Investments in the capital of banking, financial, insurance and takaful entities that are outside the scope of regulatory consolidation, net of eligible short positions, where the bank does not own more than 10% of the issued common share capital of the entity (amount above the 10% threshold)	-
55	Significant investments in the capital banking, financial, insurance and takaful entities that are outside the scope of regulatory consolidation (net of eligible short positions)	-
56	National specific regulatory adjustments REGULATORY ADJUSTMENTS APPLIED TO TIER 2 IN RESPECT OF AMOUNTS SUBJECT TO PRE-BASEL III TREATMENT"	-
	Of which: [INSERT NAME OF ADJUSTMENT]	
	Of which: [INSERT NAME OF ADJUSTMENT]	
	Of which: [INSERT NAME OF ADJUSTMENT]	
57	Total regulatory adjustments to Tier 2 capital	-
58	Tier 2 capital (T2)	24,537
59	Total capital (TC = T1 + T2)	603,691
Risk weighted Assets		
RISK WEIGHTED ASSETS IN RESPECT OF AMOUNTS SUBJECT TO PRE-BASEL III TREATMENT		-
	Of which: [INSERT NAME OF ADJUSTMENT]	
	Of which: [INSERT NAME OF ADJUSTMENT]	
	Of which: [INSERT NAME OF ADJUSTMENT]	
60	Total risk weighted assets (60a+60b+60c)	3,167,522
60a	Of which: Credit risk weighted assets	2,792,074
60b	Of which: Market risk weighted assets	175,725
60c	Of which: Operational risk weighted assets	199,723
Capital Ratios		
61	Common Equity Tier 1 (as a percentage of risk weighted assets)	11.97%
62	Tier 1 (as a percentage of risk weighted assets)	18.28%
63	Total capital (as a percentage of risk weighted assets)	19.06%
64	Institution specific buffer requirement (minimum CET1 requirement plus capital conservation buffer plus countercyclical buffer requirements plus G-SIB/D-SIB buffer requirement expressed as a percentage of risk weighted assets)	8.25%
65	of which: capital conservation buffer requirement	1.25%
66	of which: bank specific countercyclical buffer requirement	
67	of which: D-SIB/G-SIB buffer requirement	
68	Common Equity Tier 1 available to meet buffers (as a percentage of risk weighted assets)	3.67

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK AS AT 31 DECEMBER 2021

BASEL III COMMON DISCLOSURE TEMPLATE TO BE USED DURING THE TRANSITION OF REGULATORY ADJUSTMENTS (31 DECEMBER 2021) (CONTINUED)

		RO '000
National minima (if different from Basel III)		
69	National Common Equity Tier 1 minimum ratio (if different from Basel 3 minimum)	8,250
70	National Tier 1 minimum ratio (if different from Basel 3 minimum)	10,250
71	National total capital minimum ratio (if different from Basel 3 minimum)	12,250
Amounts below the thresholds for deduction (before risk weighting)		
72	Non-significant investments in the capital of other financials	-
73	Significant investments in the common stock of financials	-
74	Mortgage servicing rights (net of related tax liability)	-
75	Deferred tax assets arising from temporary differences (net of related tax liability)	-
Applicable caps on the inclusion of provisions in Tier 2		
76	Provisions eligible for inclusion in Tier 2 in respect of exposures subject to standardised approach (prior to application of cap)	17,537
77	Cap on inclusion of provisions in Tier 2 under standardised approach	34,901
78	Provisions eligible for inclusion in Tier 2 in respect of exposures subject to internal ratings-based approach (prior to application of cap)	-
79	Cap for inclusion of provisions in Tier 2 under internal ratings-based approach	-
Capital instruments subject to phase-out arrangements (only applicable between 1 Jan 2018 and 1 Jan 2022)		
80	Current cap on CET1 instruments subject to phase out arrangements	-
81	Amount excluded from CET1 due to cap (excess over cap after redemptions and maturities)	-
82	Current cap on AT1 instruments subject to phase out arrangements	-
83	Amount excluded from AT1 due to cap (excess over cap after redemptions and maturities)	-
84	Current cap on T2 instruments subject to phase out arrangements	-
85	Amount excluded from T2 due to cap (excess over cap after redemptions and maturities)	-

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK AS AT 31 DECEMBER 2021

RECONCILIATION TEMPLATE AS AT DECEMBER 2021

Step 1:	RO '000	
	Balance sheet as in published financial statements	Under regulatory scope of consolidation
	As at 31 December 2021	As at 31 December 2021
Assets		
Cash and balances with Central Bank of Oman	95,873	95,865
Certificates of deposit	-	-
Due from banks	172,959	172,959
Loans, advances and financings	2,612,208	2,612,208
Investments in securities	1,032,004	1,032,004
Loans, advances and financings to banks	-	-
Property and equipment	50,639	50,639
Deferred tax assets	-	-
Other assets	170,302	170,310
Total assets	4,133,985	4,133,985
Liabilities		
Due to banks	918,863	918,863
Customer deposits	2,394,465	2,394,465
Certificates of deposit	-	-
Current and deferred tax liabilities	-	-
Other liabilities	200,647	200,647
Subordinated Debts	35,392	35,392
Compulsory Convertible bonds	-	-
Total liabilities	3,549,367	3,549,367
Shareholders' Equity		
Paid-up share capital	295,355	295,355
Share premium	18,038	18,038
Legal reserve	34,389	34,389
General reserve	988	988
Retained earnings	4,565	4,565
Cumulative changes in fair value of investments	(2,181)	(2,181)
Subordinated debt reserve	28,000	28,000
Impairment reserve	5,464	5,464
Special Reserve	-	-
Perpetual Tier 1 Capital Securities	200,000	200,000
Total shareholders' equity	584,618	584,618
Total liability and shareholders' funds	4,133,985	4,133,985

* Retained earnings for the year 2021 is stated after deducting proposed dividend of RO 11.960 million.

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK AS AT 31 DECEMBER 2021

RECONCILIATION TEMPLATE AS AT DECEMBER 2021 (CONTINUED)

Step 2 :	RO '000		
	Balance sheet as in published financial statements	Under regulatory scope of consolidation	Reference
	As at 31 December 2021	As at 31 December 2021	
Assets			
Cash and balances with CBO	95,873	95,865	
Balance with banks and money at call and short notice	172,959	172,959	
Investments :	1,032,004	1,032,004	
Of which Held to Maturity	343,688	343,688	
Out of investments in Held to Maturity:			
Investments in subsidiaries	NA	NA	
Investments in Associates and Joint Ventures	NA	NA	
Of which Available for Sale	594,217	594,217	
Out of investments in Available for Sale:	NA	NA	
Investments in Subsidiaries			
Investments in Associates and Joint Ventures	NA	NA	
<u>Held for Trading</u>	94,099	94,099	
Loans, advances and financings	2,612,208	2,612,208	
Of which:			
Loans, advances and financings to domestic banks	-	-	
Loans, advances and financings to non-resident banks	-	-	
Loans, advances and financings to domestic customers	2,175,192	2,175,192	
Loans, advances and financings to non-resident Customers for domestic operations	-	-	
Loans, advances and financings to non-resident Customers for operations abroad	4,374	4,374	
Loans, advances and financings to SMEs	96,630	96,630	
Financing from Islamic banking window	336,012	336,012	
Fixed assets	50,639	50,639	
Other assets	170,302	170,310	
of which:			
Goodwill and intangible assets			
Out of which:			
goodwill	-	-	
Other intangibles (excluding MSRs)	-	-	
Deferred tax assets	-	-	
Goodwill on consolidation	-	-	
Debit balance in Profit & Loss account	-	-	
Total Assets	4,133,985	4,133,985	

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK AS AT 31 DECEMBER 2021

RECONCILIATION TEMPLATE AS AT DECEMBER 2021 (CONTINUED)

Step 2 (continued):	RO '000		
	Balance sheet as in published financial statements	Under regulatory scope of consolidation	Reference
	As at 31 December 2021	As at 31 December 2021	
Capital & Liabilities			
Paid-up Capital	313,393	313,393	
Of which:			
Amount eligible for CET1	313,393	313,393	
Amount eligible for AT1	200,000	200,000	
Reserves & Surplus	68,235	68,235	
Out of which			
Retained earnings*	4,565	4,565	b
Other Reserves	68,841	68,841	
Cumulative changes in fair value of investments	(2,181)	(2,181)	
Out of which :			
Losses from fair value of investments	-	-	a
Gains from fair value of investments	-	-	
Haircut of 55% on Gains	-	-	
Total Capital	384,618	384,618	
Deposits :	2,394,465	2,394,465	
Of which:			
Deposits from banks	-	-	
Customer deposits	2,111,722	2,111,722	
Deposits of Islamic Banking window	282,743	282,743	
Other deposits(please specify)	-	-	
Borrowings	918,863	918,863	
Of which: From CBO	-	-	
From banks	918,863	918,863	
From other institutions & agencies	-	-	
Borrowings in the form of bonds, Debentures and sukuku	-	-	
Others (Subordinated debt)	35,392	35,392	
Other liabilities & provisions**	203,647	203,647	
Of which:			
Out of which : DTLs related to Investments	-	-	
Out of which : DTAs related to Investments	-	-	
Out of which : DTLs related to Fixed Assets	-	-	
DTLs related to goodwill	-	-	
DTLs related to intangible assets	-	-	
TOTAL	3,933,985	3,933,985	

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK
AS AT 31 DECEMBER 2021

RECONCILIATION TEMPLATE AS AT DECEMBER 2021 (CONTINUED)

Step 3:		RO '000	
Common Equity Tier 1 capital: instruments and reserves			
		Component of regulatory capital reported by bank	Source based on reference numbers/letters of the balance sheet under the regulatory scope of consolidation from step 2
1	Directly issued qualifying common share (and equivalent for non- joint stock companies) capital plus related stock surplus	313,393	
2	Retained earnings	4,565	b
3	Accumulated other comprehensive income (and other reserves)	63,377	
4	Directly issued capital subject to phase out from CET1 (only applicable to non-joint stock companies)	-	
5	Common share capital issued by subsidiaries and held by third parties (amount allowed in group CET1)	-	
6	Common Equity Tier 1 capital before regulatory adjustments	381,335	
7	Prudential valuation adjustments	-	
8	Goodwill (net of related tax liability)	-	
9	Losses from fair value of investments	(2,181)	a
10	DTA related to Investments	-	
11	Common Equity Tier 1 capital (CET1)	379,154	

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK
AS AT 31 DECEMBER 2021

MAIN FEATURES TEMPLATE OF CAPITAL INSTRUMENTS AS AT DECEMBER 2021

1	Issuer	SOHAR INTERNATIONAL	SOHAR INTERNATIONAL	SOHAR INTERNATIONAL	SOHAR INTERNATIONAL
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)		ISIN OM0000003398		
3	Governing law(s) of the instrument Regulatory treatment	Banking Law of Oman	Banking Law of Oman / Commercial Companies Law	Banking Law of Oman / Commercial Companies Law	Banking Law of Oman / Commercial Companies Law
4	Transitional Basel III rules	NA	NA	NA	NA
5	Post-transitional Basel III rules	Tier 2	Common Equity Tier 1	Additional Tier 1	Additional Tier 1
6	Eligible at solo/group/group & solo	Solo	Solo	Solo	Solo
7	Instrument type (types to be specified by each jurisdiction)	Subordinated Debt	Equity Shares	Prepetual Capital Securities	Prepetual Capital Securities
8	Amount recognised in regulatory capital (Currency in mil, as of most recent reporting date)	OMR 35 Million	OMR 295.355 Million	OMR 100 Million	OMR 100 Million
9	Par value of instrument	OMR 35 Million	OMR 295.355 Million	OMR 100 Million	OMR 100 Million
10	Accounting classification	Liability – amortised cost	Shareholder's Equity	Shareholder's Equity	Shareholder's Equity
11	Original date of issuance	Started issuance from 25th May 2016	03-Jan-07	25-Sep-17	14-Mar-19
12	Perpetual or dated	Dated	Perpetual	Perpetual	Perpetual
13	Original maturity date	7 years from date of allotment First maturity on 25th Jul 2023"	NA	NA	NA
14	Issuer call subject to prior supervisory approval	NO	NA	Yes	Yes
15	Optional call date, contingent call dates and redemption amount	Not callable	NA	First call date i.e 5th anniversary from the date of issue, at bank's sole discretion or if directed to do so by the CBO at an early redemption amount	First call date i.e 5th anniversary from the date of issue, at bank's sole discretion or if directed to do so by the CBO at an early redemption amount
16	Subsequent call dates, if applicable	Not callable	NA	Every fifth anniversary thereafter after the first call date	Every fifth anniversary thereafter after the first call date

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK
AS AT 31 DECEMBER 2021

MAIN FEATURES TEMPLATE OF CAPITAL INSTRUMENTS AS AT DECEMBER 2021 (CONTINUED)

	Coupons/dividends	SOHAR INTERNATIONAL	SOHAR INTERNATIONAL	SOHAR INTERNATIONAL	SOHAR INTERNATIONAL
17	Fixed or floating dividend/coupon	Fixed	NA	Floating coupon	Floating coupon
18	Coupon rate and any related index	7.00% p.a.	NA	7.75% & every 5 year reset	7.50% & every 5 year reset
19	Existence of a dividend stopper	No	NO	NO	NO
20	Fully discretionary, partially discretionary or mandatory	Mandatory	Fully discretionary	Fully discretionary, payable out of distributable items	Fully discretionary, payable out of distributable items
21	Existence of step up or other incentive to redeem	No	NO	NO	NO
22	Noncumulative or cumulative	Noncumulative	Noncumulative	Noncumulative	Noncumulative
23	Convertible or non-convertible	Nonconvertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger (s)	NA	NA	NA	NA
25	If convertible, fully or partially	NA	NA	NA	NA
26	If convertible, conversion rate	NA	NA	NA	NA
27	If convertible, mandatory or optional conversion	NA	NA	NA	NA
28	If convertible, specify instrument type convertible into	NA	NA	NA	NA
29	If convertible, specify issuer of instrument it converts into	NA	NA	NA	NA
30	Write-down feature	No	NO	NO	NO
31	If write-down, write-down trigger(s)	NA	NA	NA	NA
32	If write-down, full or partial	NA	NA	NA	NA
33	If write-down, permanent or temporary	NA	NA	NA	NA
34	If temporary write-down, description of write-up mechanism	NA	NA	NA	NA
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Subordinated to all Senior liabilities. Currently, subordinated to fixed deposits"	Subordinated to the Compulsorily Convertible bonds issued by the Bank	Subordinated to the Compulsorily Convertible bonds issued by the Bank & subordinated loans	Subordinated to the Compulsorily Convertible bonds issued by the Bank & subordinated loans
36	Non-compliant transitioned features	NO	NO	NO	NO
37	If yes, specify non-compliant features	NA	NA	NA	NA

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK
AS AT 31 DECEMBER 2021

BASEL III LEVERAGE RATIO FRAMEWORK AND DISCLOSURE REQUIREMENTS - REPORTS FOR QUARTER
ENDED 31 DECEMBER 2021

RO'000			
Table 1: Summary comparison of accounting assets vs leverage ratio exposure measure			
(Please refer to paragraph 52 of Basel III leverage ratio framework and disclosure requirements of BCBS issued in January 2014)			
	Item	Current Quarter	Previous Quarter
1	Total consolidated assets as per published financial statements	4,133,985	4,022,991
2	Adjustment for investments in banking, financial, insurance or commercial entities that are consolidated for accounting purposes but outside the scope of regulatory consolidation	-	-
3	Adjustment for fiduciary assets recognised on the balance sheet pursuant to the operative accounting framework but excluded from the leverage ratio exposure measure	-	-
4	Adjustments for derivative financial instruments	(2,292)	(6,635)
5	Adjustment for securities financing transactions (i.e., repos and similar secured lending)	-	-
6	Adjustment for off-balance sheet items (i.e., conversion to credit equivalent amounts of off-balance sheet exposures)	108,102	97,879
7	Other adjustments	2,499	10,932
8	Leverage ratio exposure	4,242,294	4,125,167

Table 2: Leverage ratio common disclosure template			
(Please refer to paragraph 53 of Basel III leverage ratio framework and disclosure requirements of BCBS issued in January 2014)			
	Item	Current Quarter	Previous Quarter
1	On-balance sheet items (excluding derivatives and SFTs, but including collateral)	3,557,552	3,440,521
2	(Asset amounts deducted in determining Basel III Tier 1 capital)	(2,181)	(2,219)
3	Total on-balance sheet exposures (excluding derivatives and SFTs) (sum of lines 1 and 2)	3,555,371	3,438,302
Derivative Exposures			
4	Replacement cost associated with all derivatives transactions (i.e., net of eligible cash variation margin)	-	-
5	Add-on amounts for PFE associated with all derivatives transactions	-	-
6	Gross-up for derivatives collateral provided where deducted from the balance sheet assets pursuant to the operative accounting framework	-	-
7	(Deductions of receivables assets for cash variation margin provided in derivatives transactions)	-	-
8	(Exempted CCP leg of client-cleared trade exposures)	-	-
9	Adjusted effective notional amount of written credit derivatives	-	-
10	(Adjusted effective notional offsets and add-on deductions for written credit derivatives)	-	-
11	Total derivative exposures (sum of lines 4 to 10)	-	-
Securities financing transaction exposures			
12	Gross SFT assets (with no recognition of netting), after adjusting for sale accounting transactions	578,725	589,105
13	(Netted amounts of cash payables and cash receivables of gross SFT assets)	96	(119)
14	CCR exposure for SFT assets		
15	Agent transaction exposures		
16	Total securities financing transaction exposures (sum of lines 12 to 15)	578,821	588,986
Other Off-balance sheet exposures			
17	Off-balance sheet exposure at gross notional amount	1,873,886	1,766,205
18	(Adjustments for conversion to credit equivalent amounts)	(1,765,784)	(1,668,326)
19	Off-balance sheet items (sum of lines 17 and 18)	108,102	97,879
Capital and total exposures			
20	Tier 1 capital	579,154	562,723
21	Total exposures (sum of lines 3, 11, 16 and 19)	4,242,294	4,125,167
Leverage Ratio			
22	Basel III leverage ratio (%)	13.7	13.6

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK
AS AT 31 DECEMBER 2021

LCR COMMON DISCLOSURE TEMPLATE FOR THE PERIOD ENDING: DEC 2021 (CONSOLIDATED)

	RO '000	
	Total Unweighted Value (average)	Total Weighted Value (average)
High Quality Liquid Assets		
1 Total High Quality Liquid Assets (HQLA)		798,187
Cash Outflows		
2 Retail deposits and deposits from small business customers, of which:	402,488	35,942
3 Stable deposits	63,324	2,026
4 Less stable deposits	339,164	33,916
5 Unsecured wholesale funding, of which:	1,026,533	547,859
6 Operational deposits (all counterparties) and deposits in networks of cooperative banks	-	-
7 Non-operational deposits (all counterparties)	1,026,533	547,859
8 Unsecured debt	-	-
9 Secured wholesale funding	-	-
10 Additional requirements, of which	83,854	11,248
11 Outflows related to derivative exposures and other collateral requirements	3,655	3,655
12 Outflows related to loss of funding on debt products	-	-
13 Credit and liquidity facilities	80,198	7,593
14 Other contractual funding obligations	17,923	17,923
15 Other contingent funding obligations	808,180	40,409
16 TOTAL CASH OUTFLOWS		653,382
Cash Inflows		
17 Secured lending (e.g. reverse repos)	-	-
18 Inflows from fully performing exposures	415,449	249,885
19 Other cash inflows	131,283	(2,568)
20 TOTAL CASH INFLOWS	546,732	247,317
	Total Adjusted Value	
21 TOTAL HQLA	-	798,187
22 TOTAL NET CASH OUTFLOWS	-	406,065
23 LIQUIDITY COVERAGE RATIO (%)	-	196.57

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK
AS AT 31 DECEMBER 2021

NSFR DISCLOSURES (CONSOLIDATED) QUARTER ENDED: DEC 2021

	RO '000				
ASF Item	Unweighted value by residual maturity				
	No maturity	< 6 months	6 months to < 1yr	≥ 1yr	Weighted value
1 Capital:	603,691	-	-	-	603,691
2 Regulatory capital	579,154				579,154
3 Other capital instruments	24,537				24,537
4 Retail deposits and deposits from small business customers	467,113	580	66,861	-	485,865
5 Stable deposits	89,869	569	5,760	-	91,345
6 Less stable deposits	377,244	11	61,100	-	394,520
7 Wholesale funding:	6,211	769,786	446,443	-	623,982
8 Operational deposits					
9 Other wholesale funding	6,211	769,786	446,443	-	623,982
10 Liabilities with matching interdependent assets					
11 Other liabilities:	-	-	-	816,530	774,567
12 NSFR derivative liabilities					
13 All other liabilities and equity not included in above categories	-	-	-	816,530	774,567
14 Total ASF					2,488,105
RSF Item					
15 Total NSFR high-quality liquid assets (HQLA)					31,312
16 Deposits held at other financial institutions for operational purposes	25,158	-	-	-	12,579
17 Performing loans and securities:	44,211	7,453	428,768	499,729	596,722
18 Performing loans to financial institutions secured by Level 1 HQLA	-	-	-	-	-
19 Performing loans to financial institutions secured by non- Level 1 HQLA and unsecured performing loans to financial institutions	-	-	26,199	-	13,099
20 Performing loans to non-financial corporate clients, loans to retail and small business customers, and loans to sovereigns, central banks and PSEs, of which	11,067	2,193	396,852	-	218,535
21 -With a risk weight of less than or equal to 35% under the Basel II Standardized approach for credit risk	-	-	-	36,771	23,901
22 Performing residential mortgages, of which:	-	5,260	5,717	453,734	305,174
23 With a risk weight of less than or equal to 35% under the Basel II Standardized Approach for credit risk	-	5,260	5,717	453,734	305,174
24 Securities that are not in default and do not qualify as HQLA, including exchange-traded equities	33,144	-	-	9,224	36,013
25 Assets with matching interdependent liabilities					
26 Other Assets:	550	-	44,968	1,714,313	1,511,494
27 Physical traded commodities, including gold					
28 Assets posted as initial margin for derivative contracts and contributions to default funds of CCPs					
29 NSFR derivative assets					
30 NSFR derivative liabilities before deduction of variation margin posted					
31 All other assets not included in the above categories	550	-	44,968	1,714,313	1,511,494
32 Off-balance sheet items		1,709	797,378	114,622	45,663
33 TOTAL RSF					2,197,769
34 NET STABLE FUNDING RATIO (%)					113.21



SOHAR ISLAMIC

Banking with strong principles

SOHAR ISLAMIC

SHARI'AH SUPERVISORY BOARD

Left to Right

Sh. Azzan Nasser Al Amri
Chairman

Dr. Mudassir Siddiqui
Deputy Chairman

Sh. Al Muatasim Said Al Maawali
Member

Sh. Fahad Mohammed Al Khalili
Member





بسم الله الرحمن الرحيم
الحمد لله رب العالمين
والصلاة والسلام على رسوله الكريم، أما بعد
In The Name of Allāh, most Gracious, most Merciful.
Peace and Blessings Be Upon His Messenger.

To the Shareholders of Sohar Islamic,
Sohar International S.A.O.G ("The Bank")

السلام عليكم ورحمة الله وبركاته

Pursuant to the powers entrusted by the Charter of the Bank and the terms of the appointment of the Shari'ah Supervisory Board, we hereby submit the following Annual Shari'ah report:

The Shari'ah Supervisory Board monitored the operations of the Bank between the period of January 1st, 2021 and December 31st, 2021 to ascertain the Bank's adherence to the provisions and principles of Islamic Shari'ah as expounded by the Shari'ah Supervisory Board. The Shari'ah Supervisory Board's monitoring function included the checking of documents and procedures to scrutinize operations carried out by the Bank, either directly or through the Shari'ah Audit Unit. We planned with the Shari'ah Audit Unit to carry out monitoring functions by obtaining all the information and clarifications that were deemed necessary to confirm that the Bank did not violate the principles and provisions of Islamic Shari'ah as elaborated by the Shari'ah Supervisory Board. The Shari'ah Audit Unit audited the Bank's transactions and submitted a report to the Shari'ah Supervisory Board. The report confirmed the Bank's commitment and conformity to the Shari'ah Supervisory Board's opinions. It held several meetings throughout the year ended 31 December 2021 and replied to the inquiries, in addition to approving investment opportunities presented by the Management.



The Shari'ah Supervisory Board believes that:

1. Contracts, operations and transactions conducted by the Bank throughout the year ending 31 December 2021 were in accordance with the standard contracts pre-approved by the Shari'ah Supervisory Board.
2. The distribution of profit on investment accounts was in compliance with the basis and principles approved by the Shari'ah Supervisory Board.
3. The audit did not show any gains resulting from sources or means prohibited by the provisions and principles of Islamic Shari'ah. As such there was no need to direct any amount to the Charity and Donations Account according to SSB's resolution.
4. The Shari'ah Supervisory Board created, developed, reviewed and approved all products, financing structures and contracts of transactions that were presented to them.

Dr. Sheikh Azzan Naser Al Aamri
Chairman

Dr. Muddassir Hussain Siddiqui
Deputy Chairman

Sheikh Al Muatasim Said Al Maawali
Member

Sheikh Fahad Mohammed Al Khalili
Non- voting Member



Shari'ah Supervisory Board Sohar Islamic

In The Name of Allah, Most Gracious, Most Merciful.
Peace and Blessings Be Upon His Messenger.

The Shari'ah Board was presented with the "Housing Finance Housing Finance under Diminishing Musharaka structure" product as detailed below:

Housing Finance under Diminishing Musharaka

- The Housing Finance product is based on the Diminishing Musharaka structure, whereby the bank enters into a partnership with the customer to purchase a ready-made property or to finance the construction of the property, as well as to repay loans or financing from conventional or Islamic banks.
- The bank and the customer agree to buy the property from its owner. The share of each of them from the participating capital is determined by signing the Diminishing Musharaka contract.
- After purchasing the property, the bank leases its share in the ownership of the property to the customer through a separate lease contract based on the agreed lease payments plan
- The customer signs an undertaking to purchase the bank's ownership share gradually, and the bank sells its shares by signing a sell contract or by notifying the customer periodically (every year. The customer's share is determined by the notification to be sent to the customer in writing or electronically via a registered email address or SMS.
- In the event where the bank enters into Musharaka to buy property from a customer having debt with traditional bank, the bank takes the first 6 months of Musharaka as rent only form the share of the property without selling any share after the mentioned period to avoid Buy-Back Sale stated on the fatwa issued by the High Shari'ah Supervisory Authority No. HSSA/23/2/11/2020/3 dated 13 Jan 2021. It is not considered as Buy – Back Sale if Sohar sells its share in the DM property to a third party



Shari'ah Supervisory Board Sohar Islamic

- The amount of periodic rental payments would go on decreasing with purchase of ownership units by the purchasing co-owner.
- Expenses incidental to ownership shall be borne jointly by the co-owners in the proportion of their co-ownership especially the main and structural maintenance and Takaful insurance on the property.
- Ijarah installment amount can be changed after completion of one year and up to the capped ceiling stipulated by Central Bank of Oman Circular BM 1112 dated 02/October/2013. The bank has to notify the customer before the change takes effect.

Hence, the Shari'ah Supervisory Board confirms that the Housing Finance under Diminishing Musharaka structure is according to the Shari'ah principles and compliant with the Islamic Banking Regulatory Framework issued by the Central Bank of Oman.

Shari'ah Supervisory Board Members

Sheikh Azzan Al Amri
Chairman

Dr. Muddassir Siddiqi
Deputy Chairman

Sheikh Al Muatasim Al Maawali
Member



Shari'ah Supervisory Board Sohar Islamic

In The Name of Allah, Most Gracious, Most Merciful.
Peace and Blessings Be Upon His Messenger.

The Shari'ah Board was presented with the "Wakala Investment Account Product" as detailed below:

Wakala Investment Account Product

- Wakala Account is based on the concept of Unrestricted Wakala where the Wakala Account Holder "Muakkil" provides capital, and the Bank "Wakeel" invests.
- Both parties will enter into a Matster Wakala Agreement.
- Wakeel and Muwakkil agree on the investment amount, tenure, anticipated profit rate, and Wakala fees.
- Wakala funds shall be invested in Wakeels' businesses and activities in compliance with the rules and principles of the Islamic Shari'ah, as approved by the Shari'ah Supervisory Board of the Wakeel.
- All losses arising under Wakala shall be for the account of the Muwakkil unless such losses are due to Wakeel's negligence, breach, default, or misconduct.
- The Muakkil (The Customer) shall bear the risks associated with the investment and wakala profit will be paid to the client after the deduction of the Wakala fee.
- The client can request early termination of the Wakala contract subject to the Bank's approval. The Bank will accordingly calculate the profit realised on the Wakala Capital.

Hence, the Shari'ah Supervisory Board confirms that the Housing Finance under Diminishing Musharaka structure is according to the Shari'ah principles and compliant with the Islamic Banking Regulatory Framework issued by the Central Bank of Oman.

Shari'ah Supervisory Board Members

Sheikh Azzan Al Amri
Chairman

Dr. Muddassir Siddiqi
Deputy Chairman

Sheikh Al Muatasim Al Maawali
Member



Shari'ah Supervisory Board Sohar Islamic

In The Name of Allah, Most Gracious, Most Merciful.
Peace and Blessings Be Upon His Messenger.

The Shari'ah Board was presented with the "Flexi Wakala Account Product" as detailed below:

Flexi Wakala Account Product

- Flexi Wakala Account is based on the concept of Unrestricted Wakala where the Flexi Wakala Account Holder "Muakkil" provides capital and the Bank "Wakeel" invests.
- Wakeel and Muwakkil pre-agree on the investment amount, tenure anticipated profit rate and Wakala fees.
- Wakala funds shall be invested in Wakeels' businesses and activities that comply with the rules and principles of the Islamic Shari'ah, as approved by the Shari'ah Supervisory Board of the Wakeel.
- Bank as Wakeel may invest or disinvest, at its sole discretion, the deposit or funds maintained by Flexi Wakala Account, in any of the Businesses of the Bank as it deems fit.
- The bank sets the minimum daily closing balance for each slab based by the calculated profit. The bank has the right to review and change these slabs, and this shall be declared separately for each slab at the start of the period through the bank website at www.soharislamic.com and Branch noticeboards.
- Bank will assign a profit rate for each balance slab. Profit is calculated based on the Anticipated Profit Rate declared separately for each slab at the start of the period through the bank's website and Branch noticeboards.
- The bank will calculate profit daily using the daily closing balance of the Flexi Wakala Account at the applicable rates declared monthly by the bank. Payment of profit will be monthly to the Flexi Wakala Account.
- What is distributed at the end of each month based on the expected profit rate is considered on account profit, subject to the final settlement based on the actual profit. Suppose the actual profit is below the expected profit. In that case, the expected profit is to be given to the client as an incentive to retain his deposit with the bank (providing that the number of incentives given to the customer should not exceed three investment periods according to the instructions of the Higher Shari'ah Supervisory Authority). However, if the actual profit exceeds the expected one, it can be given to the Wakeel as an incentive.



Shari'ah Supervisory Board Sohar Islamic

- If the Flexi Wakala Account balance falls below the minimum slab balance, the profit for that day is calculated based on the profit of the appropriate balance value slab.
- If the Flexi Wakala Account balance falls below the minimum balance of the lowest slab, there shall be no profit calculated for that day.
- If Wakala's actual profit exceeds the anticipated profit rate, the Muwakkil shall grant Wakeel an excess amount as an incentive.
- All losses arising under Wakala shall be for the account of the Muwakkil unless such losses are due to Wakeel's negligence, breach, default, or misconduct.

Hence, the Shari'ah Supervisory Board confirms that the product of Flexi Wakala is according to the Shari'ah principles and compliant with the Islamic Banking Regulatory Framework issued by the Central Bank of Oman.

Shari'ah Supervisory Board Members

Sheikh Azzan Al Amri
Chairman

Dr. Muddassir Siddiqi
Deputy Chairman

Sheikh Al Muatasim Al Maawali
Member



Shari'ah Supervisory Board Sohar Islamic

In The Name of Allah, Most Gracious, Most Merciful.
Peace and Blessings Be Upon His Messenger.

The Shari'ah Board was presented with the partnership program between Sohar Islamic and BMW to present a package of offers to the bank's customers to achieve a common interest in increasing the sales of BMW cars, as well as increasing the bank's financing portfolio for cars, which is carried out through the Murabaha contract.

Replace by Shari'ah Board has reviewed the details of the following programs:

- 1 - Buyback program
- 2 - CEO Program
- 3 - Special prices for Sohar Islamic customers

As detailed in Annex No. 1 "Product Concept" as well as the partnership contract between Sohar Islamic and BMW, the Shari'ah Board confirms that the program does not conflict with the principles of Islamic Shari'ah regarding Murabaha contracts, which will take place between Sohar Islamic and its customers, and that it does not contradict With the regulatory and supervisory framework for Islamic banking, And Allah knows best.

Shari'ah Supervisory Board Members

Sheikh Azzan Al Amri
Chairman

Dr. Muddassir Siddiqi
Deputy Chairman

Sheikh Al Muatasim Al Maawali
Member



Shari'ah Supervisory Board Sohar Islamic

In The Name of Allah, Most Gracious, Most Merciful.
Peace and Blessings Be Upon His Messenger.

The Shari'ah Supervisory Board "SSB" of Sohar Islamic has been presented with the fatawa & contract a new product by Takaful Oman called "Whole Family Takaful," which Sohar Islamic wishes to market and sell to its customers.

Shari'ah Approval

The SSB having reviewed the documentation of the aforementioned Whole Family Takaful product, hereby rules that they comply with the principles of Shari'ah.

And Allah Know best.

Shari'ah Supervisory Board Members

Sheikh Azzan Al Amri
Chairman

Dr. Muddassir Siddiqi
Deputy Chairman

Sheikh Al Muatasim Al Maawali
Member



Shari'ah Supervisory Board Sohar Islamic

In The Name of Allah, Most Gracious, Most Merciful.
Peace and Blessings Be Upon His Messenger.

The Shari'ah Board was presented with the "Student Account Product" under structure of Mudaraba as detailed below:

Student Account Product

- Student Account is based on the concept of Unrestricted Mu'arabah where the Student Account Holder is the Rab-ul-Māl and the Bank is the Mu'arib.
- Bank as Mu'arib may invest or disinvest, at its sole discretion, the deposit or funds maintained by Student Account, in any of the Businesses of the Bank as it deems fit. The deposits maintained by Customers in Student Account shall be part of the General Mu'arabah Pool.
- It is not permissible for Bank (Mu'arib) guarantee the capital of Customer (Rab-ul-Māl) or part profit as per the principles of Mu'arabah.
- The net profit on the Common Mu'arabah Pool shall be distributed amongst Bank (Mu'arib) and Student Account Holders based on the integrated weightage points which represent the aggregate of points allocated to each deposit based on Mu'arabah and shall form part of Mu'arabah Pool.

Shari'ah Pronouncement:

1. The SSB considers that the product is based on the principle of Mu'arabah. It meets the pillars and conditions of Mu'arabah. Mu'arabah of both types, unrestricted or restricted.
2. There is no objection to the fact that Mu'arabah parties agree on any common percentage of net profit, as this does not result into deterrence in profit sharing, and this percentage may be adjusted by mutual consent for each investment period referring to the Hadith "Muslims are held on their conditions."
3. The bank may enter in any investment or exit from it based on the fact that the Mu'arib is a trustee of Mu'arabah funds acting in the interest of both Mu'arabah parties.



Shari'ah Supervisory Board Sohar Islamic

4. The parties have legitimately agreed on the method of distributing the profit, accrued or at the end of the investment period. Profit distribution document (if any) is for Rab-ul-Māl (client) is for the legitimate principle of "no profit except after the security of the capital." Guaranteeing some profit for one of the parties may result in the deterrence in the profit sharing, which is not unanimously permissible.

Hence, the Supervisory Board confirms that the product of Student Account is compatible with the Shari'ah rules and in accordance with the Islamic Banking Regulatory Framework issued by the Central Bank of Oman on Mudaraba title 1 article 9.1.4.

Shari'ah Supervisory Board Members

Sheikh Azzan Al Amri
Chairman

Dr. Muddassir Siddiqi
Deputy Chairman

Sheikh Al Muatasim Al Maawali
Member



Shari'ah Supervisory Board Sohar Islamic

In The Name of Allah, Most Gracious, Most Merciful.
Peace and Blessings Be Upon His Messenger.

The Shari'ah Board was presented with the "Sohar Islamic First Segment" as detailed below:

Sohar Islamic First Segment

Eligibility Criteria:

1. Deposits: Average monthly balance of OMR 10,000 (or equivalent in foreign currency) in saving account.
2. Salary: Minimum salary of OMR 1,000 for Government sector employees and OMR. 1,800 for Private sector employees assigned to Sohar Islamic Saving Account.

Features and Benefits:

Customers in this segment will enjoy the following features and benefits:

- Higher expected profit rate on saving account than mass segment.
- Waived annual fees on Visa Signature credit card for the first year.
- Visa Signature credit card benefits:
 1. Complimentary access to over 1000 airport lounges globally.
 2. Travel (Takāful) Insurance: a cover for 90 days for all travels for cardholder and family.
 3. DragonPass 'Dine & Fly' airport dining program in over 200 airport restaurants offers globally.
 4. 12% discount in more than 985,000 hotels and vocational rentals worldwide with Agoda.
 5. 8% off bookings on hotels.com
 6. Fraudulent Card Misuse Protection.
 7. Visa Luxury Hotel Collection (VLHC) over 900 intriguing and prestigious properties.



Shari'ah Supervisory Board

Sohar Islamic

- 8. YQ Meet and Assist: discount of up to 30% off retail rates at over 450 destinations globally.
- 9. Extended Warranty: It doubles the repair period offered by the original manufacturer's warranty for up to 1 year, protecting you against the cost of repair and replacement.
- 10. Buyers Protection: providing cover for theft, accidental damage or non-delivery of eligible purchases for 365 days from the date of purchase.

The Shari'ah Supervisory Board confirms that Sohar Islamic First segment, with its features and benefits is compliant with the Shari'ah Law. Allah knows Best.

Shari'ah Supervisory Board Members

Sheikh Azzan Al Amri
Chairman

Dr. Muddassir Siddiqi
Deputy Chairman

Sheikh Al Muatasim Al Maawali
Member

A dramatic landscape featuring a winding road that curves through dark, silhouetted hills. In the background, a bright sun is rising or setting, creating a strong lens flare and illuminating the sky with orange and yellow hues. The overall scene conveys a sense of journey and achievement.

FINANCIAL STATEMENTS

SOHAR ISLAMIC

Achieving goals
with efficient measures

Independent auditor's report to the shareholders of Sohar International Bank SAOG

1

Opinion

We have audited the accompanying financial statements of **Sohar Islamic** (the "Islamic Window"), **Islamic window of Sohar International Bank SAOG** (the "Bank"), which comprise the statement of financial position as at 31 December 2021, and the related statements of income, cash flows, changes in owner's equity for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Islamic Window as at 31 December 2021, and the results of the operations, its cash flows, changes in owners' equity for the year then ended in accordance with the Financial Accounting Standards issued by the Accounting and Auditing Organisation for Islamic Financial Institutions "AAOIFI" as modified by Central Bank of Oman (CBO) and other applicable requirements of CBO.

In our opinion, the Islamic Window has also complied with the Islamic Shari'ah Principles and Rules as determined by the Shari'ah Supervisory Board of the Islamic Window during the period under audit.

Basis for opinion

We conducted our audit in accordance with Auditing Standards for Islamic Financial Institutions ("ASIFI") issued by AAOIFI. Our responsibilities under those standards are further described in the auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Islamic Window in accordance with the AAOIFI's Code of Ethics for Accountants and Auditors of Islamic Financial Institutions, and we have fulfilled our other ethical responsibilities in accordance with this Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other information

Other information consists of the information included in the Annual Report Section of Islamic Window, other than the financial statements and our auditor's report thereon. The Board of Directors is responsible for the other information. Prior to the date of this auditors' report, we obtained the Shari'ah Supervisory Board Report including List of Fatwas and Regulatory disclosure under Basel II and Basel III framework of the Islamic Window which form part of the annual report section of Islamic Window. Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we have obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Independent auditor's report to the shareholders of Sohar International Bank SAOG (continued)

2

Responsibilities of the Board of Directors for the financial statements

These financial statements and the Islamic Window's undertaking to operate in accordance with Islamic Shari'ah's Rules and Principles, as determined by the Shari'ah Supervisory Board, are the responsibility of the Bank's Board of Directors.

The Banks' Board of Directors is responsible for the preparation and fair presentation of the financial statements in accordance with AAOIFI as modified by CBO and the relevant requirements of CBO, and for such internal control as the Bank's Board of Directors determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Bank's Board of Directors is responsible for assessing the Islamic Window's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Bank's Board of Directors either intends to liquidate the Window or to cease operations, or has no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with AAOIFI will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with AAOIFI, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Window's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Bank's Board of Directors.

Independent auditor's report to the shareholders of Sohar International Bank SAOG (continued)

3

Auditor's responsibilities for the audit of the financial statements (continued)

- Conclude on the appropriateness of the Bank's Board of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Islamic Window's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Islamic Window to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with Bank's Board of Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide Bank's Board of Directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Deloitte & Touche

Deloitte & Touche (M.E.) & Co. LLC
Muscat, Sultanate of Oman
14 March 2022



Signed by
Ahmed Al Qassabi
Partner
ACCA Membership No. 0820917

[Signature]

STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2021

		31 December 2021 RO'000	31 December 2020 RO'000
	Note		
ASSETS			
Cash and balances with Central Bank	5	9,111	18,439
Due from banks	6	2,193	12,028
Investment securities	8	28,512	22,840
Murabaha receivables	7a	12,761	15,512
Ijarah muntahia bittamleek	7b	97,169	85,484
Istisna followed by Ijarah muntahia bittamleek	7c	97,635	91,233
Diminishing Musharka	7d	70,307	64,291
Qard Hasan Financing	7e	48	-
Wakala Bil Istithmar	7f	44,030	-
Property and equipment	9	697	871
Other assets	10	13,511	6,378
TOTAL ASSETS		375,974	317,076
LIABILITIES			
Current and other accounts	11	41,425	41,514
Other liabilities	12	2,664	2,455
TOTAL LIABILITIES		44,089	43,969
EQUITY OF INVESTMENT ACCOUNT HOLDERS	13	292,691	239,687
SHAREHOLDERS' EQUITY			
Share capital	14a	31,500	30,000
Legal reserve	14b	134	134
General reserve	14c	988	988
Fair value reserve	14d	(893)	(1,056)
Impairment reserve	14e	472	472
Retained earnings		6,993	2,882
TOTAL SHAREHOLDERS' EQUITY		39,194	33,420
TOTAL LIABILITIES, EQUITY OF INVESTMENT ACCOUNT HOLDERS AND SHAREHOLDERS' EQUITY		375,974	317,076
CONTINGENT LIABILITIES	15a	21,657	31,985
COMMITMENTS	15b	16,428	6,934

These financial statements were approved and authorised for issue by the Board of Directors on 30 Jan 2022 and signed on their behalf by:

[Signature]

Chairman

[Signature]

Board member

The accompanying notes 1 to 28 form an integral part of these financial statements.

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2021

		31 December 2021 RO'000	31 December 2020 RO'000
	Note		
Income from financing activities	18	16,132	12,678
Return on unrestricted investment account holders	20	(9,815)	(8,521)
Share of income (as Mudarib and Rabalmaal)		6,317	4,157
Income from investment activities	19	1,690	1,542
NET INCOME FROM FINANCING AND INVESTING ACTIVITIES		8,007	5,699
Other operating income	21	1,675	952
TOTAL OPERATING INCOME		9,682	6,651
Staff costs		(2,767)	(2,564)
Other operating expenses	22	(1,633)	(2,753)
Depreciation	9	(232)	(274)
TOTAL OPERATING EXPENSE		(4,632)	(5,591)
NET OPERATING INCOME BEFORE IMPAIRMENT PROVISIONS		5,050	1,060
Impairment Charges (net)	23	(214)	(488)
PROFIT BEFORE TAX		4,836	572
INCOME TAX EXPENSE		(725)	(86)
PROFIT FOR THE YEAR		4,111	486

The accompanying notes 1 to 28 form an integral part of these financial statements.

STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2021

	Allocated capital RO'000	Legal reserve RO'000	General reserve RO'000	Impairment reserve RO'000	fair value reserve RO'000	Retained earnings RO'000	Total RO'000
Balance as at 1 January 2021	30,000	134	988	472	(1,056)	2,882	33,420
Profit for the year	-	-	-	-	-	4,111	4,111
Capital allocated during the year	1,500	-	-	-	-	-	1,500
Transfer to/from impairment reserve during the year	-	-	-	-	-	-	-
Fair value gain/(loss)	-	-	-	-	163	-	163
Balance as at 31 December 2021	31,500	134	988	472	(893)	6,993	39,193

	Allocated capital RO'000	Legal reserve RO'000	General reserve RO'000	Impairment reserve RO'000	fair value reserve RO'000	Retained earnings RO'000	Total RO'000
Balance as at 1 January 2020	30,000	134	988	602	-	2,266	33,990
Profit for the year	-	-	-	-	-	486	486
Capital allocated during the year	-	-	-	-	-	-	-
Transfer to/from impairment reserve during the year	-	-	-	(130)	-	130	-
Fair value gain/(loss)	-	-	-	-	(1,056)	-	(1,056)
Balance as at 31 December 2020	30,000	134	988	472	(1,056)	2,882	33,420

The accompanying notes 1 to 28 form an integral part of these financial statements.

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2021

		31 December 2021 RO'000	31 December 2020 RO'000
	Note		
OPERATING ACTIVITIES			
Profit before tax		4,836	572
Adjustments for:			
Depreciation	9	232	274
Impairment charge (net)	23	214	488
Income from investment activities	19	(1,665)	(1,438)
Cash from operating activities before changes in operating assets and liabilities		3,617	(104)
Murabaha receivables		2,731	(2,106)
Ijarah muntahia bittamleek		(11,640)	(14,483)
Istisna followed by Ijarah muntahia bittamleek		(6,715)	(5,953)
Diminishing Musharka		(6,248)	(21,628)
Qard Hasan Financing		(48)	-
Wakala Bil Istithmar		(44,170)	-
Current and other accounts		(89)	24,029
Other assets		(7,133)	(2,844)
Other liabilities		(496)	146
Net cash used in operating activities		(70,190)	(22,943)
INVESTING ACTIVITIES			
Purchase of investments (net)		(5,037)	(1,332)
Acquisition of property and equipment		(58)	(51)
Income received on Investments		1,618	1,447
Net cash from / (used in) investing activities		(3,477)	64
FINANCING ACTIVITIES			
Changes in Un Restricted Investment Account Holders(URIA)		62,630	37,224
Capital allocated during the year		1,500	-
Net cash from financing activities		64,130	37,224
NET CHANGE IN CASH AND CASH EQUIVALENTS		(9,537)	14,343
CASH AND CASH EQUIVALENT AT BEGINNING OF YEAR		20,841	6,499
CASH AND CASH EQUIVALENTS AT END OF YEAR		11,304	20,842
REPRESENTING:			
Cash and balances with Central Bank	5	9,111	18,439
Due to banks with original maturity (OM) of 90 days	6	2,193	12,028
Due to bank with OM of 90 days		-	(9,625)
		11,304	20,842

The accompanying notes 1 to 28 form an integral part of these financial statements.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021

1. LEGAL STATUS AND PRINCIPAL ACTIVITIES

Sohar International Bank SAOG (the Head Office) (previously 'Bank Sohar SAOG) under an Islamic Banking License issued by the Central Bank of Oman (CBO) on 30 April 2013, carries out Islamic banking operations and other financial trading activities in accordance with Islamic Shari'ah rules and regulations under the name of "Sohar Islamic" (the Window). The Window's Shari'ah Supervisory Board is entrusted to ensure the Window's adherence to Shari'ah rules and principles in its transactions and activities. As required under clauses 3.5.1.2 and 3.5.1.3 of Title 1, 'Licensing Requirements' of Islamic Banking Regulatory Framework (IBRF) issued by CBO, the head office assigned RO 31.5 million (refer note 14.a) to the Window as Share capital.

The Window has not operated as a separate legal entity. The separate financial statements of the Window has been prepared to comply with the requirement of Articles 1.5.1.2 to 1.5.1.4 of Title 2 'General Obligations and Governance' of IBRF issued by CBO.

The Window offers a full range of Islamic banking services and products. The principal activities of the Window include accepting Shari'ah compliant customer deposits, providing Shari'ah compliant financing and undertaking investment activities, and providing commercial banking services and other investment activities permitted under IBRF.

The Window employed 97 employees as of 31 December 2021 (31 December 2020: 86) the Window has 8 branches within Sultanate of Oman.

2. BASIS OF PREPARATION

2.1 Statement of compliance

The financial statements for the Window are prepared in accordance with the Financial Accounting Standards (FAS) issued by the Accounting and Auditing Organisation for Islamic Financial Institutions ("AAOIFI") as modified by CBO, the Islamic Shari'ah rules and principles as determined by the Shari'ah Supervisory Board of the Window and Islamic Banking Regulatory Framework issued by CBO. In accordance with the requirement of AAOIFI, for matters not covered by FAS, the Window uses standards issued by the International Accounting Standards Board (IASB) and the interpretations released by the International Financial Reporting Interpretations Committee and will be replaced later by FAS when an applicable FAS is issued.

These financial statements pertain to the Window's operations only and do not include the Bank's financial results. Statement of changes in restricted investment amount, statement of sources of funds in zakah, and statement of sources and uses of funds in Qard Fund have not been presented as these are not applicable/relevant to Window's operations. A complete set of financial statements of the bank is presented separately.

2.2 Basis of measurement

The financial statements have been prepared under the historical cost basis except for derivative financial instruments and investments measured at fair value. These financial statements are presented in Rial Omani, which is the Window's functional currency. All financial information presented in Rial Omani has been rounded off to the nearest thousands.

2.3 Use of Judgments and estimates

In preparation of the Window financial statements, management must make certain estimates and assumptions that affect the reported amount of financial assets and liabilities and the resultant allowances for impairment and fair values. In particular, considerable judgment by management is required in the estimation of the amount and timing of future cash flows when determining the level of allowances required for impaired financing and receivables as well as allowances for impairment provision for unquoted investment securities. Estimates and judgments are continually evaluated based on historical experience and other factors including expectations of future events that are believed to be reasonable under the circumstances. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed regularly. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period or in the revision period and future periods if the revision affects both current and future periods. Estimates considered by the Window to have a significant risk of material adjustment in subsequent periods are discussed in note 4.

2.4 New standards, interpretations and amendments effective from 1 January 2021

The new and amended standards and interpretations that became effective from 1 January 2021 are disclosed below. The Window adopts these new and amended standards in these financial statements. The impact on adopting these standards is disclosed below in 2.4.1 – 2.4.4, and significant accounting policies adopted are disclosed in note 3.

2.4.1 FAS 31 Investment Agency (Al-Wakala Bi Al-Istithmar)

AAOIFI has issued FAS 31 Investment Agency (Al-Wakala Bi Al-Istithmar) in 2018. This standard aims to establish the principles of accounting and financial reporting for the investment agency (Al-Wakala Bi Al- Istithmar) instruments and the related assets and obligations from both the principal (investor) and the agent perspectives. The Window uses a Wakala structure to raise funds from the interbank market and from customers.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

2. BASIS OF PREPARATION (CONTINUED)

2.4 New standards, interpretations, and amendments effective from 1 January 2021 (continued)

2.4.1 FAS 31 Investment Agency (Al-Wakala Bi Al-Istithmar) (continued)

After adopting FAS 31, all new funds raised using a Wakala structure, together are commingled with the Window's pool of funds based on an underlying Mudaraba agreement and owner's equity. This commingled pool of funds is invested in a common pool of assets in a manner that the Window deems appropriate without laying down restrictions as to where, how and for what purpose the funds should be invested. Below is the impact of FAS 31 on the financial statements:

Transition disclosures	31 December 2020	31 December 2020
	Amount Prior to adoption of FAS 31	Amount Upon to adoption of FAS 31 (Restated)
STATEMENT OF FINANCIAL POSITION LIABILITIES		
Wakala deposits	187,179	-
Due to Bank	9,625	-
Equity of Investment Account Holders	42,883	239,687
STATEMENT OF INCOME		
Income from jointly financed financing activities and receivables	3,951	12,678
Return on unrestricted investment account holders	(842)	(8,521)
Share of Income (as Mudarib and Rabalmaal)	3,109	4,157
Income from self-financed financing activities	8,727	-
Income from self-financed investing activities	1,543	1,543
Income from financing, investments and receivables	13,379	5,700
Return on due to under Wakala contracts	(7,679)	-
Net Income from financing and investing activities	5,700	5,700
STATEMENT OF CASH FLOWS		
OPERATING ACTIVITIES		
Cash from operating activities before changes in operating assets and liabilities	(104)	(104)
Wakala deposits	28,342	-
Due to banks and wakala borrowings	(4,814)	-
Net cash from / (used in) operating activities	583	(22,943)
FINANCING ACTIVITIES		
Changes in Un Restricted Investment Account Holders (URIA)	13,696	37,224
Net cash from financing activities	13,696	37,224

2.4.2 FAS 35 Risk Reserves

AAOIFI has issued FAS 35 "Risk Reserves" in 2018. This standard, along with FAS 30 'Impairment, Credit losses, and onerous commitments', supersede the earlier FAS 11 "Provisions and reserves".

The objective of this standard is to establish the principles of accounting and financial reporting for risk reserves established to mitigate various risks faced by stakeholders, mainly the profit and loss taking investors, of Islamic financial institutions (IFIs/ the institutions). This standard is effective for the financial periods beginning on or after 1 January 2021. The Window has evaluated the impact of this standard and does not have any material impact on the financial statements.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

2. BASIS OF PREPARATION (CONTINUED)

2.4 New standards, interpretations, and amendments effective from 1 January 2021 (continued)

2.4.3 FAS 30 Impairment, Credit losses, and onerous commitments

In November 2017, the Accounting and Auditing Organisation for Islamic Financial Institutions (AAOIFI) issued Financial Accounting Standard (FAS) 30 - Impairment, credit losses, and onerous commitments, the standard supersedes the earlier FAS 11 "Provisions and Reserves" effective from the financial periods beginning on or after 1 January 2021.

However, during the year 2017, the CBO had issued a circular BM 1149 dated 13 April 2017, governing implementation of IFRS 9 Financial Instruments (IFRS 9) for all the banks, which also apply to Islamic banks/windows subject to any specific instructions by the Central Bank for Islamic Banking entities on IFRS 9 if, as and when instructions are issued.

Window adopted IFRS 9 on 1 January 2018 and hence, there is no material impact on the financial statements of the window on applicability of FAS 30 in the current year.

2.4.3 FAS 32 "Ijarah"

FAS 32 (which supersedes earlier FAS 8) on Ijarah improves the existing treatments with global best practices. It set out principles for the classification, recognition, measurement, presentation, and disclosures of Ijarah transactions, including their different forms entered into by the Islamic financial institutions in the lessor and lessee's capacity. This standard brings a fundamental shift in the accounting approach for Ijarah transactions, particularly in the hand of the lessee, in contrast to the earlier approach of the off-balance-sheet accounting for Ijarah. It is effective for the period starting 1 January 2021.

The Window has evaluated the impact of this standard and does not have any material impact on the financial statements.

2.4.4 FAS 33 "Investments in Sukuk, Shares, and Similar Instruments"

FAS 33 (which supersedes earlier FAS 25) sets out the improved principles for classification, recognition, measurement, presentation, and disclosure of investment in Sukuk, shares, and other similar instruments of investments made by Islamic financial institutions (IFIs / the institutions), in line with Shari'ah principles. It defines the key types of instruments of Shari'ah compliant investments. And defines the primary accounting treatments commensurate to the characteristics and business model of the institution under which the investments are made, managed, and held. This standard shall be effective from the financial periods beginning on 1 January 2021.

The Window has evaluated the impact of this standard and does not have any material impact on the financial statements.

2.5 New standards, interpretations, and amendments issued but not effective

The new and amended standards and interpretations that are issued before the issuance of financial statement but not yet effective are disclosed below. If applicable, the Window intends to adopt these new and amended standards and interpretations when they become effective.

2.5.1 FAS 38 "Wa'ad, Khiyar and Tahawwut"

AAOIFI has issued FAS 38 "Wa'ad, Khiyar and Tahawwut" in 2021. The objective of this standard is to set out the accounting principle for measurement, recognition, and disclosure of Wa'ad, Khiyar and Tahawwut transactions that are carried out by Islamic financials. This standard shall be effective from the financial periods beginning on 1 January 2022 with early application of the standard is permitted.

The Window is currently evaluating the impact of this standard but foresees any material impact.

3. SIGNIFICANT ACCOUNTING POLICIES

The significant accounting policies adopted in the preparation of the financial statements are set out below:

3.1 Cash and cash equivalents

Cash and cash equivalents consist of cash in hand, unrestricted balances held with central banks and highly liquid financial assets with original maturities of up to three months, which are subject to an insignificant risk of changes in their fair value and are used by the Window in management of its short-term commitments. Cash and cash equivalents are carried at amortised cost in the statement of financial position.

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.2 Foreign currency transactions

Transactions in foreign currencies are translated into the functional currency at the spot exchange rate at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated into the functional currency at the spot exchange rate at that date. The foreign currency gains or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the period, adjusted for the effective interest and payments during the period, and the amortised cost in the foreign currency translated at the spot exchange rate at the end of the period. The non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated into the functional currency at the spot exchange rate at the date the fair value was determined. Foreign currency differences arising on retranslation are recognised in the statement of comprehensive income, except for non-monetary financial assets, such as equities classified as fair value through other comprehensive income, which are included in other comprehensive income. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction.

3.3 Financing assets

Financing assets comprise Shari'ah compliant financing provided by the Window with fixed or determinable payments. These include financing provided through Murabaha, Mudaraba, Musharaka, Musawama, Ijarah, Istisna, and other modes of Islamic financing. Financing assets are stated at their amortised cost less expected credit loss allowance (if any).

Murabaha

Murabaha receivables are sales on deferred terms. The Window arranges a Murabaha transaction by buying a commodity (which represents the object of the Murabaha) and selling it to the Murabeh (a beneficiary) at a margin of profit over cost. The sales price (cost plus the profit margin) is repaid in installments by the Murabeh over the agreed period. Murabaha receivables are stated net of deferred profits and expected credit loss allowance (if any). Any promise made by potential Murabeh is considered obligatory.

AAOIFI has issued FAS 28 Murabaha and Other Deferred Payment Sales in 2017. FAS 28 supersedes the earlier FAS No. 2 "Murabaha and Murabaha to the Purchase Orderer" and FAS No. 20 "Deferred Payment Sale." The objective of this standard is to prescribe the appropriate accounting and reporting principles for recognition, measurement and disclosures in relation to Murabaha and other deferred payment sales transactions for the sellers and buyers, for such transactions.

Mudaraba

Mudaraba is stated at the fair value of the consideration given less any expected credit loss allowance.

Mudaraba is a form of partnership between work and capital in which the Window contributes capital. Mudaraba capital provided by the Window at inception in kind (if other than cash) is measured at the fair value of the assets. If the valuation of assets results in difference between fair value and book value, such difference is recognised as profit or loss to the Window.

In case mudaraba capital is lost or damaged prior to the inception of work without misconduct or negligence on the part of mudarib, then such losses are deducted from mudaraba capital and are treated as loss to the Window. In case of termination or liquidation, the unpaid portion by mudarib is recognised as receivable due from mudarib.

Musharaka

Musharaka contracts represents a partnership between the Window and a customer whereby each party contributes to the capital in equal or varying proportions to establish a new project or share in an existing one, and whereby each of the parties becomes an owner of the capital on a permanent or declining basis and shall share profits or losses. These are stated at the fair value of consideration given less any amounts written off and provision for expected credit loss allowance, if any. In Diminishing Musharaka based transactions, Window enters into a Musharaka based on Shirkat-ul-milk for financing an agreed share of fixed asset (e.g. house, land, plant or machinery) with its customers and enters into a period profit payment agreement for the utilisation of Window's Musharaka share by the customer.

Ijarah muntahia bittamleek

These are initially recorded at cost including initial direct costs. Ijarah muntahia bittamleek is a lease whereby the legal title of the leased asset passes to the lessee at the end of the ijarah (lease term), provided that all ijarah installments are settled.

Depreciation is charged on Ijarah muntahia bittamleek assets at rates calculated to write off the cost of each asset over its lease term.

Ijarah income receivables represent outstanding rentals at the end of the year less any expected credit loss allowance. The ijarah income receivable is classified under other asset.

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.3 Financing assets (continued)

Istisna followed by Ijarah muntahia bittamleek

Istisna followed by Ijarah muntahia bittamleek is construction finance product in which property is developed under istisna' contract between customer and the Window. The Window develops the property and then after completion of construction the property is leased to customer under Ijarah muntahia bittamleek contract. During construction customer pays the advance rentals.

Salam

In a Salam contract, a buyer pays in advance for a specified quantity and quality of a commodity, deliverable on a specific date, at an agreed spot price. Salam is particularly applicable to seasonal agricultural purchases and can be used as a means of financing production. The price is paid at the time of the contract but the delivery would take place at a future date which enables an entrepreneur to sell his output to the Window at a price determined in advance. However, at the time of sale all specifications, quality and quantity of the commodity must be determined to avoid any ambiguity which could become a cause of dispute. Furthermore, date and time of delivery must also be agreed upon but can be changed with mutual consent of the parties. Salam contracts are recognised on the date at which they are originated and are carried at their cost less expected credit loss allowance, if any.

Diminishing Musharakah

In Diminishing Musharakah financing, the Window enters into Musharakah based on Shirkat-ul-milk for financing an agreed share of a fixed asset (e.g., house, land, plant, or machinery) with its customers and enters into a period profit payment agreement for the utilisation of the Window's Musharakah share by the customer.

3.4 Investment securities

(i) Classification

Unless the irrevocable initial recognition choices provided below are exercised, the Window shall classify investments subject to this standard as subsequently measured at either (i) amortised cost, (ii) fair value through equity or (iii) fair value through income statement, on the basis of both the Window's business model for managing investments and the expected cash flow characteristics of the investment in line with the nature of the underlying Islamic contracts.

Unless the irrevocable initial recognition choices provided below are exercised, the Window shall classify investments subject to this standard as subsequently measured at either (i) amortised cost, (ii) fair value through equity or (iii) fair value through income statement, on the basis of both the Window's business model for managing investments and the expected cash flow characteristics of the investment in line with the nature of the underlying Islamic contracts.

Investment in a monetary debt-type instrument, as it reflects a debt at the back-end, shall be initially classified and measured at cost, till the time the transaction at the back-end is executed, and at amortised cost thereafter.

Investment in a non-monetary debt-type instrument or other investment instrument, may be classified under any of the three categories ((i) amortised cost, (ii) fair value through equity or (iii) fair value through income statement) depending on the Window's business model.

Investment in equity-type instrument is carried as investment at fair value through income statement unless the Window make an irrevocable classification choice at initial recognition to classify this as investment at fair value through equity. An investment held for trading purposes shall always fall in fair value through income statement classification.

(ii) Recognition and Initial measurement

All investment shall be initially recognised at their value plus transaction costs except for investments at fair value through income statement. Transaction costs relating to investments at fair value through income statement are charged to the statement of income when incurred. A regular way purchase of investments shall be recognised upon the transfer of control to investor.

(iii) Subsequent measurement

a) Investments at amortised cost

Investments carried at amortised cost shall be re-measured as such using the effective profit rate method. All gains or losses arising from the amortization process and those arising from de-recognition or impairment of the investment, are recognised in the consolidated statement of income. Investment carried at amortised cost shall be tested for impairment at each reporting period in accordance with FAS 30 "Impairment, credit losses and onerous commitments".

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.4 Investment securities (continued)

b) Investments at fair value through income statement

Investment carried at fair value through the income statement shall be re-measured at fair value at the end of each reporting period. The resultant remeasurement gain or loss, if any being the difference between the carrying amount and the fair value shall be recognised in the consolidated statement of income.

c) Investments at fair value through equity

Investment carried at fair value through equity shall be re-measured at fair value at the end of each reporting period. The resultant re-measurement gain or loss, if any, being the difference between the carrying amount and the fair value shall be directly recognised in equity under “fair value through equity reserve”. Investment carried at fair value through equity shall be tested for impairment at each reporting period in accordance with FAS 30 “Impairment, credit losses and onerous commitments.”

(iv) Derecognition

Investment securities are derecognised when the rights to receive cash flows from the financial assets have expired or where the window has transferred substantially all risk and rewards of ownership.

3.5 Other financial assets and liabilities

(i) Recognition and initial measurement

The Window initially recognises due from banks, financing assets, customers’ current accounts, due to bank and certain other assets and other liabilities on the date at which they are originated. All other financial assets and liabilities are initially recognised on the settlement date at which the Window becomes a party to the contractual provisions of the instrument.

A financial asset or financial liability is measured initially at fair value plus for an item not at fair value through the income statement, transaction costs that are directly attributable to its acquisition or issue.

After initial measurement, other financial assets and liabilities are subsequently measured at amortised cost using the effective profit rate method net of any amounts written off and provision for impairment.

The Window derecognizes a financial asset when the contractual rights to the cash flows from the financial asset expire, or when it transfers the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred or in which the Window neither transfers nor retains substantially, all the risks and rewards of ownership and it does not retain control of the financial asset. Any interest in transferred financial assets that qualify for derecognition that is created or retained by the Window is recognised as a separate asset or liability in the consolidated statement of financial position. On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset transferred) and consideration received (including any new asset obtained less any new liability assumed) is recognised in statement of comprehensive income.

(ii) Derecognition of financial assets and financial liabilities

The window derecognizes a financial asset when the contractual rights to the cash flow from the financial asset expire, or when it transfers the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred or in which the window neither transfers nor retains substantially all the risks and rewards of ownership and it does not retain control of the financial asset. Any interest in transferred financial assets that qualify for derecognition that is created or retained by the window is recognised as a separate asset or liability in the consolidated statement of financial position. On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset transferred) and consideration received (including any new asset obtained less any new liability assumed) is recognised in consolidated statement of income.

(iii) Derecognition of financial assets and financial liabilities

The window enters into transactions whereby it transfers assets recognised on its consolidated statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets or a portion of them. If all or substantially all risks and rewards are retained, then the transferred assets are not derecognised.

In transactions in which the window neither retains nor transfers substantially all the risks and rewards of ownership of a financial asset and it retains control over the asset, the window continues to recognise the asset to the extent of its continuing involvement, determined by the extent to which it is exposed to changes in the value of the transferred asset.

In certain transactions the window retains the obligation to service the transferred financial asset for a fee. The transferred asset is derecognised if it meets the derecognition criteria. An asset or liability is recognised for the servicing contract, depending on whether the servicing fee is more than adequate (asset) or is less than adequate (liability) for performing the servicing. The window derecognises a financial liability when its contractual obligations are discharged or cancelled or expire.

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.6 Offsetting of financial assets and financial liabilities

Financial assets and financial liabilities are only offset and the net amount reported in the statement of financial position when there is a legally enforceable right to set off the recognised amounts, and the Window intends to either settle on a net basis or to realize the asset and settle the liability simultaneously. Income and expenses are presented on a net basis only when permitted by the accounting standards or for gains and losses arising from a group of similar transactions.

3.7 Modification of financial assets and liabilities

Financial assets

If the terms of a financial asset are modified, the window evaluates whether the cash flows of the modified asset are substantially different. If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognised and a new financial asset is recognised at fair value, and recalculates a new effective profit rate for the asset. The date of renegotiation is consequently considered to be the date of initial recognition for impairment calculation purpose, including for the purpose of determining whether a significant increase in credit risk has occurred.

If the cash flows of the modified asset carried at amortised cost are not substantially different, then the modification does not result in derecognition of the financial asset. In this case, the window recalculates the gross carrying amount of the financial asset based on the revised cash flows of the financial assets and recognises the amount arising from adjusting the gross carrying amount as a modification gain or loss in the consolidated income statement. If such a modification is carried out because of financial difficulties of the financed counterparty, then the gain or loss is presented together with impairment losses. In other cases, it is presented as net income from financing activities.

Financial liabilities

The window derecognizes a financial liability when its terms are modified, and the cash flows of the modified liability are substantially different. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability extinguished and the new financial liability with modified terms is recognised in the consolidated income statement.

3.8 Impairment of financial assets (other than equity type investments classified as fair value through equity)

Financial assets consist of cash and balances with banks and financial institutions, receivables and Musharaka financing, Investments - debt type instruments at amortised cost, Ijarah Muntahia Bittamleek, and certain other assets. Balances relating to these contracts are stated net of allowance for expected credit losses.

Impairment of financial assets

The Window applies three-stage approach to measure ECL on financial assets carried at amortised cost. Assets migrate through the following three stages based on the change in credit quality since initial recognition.

Stage 1: Twelve months ECL

For exposures where there has not been a Significant Increase in Credit Risk ("SICR"), since initial recognition, a portion of the lifetime ECL's that represent the ECL that result from default events on a financial contract that is possible within 12 months after the reporting date (or a shorter period if the expected life of the financial instrument is less than 12 months).

Stage 2: Lifetime ECL - not credit impaired

For credit exposures where there has been a SICR since initial recognition, but that are not credit impaired, a lifetime ECL is recognised. Lifetime ECL is the loss that results from all possible default events over the expected life of the financial contract. Lifetime ECL (Stage 2) is a probability-weighted estimate of credit losses and is determined based on the difference between sum of the present value of all cash shortfalls and the carrying value. The cash shortfall is the difference between all contractual cash flows that are due to the Window and the present value of the recoverable amount, for financial assets that are not credit-impaired at the reporting date.

Stage 3: Lifetime ECL - credit impaired

Financial contracts are assessed as credit impaired when one or more events that have a detrimental impact on the estimated future cash flows of that asset have occurred.

For Stage 3 financial contracts, the losses for credit-impairment are determined based on the difference between the net carrying amount and the recoverable amount of the financial contract. In this respect, the Window recognizes the lifetime expected credit losses for these financing with the PD set at 100%.

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.8 Impairment of financial assets (other than equity type investments classified as fair value through equity) (continued)

Credit-impaired financial assets

At each reporting date, the Window assesses whether financial assets carried at amortised cost are credit-impaired. Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the obligor or issuer;
- a breach of contract such as a default or past due event; or
- probability that the borrower will enter bankruptcy or other financial reorganisation.

Measurement of ECL

Following are the key inputs into the measurement of ECL:

- Probability of Default (PD);
- Loss Given Default (LGD); and
- Exposure At Default (EAD).

These parameters are generally derived from internally developed models and other historical data. These are adjusted to reflect forward-looking information as follows.

Definition of default

The Window considers a financial asset to be in default when the obligor is unlikely to pay its credit obligations to the Window in full, without recourse by the Window to actions such as liquidating collateral; or usually when the obligor is past due more than 90 days for any material credit obligation to the Window. In assessing whether an obligor is in default, the Window considers both qualitative factors such as breaches of covenants and quantitative factors such as overdue status and non-payment of another obligation by the same issuer to the Window.

Probability of default

Credit risk grades are a primary input into the determination of the term structure of Probability of Default (PD) for exposures. The Window collects performance and default information about its credit risk exposures analysed by credit risk grading for corporate and days-past-due for retail portfolio. The Window employs statistical models for analysing the data collected and generates estimates of PD of exposures and how these are expected to change as a result of the passage of time. This analysis includes the identification and calibration of relationships between changes in default rates and changes in key macro-economic factors, across various geographies in which the Window operates.

Types of PDs used for ECL computation

- 12-month PDs – This is the estimated probability of default occurring within the next 12 months (or over the remaining life of the financial instrument if that is less than 12 months). This is used to calculate 12-month ECLs.
- Lifetime PDs – This is the estimated probability of a default occurring over the remaining life of the financial instrument. This is used to calculate lifetime ECLs for ‘stage 2’.

Forward looking information

In its ECL models, the Window relies on a broad range of forward-looking information as economic inputs, such as:

- Gross domestic product
- Savings and investment
- Inflation
- Trade statistics
- Demographics
- Revenue and expenditure
- Public debt
- Real estate
- Composite indicators
- Oil prices and production

The inputs and models used for calculating ECLs may not always capture all characteristics of the market at the date of the financial statements. To reflect this, qualitative adjustments or overlays are occasionally made as temporary adjustments when such differences are significantly material.

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.8 Impairment of financial assets (other than equity type investments classified as fair value through equity) (continued)

Loss Given Default

LGD is a magnitude that determines the amount of loss that will arise if the obligor was to default. This is calculated by looking at the collateral and other recourses available to the Window that can be used to recover the asset in case of default.

The Window estimates LGD parameters based on the history of recovery rates of claims against defaulted counterparties, based on historical data using both internal and external factors. For Estimation of LGD, the Window considers use of any of the following methods:

Internal default history: When data is available LGD can be estimated using the historical default information and corresponding recovery data.

Basel LGD: local regulatory recommended Basel LGD adjusted depending on the available collateral.

Collateral-based LGD: for secured financing the Window uses collateral-based LGD, where the Window has effective collateral management framework that is able to assess and provide up to date collateral valuation and establish legal charge and enforceability. However, the Window applies 10% floor regardless of collateral coverage of the exposure.

Exposure At Default (EAD)

EAD represents the expected exposure in the event of a default. The Window derives the EAD from the current exposure to the counterparty and potential changes to the current amounts allowed under the contract including amortisation. The EAD of a financial asset is its gross carrying amount. For financing commitments and financial guarantees, the EAD is converted to on balance sheet equivalents.

On-balance sheet EADs

EADs for on-balance sheet items are the amount that is outstanding at the time of default. Outstanding of an on-balance sheet exposure shall be directly taken subject to inclusion of its repayment structure.

Prepayments have to be estimated using previous trends and deducted from EAD while calculating ECL. Off-balance sheet EADs Off-balance sheet exposures do not have fixed payout date; thus, the EAD for off-balance sheet is calculated after applying the Credit Conversion Factor (CCF) to the nominal amount of the Off-balance sheet exposure. The Window uses following method to work out CCF for off-balance sheet EADs.

Regulatory CCFs – In absence of internal data, The Window uses same as Basel CCF that are used for calculating the Capital Adequacy Ratio (CAR) as per the CBB regulations. These rates are 20% for exposures with maturity equal to or less than 1 year and 50% for exposures with maturity of more.

Collective ECL Computation and Staging

ECL on individually large exposures and credit-impaired finances are generally measured individually. For retail exposures and other exposures to small sized enterprises, where less client-specific information is available, ECL is measured on a collective basis. This incorporates obligor-specific information, such as delinquency, collective historical experience of losses and forward-looking macroeconomic information.

To assess the staging of exposures and to measure a loss allowance on a collective basis, the Window combines its exposures into segments on the basis of shared credit risk characteristics, such as geography, type of customer, industry, rating, date of initial recognition, maturity and collateral value.

Significant Increase in Credit Risk

When determining whether the risk of default on a financial contracts has increased significantly since initial recognition, the Window considers reasonable and supportable information that is relevant and available without undue cost and efforts. This includes both quantitative and qualitative information and analysis, based on the Window’s historical experience and expert credit assessment including forward-looking information, including days past due and risk rating.

The assessment is carried out for specific facility rather than a counterparty. As each facility may have had different credit risk at initial recognition.

The application of above requirements of SICR to various locations of the Window varies depending on a number of circumstances faced by each location and each location applies a robust risk assessment methodology that is commensurate with the size, complexity, structure, economic significance and risk profile of its portfolio.

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.8 Impairment of financial assets (other than equity type investments classified as fair value through equity) (continued)

Renegotiated financial assets

The contractual terms of a financing may be modified for a number of reasons, including changing market conditions, and other factors not related to the current or potential credit deterioration of a customer. When the terms of a financial asset are modified and the modification does not result in a derecognition, the determination of whether the asset's credit risk has increased significantly reflects a comparison of its remaining lifetime PD at the reporting date based on modified terms, with the remaining lifetime PD estimated based on data at initial recognition and the original contractual terms.

The Window renegotiates financing to customers in financial difficulties to maximize collection opportunities and minimize the risk of default. This may involve extending the payment arrangements and documenting the agreement of new conditions for providing finance. Management continuously reviews renegotiated facilities to ensure that all criteria are met and that future payments are likely to occur.

The accounts which are performing prior to restructuring but restructured due to financial difficulty are categorised under stage 2. The accounts that are non-performing or meet any criteria for classifying as non-performing, then such restructured accounts are categorized under stage 3.

Backward transition

FAS 30 staging model is of symmetrical nature as movement across stages is a "Two Way" phenomenon. However, backward movement across stages are not immediate once SICR indicators are no longer triggered. Once such indicators are no longer triggered, movement back to Stage 1 or Stage 2 has to be calibrated and cannot be automatic or immediate. Certain criteria like cooling off period, SICR indicators and payment history are considered for migrating customers backwards to Stage 2 or Stage 1. Following factors including cure period are considered for any backward transition:

From Stage 2 to Stage 1

- The criteria to classify the exposure into Stage 2 (criteria covered in SICR section above) is no longer present;
- Up to date payment with no arrears;
- A minimum cool-off/cure period of 6 months for any Stage 2 accounts; and
- A minimum cool-off/cure period of 12 months for restructured accounts.

From Stage 3 to Stage 2

- The criteria to classify the exposure into Stage 3 (criteria covered in default section above) is no longer present;
- Up to date payment with no arrears; and
- A minimum cool-off/cure period of 12 months for non-performing and restructured facilities.

Credit Conversion Factor

The estimation of EAD takes into account any unexpected changes in the exposure after the assessment date, including estimation of expected drawdowns on committed facilities through the application of a credit conversion factor (CCF). The EAD is estimated using the outstanding exposure adjusted by CCF times undrawn portion of the facilities.

The outstanding exposure is calculated as principal plus profit less expected prepayments. The undrawn portion refers to the portion of the unutilized credit limit. CCF applied to the facilities would be the higher of average behavioral utilization over the last five years or capital charge.

Write-offs

Financing facilities are written-off (either partially or in full) when there is no realistic prospect of recovery. This is generally the case when the Window determines that the obligor does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. However, financial assets that are written-off could still be subject to enforcement activities in order to comply with the Window's procedures for recovery of amounts due.

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.9 Fair value measurement

A number of the Window's accounting policies and disclosures require the determination of fair value, for both financial and non-financial assets and liabilities. Fair values have been determined for measurement and/or disclosure purposes based on a number of accounting policies and methods. Where applicable, information about the assumptions made in determining fair values is disclosed in the notes specific to that asset or liability. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible to the Window. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best profit.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Window uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Window determines whether transfers have occurred between Levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

At each reporting date, the Window analyses the movements in the values of assets and liabilities which are required to be re-measured or re-assessed as per the Window's accounting policies. For this analysis, the Window verifies the major inputs applied in the latest valuation by agreeing the information in the valuation computation to contracts and other relevant documents.

The Window also compares the changes in the fair value of each asset and liability with relevant external sources to determine whether the change is reasonable.

For the purpose of fair value disclosures, the Window has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

3.10 Acceptances

Acceptances are disclosed on the statement of financial position under other assets with corresponding liability disclosed under other liabilities. Therefore, there is no off-balance sheet commitment for acceptances.

3.11 Derivatives held for risk management purposes

Derivatives held for risk management purposes include all derivative assets and liabilities that are not classified as trading assets or trading liabilities. Derivatives held for risk management purposes are measured at fair value in the statement of financial position. The treatment of changes in their fair value depends on their classification into the following categories:

(i) Fair value hedge

When a derivative is designated as a hedge of the change in fair value of a recognised asset or liability or a firm commitment, changes in the fair value of the derivative are recognised immediately in statement of comprehensive income together with changes in the fair value of the hedged item that are attributable to the hedged risk.

If the derivative expires or is sold, terminated, or exercised, no longer meets the criteria for fair value hedge accounting, or the designation is revoked, hedge accounting is discontinued. Any adjustment up to that point, to a hedged item for which the effective profit method is used, is amortised to profit or loss as part of the recalculated effective profit rate of the item over its remaining life.

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.11 Derivatives held for risk management purposes (continued)

(ii) Cash flow hedge

When a derivative is designated as the hedging instrument in a hedge of the variability in cash flows attributable to a particular risk associated with a recognised asset or a liability or a highly probable forecast transaction that could affect profit or loss, the effective portion of changes in the fair value of the derivative is recognised in other comprehensive income in hedging reserve. The amount recognised in other comprehensive income is reclassified to profit or loss as a reclassification adjustment in the same period as the hedged cash flows affect profit or loss, and in the same line item in the statement of comprehensive income. Any ineffective portion of changes in the fair value of the derivative is recognised immediately in profit or loss.

If the hedging derivative expires or is sold, terminated, or exercised, or the hedge no longer meets the criteria for cash flow hedge accounting, or the hedge designation is revoked, then the hedge accounting is discontinued prospectively. In a discontinued hedge of a forecast transaction the cumulative amount recognised in other comprehensive income from the period when the hedge was effective is reclassified from the equity to statement of comprehensive income as a reclassification adjustment when the forecast transaction occurs and affects profit or loss. If the forecast transaction is no longer expected to occur, then the balance in other comprehensive income is reclassified immediately to profit or loss as a reclassification adjustment.

(iii) Other non-trading derivative

When a derivative is not held for trading, and is not designated in a qualifying hedge relationship, all changes in its fair value are recognised immediately in statement of comprehensive income.

3.12 Property and equipment

Items of property and equipment are measured at historical cost less accumulated depreciation and impairment losses. Historical cost includes expenditure that is directly attributable to the acquisition of the asset. Depreciation is provided on a straight-line basis over the estimated useful lives of property and equipment, except freehold land. The estimated useful lives for the current period are as follows:

	Years
Motor vehicles	5
Furniture and fixtures	6-7
Office equipment	6-7
Software	10

The assets' residual values, useful lives and depreciation methods are reviewed and adjusted if appropriate at each reporting date.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognised within 'other operating income' in the income statement.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Window and the cost of the item can

be measured reliably. The carrying amount of the replaced part is derecognised. All other repairs and maintenance are charged to the income statement during the financial period in which they are incurred..

3.13 Taxation

The tax return of the Window is filed at head office level and the Window is not required to file a separate return on the activities of the Islamic Banking operations. During the year head office has started to allocate tax at flat rate of 15% of the Window's profit. Deferred tax assets and liabilities are recognised only at head office level.

3.14 Ijarah - Leases

FAS 32 Ijarah standard supersedes FAS 8 "Ijarah and Ijaran Muntahia Bittamleek". FAS 32 sets out the principles for the classification, recognition, measurement, presentation and disclosure of Ijarah type transactions including their different forms entered into by an institution, in both the capacities of lessor and lessee. This standard is effective for financial years beginning 1 January 2021, with early adoption permitted.

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.14 Ijarah - Leases (continued)

Under this standard, an institution, in its capacity either as lessor or lessee shall classify each of its Ijarah into a) Operating Ijarah b) Ijara Muntahia Biltamleek with expected transfer of ownership after the end of the Ijarah term – either through sale or gift; and c) Ijarah Muntahia Biltamleek with gradual transfer – with gradual transfer of ownership during the Ijarah term including Diminishing Musharaka Ijarah. The standard includes two recognition exemptions for lessees – leases of "low-value" assets (e.g., personal computers) and short-term leases (i.e., leases with a lease term of 12 months or less). At the commencement date of the lease, a lessee will recognize an asset representing the right to use the underlying asset during the lease term (i.e., the right-of-use asset) and a net Ijarah liability, duly comprising of a) gross Ijarah liability and b) deferred Ijarah cost (shown as contra-liability).

The Window adopted FAS 32 using modified retrospective method and recognises lease liabilities to make lease payments and right-of-use asset representing the right to use the underlying assets on 1 January 2021.

a) Right-of-use asset

The Window recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use asset is measured at cost, less any accumulated amortisation and impairment losses, and adjustment for any effect of Ijarah modification or reassessment.

The cost of right-of-use assets represents the fair value of total consideration paid/ payable and includes initial direct costs and any dismantling or decommissioning costs. The Window amortises the right-of-use asset from the commencement date to the end of the useful economic life of the right-of use assets which coincides with the end of the Ijarah term using a systematic basis that is reflective of the pattern of utilization of benefits from the right-of-use asset. Right-of-use asset is also subject to impairment in line with FAS 30 requirements. The carrying value of right-of-use asset is recognised under "Premises and equipment" in the interim consolidated statement of financial position.

b) Ijarah liability

At the commencement date of the lease (i.e., the date the underlying asset is available for use), the Window recognises Ijarah liability measured at the fair value of total rentals payable for Ijarah term. After the commencement date, the amount of Ijarah liability is increased to reflect return on the Ijarah liability – by way of amortisation of deferred Ijarah cost and reduced to reflect the Ijarah rentals made. In addition, the carrying amount of Ijarah liability is remeasured if there is a modification, a change in the Ijarah term or change in the in-substance fixed lease payments. The carrying value of Ijarah liability is recognised under "Other liabilities" in the interim consolidated statement of financial position.

3.15 Employee benefits

(i) End of service benefits

End of service indemnity for Omani employees are contributed in accordance with the terms of the Social Securities Law of 1991.

Provision for end of service indemnity for non-Omani employees has been made in accordance with the terms of the Oman Labour Law 2003 and its amendments and is based on current remuneration rates and cumulative years of service at the statement of financial position date. Employees' entitlements to annual leave and leave passage are recognised when they accrue to the employees up to the reporting date. These accruals are included in current liabilities, while that relating to end of service benefits is disclosed as a non-current liability.

Contributions to a defined contribution retirement plan for Omani employees in accordance with the Omani Social Insurance Law of 1991 are recognised as an expense in the statement of comprehensive income as incurred.

(ii) Short term benefits

Short term benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A provision is recognised for the amount expected to be paid if the Window has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

3.16 Current and other accounts

Balances in current deposits and other accounts are recognised when received by the Window. The transactions are measured as the amount received by the Window at the time of contracting. At the end of the reporting period, these accounts are measured at amortised cost.

**NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)**

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.17 Equity of unrestricted investment account holders

Equity of unrestricted investment account holders are funds held by the window, which it can invests at its own discretion. The unrestricted investment account holders authorises the Window to invest the account holders' fund in a manner which the window deems appropriate without laying down any restrictions as to where, how and for what purpose the funds should be invested.

The Window charges a management fee (Mudarib fee) to the unrestricted investment account holders. Of the total income from investments of funds, the income attributable to the unrestricted investment account holders is allocated to them after setting aside provisions, reserves (profit equalization reserve and investment risk reserve), if any, and deducting the Window's share of income as a Mudarib. The allocation of income is determined by the management of the Window within the allowed profit sharing limits as per the terms and conditions of the unrestricted investment accounts.

a) Wakala as Muwakkil (Principal)

At inception of Wakala agreement, the standard requires the window as a principal to evaluate the nature of the investment as either a) a pass-through investment; or b) wakala venture.

b) Pass-through investment

A pass-through investment is an investment in which the involvement of the agent, as well as, the options for transferability of the instrument are limited and the investor principally takes a direct exposure on the underlying assets. An investor shall apply the pass-through investment approach for its investments in investment agency instruments; unless it opts to apply the Wakala venture approach.

Under this approach, the principal shall initially recognise the assets underlying the Wakala arrangement in its books of account applying the initial recognition principles as applicable in line with the respective FASs.

c) Wakala venture

These are investments, under a Wakala agency contract, in transferable instruments or the investment made in a single asset (or pool of assets) where such asset(s) are subject to frequent changes throughout the term of the contract i.e. there are routine changes or replacements over the term of arrangement (unless it constitutes a business) at the discretion of the agent; or the role of the agent is not limited whereby the agent performs a day-to-day asset management function and, where applicable, is also responsible for replacement of assets or recoveries against them. On initial recognition, these assets will be recognised at cost in Wakala venture. Subsequently, the carrying amount is adjusted to incorporate gains/losses net of the agent's remuneration and impairments, if any.

d) Wakala as Wakeel (Agent)

These transactions will be recognised as an agency arrangement under an off-balance sheet approach, at inception of arrangement, since the Window does not control the related assets/business, it does not record the assets and related income and expenditure in its books of account.

The agency remuneration, including fixed and variable components thereof, will be recognised on an accrual basis i.e. when the relevant services are provided. Any expenses, including losses reimbursable will be recognised when due.

e) Multi level arrangements

The Window maintains multi-level investment arrangements to invest funds received under "Wakala" as "Mudaraba" under express authority from Wakala account holders in its financing and investment assets. Profit is allocated to Wakala funds on the basis of their contribution in the commingled assets. An agent may maintain multi-level investment arrangements. Under such arrangement, the Window is reinvesting Wakala funds into a secondary contract. Such secondary contracts are accounted for in line with the requirements of respective FASs in the books of the agent.

From the principal perspective, the Window has opted to use the Wakala venture approach instead of a pass-through approach given the difficulties for the Window as principal to identify in which assets the funds are invested in, and hence, the investment is accounted for applying the equity method of accounting.

From the agent perspective, a multi-level investment arrangement is maintained, whereby the Window invests funds under the investment agency into unrestricted investment arrangements, under a separate Mudaraba contract which is accounted for accordingly based on the relevant accounting standard.

**NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)**

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.18 Due to and due from banks

Due to and due from banks comprise of Nostro balances and Wakala placements. Nostro balances and Wakala placements are initially recognised at cost, being the fair value of consideration exchanged. Subsequently, they are carried at amortised cost less amounts repaid.

3.19 Income recognition

(i) Murabaha

Profit on Murabaha is recognised on an accrual basis. Profit on Murabaha transactions for the period from the date of disbursement to the date of culmination of Murabaha.

(ii) Mudaraba

Income on Mudaraba financing is recognised when the right to receive payment is established or on distribution by the Mudarib. Losses on the other hand are charged to the income statement on declaration by the Mudarib.

(iii) Musharaka

Income on musharaka is recognised when the right to receive payment is established or on distribution. In case of losses in musharaka, the Window's share of loss is recognised to the extent that such losses are being deducted from its share of the musharaka capital.

(iv) Diminishing Musharakah

Profit on Diminishing Musharakah financings is recognised on an accrual basis.

(v) Profit on sukuks

Profit on Sukuks is recognised on an accrual basis. Where Sukuks are purchased at a premium or discount and are classified at amortised cost, those premiums / discounts are amortised over the remaining maturity, using the effective profit rate method.

(vi) Ijarah

Ijarah rental income is recognised over the term of the lease on accrual basis and is stated net of depreciation and impairment. Income related to non performing ijarah muntahia bittamleek accounts and ijarah installments that are above 90 days is excluded from the statement of income.

(vii) Istisna followed by Ijarah muntahia bittamleek

Income for Istisna followed by Ijarah muntahia bittamleek is booked on receipt of the rentals.

(viii) Fees and commission income

Fees and commission income that are integral to the effective profit rate of a financial asset carried at amortised cost are included in the measurement of the effective profit rate of the financial asset. Other fees and commission income, including account servicing fees, sales commission, management, arrangement and syndication fees, are recognised as the related services are performed.

(ix) Window's share of income from equity of investment accountholders (as Rabalmal and Mudarib)

Income is allocated proportionately between equity of investment accountholders and shareholders on the basis of their respective investment in the pool before allocation of the Mudarib fees. The Window's share as a Mudarib for managing the equity of investment accountholders is accrued based on the terms and conditions of the related Mudaraba agreements.

(x) Salam

Income from salam is determined by using the percentage of completion method.

(xi) Wakala

Income from Wakala is recognised on a time apportioned basis so as to yield a constant periodic rate of return based on the balance outstanding.

(xii) Dividend income

Dividend income is recognised when the right to receive the dividend is established.

(xiii) Profit on amounts due from banks

Profit on amounts due from banks is recognised on a time apportioned basis over the period of the contract based on the principal amounts outstanding and the profit agreed with clients.

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.20 Expense recognition

Return on equity of investment accountholders is calculated based on the income generated from joint investment accounts after deducting the expenses related to investment pool i.e. "mudarib expenses." Mudarib expenses include all expenses incurred by the Window, but excluding staff costs and other administrative expenses. The Window's "mudarib profit" is deducted from the investors' share of income before distributing such income.

3.21 Earnings or expenditures prohibited by Shari'ah

The Window records these amounts in a separate account in the other payables and is not included in the Window's income; these amounts are distributed to charities according to the Shari'ah Supervisory Board directions.

3.22 Contingent liabilities

Contingent liabilities include guarantees, letter of credit, the Window's obligations with respect to unilateral promise to buy/sell currencies and others. Contingent liabilities are not recognised in the statement of financial position but are disclosed in the notes to the financial statements, unless they are remote.

3.23 Shari'ah supervisory board

The Window's business activities are subject to the supervision of a Shari'ah supervisory board consisting of members appointed by the general assembly of shareholders.

3.24 Zakah

In accordance with the article of association Zakah is payable by individual shareholders of the Window and Zakah on unrestricted investment and other accounts is the responsibility of investment accountholders.

3.25 Provisions

A provision is recognised if, as a result of a past event, the Window has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are equivalent to the amortised value of the future liabilities which is determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risk specific to the liability.

3.26 Profit equalization reserve

Profit equalisation reserve, this is the amount appropriated out of Mudaraba income before allocating the Window's share as investment manager (Mudarib), in order to maintain a certain level of return on investment for unrestricted investment accountholders and increase share equity.

3.27 Investment risk reserve

Investment risk reserve is the amount appropriated out of profit share of the unrestricted investment accountholders after allocating the Mudarib share, in order to cushion the effects of the risk of future investment losses. The terms and conditions whereby investment risk reserve can be set aside and utilized are determined and approved by the Shari'ah Supervisory Board of the Window.

4. CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS

The preparation of financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets, liabilities, income and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about carrying values of assets and liabilities that are not readily apparent from other sources. The resulting accounting estimates will, by definition, seldom equal the related actual results.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods. The Window's significant accounting estimates are on:

4.1 Impairment losses on Financings and advances

The measurement of impairment losses under the Window's policy across all categories of financial assets requires judgement, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses and the assessment of a significant increase in credit risk. These estimates are driven by a number of factors, changes in which can result in different levels of allowances. The Window's ECL calculations are outputs of complex models with a number of underlying

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

4. CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS (CONTINUED)

4.1 Impairment losses on Financings and advances (continued)

assumptions regarding the choice of variable inputs and their interdependencies. Elements of the ECL models that are considered accounting judgements and estimates include:

- The Window's internal credit grading model, which assigns PDs to the individual grades;
- The Window's criteria for assessing if there has been a significant increase in credit risk and so allowances for financial assets should be measured on a LTECL basis and the qualitative assessment;
- The segmentation of financial assets when their ECL is assessed on a collective basis;
- Development of ECL models, including the various formulas and the choice of inputs;
- Determination of associations between macroeconomic scenarios and economic inputs, such as unemployment levels and collateral values, and the effect on PDs, EADs and LGDs; and
- Selection of forward-looking macroeconomic scenarios and their probability weightings, to derive the economic inputs into the ECL models.

4.2 Fee and commission income

The recognition of fee and commission income depends on the purpose for which fees are assessed and the basis of accounting for any associated financial instrument. Management applies certain assumptions and judgements to determine the fees that are an integral part of the effective interest rate of a financial instrument, fees that are earned as services are provided, and fees that are earned on the execution of a significant act.

4.3 Determination of Lease term

In determining the lease term, the Window considers all facts and circumstances. Extension options (or periods after termination options) are only included in the lease term if the lease is reasonably certain to be extended (or not terminated). The Window considers the nature and enforceability of extension clause in the lease agreement, the value of leasehold improvements, penalties on termination, costs and business disruption required to replace the leased premises as factors to determine the lease term. Lease agreements for premises occupied by the Window may contain an extension option, where the Window has not considered extension options after analysing above factors.

Lease term is reassessed if an option is actually exercised (or not exercised) or the Window becomes obliged to exercise (or not exercise) it. The assessment is only revised if a significant event or a significant change in circumstances occurs which affects this assessment and that is within the control of the Window. During the financial year, the Window has not revised its assessment of lease term as no significant events or changes occurred.

5. CASH AND BALANCES WITH CENTRAL BANK

	31 December 2021 RO'000	31 December 2020 RO'000
Balances with Central Bank	5,783	15,742
Cash	3,328	2,697
	<u>9,111</u>	<u>18,439</u>

The cash reserve with the Central Bank be withdrawn without its approval.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

6. DUE FROM BANKS

	31 December 2021 RO'000	31 December 2020 RO'000
Wakalah placements with banks from local banks	-	10,001
Demand accounts	2,193	2,027
	<u>2,193</u>	<u>12,028</u>

The analysis of changes in the gross carrying amount on due from banks is as follows:

Gross carrying amount	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
As at 1 January 2021	12,028	-	-	12,028
Net change in assets	(9,835)	-	-	(9,835)
At 31 December 2021	<u>2,193</u>	<u>-</u>	<u>-</u>	<u>2,193</u>

Expected credit loss carrying on this balances are not materiel:

Gross carrying amount	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
As at 1 January 2020	5,285	-	-	5,285
Net change in assets	6,743	-	-	6,743
At 31 December 2020	<u>12,028</u>	<u>-</u>	<u>-</u>	<u>12,028</u>

7. FINANCING ADVANCES AND OTHER RECEIVABLES

	31 December 2021 Total RO'000	31 December 2020 Total RO'000
Book value		
Murabaha receivables	13,012	15,717
Ijarah muntahia bittamleek	97,528	86,938
Istisna followed by Ijarah muntahia bittamleek	98,246	91,501
Diminishing Musharka	71,519	65,272
Qard Hasan Financing	48	-
Wakala Bil Istithmar	44,170	-
	<u>324,523</u>	<u>259,428</u>
Expected credit loss allowance	(2,441)	(2,743)
Contractual profit not recognised	(132)	(165)
	<u>321,950</u>	<u>256,520</u>

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

7. FINANCING ADVANCES AND OTHER RECEIVABLES (CONTINUED)

Additional disclosures on Non-performing financing coverage as per CBO circular BM 1149 is given below:

December 2021	As per CBO RO'000	As per Window's policy RO'000	Difference RO'000
Impairment loss charged to statement of income	587	660	73
Provisions	3,828	2,984	(844)
Gross NPL ratio (percentage)*	0.39	0.39	-

**NPL ratios are calculated on the basis of funded non-performing financing and advances.

The below table provides a comparison of provision held as per Window's policy and required as per CBO norms:

31 December 2021

Classification:	Window's policy classification	Gross carrying amount RO'000	CBO Provision RO'000	Window's policy Provisions RO'000	Difference between CBO and Window's policy RO'000	Net carrying amount RO'000	CBO Reserve profit RO'000
CBO							
1	2	3	4	5	(6)=(4)-(5)	(7)=(3)-(5)	8
Standard	Stage 1	248,812	2,536	400	2,136	248,412	-
	Stage 2	5,541	56	76	(19)	5,466	-
	Stage 3	-	-	-	-	-	-
Subtotal		<u>254,353</u>	<u>2,591</u>	<u>476</u>	<u>2,117</u>	<u>253,878</u>	<u>-</u>
Special mention	Stage 1	46,308	463	297	166	46,011	-
	Stage 2	22,602	224	1,243	(1,019)	21,359	-
	Stage 3	-	-	-	-	-	-
Subtotal		<u>68,910</u>	<u>687</u>	<u>1,540</u>	<u>(853)</u>	<u>67,370</u>	<u>-</u>
Substandard	Stage 1	-	-	-	-	-	-
	Stage 2	-	-	-	-	-	-
	Stage 3	335	84	69	14	265	17
Subtotal		<u>335</u>	<u>84</u>	<u>69</u>	<u>14</u>	<u>265</u>	<u>17</u>
Doubtful	Stage 1	-	-	-	-	-	-
	Stage 2	-	-	-	-	-	-
	Stage 3	126	37	49	(12)	77	4
Subtotal		<u>126</u>	<u>37</u>	<u>49</u>	<u>(12)</u>	<u>77</u>	<u>4</u>
Loss	Stage 1	-	-	-	-	-	-
	Stage 2	-	-	-	-	-	-
	Stage 3	799	428	439	(11)	360	111
Subtotal		<u>799</u>	<u>428</u>	<u>439</u>	<u>(11)</u>	<u>360</u>	<u>111</u>
Gross Financing, Advance	Stage 1	295,120	2,999	697	2,302	294,423	-
	Stage 2	28,143	280	1,319	(1,038)	26,825	-
	Stage 3	1,260	549	557	(9)	702	132
Total		<u>324,523</u>	<u>3,828</u>	<u>2,573</u>	<u>1,255</u>	<u>321,950</u>	<u>132</u>
Due from banks, Investment securities and financial guarantees	Stage 1	59,105	-	107	(107)	58,998	-
	Stage 2	10,167	-	436	(436)	9,731	-
	Stage 3	-	-	-	-	-	-
Subtotal		<u>69,272</u>	<u>-</u>	<u>543</u>	<u>(543)</u>	<u>68,729</u>	<u>-</u>
Total	Stage 1	<u>354,225</u>	<u>2,999</u>	<u>804</u>	<u>2,195</u>	<u>353,421</u>	<u>-</u>
	Stage 2	<u>38,310</u>	<u>280</u>	<u>1,755</u>	<u>(1,474)</u>	<u>36,556</u>	<u>-</u>
	Stage 3	<u>1,260</u>	<u>549</u>	<u>557</u>	<u>(9)</u>	<u>702</u>	<u>132</u>
Total		<u>393,795</u>	<u>3,828</u>	<u>3,116</u>	<u>712</u>	<u>390,679</u>	<u>132</u>

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

7. FINANCING ADVANCES AND OTHER RECEIVABLES (CONTINUED)

Additional disclosures on Non-performing financing coverage as per CBO circular BM 1149 is given below:

December 2020	As per CBO RO'000	As per Window's policy RO'000	Difference RO'000
Impairment loss charged to statement of income	632	488	(144)
Provisions	4,204	3,732	(472)
Gross NPL ratio (percentage)*	0.85	0.85	-

*NPL ratios are calculated on the basis of funded non-performing financing and advances.

The below table provides a comparison of provision held as per Window's policy and required as per CBO norms:
31 December 2020

Classification:	Window's policy classification	Gross carrying amount RO'000	CBO Provision RO'000	Window's policy Provision RO'000 s	Difference between CBO and Window's policy RO'000	Net carrying amount RO'000	CBO Reserve profit RO'000
CBO							
1	2	3	4	5	(6)=(4)-(5)	(7)=(3)-(5)	8
Standard	Stage 1	220,017	2,457	311	2,146	219,706	-
	Stage 2	36,875	365	1,118	(753)	35,757	-
	Stage 3	-	-	-	-	-	-
	Subtotal	256,892	2,822	1,429	1,393	255,463	-
Special mention	Stage 1	108	1	-	1	108	-
	Stage 2	224	3	11	(8)	213	-
	Stage 3	-	-	-	-	-	-
	Subtotal	332	4	11	(7)	321	-
Substandard	Stage 1	-	-	-	-	-	-
	Stage 2	-	-	-	-	-	-
	Stage 3	404	101	81	20	323	9
	Subtotal	404	101	81	20	323	9
Doubtful	Stage 1	-	-	-	-	-	-
	Stage 2	-	-	-	-	-	-
	Stage 3	601	162	177	(15)	424	17
	Subtotal	601	162	177	(15)	424	17
Loss	Stage 1	-	-	-	-	-	-
	Stage 2	-	-	-	-	-	-
	Stage 3	1,199	1,115	1,210	(95)	(11)	139
	Subtotal	1,199	1,115	1,210	(95)	(11)	139
Gross Financing, Advance,	Stage 1	220,125	2,458	311	2,147	219,814	-
	Stage 2	37,099	368	1,129	(761)	35,970	-
	Stage 3	2,204	1,378	1,468	(90)	736	165
	Total	259,428	4,204	2,908	1,296	256,520	165
Due from banks, Investment securities and financial guarantees	Stage 1	67,723	-	123	(123)	67,600	-
	Stage 2	6,971	-	866	(866)	6,105	-
	Stage 3	-	-	-	-	-	-
	Subtotal	74,694	-	989	(989)	73,705	-
Total	Stage 1	287,848	2,458	434	2,024	287,414	-
	Stage 2	44,070	368	1,995	(1,627)	42,075	-
	Stage 3	2,204	1,378	1,468	(90)	736	165
	Total	334,122	4,204	3,897	307	330,225	165

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

7. FINANCING ADVANCES AND OTHER RECEIVABLES (CONTINUED)

The analysis of changes in the gross carrying amount and corresponding ECL allowance on financing advances and other receivables is as follows:

Gross carrying amount	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
As at 1 January 2021	220,125	37,099	2,204	259,428
New assets originated or purchased	78,702	891	-	79,592
Assets derecognised or repaid-net	(13,094)	(363)	(78)	(13,534)
Assets transferred to memoranda portfolio	-	-	(963)	(963)
Transfers to Stage 1	12,698	(12,412)	(286)	-
Transfers to Stage 2	(2,982)	2,982	-	-
Transfers to Stage 3	(329)	(54)	383	-
At 31 December 2021	295,120	28,143	1,260	324,523

Gross carrying amount	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
As at 1 January 2020	206,773	6,597	1,808	215,178
New assets originated or purchased	54,587	1,596	-	56,183
Assets derecognised or repaid-net	(11,230)	(607)	(96)	(11,933)
Transfers to Stage 1	2,638	(2,625)	(13)	-
Transfers to Stage 2	(32,339)	32,421	(82)	-
Transfers to Stage 3	(304)	(283)	587	-
At 31 December 2020	220,125	37,099	2,204	259,428

ECL	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
ECL allowance as at 1 January 2021	311	1,129	1,303	2,743
Expected credit losses recognised	509	300	86	895
Recoveries from expected credit losses	(22)	(116)	(97)	(235)
Assets transferred to memoranda portfolio	-	-	(963)	(963)
Transfers to Stage 1	12	(12)	-	-
Transfers to Stage 2	(35)	35	-	-
Transfers to Stage 3	(78)	(18)	96	-
At 31 December 2021	697	1,319	425	2,441

ECL	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
ECL allowance as at 1 January 2020	1,823	108	1,177	3,108
Expected credit losses recognised	73	147	190	410
Recoveries from expected credit losses	(432)	(141)	(202)	(775)
Transfers to Stage 1	3	(3)	-	-
Transfers to Stage 2	(1,076)	1,080	(4)	-
Transfers to Stage 3	(80)	(62)	142	-
At 31 December 2020	311	1,129	1,303	2,743

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

7. FINANCING ADVANCES AND OTHER RECEIVABLES (CONTINUED)

Financing with renegotiated terms are defined as financing advances and financings that have been restructured due to deterioration in the borrower's financial position, for which the Bank has made concessions by agreeing to terms and conditions that are more favorable for the borrower than the Window had provided initially and that it would not otherwise consider. A financing continues to be presented as part of financing advances with renegotiated terms until maturity, early repayment or writeoff.

31 December 2021

Classification:	Window's policy classification	Gross carrying amount RO'000	CBO Provision RO'000	Window's policy Provisions RO'000	Difference between CBO and Window's policy RO'000	Net carrying amount RO'000
CBO		(1)	(2)	(3)	(4)=(2)-(3)	(5)=(1)-(3)
Classified as performing	Stage 1	44,542	445	285	160	44,257
	Stage 2	17,044	170	1,130	(960)	15,914
	Stage 3	-	-	-	-	-
Subtotal		61,586	616	1,415	(800)	60,171
Classified as non-performing	Stage 1	-	-	-	-	-
	Stage 2	-	-	-	-	-
	Stage 3	-	-	-	-	-
Subtotal		-	-	-	-	-
Total	Stage 1	44,542	445	285	160	44,257
	Stage 2	17,044	170	1,130	(960)	15,914
	Stage 3	-	-	-	-	-
Total		61,586	616	1,415	(800)	60,171

CBO classification	Window's policy classification	Gross carrying amount RO'000	CBO Provision RO'000	Window's policy Provisions RO'000	Difference between CBO and Window's policy RO'000	Net carrying amount RO'000
		(1)	(2)	(3)	(4)=(2)-(3)	(5)=(1)-(3)
Classified as performing	Stage 1	45,147	452	76	375	45,071
	Stage 2	16,440	164	925	(761)	15,515
	Stage 3	-	-	-	-	-
Subtotal		61,587	616	1,001	(386)	60,586
Classified as non-performing	Stage 1	-	-	-	-	-
	Stage 2	-	-	-	-	-
	Stage 3	-	-	-	-	-
Subtotal		-	-	-	-	-
Total	Stage 1	45,147	452	76	375	45,071
	Stage 2	16,440	164	925	(761)	15,515
	Stage 3	-	-	-	-	-
Total		61,587	616	1,001	(386)	60,586

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

7. FINANCING ADVANCES AND OTHER RECEIVABLES (CONTINUED)

7a Murabaha receivables

	31 December 2021 Total RO'000	31 December 2020 Total RO'000
Book value	14,891	17,764
Deferred profit	(1,879)	(2,047)
Net Book value	13,012	15,717
Expected credit loss allowance	(199)	(186)
Contractual profit not recognised	(52)	(19)
	12,761	15,512

Unamortised Deferred profit

	31 December 2021 RO'000	31 December 2020 RO'000
Deferred profit at the beginning of the year	2,047	2,023
Profit deferred during the year on sales	1,905	1,736
Murabaha sales revenue during the year(C-1)	(2,073)	(1,712)
Deferred profit at the end of the year	1,879	2,047

7b Ijarah muntahia bittamleek

	31 December 2021 RO'000	31 December 2020 RO'000
Cost	114,559	103,772
Accumulated Depreciation / Amortization	(17,031)	(16,834)
Net Book value	97,528	86,938
Expected credit loss allowance	(307)	(1,321)
Contractual profit not recognised	(52)	(133)
	97,169	85,484

7c Istisna followed by Ijarah muntahia bittamleek

	31 December 2021 RO'000	31 December 2020 RO'000
Book value	98,246	91,501
Expected credit loss allowance	(585)	(258)
Contractual profit not recognised	(26)	(10)
	97,635	91,233

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

7. FINANCING ADVANCES AND OTHER RECEIVABLES (CONTINUED)

7d Diminishing Musharka

	31 December 2021 RO'000	31 December 2020 RO'000
Book value	71,519	65,272
Expected credit loss allowance	(1,210)	(978)
Contractual profit not recognised	(2)	(3)
	<u>70,307</u>	<u>64,291</u>

7e Qard Hasan Financing

	31 December 2021 RO'000	31 December 2020 RO'000
Book value	48	-
Expected credit loss allowance	-	-
Contractual profit not recognised	-	-
	<u>48</u>	<u>-</u>

7f Wakala Bil Istithmar

	31 December 2021 RO'000	31 December 2020 RO'000
Book value	44,170	-
Expected credit loss allowance	(140)	-
Contractual profit not recognised	-	-
	<u>44,030</u>	<u>-</u>

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

8. INVESTMENT SECURITIES

	31 December 2021 RO'000	31 December 2020 RO'000
Carrying amount at amortised cost	18,826	16,776
Expected credit loss allowance	(46)	(41)
Held at amortised cost	<u>18,780</u>	<u>16,735</u>
Carrying amount at FVTE	11,061	8,027
Fair value loss	(893)	(1,056)
Expected credit loss allowance	(436)	(866)
Held at FVTE	<u>9,732</u>	<u>6,105</u>
Total Investment securities	<u>28,512</u>	<u>22,840</u>

The Sukuk certificates are for a period of 7 years and carry profit rate of 4.4% – 8.5% per annum.

Movement in expected credit loss allowance is as given below:

	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
Balance at beginning of the year	41	866	-	907
Expected credit losses recognised	5	-	-	5
Recoveries from expected credit losses	-	(430)	-	(430)
At 31 December 2021	<u>46</u>	<u>436</u>	<u>-</u>	<u>482</u>

	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
Balance at beginning of the year	54	-	-	54
Expected credit losses recognised	-	866	-	866
Recoveries from expected credit losses	(13)	-	-	(13)
At 31 December 2020	<u>41</u>	<u>866</u>	<u>-</u>	<u>907</u>

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

9. PROPERTY AND EQUIPMENT

	Software RO'000	Furniture and fixtures RO'000	Office equipment RO'000	Motor vehicle RO'000	Capital work in-progress RO'000	Total RO'000
Cost:						
At 1 January 2021	1,262	864	647	140	-	2,913
Additions	18	8	9	-	12	47
Disposals/transfers	-	-	21	-	-	21
As at 31 December 2021	1,280	872	677	140	12	2,981
Accumulated depreciation:						
At 1 January 2021	(823)	(587)	(510)	(120)	-	(2,040)
Charge for the year	(119)	(70)	(35)	(8)	-	(232)
Disposals / transfers	-	-	(12)	-	-	(12)
As at 31 December 2021	(942)	(657)	(557)	(128)	-	(2,284)
Net book value at 31 December 2021	338	215	120	12	12	697

	Software RO'000	Furniture and fixtures RO'000	Office equipment RO'000	Motor vehicle RO'000	Capital work in-progress RO'000	Total RO'000
Cost:						
At 1 January 2020	1,251	857	614	140	-	2,862
Additions	11	9	31	-	-	51
Disposals/transfers	-	-	-	-	-	-
As at 31 December 2020	1,262	866	645	140	-	2,913
Accumulated depreciation :						
At 1 January 2020	(705)	(494)	(462)	(107)	-	(1,768)
Charge for the year	(119)	(94)	(48)	(13)	-	(274)
Disposals / transfers	-	-	-	-	-	-
As at 31 December 2020	(824)	(588)	(510)	(120)	-	(2,042)
Net book value at 31 December 2020	438	278	135	20	-	871

10. OTHER ASSETS

	31 December 2021 RO'000	31 December 2020 RO'000
Profit receivable	9,567	4,096
Rental receivable	1,922	1,025
Right to use assets	1,293	1,169
Others	729	88
	13,511	6,378

11. CURRENT AND OTHER ACCOUNTS

	31 December 2021 RO'000	31 December 2020 RO'000
Accounts by nature:		
- current	40,068	39,376
- margin	1,357	2,138
	41,425	41,514

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

12. OTHER LIABILITIES

	31 December 2021 RO'000	31 December 2020 RO'000
Profit/fee payable	57	57
Staff entitlements	251	200
Payable to takaful company	46	161
Expected credit loss allowance on financing advance commitments and financial guarantees	61	82
Ijarah liabilities of right to use assets	804	533
Other accruals and provisions	1,135	1,168
Instrument payables	310	254
	2,664	2,455

The analysis of changes in the gross carrying amount and corresponding ECL allowance on financing advance commitments and financial guarantees is as follows:

Gross carrying amount	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
Balance as at 1 January 2021	38,920	-	-	38,920
New assets originated or purchased	14,731	-	-	14,731
Assets derecognised or repaid	(15,566)	-	-	(15,566)
Transfers to Stage 1	-	-	-	-
Transfers to Stage 2	-	-	-	-
Transfers to Stage 3	-	-	-	-
At 31 December 2021	38,085	-	-	38,085

Gross carrying amount	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
Balance as at 1 January 2020	38,629	-	6	38,635
New assets originated or purchased	18,131	-	-	18,131
Assets derecognised or repaid	(17,840)	-	(6)	(17,846)
Transfers to Stage 1	-	-	-	-
Transfers to Stage 2	-	-	-	-
Transfers to Stage 3	-	-	-	-
At 31 December 2020	38,920	-	-	38,920

ECL amount	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
Balance as at 1 January 2021	82	-	-	82
Expected credit losses recognised	-	-	-	-
Recoveries from expected credit losses	(21)	-	-	(21)
Transfers to Stage 1	-	-	-	-
Transfers to Stage 2	-	-	-	-
Transfers to Stage 3	-	-	-	-
At 31 December 2021	61	-	-	61

ECL amount	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
Balance as at 1 January 2020	81	-	1	82
Expected credit losses recognised	45	-	-	45
Recoveries from expected credit losses	(44)	-	(1)	(45)
Transfers to Stage 1	-	-	-	-
Transfers to Stage 2	-	-	-	-
Transfers to Stage 3	-	-	-	-
At 31 December 2020	82	-	-	82

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

13. EQUITY OF INVESTMENT ACCOUNT HOLDERS

	31 December 2021 RO'000	31 December 2020 RO'000
Mudaraba Accounts	50,732	42,883
Wakala Funds	241,959	196,804
	292,691	239,687

13.1 Mudaraba Accounts

	31 December 2021 RO'000	31 December 2020 RO'000
Saving accounts	50,726	42,878
Fixed Term accounts	6	5
	50,732	42,883

Term deposits are deposits which can be withdrawn with no loss of capital subject to certain conditions.

The share, as Mudarib, in the profits of equity of investment accountholders is up to a maximum of 70% (2020: 70%) as per the terms of investment account holder agreements.

During the year, the Window has not charged any administrative expense to the pool.

Product	Participation factor	Average rate earned
Mudaraba Saving-RO	15	0.520%
Mudaraba Saving-AED	15	0.442%
Mudaraba Saving-USD	15	0.520%
Mudaraba Saving-GBP	15	0.00%
Mudaraba Term 3 Month	50	0.00%
Mudaraba Term 6 Month	50	0.00%
Mudaraba Term 12 Months	50	1.73%
Wakala Interbank Borrowing	70	1.76%
Wakala Term Deposits	80	4.56%
Wakala Call Deposits	65	3.06%
Wakala Saving Deposits	65	3.25%

Unrestricted investment account holder accounts are monies invested by customers under Mudaraba to form a pool of funds. Investment accountholder's funds are commingled with the Banks's funds for investment, no priority is granted to any party for the purpose of investments and distribution of profits.

13.2 Wakala Funds

	31 December 2021 RO'000	31 December 2020 RO'000
At 1 January	196,804	174,426
Addition during the year	91,251	157,554
Less: Redemption during the year	(46,096)	(135,176)
	241,959	196,804

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

13. EQUITY OF INVESTMENT ACCOUNT HOLDERS (CONTINUED)

13.2a Concentration of Wakala Funds

By currency type

	31 December 2021 RO'000	31 December 2020 RO'000
Local currency:		
- Banks	32,028	-
- Corporates & retail	184,514	178,625
Foreign currency:		
- Banks	19,345	9,625
- Corporates & retail	6,072	8,554
	241,959	196,804

By Counterparty type

	31 December 2021 RO'000	31 December 2020 RO'000
Personal	53,473	26,502
Corporates	136,932	104,518
Government	51,553	65,784
	241,959	196,804

By Geographical Region

	31 December 2021 RO'000	31 December 2020 RO'000
Oman	222,614	187,179
GCC	19,345	9,625
Rest of the World	-	-
	241,959	196,804

By Counterparty Type

	31 December 2021 RO'000	31 December 2020 RO'000
Banks	51,373	9,625
Non-Banks	190,586	187,179
	241,959	196,804

13.2b Maturity of Wakala Funds

Wakalah Funds includes various facilities with a fixed profit rate ranging from 0.5% – 5.3%. The maturity of the Wakalah payables ranges from 1 week to 61 months.

	Upto 1 month	1 to 6 months	6 months to 1 year	1 to 5 years	Over 5 years	Total
Wakala Interbank Borrowing	32,036	-	19,337	-	-	51,373
Wakala Term Deposits	5,713	46,728	24,995	46,152	14,390	137,978
Wakala Call Deposits	10,518	18,407	10,518	-	13,149	52,592
Wakala Saving Deposits	-	4	-	4	8	16

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

14. SHAREHOLDERS' EQUITY

14a Share capital

In 2021, Share capital was RO 31.5 million (2020: RO 30 million).

14b Legal reserve

As per Commercial Companies Law of Oman 'an additional amount within 2% of the nominal value of share may be collected for each share as issue fees. If the shares are issued at a value higher than the nominal value, the excess amount, after deducting issue expenses, shall be added either to the legal reserve or a special reserve to be established as provided under Article 106 of the Law'. Accordingly, the Window has transferred the net excess amount of the issue proceeds collected by the Bank during Window's inception to the legal reserve.

14c General reserve

General Reserve of RO 988 thousands (31 December 2020: RO 988 thousands) was transferred by Head office to cover the losses incurred for the year 2013 and 2014. The Window commenced report profits from 2015 and accordingly: no further transfer was made post 2014.

14d Fair value reserve

The fair value reserve includes the cumulative net change in the fair value of the investment securities held as FVTE until the investment is derecognised, sold or impaired. As at 31 December 2021 the fair value loss on FVTE investments is RO 893 thousand), (31 December 2020: loss of RO 1,056 thousand).

14e Impairment reserve

As per the CBO circular BM 1149, in the year of adoption, if the Window's policy based provision for impairment is lower than the provision for the impairment as per regulatory guidelines, the excess, shall be transferred as appropriation from profit for the year to a regulatory reserve "Impairment reserve" under shareholder's equity. In subsequent years, if the Window's policy based provision for impairment is lower than provision for impairment as regulatory guidelines, the excess shall be transferred as appropriation from profit for the year to the Impairment reserve.

The regulatory impairment reserve cannot be used by the Window for capital adequacy calculation. Utilization of the impairment reserve created above would require prior approval of the Central Bank of Oman.

In accordance with the CBO circular BSD/CB & FLC/2022/001 requirements for additional CBO provisions have been suspended until the end of financial year 2022.

Accordingly, for the year ending December 2021, the Window did not make any transfer to impairment reserve (31 December 2020: RO 472 thousand).

15. CONTINGENT LIABILITIES AND COMMITMENTS

15a Contingent liabilities

Standby letters of credit and guarantees commit the Window to make payments on behalf of customers' contingent upon the failure of the customer to perform under the terms of the contract.

	31 December 2021 RO'000	31 December 2020 RO'000
Guarantees	12,608	20,814
Letter of credit	9,049	11,171
	21,657	31,985

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

15. CONTINGENT LIABILITIES AND COMMITMENTS (CONTINUED)

15b Commitments

Credit related commitments include commitments to extend credit, standby letters of credit and guarantees, which are designed to meet the requirements of the Window's customers. Commitments to extend credit represent contractual

commitments to make financing and advances. Commitments generally have fixed expiry dates or other termination clauses and require the payment of a fee. Since commitments may expire without being drawn upon, the total contract amounts do not necessarily represent future cash obligations.

	31 December 2021 RO'000	31 December 2020 RO'000
Credit related commitments	16,428	6,934

16. RELATED PARTIES

In the ordinary course of business, the Window conducts transactions with certain of its Directors, shareholders, senior management, head office, Shari'ah Supervisory Board (SSB), Shari'ah reviewer and companies in which they have a significant profit. These transactions are conducted on an arm's length basis and are approved by the Window's management and Board of Directors.

The aggregate amount of balances and the income and expenses generated with such related parties are as follows:

	31 December 2021 RO'000	31 December 2020 RO'000
Financing and advances (balance at end of year)	57	86
Financing and advances disbursed during the year	-	29
Financing and advances repaid during the year	29	5
Deposits (balance at end of year)	580	405
Deposits received during the year	1,048	(217)
Deposits paid during the year	(516)	344
Profit on financing and advances (during the year)	5	55
Profit expense (during the year)	(17)	(10)
Senior management compensation		
Salaries and other short term benefits	220	55
Post-employment benefits	4	-
Directors' sitting fees and remuneration		
Shari'ah Supervisory Board's sitting fees and remuneration	55	55
Transaction with head office		
Profit paid on wakala borrowings	115	-
Fee on committed line	225	245

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

17. DERIVATIVES

In the ordinary course of business, the Window enters into various types of transactions that involve derivative financial instruments. A derivative financial instrument is a financial contract between two parties where payments are dependent upon movements in price in one or more underlying financial instrument, reference rates or indexes. These derivatives are stated at fair value. The fair value of a derivative is the equivalent of the unrealised gain or loss from marking to market the derivative using prevailing market rates or internal pricing models. Unrealised gains or losses are included in the statement of comprehensive income. The derivative financial instruments used by the Window are described below:

17a Derivative product types

Currency forward (Wa'ad), is a unilateral agreement between parties to buy one currency against selling another currency at an agreed price for settlement at forward/future value date. The exchange rate used for the transaction is called the forward exchange rate.

It is done to hedge from exchange rate volatility risk and to manage liquidity efficiently by allowing window to place/invest excess liquidity with offshore banks or to take funds from offshore banks in case of liquidity shortage.

As part of its asset and liability management the Window uses derivatives for hedging purposes in order to reduce its exposure to currency and profit rate risks. This is achieved by hedging specific financial instruments and forecasted transactions as well as strategic hedging against overall statement of financial position exposures.

As at 31 December 2021	Notional	Notional amounts by term to maturity		
	amount	Within 3 months	3 - 12 months	1 - 5 years
	RO'000	RO'000	RO'000	RO'000
Forward foreign exchange purchase contracts	140,140	140,140	-	-
Forward foreign exchange sales contracts	140,140	140,140	-	-

As at 31 December 2020	Notional	Notional amounts by term to maturity		
	amount	Within 3 months	3 - 12 months	1 - 5 years
	RO'000	RO'000	RO'000	RO'000
Forward foreign exchange purchase contracts	13,040	3,237	1,964	7,839
Forward foreign exchange sales contracts	12,862	3,237	1,925	7,700

Main counter party to forward contracts is the head office..

18 INCOME FROM FINANCING ACTIVITIES

	31 December 2021 RO'000	31 December 2020 RO'000
Murabaha receivables	2,073	1,712
Ijarah muntahia bittamleek	5,618	4,389
Istisna followed by Ijarah muntahia bittamleek	5,806	4,864
Diminishing Musharka	2,446	1,704
Wakala Bil Istithmar	189	9
	16,132	12,678

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

19. INCOME FROM INVESTING ACTIVITIES

	31 December 2021 RO'000	31 December 2020 RO'000
Income from inter-bank placements with Islamic banks	25	104
Income from investment in debt-type instruments	1,665	1,437
	1,690	1,542

20. RETURN ON UNRESTRICTED INVESTMENT ACCOUNT HOLDERS

The window maintains multi-level investment arrangements to invest funds received under "Wakala" as "Mudaraba" under express authority from Wakala account holders in its financing and investment assets. Profit is allocated to Wakala funds on the basis of their contribution in the commingled assets.

	31 December 2021 RO'000	31 December 2020 RO'000
On Mudaraba deposit	988	842
On Wakala deposit-		
-Customers	8,238	7,327
-Banks	589	352
	8,827	7,679
	9,815	8,521

21. OTHER OPERATING INCOME

	31 December 2021 RO'000	31 December 2020 RO'000
Foreign exchange gain - net	282	449
Fee and commission - net	1,393	503
	1,675	952

22. OTHER OPERATING EXPENSES

	31 December 2021 RO'000	31 December 2020 RO'000
Operating and administration costs	1,270	2,363
Rent and utility expenses	308	335
SSB remuneration and sitting fees	55	55
	1,633	2,753

23. IMPAIRMENT CHARGES (NET)

	31 December 2021 RO'000	31 December 2020 RO'000
Impairment charges provided/(released) on:		
Investments & balances with banks	(425)	853
Off balance sheet	(21)	-
Financing assets	660	(365)
	214	488

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

24. FINANCIAL RISK MANAGEMENT

24.1 Credit risk

24.1a Credit risk in financing products

Credit risk originates from the financing of receivables and leases (including but not limited to, Murabaha, Diminishing Musharaka, Istisna and Ijarah) and financing of working capital (including but not limited to Salam). Windows acts as a financier, supplier, Rabb-ul-Mal and contributor of capital in the Musharaka agreement. Window exposes itself with the risk of counterparty's failure to meet their obligations in terms of receiving deferred payment and making or taking delivery of an asset.

Exposure limits are based on the aggregate exposure to the counterparty and any connected entities. Corporate contracts/facilities are reviewed on an annual basis by unforeseen risk, which dries up the cash flows guidelines on the acceptability of specific classes of collateral credit risk.

The principal types of collaterals for financings and advances are:

- Charges of assets under Murabaha agreements
- Ownership/title of assets under Ijarah and Istisna financing
- Ownership/title under Istisna arrangement
- Title of assets under Diminishing Musharka

24.1b Management of credit risk

All financings and advances of the Window are regularly monitored to ensure compliance with the stipulated repayment terms. Those financings and advances are classified into one of the 5 risk classification categories: Standard, Special Mention, Substandard, Doubtful and Loss – as stipulated by Central Bank of Oman regulations and guidelines. The responsibility for identifying problem accounts and classifying them rests with the business line

The credit exposure of the Window as on the reporting date is as follows:

	Murabaha receivables RO'000	Ijarah muntahia bittamleek RO'000	Istisna followed by Ijarah muntahia bittamleek RO'000	Diminishing Musharka RO'000	Qard Hasan Financing RO'000	Wakala Bil Istithmar RO'000	Due from banks RO'000	Debt type securities RO'000	Total RO'000
31 December 2021									
Stage 1	12,553	92,438	93,090	52,821	48	44,170	2,193	21,856	316,139
Stage 2	180	4,558	4,815	18,590	-	-	-	7,138	38,311
Stage 3	279	532	341	108	-	-	-	-	1,260
Total	13,012	97,528	98,246	71,519	48	44,170	2,193	28,994	355,710

	Murabaha receivables RO'000	Ijarah muntahia bittamleek RO'000	Istisna followed by Ijarah muntahia bittamleek RO'000	Diminishing Musharka RO'000	Due from banks RO'000	Debt type securities RO'000	Total RO'000
31 December 2020							
Stage 1	15,095	79,731	85,770	39,527	12,028	16,776	248,927
Stage 2	343	5,682	5,505	25,569	-	6,971	44,070
Stage 3	279	1,525	226	176	-	-	2,206
Total	15,717	86,938	91,501	65,272	12,028	23,747	295,203

Maximum exposure to credit risk before collateral held or other credit enhancements for all on-balance sheet assets are based on net carrying amounts as reported in the statement of financial position.

The maximum credit risk exposures relating to off-balance sheet items calculated as per Basel II guidelines are provided in note 23.5. The amounts represented in the note 23.5 represent a worst case scenario of credit risk exposure as of 31 December 2021, without taking into account any collateral held or other credit enhancements attached.

NOTES TO FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

24. FINANCIAL RISK MANAGEMENT (CONTINUED)

24.1 Credit risk (continued)

24.1c Credit rating analysis

The table below presents an analysis of debt securities, treasury bills, placements, and other eligible bills by rating agency designation at 31 December 2021, based on Moody's ratings or equivalent.

	31 December 2021 RO'000	31 December 2020 RO'000
Aaa to Aa3	505	327
A1 to A3	84	-
Baa1 to Baa3	-	1,700
Ba1 to Ba3	8	10,000
B1 to B3	1,596	-
Caa1 to Caa3	7,138	6,971
Sovereign	21,856	16,776
	31,187	35,774

The Window performs an independent assessment based on quantitative and qualitative factors in cases where a counter party is unrated.

The Window's internal rating and PD estimation process

The Window's independent Credit Risk Department operates its internal rating models. The Window runs separate models for its key portfolios in which its customers are rated from 1 to 10 using 22 internal grades. Granular scales were implemented in 2021 as a part of the overall enhancement to the Obligor Risk Rating framework. The models incorporate both qualitative and quantitative information and, in addition to information specific to the borrower, utilise supplemental external information that could affect the borrower's behaviour. Where practical, they also build on information from Good Rating Agency. These information sources are first used to determine the PDs within the Window's Basel III framework. The internal credit grades are assigned based on these Basel III grades

The Window's internal credit rating grades along with the respective PDs are as below:

Internal Rating Grade	Internal Rating Grade Description	PD Range (%)
1	Investment grade	
2+	Investment grade	
2	Investment grade	
2-	Investment grade	
3+	Investment grade	
3	Investment grade	
3-	Investment grade	
4+	Investment grade	0.91% to 4.69%
4	Investment grade	
4-	Investment grade	
5+	Investment grade	
5	Investment grade	
5-	Investment grade	
6+	Investment grade	
6	Investment grade	
6-	Investment grade	
7+	Sub Investment Grade	
7	Sub Investment Grade	5.15% to 7.01%
7-	Sub Investment Grade	
8 to 10	Non-Performing	100%

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

24. FINANCIAL RISK MANAGEMENT (CONTINUED)

24.1 Credit risk (continued)

The table below shows the credit quality by class of financial asset, based on internal credit ratings:

31 December 2021	Murabaha receivables RO'000	Ijarah muntahia bittamleek RO'000	Istisna followed by Ijarah muntahia bittamleek RO'000	Diminishing Musharka RO'000	Qard Hasan Financing RO'000	Wakala Bil Istithmar RO'000	Due from banks RO'000	Debt type securities RO'000	Total RO'000
Stage 1 (12 month ECL)									
Investment grade	12,554	92,438	52,090	47,513	48	44,170	2,193	21,856	272,862
Sub-investment grade	-	-	41,000	5,308	-	-	-	-	46,308
Carrying amount	12,554	92,438	93,090	52,821	48	44,170	2,193	21,856	319,170
Stage 2 (Lifetime ECL but not credit-impaired)									
Investment grade	88	3,247	1,307	899	-	-	-	7,138	12,679
Sub-investment grade	92	1,311	3,508	17,691	-	-	-	-	22,602
Carrying amount	180	4,558	4,815	18,590	-	-	-	7,138	35,281
Stage 3 (Lifetime ECL and credit-impaired)									
Non-performing	279	532	341	108	-	-	-	-	1,260
Total	13,013	97,527	98,246	71,519	48	44,170	2,193	28,994	355,710

31 December 2020	Murabaha receivables RO'000	Ijarah muntahia bittamleek RO'000	Istisna followed by Ijarah muntahia bittamleek RO'000	Diminishing Musharka RO'000	Due from banks RO'000	Debt type securities RO'000	Total RO'000
Stage 1 (12 month ECL)							
Investment grade	15,095	79,642	85,770	39,508	12,028	16,776	248,819
Sub-investment grade	-	89	-	19	-	-	108
Carrying amount	15,095	79,731	85,770	39,527	12,028	16,776	248,927
Stage 2 (Lifetime ECL but not credit-impaired)							
Investment grade	315	5,526	5,465	25,569	-	6,971	43,846
Sub-investment grade	28	156	40	-	-	-	224
Carrying amount	343	5,682	5,505	25,569	-	6,971	44,070
Stage 3 (Lifetime ECL and credit-impaired)							
Non-performing	279	1,525	226	176	-	-	2,206
	15,717	86,938	91,501	65,272	12,028	23,747	295,203

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

24. FINANCIAL RISK MANAGEMENT (CONTINUED)

24.1 Credit risk (continued)

24.1d Write-off policy

The Window writes off a financing and advances/security balance (and any related allowances for impairment losses) when the Window determines that the financing and advances/security is uncollectible. This determination is reached after considering information such as the occurrence of significant changes in the borrower/issuer's financial position such that the borrower/issuer can no longer repay the obligation, or that proceeds from the collateral will not be sufficient to pay back the entire exposure. For smaller balance standardized financings, charge-off decisions generally are based on a product specific past due status.

The assets, or title to the asset, will be maintained in the Window's custody or with a custodian approved by the Window. Necessary measures are taken to ensure that the assets are maintained in useable condition.

The release of collateral without full repayment of all related financial obligations requires authorization-substitution of collateral, permitted if the new collateral would further minimize the Window's risk exposure keeping in mind the regulatory requirements.

When collateral is released to the customer, the Credit Administration Department obtains and maintains in its records acknowledgement of receipt from the customer or its authorized representative.

An estimate of the fair value of collateral and other security enhancements held against financings and advances is shown below:

	31 December 2021 RO'000	31 December 2020 RO'000
Property	478,849	419,975
Vehicle	17,763	20,251
Fixed Deposit	1,400	-
	498,012	440,226

Settlement risk is the risk of loss due to the failure of a party to honor its obligations to deliver cash, investments or other assets as contractually agreed on the day of settlement.

In foreign exchange trades, though there is fulfilment of both the legs of the transaction on the settlement date as is common practice between trading partners (free settlement), there will be risk on account of different time zones. In these cases, the settlement risk is mitigated through the execution of bilateral payment netting agreements.

24.1e Concentrations

Concentrations of credit risk arise when a number of counterparties are engaged in similar business activities or activities in the same geographic region or have similar economic features that would cause their ability to meet contractual obligations to be affected similarly by changes in economic, political, or other conditions. Concentrations of credit risk indicate the relative sensitivity of the Window's performance to developments affecting a particular industry or geographic location.

In order to avoid excessive concentrations of risk, the Window's policies and procedures include specific guidelines to focus on maintaining a diversified portfolio. Identified concentrations of credit risks are controlled and managed accordingly.

- Regulatory Caps – exposure limits to a person (including a juristic person) and his connected parties has been set at 15% of the Bank's Net worth.
- Net worth is the aggregate amount of assets less liabilities, which shall include assets and liabilities both within and outside the Sultanate.
- Exposure to a senior member in the management of the Window and any related parties shall not exceed 10% of the amount of the net worth of the Bank and aggregate of all such exposures shall not exceed 35% of the amount of the net worth.

Limits are not applicable to exposures fully secured by cash or cash equivalent (not subject to withdrawal from the Window) or are secured by guarantee of the financial institutions within or outside Sultanate of Oman or the Government of the Sultanate of Oman.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

24. FINANCIAL RISK MANAGEMENT (CONTINUED)

24.1 Credit risk (continued)

As at 31 December 2021	Murabaha RO'000	Ijarah muntahia bittamleek RO'000	Istisna followed by Ijarah muntahia bittamleek RO'000	Diminishing Musharka RO'000	Qard Hasan Financing RO'000	Wakala Bil Istithmar RO'000	Due from banks RO'000	Investment securities RO'000
Concentration by sector								
Corporate	1,833	20,449	68,404	48,496	48	44,170	-	7,138
Personal	11,179	77,079	29,842	23,023	-	-	-	-
Sovereign	-	-	-	-	-	-	-	21,856
Banks	-	-	-	-	-	-	2,193	-
	<u>13,012</u>	<u>97,528</u>	<u>98,246</u>	<u>71,519</u>	<u>48</u>	<u>44,170</u>	<u>2,193</u>	<u>28,994</u>
Concentration by location								
Middle east	13,012	97,528	98,246	71,519	48	44,170	198	28,994
Europe	-	-	-	-	-	-	1,995	-
Asia	-	-	-	-	-	-	-	-
Total	<u>13,012</u>	<u>97,528</u>	<u>98,246</u>	<u>71,519</u>	<u>48</u>	<u>44,170</u>	<u>2,193</u>	<u>28,994</u>

As at 31 December 2020	Murabaha RO'000	Ijarah muntahia bittamleek RO'000	Istisna followed by Ijarah muntahia bittamleek RO'000	Diminishing Musharka RO'000	Due from banks RO'000	Investment securities RO'000
Concentration by sector						
Corporate	3,852	19,774	65,794	47,576	-	6,105
Personal	11,865	67,164	25,707	17,696	-	-
Sovereign	-	-	-	-	-	16,735
Banks	-	-	-	-	12,028	-
	<u>15,717</u>	<u>86,938</u>	<u>91,501</u>	<u>65,272</u>	<u>12,028</u>	<u>22,840</u>
Concentration by location						
Middle east	15,717	86,938	91,501	65,272	10,311	22,840
Europe	-	-	-	-	64	-
Asia	-	-	-	-	1,653	-
Total	<u>15,717</u>	<u>86,938</u>	<u>91,501</u>	<u>65,272</u>	<u>12,028</u>	<u>22,840</u>

24.1f Impact of Coronavirus (COVID-19)

The World Health Organisation officially declared Covid-19 as a global pandemic on 11 March, 2020. From the latter half of Q1-2020, the economic environment and business landscape of the bank have witnessed rapid changes as a result of the unprecedented outbreak of Coronavirus pandemic coupled with the significant depression in the global crude oil prices. Tightening of market conditions, lockdowns, restrictions on trade and movement of people have caused significant disruptions to businesses and economic activities globally and across industries & sectors. Further details of impact of Covid-19 on banks are given in note 38 of consolidated financial statement of Sohar International Bank.

The following table shows a comparison of the Bank's allowances for credit losses on non-impaired financial assets (Stages 1 and 2) under Window's policy as at December 31, 2021 based on the probability weightings of three scenarios with allowances for credit losses resulting from simulations of each scenario weighted at 100%.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

24. FINANCIAL RISK MANAGEMENT (CONTINUED)

24.1 Credit risk (continued)

	At 31 December 2021		At 31 December 2020	
	ECL RO'000	Impact on ECL RO'000	ECL RO'000	Impact on ECL RO'000
Sensitivity of impairment estimates				
ECL on non-impaired financing under Window's policy	2,559	-	2,429	-
Simulations				
Upside case - %100 weighted	2,115	444	2,092	337
Base case - %100 weighted	2,493	66	2,371	58
Downside scenario - %100 weighted	3,090	(532)	2,964	(535)

The following table contains an analysis of the deferred amount of principal outstanding and accrued profit pertinent to Islamic financing and related receivables of the customers, who have been provided with such benefits, and the related ECL:

	Stage 1 RO'000	Stage 2 RO'000	Stage 3 RO'000	Total RO'000
Deferred amount	9,882	4,533	-	14,415
ECL on deferred amount	(17)	(152)	-	(169)
Carrying amount	<u>9,865</u>	<u>4,381</u>	<u>-</u>	<u>14,246</u>

Impact on the Capital Adequacy

Besides, the bank has also applied in its capital adequacy calculations the "Prudential filter" under interim adjustment arrangement for Stage-1 and Stage-2 ECL. The impact of above filter on the bank's regulatory capital is 5 bps.

24.2 Liquidity risk

Liquidity risk is the risk that the Window will encounter difficulty in meeting its obligations associated with its financial liabilities that are settled by delivering cash or another financial asset.

24.2a Management of liquidity risk

The Window's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions without incurring unacceptable losses or risking damage to the Window's reputation.

Window's central treasury receives information from other business units regarding the liquidity profile of their financial assets and liabilities and details of other projected cash flows arising from projected future business. Central treasury then maintains a portfolio of short-term liquid assets, largely made-up of short-term liquid investment securities, financing, and advances and advances to banks and other inter-bank facilities, to ensure that sufficient liquidity is maintained within the Bank as a whole. The liquidity requirements of business units are met through short-term financing and advances from central treasury to cover any short-term fluctuations and longer-term funding to address any structural liquidity requirements. The Window has also laid down a comprehensive liquidity contingency plan for effective management of liquidity. In this process due care is taken to ensure that the Window complies with all the CBO regulations.

All liquidity policies and procedures are subject to review and approved by Asset Liabilities Committee (ALCO). Computation of liquidity gap on maturity of assets and liabilities is provided. The computation has been prepared in accordance with guidelines provided by the regulator.

The lending ratio, which is the ratio of the total financings and advances to customer deposits and capital, is monitored on a daily basis in line with the regulatory guidelines. Internally the lending ratio is set at a more conservative basis than required by regulation. The Window also manages its liquidity risk on regular basis and by monitoring the liquid ratio which is a ratio of net liquid assets to total assets on a monthly basis. For this purpose, net liquid assets are considered as including cash and cash equivalents and investment grade debt investments for which there is an active and liquid market.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

24. FINANCIAL RISK MANAGEMENT (CONTINUED)

24.2 Liquidity risk (continued)

Details of the reported lending and liquid ratio as at 31 December 2021 were as follows:

	31 December 2021	
	Lending ratio	Liquid ratio
Average for the year	85.63%	17.13%
Maximum for the year	89.90%	20.95%
Minimum for the year	80.16%	10.59%

	31 December 2020	
	Lending ratio	Liquid ratio
Average for the year	86.39%	15.32%
Maximum for the year	87.65%	17.63%
Minimum for the year	85.20%	12.34%

The Window also monitors the liquidity through Liquidity Coverage ratio (LCR) and Net Stable Funding Ratio (NSFR). Current levels of these ratios are given below:

31 December 2021		31 December 2020	
LCR	NSFR	LCR	NSFR
127.25%	100.19%	147.94%	128.63%

The table below summarizes the maturity profile of the Window's liabilities as on the reporting date based on contractual repayment arrangements. The contractual maturities of assets and liabilities have been determined on the basis of the remaining period at the statement of financial position date to the contractual maturity date and do not take account of the effective maturities as indicated by the Window's deposit retention history and the availability of liquid funds.

24.2b Exposure to liquidity risk

As at 31 December 2021	Carrying amount RO'000	Within three months RO'000	Four months to 12 months RO'000	One to three years RO'000	More than three years RO'000	Total RO'000
Customer deposit and other accounts	41,425	16,579	14,028	801	10,017	41,425
Other liabilities	2,664	2,664	-	-	-	2,664
	<u>44,089</u>	<u>19,243</u>	<u>14,028</u>	<u>801</u>	<u>10,017</u>	<u>44,089</u>
Equity of Investment account holders	292,691	52,125	133,222	45,599	61,745	292,691
	<u>336,780</u>	<u>71,368</u>	<u>147,250</u>	<u>46,400</u>	<u>71,762</u>	<u>336,780</u>

As at 31 December 2020	Carrying amount RO'000	Within three months RO'000	Four months to 12 months RO'000	One to three years RO'000	More than three years RO'000	Total RO'000
Customer deposit and other accounts	41,514	18,032	13,423	41	10,017	41,514
Other liabilities	2,455	2,455	-	-	-	1,922
	<u>43,969</u>	<u>20,487</u>	<u>13,423</u>	<u>41</u>	<u>10,017</u>	<u>43,436</u>
Equity of Investment account holders	239,687	23,619	67,332	92,379	56,357	239,687
	<u>283,656</u>	<u>44,106</u>	<u>80,755</u>	<u>92,420</u>	<u>66,374</u>	<u>283,123</u>

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

24. FINANCIAL RISK MANAGEMENT (CONTINUED)

24.2 Liquidity risk (continued)

The Window prepares a liquidity gap report to monitor the Window's short term liquidity position on the Rial denominated assets and liabilities in a time horizon spanning one month. The gap is adjusted for availability of instruments for repo or refinance and also for unavailed committed lines of credit, if any. This statement of short term liquidity is to be reported to the ALCO every month.

In addition to the above measures of liquidity, the window also monitors the Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio as per the regulator in line with Basel-III standards.

24.3 Market risk

Market risk is the exposure to loss resulting from the changes in the profit rates, foreign currency exchange rates, equity prices and commodity prices. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return to risk.

24.3a Market risk in financing products

Financing contracts mainly comprise 'Murabaha receivables' and 'Ijara Muntahia Bittamleek.' Following are the financing related market risk:

(i) Murabaha receivables

In the case of an asset in possession for a Murabaha transaction and an asset acquired specifically for resale to a customer in a non-binding Murabaha to the purchase ordered (MPO) transaction, the asset would be treated as inventory of the Window and is subject to price risk.

(ii) Ijara Muntahia Bittamleek (IMB)

In the case of Non-binding Promise to lease an asset acquired and held for the purpose of either operating Ijarah or IMB. The asset would be treated as an asset owned by the Window and is subject to price risk from its acquisition date until its disposal.

24.3b Measurement of market risk

The Window is mainly engaged in Currency forward (Wa'ad). Since the positions are taken mainly for customer transactions, the complexity is further reduced. In view of above, the Window measures and controls the risk by using a limit framework. As and when the Window enters into more complex derivatives, it will have more sophisticated models and techniques to measure market risk, supported by a suitable mechanism.

24.3c Management of market risks

The Window separates its exposure to market risk between trading and non-trading portfolios. Trading portfolios include all positions arising from market making and proprietary position taking, together with financial assets and liabilities that are managed on a fair value basis.

All foreign exchange risk within the Window is transferred by Central Treasury to the trading book. Accordingly, the foreign exchange position is treated as a part of the Window's trading portfolio for risk management purposes. Foreign currency risk is monitored and managed by the Window by establishment of Middle Office to monitor the market risk, and the risk is managed by putting in place Policy, and implementing limit framework, reporting tools like Currency Position Report, Risk Analysis of Currency Position, Breach Analysis Report, and Dealer Limit Breach report.

Overall authority for market risk is vested in ALCO. The risk management function is responsible for development of detailed risk management policies (subject to approval by ALCO and Risk Management Committee of the Board). The Policy is periodically reviewed to keep it up to date with the market developments.

24.3d Exposure to profit rate risk

Profit rate risk is the potential impact of the mismatch between the rate of return on assets and the expected rate of funding due to the sources of finance. Senior management identifies the sources of profit rate risk exposures based upon the current as well as forecasted balance sheet structure of Window. The profit rate risk in the Window may arise due to the following transactions:

- Murabaha transactions;
- Wakala transactions;
- Isitisna followed by Ijara Muntahia Bittamleek
- Ijara Muntahia Bittamleek;
- Sukuk; and

Window's management believes that the Window is not exposed to material profit rate risk as the re-pricing of assets, liabilities and equity of investment accountholders occur at similar intervals. The profit distribution to equity of investment accountholders is based on profit sharing agreements. Therefore, Window is not subject to any significant profit rate risk.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

24. FINANCIAL RISK MANAGEMENT (CONTINUED)

24.3. Market risk (continued)

24.3d Exposure to profit rate risk (continued)

(i) Sources of Profit Rate Risk

The different profit rate risks faced by the Window can be classified broadly into the following categories:

- Re-pricing risk which arises from timing differences in the maturity (for fixed rate) and re-pricing (for floating rate) of assets, liabilities, and off-balance sheet positions. As profit rates vary, these re-pricing mismatches expose Window's income and underlying economic value to unanticipated fluctuations;
- Yield curve risk which arises when unanticipated shifts of the yield curve have adverse effects on Window's income and/or underlying economic value;
- Basis risk which arises from imperfect correlation in the adjustment in the rate earned on products priced and the rate paid on different instruments with otherwise similar re-pricing characteristics. When profit rates change, these differences can give rise to unexpected changes in the cash flows and earnings spread between assets, liabilities, and off-balance sheet instruments of similar maturities or re-pricing frequencies; and
- Displaced Commercial Risk refers to the market pressure to pay returns that exceeds the rate that has been earned on the assets financed by the liabilities, when the return on assets is under performing as compared to competitor's rates.

(ii) Profit rate risk strategy

Profit rate risk arises from the possibility that changes in profit rates will affect future profitability or the fair values of financial instruments. The window is exposed to profit rate risk as a result of mismatches or gaps in the amounts of assets and liabilities and off-balance sheet instruments that mature or re-price in a given period. The window manages this risk through risk management strategies.

The effective profit rate (effective yield) of a monetary financial instrument is the rate that, when used in a present value calculation, results in the carrying amount of the instrument. The rate is a historical rate for a fixed rate instrument carried at amortised cost and a current rate for a floating rate instrument or an instrument carried at fair value.

(iii) Profit rate risk measurement tools

Window monitors Re-pricing gap analysis which measures the arithmetic difference between the profit-sensitive assets and liabilities of book in absolute terms.

(iv) Profit rate risk monitoring and reporting

Window has implemented information systems for monitoring, controlling and reporting profit rate risk. Reports are provided on a timely basis to Executive Committee and the Board of Directors of the head office.

The Risk and Compliance Unit monitors these limits regularly. They review the results of gap limits and exceptions, if any, and recommends corrective action to be taken which is approved by ALCO.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

24. FINANCIAL RISK MANAGEMENT (CONTINUED)

24.3 Market risk (continued)

24.3e Exposure to profit rate risk – non trading portfolios

The Window's profit sensitivity position based on contractual re-pricing arrangements at 31 December 2021 was as follows:

	Effective annual Profit Rate %	Within three months RO'000	Four months to 12 months RO'000	Over one year RO'000	Non- sensitive to profit rate RO'000	Total RO'000
As at 31 December 2021						
Assets						
Cash and balances with central banks					9,111	9,111
Due from banks	0.3	-	-	-	2,193	2,193
Investment securities	6.3	-	-	28,512	-	28,512
Murabaha receivables	5.7	-	-	-	12,761	12,761
Ijarah muntahia bittamleek	5.4	76,082	18,330	2,757	-	97,169
Istisna followed by Ijarah muntahia bittamleek	5.5	50,696	46,098	841	-	97,635
Diminishing Musharka	5.6	57,380	11,993	934	-	70,307
Qard Hasan Financing	-	-	9	39	-	48
Wakala Bil Istithmar	5.8	180	43,850	-	-	44,030
Property and equipment		-	-	-	697	697
Other assets		-	-	-	13,511	13,511
Total assets		184,338	120,280	33,083	38,273	375,974
Liabilities and equity						
Customer current accounts		-	-	-	41,425	41,425
Other liabilities		-	-	-	2,664	2,664
Total liabilities		-	-	-	44,089	44,089
Equity of Investment account holders	3.4	95,072	117,308	18,907	61,404	292,691
Total liabilities and equity of Unrestricted Investment Account (URIA)		95,072	117,308	18,907	105,493	336,780
Total profit rate sensitivity gap		89,266	2,972	14,176	(67,220)	-
Cumulative profit rate sensitivity gap		89,266	92,238	106,414	39,194	-

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

24. FINANCIAL RISK MANAGEMENT (CONTINUED)

24.3 Market risk (continued)

24.3e Exposure to profit rate risk – non-trading portfolios (continued)

	Effective annual Profit Rate %	Within three months RO'000	Four months to 12 months RO'000	Over one year RO'000	Non- sensitive to profit rate RO'000	Total RO'000
As at 31 December 2020						
Assets						
Cash and balances with central banks		-	-	-	18,439	18,439
Due from banks	1.7	11,653	-	-	375	12,028
Investment securities	6.51	-	-	22,840	-	22,840
Murabaha receivables	5.9	-	-	-	15,512	15,512
Ijarah muntahia bittamleek	5.37	66,484	17,258	1,742	-	85,484
Istisna followed by Ijarah muntahia bittamleek	5.53	84,266	6,558	409	-	91,233
Diminishing Musharka	5.7	45,232	18,827	232	-	64,291
Property and equipment		-	-	-	871	871
Other assets		-	-	-	6,378	6,378
Total assets		207,635	42,643	25,223	41,575	317,076
Liabilities and equity						
Customer current accounts		-	-	-	41,514	41,514
Other liabilities		-	-	-	2,455	2,455
Total liabilities		-	-	-	43,969	43,969
Equity of Investment account holders	3.6	46,568	28,492	103,527	61,100	239,687
Total liabilities and equity of Unrestricted Investment Account (URIA)		46,568	28,492	103,527	105,069	283,123
Total profit rate sensitivity gap		161,067	14,151	(78,304)	(63,494)	-
Cumulative profit rate sensitivity gap		161,067	175,218	96,914	33,420	-

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

24. FINANCIAL RISK MANAGEMENT (CONTINUED)

24.3 Market risk (continued)

24.3f Currency risk

Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates. The Board has set limits on the overall open position and for open position for each currency. The open position limits include overnight open position and intraday open position. Open positions are monitored on a daily basis and hedging strategies used to ensure positions are maintained within established limits. The Window had the following net exposures denominated in foreign currencies:

	31 December 2021			31 December 2020		
	Assets	Liabilities & URIA	Net assets	Assets	Liabilities & URIA	Net assets
Rial Omani	266,727	259,243	7,484	238,209	187,866	50,343
United States Dollar	107,096	76,163	30,933	75,832	48,242	27,590
Euro	1,152	1,087	65	121	2,242	2,121
UAE Dirhams	959	287	672	-	-	-
Pound Sterling	39	-	39	7	-	7
Japanese Yen	-	-	-	2,374	1,890	484

The Window takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. The Board sets limits on the level of exposure by currency and in aggregate for both overnight and intra-day positions, which are monitored daily.

Changes in the non-parity foreign currency prices as at 31 December 2021 and 2020 on net assets are considered negligible.

24.4 Operational risk

24.4a Displaced commercial risk

Displaced commercial risk ("DCR") refers to the magnitude of risks that are transferred to shareholders in order to cushion the Investment Account Holder ("IAH") from bearing some or all of the risks to which they are contractually exposed in Mudaraba contracts.

Under a Mudaraba (profit sharing and loss-bearing) contract, unrestricted IAH are exposed to aggregate impact of risks arising from the assets in which their funds are invested, but this is managed by Sohar Islamic Window through DCR.

This risk-sharing is achieved by constituting and using various reserves such as PER, and by adjusting the Sohar Islamic Window's profit share in order to smooth the returns payable to the IAH from exposure to the volatility of aggregate returns arising from banking risks, and thereby to enable payment of returns that are competitive in the marketplace.

Sohar Islamic Window manages its displaced commercial risk as outlined in its Profit Distribution Policy. The Window foregoes its fee in case displaced commercial risk arises. The Window manages profit rates with other Islamic Windows and full-fledged Islamic/Conventional Banks operating in Oman.

25. CAPITAL MANAGEMENT

25.1 Regulatory capital

The Window's lead regulator, Central Bank of Oman, sets and monitors capital requirements for the Window as a whole. In implementing current capital requirements Central Bank of Oman requires the Window to maintain a prescribed ratio of total capital to total risk-weighted assets.

The Window calculates capital requirements for market risk and operational risk based upon the model prescribed by Central Bank of Oman as follows:

- Sovereign entities – Nil for Oman
Window's – Risk weighting based upon ratings by external credit assessment institutions as approved by CBO;
- Retail and Corporate financings – As per credit conversion factors and risk weightage prescribed by CBO.
- Off balance sheet items – As per credit conversion factors and risk weightage prescribed by CBO.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

25. CAPITAL MANAGEMENT (CONTINUED)

25.1 Regulatory capital (continued)

The Window’s regulatory capital is analysed into three tiers:

- Tier 1 capital, which includes allocated capital and reserves, retained earnings and intangible assets, and other regulatory adjustments relating to items that are included in equity but are treated differently for capital adequacy purposes.
- Tier 2 capital, which includes qualifying collective impairment allowances.

Various limits are applied to elements of the capital base. The amount of innovative tier 1 investments cannot exceed 15 percent of total tier 1 capital; qualifying tier 2 capital cannot exceed tier 1 capital; and qualifying term subordinated financing and advances capital may not exceed 50 percent of tier 1 capital. There are also restrictions on the amount of collective impairment allowances, PER and IRR that may be included as part of tier 2 capital. Other deductions from capital include the carrying amounts of investments in subsidiaries that are not included in the regulatory consolidation, investments in the capital of Windows, and certain other regulatory items.

Window’s operations are categorized as either trading book or banking book, and risk-weighted assets are determined according to specified requirements that seek to reflect the varying levels of risk attached to assets and off-balance sheet exposures. There is no availability of data for previous three years as required under basic indicator approach for computation of capital charge for operational risk. The Window’s policy is to maintain a strong capital base.

The international standard for measuring capital adequacy is the risk asset ratio, which relates capital to balance sheet assets and off-balance sheet exposures weighted according to broad categories of risk.

The risk asset ratio calculated in accordance with the capital adequacy guidelines of the Window for International Settlement is as follows:

	31 December 2021 RO’000	31 December 2020 RO’000
Tier 1 capital		
Share capital	31,500	30,000
Legal reserve	134	134
General reserve	988	988
Retained earnings	6993	2,882
Fair value losses	(893)	(1,056)
Total	38,722	32,948
Tier 2 capital		
Impairment allowance on portfolio basis	1,794	1,498
Total regulatory capital	40,516	34,446
Risk-weighted assets		
Window credit and market risk	305,591	264,059
Operational risk	14,505	12,056
Total risk weighted assets	320,096	276,115
Capital adequacy ratio		
Total regulatory capital expressed as a percentage of total risk-weighted assets	12.66%	12.48%
Total tier 1 capital expressed as a percentage of total risk-weighted assets	12.10%	11.93%

The capital adequacy ratio given above is calculated in accordance with the Basel II norms as adopted by Central Bank of Oman and IBRF.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

26. SEGMENTAL INFORMATION

The activities of the Window are performed as one unit. Reporting to management is made by business unit. The Window operates solely in the Sultanate of Oman and as such no geographical segment information is presented.

27. OTHER DISCLOSURES

Following are the disclosures required under Islamic Banking Regulatory Framework:

- There has been no comingling of the funds.
- As of 31 December 2021, and amount of RO 330 thousands is payable to head office.
- During the year head office has allocated RO 786 thousands (2020: RO 1,962 thousands) cost for shared services.
- There has been no amount transferred to Charity fund during the year.

Proposed remuneration and sitting fee of SSB board is as follows:

	RO		
Name	Remuneration	Sitting Fee	Total
Sheikh Azzan bin Nasir Farfoor Al Amri	15,400	1,540	16,940
Dr. Mudassir Siddiqui	11,550	1,540	13,090
Sheikh Fahad Mohamed Hilal Al Kha-lili	7,700	1,540	9,240
Sheikh Al Muatasim Said Al Maawali	7,700	1,540	9,240
	<u>42,350</u>	<u>6,160</u>	<u>48,510</u>
	=	=	=

28. COMPARATIVE FIGURES

Certain comparative figures for 2020 have been reclassified in order to conform to the presentation for the current period. Such reclassifications do not affect previously reported net profit or shareholders’ equity.

**REGULATORY
DISCLOSURES**
SOHAR ISLAMIC

Ensuring accountability
towards growth

Report of factual findings to the Board of Directors of Sohar Islamic (the ‘Islamic Window’), Islamic window of Sohar International Bank SAOG (the ‘Bank’). in respect of Basel II - Pillar III Disclosures and Basel III related disclosures

We have performed the procedures agreed with you in our letter of engagement dated 10 May 2021 and as prescribed in the Central Bank of Oman (“CBO”) Circular No BM 1027 dated 4 December 2007 and Circular No. BM 1157 dated 30 December 2018, with respect to the Basel II - Pillar III disclosures and Basel III related disclosures (the disclosures) of the **Sohar Islamic window (“the window”)** set out on the attached pages as at and for the year ended 31 December 2021. The disclosures were prepared by the management in accordance with the CBO’s Circular No. BM 1009 dated 13 September 2006 and Circular No. BM 1027 dated 4 December 2007 and BM 1114 dated 17 November 2013. Our engagement was undertaken in accordance with the International Standard on Related Services applicable to agreed-upon procedures engagements (ISRS 4400). The procedures, as set out in Circular No. BM 1027 dated 4 December 2007, were performed solely to assist you in evaluating the Window’s compliance with the disclosure requirements set out in CBO’s Circular number BM 1009 dated 13 September 2006 and BM 1114 dated 17 November 2013 Circular No. BM 1149 dated 13 April 2017 amended with letter BSD/CB/FLC/2018/17 dated 26 November 2018 and CBO letter BSD/CB/2020/005 dated 03 June 2020.

We report no findings based on the work performed.

Because the above procedures do not constitute either an audit or a review made in accordance with International Standards on Auditing or International Standards of Review Engagements, we do not express any assurance on the disclosures as at and for the year ended 31 December 2021.

Had we performed additional procedures or had we performed an audit or review of the financial statements in accordance with International Standards on Auditing or International Standards on Review Engagements, other matters might have come to our attention that would have been reported to you.

Our report is solely for the purpose set forth in the first paragraph of this report and for your information and is not to be used for any other purpose or to be distributed to any other parties other than Central Bank of Oman; and we accept no liability to any third party. This report relates only to the Window’s disclosures and does not extend to any financial statements of the Window taken as a whole or to any other reports of the Window.

Deloitte & Touche (M.E.) & Co. LLC
Muscat, Sultanate of Oman
14 March 2022



REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF AS AT 31 DECEMBER 2021

1. INTRODUCTION

Sohar International Bank SAOG (the head office) under an Islamic Banking License issued by the Central Bank of Oman (CBO) on 30 April 2013, carries out Islamic banking operations and other financial trading activities in accordance with Islamic Shari’ah rules and regulations under the name of “Sohar Islamic” (the Window). A separate set of financial statements is included in the consolidated financial statements of the Bank.

The following disclosures are being made in accordance with the Islamic Banking Regulatory Framework (IBRF) issued by Central Bank of Oman (CBO). These disclosures aim to provide market participants material qualitative and quantitative information about Sohar Islamic Window risk exposures, risk management strategies and processes of capital adequacy. The Window has not operated as a separate legal entity.

There is no restriction on transfer of funds between the Window and the Bank. However, as per the guidelines contained in Islamic Banking Regulatory Framework (IBRF), Window is not permitted to place funds with the Bank.

2. CAPITAL STRUCTURE & UNRESTRICTED INVESTMENT ACCOUNT HOLDER

As required under clauses 3.5.1.2 and 3.5.1.3 of Title 1, ‘Licensing Requirements’ of Islamic Banking Regulatory Framework (IBRF) issued by CBO, the head office assigned RO 31. 5 million to the Window as assigned capital.

As per IBRF windows has to keep minimum RO 10 million as assigned capital.

	31 December 2021 RO’000
Tier 1 capital	
Assigned capital	31,500
Legal reserve	134
General reserve	988
Retained earnings	6,993
Fair value loss	(893)
Total	38,722
Tier 2 capital	
Impairment allowance on portfolio basis	1,794
Total	1,794
Total regulatory capital	40,516
Equity of Investment account holder	292,691

Window has not maintained any Profit Equalization and Investment risk reserve.

3. CAPITAL ADEQUACY

The window’s capital adequacy ratio, calculated according to guidelines set by the CBO guidelines. It stipulate that license should maintain a minimum capital adequacy ratio of 11 %.

The Window’s lead regulator, Central Bank of Oman, sets and monitors capital requirements for the Window as a whole.

As required under clauses 3.5.1.2 and 3.5.1.3 of Title 1, ‘Licensing Requirements’ of Islamic Banking Regulatory Framework (IBRF) issued by CBO, the head office has allocated RO 31.5 million to the Window as assigned capital.

The Bank has an Internal Capital Adequacy Assessment Process (ICAAP) through which senior management assesses the Bank’s capital against its risk profile. Asset Liability Committee (ALCO) is the forum in which the capital adequacy is assessed, based on the business forecast and the risk profile envisaged.

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF AS AT 31 DECEMBER 2021

3. CAPITAL ADEQUACY (CONTINUED)

Total and Tier 1 Capital Ratio, Risk Weighted Assets			RO '000
S. No.	Details	Gross Balances (Book Value)	Risk Weighted Assets
1	On-balance sheet items	377,990	284,260
2	Off-balance sheet items	27,417	16,818
3	Derivatives	-	-
4	Total for Credit Risk	403,391	301,078
5	Risk Weighted Asset for Market Risk		4,513
6	Risk Weighted Asset for Operations Risk		14,505
7	Total Risk Weighted Assets	403,391	320,096
8	Tier 1 Capital	38,722	
9	Tier 2 Capital	1,794	
10	Tier 3 Capital	-	
11	Total Regulatory Capital	40,516	
11.1	Capital requirement for credit risk		33,119
11.2	Capital requirement for market risk		496
11.3	Capital requirement for operational risk		1,596
12	Total required capital		35,211
13	Tier 1 Ratio		12.10%
14	Total Capital Ratio		12.66%
*	Net of provisions		

Disclosure of Capital Requirements according to different risk categories for each Shari'ah compliant financing contract.

	Risk weighted Assets	Capital Requirements
Murabaha receivables	12,351	1,392
Ijarah muntahia bittamleek	63,923	7,117
Istisna followed by Ijarah muntahia bittamleek	80,130	8,862
Diminishing Musharaka	62,093	7,012
Qard Hasan Financing	48	5
Wakala Bil Istithmar	44,153	4,859
Placements with banks	439	48,246
Investments	6,702	718
Others	14,422	1,586
Off Balance sheet	16,818	1,850
	301,078	33,450
Of above Risk weighted assets funded by the URIA	263,694	4,018

Assets funded by the URIA are treated at par for all other assets for calculation of capital adequacy.

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF AS AT 31 DECEMBER 2021

3. CAPITAL ADEQUACY (CONTINUED)

The net exposure after risk mitigation subject to Standardized approach is as follows:

	Exposure	RWAs - Standardized Approach
Sovereign - carrying 0%	27,594	-
Banks		
carrying 20%	2,193	439
Corporate		
Carrying 75%	12,236	9,177
Carrying 100%	86,809	86,809
Retail - carrying 100%	10,946	10,946
Claims secured by residential property-carrying 35%	89,222	31,228
Claims secured by residential property-carrying 100%	40,247	40,247
Claims secured by commercial property-carrying 100%	90,325	90,325
Non-Performing Financing carrying 100%	668	668
Other Assets - carrying 0%	3,328	-
Other Assets - carrying 100%	14,422	14,422
Total On Balance Sheet	377,990	284,260
Off-balance Sheet Items		
carrying 50%	9,012	4,480
carrying 100%	18,405	12,337
Total Off-balance Sheet Items	27,417	16,818
Total Banking Book	405,407	301,078

4. DISCLOSURE FOR INVESTMENT ACCOUNT HOLDERS (IAH)

Investment account holder (depositors) engage in funding of window activities on a profit and loss-bearing basis as Rabb al-Mal (investor) under a Mudaraba contract. The underlying Mudaraba contract that governs the relationship between the account holders and the Licensee.

Window has only Unrestricted Investment account holders.

4.1 Unrestricted Investment Account holder

Equity of Investment account holder under Mudaraba, Mudaraba is a form of partnership in which two or more persons establish a business (Shirkat ul Aqd) for sharing in the profits, in an agreed proportion and one or more of the partner(s) contribute with their efforts while the other partner(s) provide the financial resources. The former is/are called "Mudarib" and the latter "Rabb-ul-Maal".

The window maintains multi level investment arrangements to invest funds received under "Wakala" as "Mudaraba" under express authority from Wakala account holders in its financing and investment assets. Profit is allocated to Wakala funds on the basis of their contribution in the commingled assets.

4.2 Rules and Structure of Mudaraba and Shari'ah essentials

- Mudaraba means an arrangement in which a person participates with his money (called Rabb-ul-Maal) and another with his efforts (called Mudarib) for sharing in profit from investment of these funds in an agreed manner.
- A Mudarib may be a natural person, a group of persons, or a legal entity and a corporate body.
- Rabb-ul-Maal shall provide his investment in money or species, other than receivables, at a mutually agreed valuation. Such investment shall be placed under the absolute disposal of the Mudarib.
- The conduct of business of Mudaraba shall be carried out exclusively by the Mudarib within the framework of mandate given in the Mudaraba agreement.
- The profit shall be divided in strict proportion agreed at the time of contract and no party shall be entitled to a predetermined amount of return or remuneration.
- Financial losses of the Mudaraba shall be borne solely by the Rabb-ul-Maal, unless it is proved that the Mudarib has been guilty of fraud, negligence or willful misconduct or has acted in contravention of the mandate.

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF
AS AT 31 DECEMBER 2021

4. DISCLOSURE FOR INVESTMENT ACCOUNT HOLDERS (IAH) (CONTINUED)

4.3 Profit Distribution Mechanism between Shareholders & Depositors of Sohar Islamic under the Common Pool

This profit distribution mechanism sets out the Shari'ah-compliant mechanism for distribution of the Net Profit Shareholders Funds and Depositors Funds, combined together in the Common Pool will be called Joint Mudaraba capital ("Joint Mudaraba Capital").

Net profit will be calculated in accordance with the following formula:

$N=G-(E+D+P)$
Where:
'N' means Net Profit
'G' means Gross Profit
'E' means direct expenses in relation to the Activities ("Direct Expenses")
'D' means depreciation of the investment assets ("Investment Assets") in the Common Pool.
'P' means Provisions for bad and doubtful accounts

During the year no expense and provision has been allocated to the pool.

Unrestricted investment account holder accounts are monies invested by customers under Mudaraba to form a pool of funds. Investment account holder's funds are commingled with the Windows's funds for investment, no priority is granted to any party for the purpose of investments and distribution of profits.

Net Profit will be allocated to the pool participants based on the weighted average balances.

Participation factor , Weights or profit sharing ratios are pre-decided by the management of the window and are intimated to the investors before start of the month. Weighted average balance is calculated at the end of the period by multiplying the participation factor with average balance for the period.

4.3.1 Mudaraba fee

Mudaraba fee will be deducted from allocated profit as per the pre-agreed ratio as approved by SSB which will be advised to customers through website or by posting in branches. Currently it is being fixed as:

Window- 60% Depositors - 40%

During the year there was no change in ratios from SSB of the window. The Window can create reserves as allowed by Shari'ah and CBO for smoothing of returns to investors and risk management purposes. Two types of reserves allowed are Profit Equalization reserve (PER) and Investment Risk reserve (IRR). Window is not maintaining any reserves.

4.3.2 Assignment of a portion of shareholders' profit to depositors

If required, the Window may decide to allocate some portion from their own profit to a specific deposit category(s). This could be either due to increase in the rate of profit announced by other Islamic Financial Institutions/competitors or to encourage a specific category of depositors.

No Profit Equalisation reserve and investment risk reserve has been created during the year and no allocation has been made from shareholders.

Window has not charged any administrative expense to the pool.

4.4 Quantitative Disclosures

During the year profit calculated is distributed among the participation factor declared before each profit calculation period. During the year participation factor range applied and range of range of rate earned are as below:

Product	Participation factor	Average rate earned
Mudaraba Saving-OMR	15	0.52%
Mudaraba Saving-AED	15	0.44%
Mudaraba Saving-USD	15	0.52%
Mudaraba Saving-GBP	15	0.00%
Mudaraba Term 6 Months	50	0.00%
Mudaraba Term 12 Months	50	1.73%
Wakala Interbank Borrowing	70	1.76%
Wakala Term Deposits	80	4.56%
Wakala Call Deposits	65	3.06%
Wakala Saving Deposits	65	3.25%

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF
AS AT 31 DECEMBER 2021

4. DISCLOSURE FOR INVESTMENT ACCOUNT HOLDERS (IAH) (CONTINUED)

4.4 Quantitative Disclosures (continued)

Close of the year the amount of unrestricted investment account holder with respective category was:

Product	Amount RO'000	% of total URIA
Mudaraba Saving-OMR	50,639	17.30%
Mudaraba Saving-USD	51	0.02%
Mudaraba Saving-GBP	36	0.01%
Mudaraba Term 12 Months	6	0.00%
Wakala Interbank Borrowing	51,373	17.55%
Wakala Term Deposits	137,978	47.14%
Wakala Call Deposits	52,592	17.97%
Wakala Saving Deposits	16	0.01%
TOTAL	292,691	100%

Term deposits are deposits that can be withdrawn with no loss of capital subject to certain conditions.

Return on Assets & URIAA:

	2021	2020	2019	2018	2017	RO' 000 2016
Income on Mudaraba & Wakala Assets*	16,132	3,951	3,125	2,252	1,992	1,630
Income distributed to URIA	9,815	842	771	744	392	400
Return on Average Mudaraba & Wakala Assets	4.97%	4.31%	4.02%	4.16%	4.40%	4.49%
Return on Average URIA	3.35%	1.96%	2.64%	1.82%	1.14%	1.31%

*Effective from 2021 onwards, the window maintains multi level investment arrangements to invest funds received under "Wakala" as "Mudaraba" under express authority from Wakala account holders in its financing and investment assets. Profit is allocated to Wakala funds on the basis of their contribution in the commingled assets previously it was Income on Mudaraba Assets only.

Assets allocated to common pool are:

	Gross exposure	ECL	RO' 000 Net Exposure
Murabaha receivables	13,012	(251)	12,761
Ijarah muntahia bittamleek	97,528	(359)	97,169
Diminishing Musharka	98,246	(611)	97,635
Istisna followed by Ijarah muntahia bittamleek	71,519	(1,212)	70,307
Qard Hasan Financing	48	-	48
Wakala Bil Istithmar	44,170	(140)	44,030
Total	324,523	(2,573)	321,950

Ratio of Equity of unrestricted Investment account holder to financing assets.

As of reporting date assets allocated to the pool has been financed 90.19% by Equity of unrestricted Investment accounts holder.

Window has earned gross return of 33.83% on average equity in pool assets during the year.

The window does not have restriction on Investment in URIA pool except if any imposed by the CBO and limits set in window's policy.

The window does not have any Restricted Investment Accounts

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF
AS AT 31 DECEMBER 2021

5. RISK EXPOSURE AND ASSESSMENT

5.1 Management of risk in Sohar Islamic – Approach and Policy

The risk management philosophy of window is to identify, capture, monitor, and manage the various dimensions of risk with the objective of protecting asset values and income streams such that the profit of head office (and others to whom Sohar Islamic owes a liability) are safeguarded, while maximizing the returns intended to optimize head office return and maintaining its risk exposure within self-imposed parameters.

Sohar Islamic is offering to Corporate and SME customers in Phase One of its operations, products like Term Financing, Working Capital Financing, Short-term Financing, Corporate Deposits, Trade Finance, Cash Management Services, and Treasury products. Based on assessment of respective credit risk, security of short-term assets, plant, machinery, and real estate is taken to strengthen the quality of its exposure. Sohar Islamic is guided by CBO regulatory requirements to single maximum exposure and has further controls over exposure to senior management staff members or related parties.

Sohar Islamic approves credit based on the delegation of authorities by the Board of Directors to various approving authorities In Consumer Finance, policy is guided by the objectives of granting finance on sound and collectible basis, investing funds for the benefit of shareholders and protection of depositors and to serve the legitimate needs of communities in line with Shari'ah guidelines as approved by the Shari'ah Supervisory Board.

Risk Management process is guided by risk diversification and avoidance of concentration of risk. Further, Business Risk Review is the mainstay of internal control of financing portfolio. Periodic Asset, Quality Reviews, Shari'ah Reviews, Process Reviews, Administrative and Documentation Reviews, and Compliance Reviews are performed for both business and senior management.

Currently, Consumer Finance products are limited to Vehicle and House Financing only. Financing and advances are approved through Approval Matrix defining specific limits for designated officials and the Executive Credit Committee.

The Board of Directors of the parent Bank has the power to approve all policy issues relating to credit and risk. It has constituted the Credit Approval Committee (CAC) and granted the highest credit approving authority in the Bank up to the maximum regulatory limits.

5.2 Strategies, Processes and Internal Controls

Comprehensive Risk Management Policy Framework is approved by the Board of parent bank. These are also supported by appropriate limit structures. These policies provide an enterprise-wide integrated risk management framework in the Bank, which are also applicable to Sohar Islamic. Limit imposed on type of assets are as per CBO requirements and bank policies.

Sohar Islamic is exposed to various types of risk, such as market, credit, profit rate, liquidity, and operational, all of which require comprehensive controls and ongoing oversight. The risk management framework summarizes the spirit behind Basel II, which includes management oversight and control, risk culture and ownership, risk recognition and assessment, control activities and segregation of duties, adequate information and communication channels, monitoring risk management activities and correcting deficiencies

5.3 Credit risk

Sohar Islamic manages its credit risk exposure by evaluating each new product/activity with respect to the credit risk introduced by it. Limit structures are monitored to avoid concentration of risks for counterparty, sector and geography.

	Murabaha receivables RO'000	Ijarah muntahia bittamleek RO'000	Istisna followed by Ijarah muntahia bittamleek RO'000	Diminishing Musharka RO'000	Qard Hasan Financing RO'000	Wakala Bil Istithmar RO'000	Due from banks RO'000	Debt type securities RO'000	Total RO'000
As at 31 December 2021									
Neither past due not impaired	11,964	90,646	94,632	69,536	45	44,170	2,193	28,994	342,180
Past due but not impaired	805	6,350	3,273	1,875	3	-	-	-	12,306
Past due and impaired	243	532	341	108	-	-	-	-	1,224
Total	13,012	97,528	98,246	71,519	48	44,170	2,193	28,994	355,710

Definitions of past due and impaired

The classification of credit exposures is considered by the Window for identifying impaired credit facilities, as per CBO circular number BM 977 dated 25 September 2004.

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF
AS AT 31 DECEMBER 2021

5. RISK EXPOSURE AND ASSESSMENT (CONTINUED)

5.4 Total gross credit risk exposures, plus average gross exposure over the period broken down by major types of credit exposure

S. No.	Type of credit exposure	31 December 2021		
		Average gross exposure	Total gross exposure	
		RO'000	RO'000	%
1	Murabaha receivables	14,365	13,012	3.68%
2	Ijarah muntahia bittamleek	92,233	97,528	27.59%
3	Istisna followed by Ijarah muntahia bittamleek	94,874	98,246	27.79%
4	Diminishing Musharka	68,396	71,519	20.23%
5	Qard Hasan Financing	24	48	0.01%
6	Wakala Bil Istithmar	22,085	44,170	12.49%
7	Debt-type investments	25,917	28,994	8.20%
Total		317,894	353,517	100%

Percentage of gross financing for each category of counterparty to gross financing.

	31 December 2021	
	RO'000	%
Corporate	183,351	56.50%
Retail	141,172	43.50%
Total	324,523	100.00%

5.4.1 Geographic distribution of gross exposures, broken down in significant areas by major type of credit exposure

S. No.	Type of credit exposure	Oman RO'000	Other GCC countries RO'000	Total RO'000
1	Murabaha receivables	13,012	-	13,012
2	Ijarah muntahia bittamleek	97,528	-	97,528
3	Istisna followed by Ijarah muntahia bittamleek	98,246	-	98,246
4	Diminishing Musharka	71,519	-	71,519
5	Qard Hasan Financing	48	-	48
6	Wakala Bil Istithmar	44,170	-	44,170
7	Debt-type investments	28,994	-	28,994
Total		353,517	-	353,517

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF AS AT 31 DECEMBER 2021

5. RISK EXPOSURE AND ASSESSMENT (CONTINUED)

5.4 Total gross credit risk exposures, plus average gross exposure over the period broken down by major types of credit exposure (continued)

5.4.2 Industry or counter party type distribution of gross exposures, broken down by major types of Credit exposure

S. No.	Economi sector	Murabaha receivables RO '000	Ijarah muntahia bittamleek RO '000	Istisna followed by Ijarah muntahia bittamleek RO '000	Diminishing Musharka RO '000	Qard Hasan Financing RO '000	Wakala Bil Istithmar RO '000	Debt-type investments RO '000	Total RO '000	Off-balance sheet exposure RO '000
1	Import trade	691	-	-	164	-	-	-	855	5,152
2	Construction	-	7,835	54,782	30,596	-	35,000	21,856	150,069	12,279
3	Manufacturing	-	-	12,787	3,397	-	-	-	16,184	711
4	Financial institutions	-	-	-	-	-	-	-	-	32
5	Service	1,142	12,614	836	14,339	-	9,170	-	38,100	1,648
6	Personal financing	11,179	77,079	29,842	23,023	48	-	-	141,171	
7	Government	-	-	-	-	-	-	7,138	7,138	525
8	Others	-	-	-	-	-	-	-	-	1,312
Total		13,012	97,528	98,246	71,519	48	44,170	28,994	353,517	21,657

5.4.3 Residual contractual maturity breakdown of the whole portfolio, broken down by major types of gross credit exposures

S. No.	Time band	Murabaha receivables RO '000	Ijarah muntahia bittamleek RO '000	Istisna followed by Ijarah muntahia bittamleek RO '000	Diminishing Musharka RO '000	Qard Hasan Financing RO '000	Wakala Bil Istithmar RO '000	Debt-type investments RO '000	Total RO '000	Off-balance sheet exposure RO '000
1	upto 1 month	1,968	372	153	269	-	35,397	-	38,159	2,513
2	1 - 3 months	360	839	338	634	-	397	-	2,568	2,662
3	3 - 6 months	1,740	974	682	497	-	397	-	4,290	2,667
4	6 - 9 months	742	1,111	675	783	-	1,618	-	4,928	1,520
5	9 - 12 months	710	1,510	1,243	693	-	397	-	4,553	759
6	1 - 3 years	773	11,985	14,365	6,214	-	1,987	11,112	46,436	840
7	3 - 5 years	4,148	12,748	17,625	7,136	-	1,987	15,160	58,804	7,542
8	Over 5 years	2,572	67,990	63,165	55,292	48	1,990	2,722	193,779	3,154
9	Total	13,012	97,528	98,246	71,519	48	44,170	28,994	353,517	21,657

5.4.4 Amount of impaired financing and advances and, if available, past due financing and advances provided separately broken down by significant geographic areas including, if practical, the amounts of specific and general allowances related to each geographical area.

		RO '000					
		Gross exposures			Provisions held		
S. No.	Countries	Gross financing	Stage 3	Stage 1 & 2	Stage 3	Reserve Profit	Advances written off during the year
1	Oman	323,263	1,260	2,016	425	132	(660)
2	Other GCC	-	-	-	-	-	-
Total		323,263	1,260	2,016	425	132	(660)

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF AS AT 31 DECEMBER 2021

5. RISK EXPOSURE AND ASSESSMENT (CONTINUED)

5.4 Total gross credit risk exposures, plus average gross exposure over the period broken down by major types of credit exposure (continued)

5.4.5 Movements of gross financing and advances

	RO '000			
Details	Stage 1	Stage 2	Stage 3	Total
Opening Balance	220,125	37,099	2,204	259,428
Migration/changes (+ / -)	(3,778)	3,569	209	-
New Financing	43,932	661	-	44,593
Recovery of Financing	(34,841)	13,186	190	(21,465)
Movement in Memoranda Account	-	-	963	963
Closing Balance	295,120	28,143	1,260	324,523
Total ECL	697	1,319	425	2,441
Reserve Profit			132	132

5.4.6 Credit risk: Disclosures for portfolios subject to the standardised approach

5.4.6.1 Qualitative disclosures: For portfolios under standardized approach

The Window is following standardised approach in assessing regulatory capital for credit risk. For sovereign risk, zero risk weight is applied, as permitted under this approach, whereas for exposures on banks, the risk weight applied depends on the rating of the banks by Eligible Credit Assessment Institution (ECAI) approved by CBO like, Moody's Standard & Poor, Fitch and Capital Intelligence, subject to the respective country rating. In the absence of external ratings for most of the corporate, the Bank treats them as unrated and applies 100% risk weight on their funded exposures. On the off-balance sheet exposures, the relevant credit conversion factors are applied and aggregated to banks or the corporate, as the case may be, and then the risk weight is applied as stated above. Unavailed or yet to be disbursed exposures are taken under commitments and risk weights assigned as permitted by the IBRF.

5.4.6.2 Quantitative disclosures

Credit rating analysis

The table below presents an analysis of debt securities, treasury bills, gross placements and other eligible bills by rating agency designation at 31 December 2021, based on Moody's ratings or equivalent.

	31 December 2021 RO '000
Aaa1 to Aa3	505
A1 to A3	84
Baa1 to Baa3	-
Ba1 to Ba3	8
B1 to B3	1,596
Caa1 to Caa3	7,138
Sovereign	21,856
Total	31,187

The Window performs an independent assessment based on quantitative and qualitative factors in cases where a counter party is unrated.

The window is following a uniform approach of considering all corporates as unrated and applying 100% risk weights.

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF AS AT 31 DECEMBER 2021

5.4.6.3 Credit risk mitigation: Disclosure for standardized approach

The Window does not make use of netting whether on or off-balance sheet.

5. RISK EXPOSURE AND ASSESSMENT (CONTINUED)

5.5 Profit rate risk in banking book

Profit rate risk is the potential impact of the mismatch between the rate of return on assets and the expected rate of funding due to the sources of finance. Senior management identifies the sources of profit rate risk exposures based upon the current as well as forecasted balance sheet structure of Window. The profit rate risk in the Window may arise due to the following transactions:

- Murabaha transactions;
- Wakala transactions;
- Ijara Muntahia Bittamleek;
- Diminishing Musharka;
- Sukuk; and
- Investments.

Window management believes that the Window is not exposed to material profit rate risk as a result of mismatches of profit rate re-pricing of assets, liabilities, and equity of investment account holders as the re-pricing of assets, liabilities and equity of investment account holders occur at similar intervals. The profit distribution to equity of investment account holders is based on profit sharing agreements. Therefore, Window is not subject to any significant profit rate risk.

5.5.1 Sources of Profit Rate Risk

The different profit rate risks faced by the Window can be classified broadly into the following categories:

- Re-pricing risk which arises from timing differences in the maturity (for fixed rate) and re-pricing (for floating rate) of assets, liabilities, and off-balance sheet positions. As profit rates vary, these re-pricing mismatches expose Window's income and underlying economic value to unanticipated fluctuations;
- Yield curve risk which arises when unanticipated shifts of the yield curve have adverse effects on Window's income and/or underlying economic value;
- Basis risk which arises from imperfect correlation in the adjustment in the rate earned on products priced and the rate paid on different instruments with otherwise similar re-pricing characteristics. When profit rates change, these differences can give rise to unexpected changes in the cash flows and earnings spread between assets, liabilities, and off-balance sheet instruments of similar maturities or re-pricing frequencies; and
- Displaced Commercial Risk refers to the market pressure to pay returns that exceeds the rate that has been earned on the assets financed by the liabilities, when the return on assets is under performing as compared to competitor's rates.

5.5.2 Profit rate risk strategy

Profit rate risk arises from the possibility that changes in profit rates will affect future profitability or the fair values of financial instruments. The window is exposed to profit rate risk as a result of mismatches or gaps in the amounts of assets and liabilities and off-balance sheet instruments that mature or re-price in a given period. The window manages this risk through risk management strategies.

The effective profit rate (effective yield) of a monetary financial instrument is the rate that, when used in a present value calculation, results in the carrying amount of the instrument. The rate is a historical rate for a fixed rate instrument carried at amortised cost and a current rate for a floating rate instrument or an instrument carried at fair value.

5.5.3 Profit rate risk measurement tools

Window uses the following tools for profit rate risk measurement in its book:

- Re-pricing gap analysis which measures the arithmetic difference between the profit-sensitive assets and liabilities of Window book in absolute terms; and
- Basis Point Value ("BPV") analysis which is the sensitivity measure for all profit rate priced products and positions. The BPV is the change in net present value of a position arising from a 1 basis point shift in the yield curve. This quantifies the sensitivity of the position or portfolio to changes in profit rates.

5.5.4 Profit rate risk monitoring and reporting

Window has implemented information systems for monitoring, controlling, and reporting profit rate risk. Reports are provided on a timely basis to Executive Committee and the Board of Directors of the head office.

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF AS AT 31 DECEMBER 2021

5. RISK EXPOSURE AND ASSESSMENT (CONTINUED)

5.5 Profit rate risk in banking book (continued)

5.5.5 Exposure to profit rate risk – non trading portfolios

The Window's profit sensitivity position based on contractual re-pricing arrangements at 31 December 2021 was as follows:

	Effective annual Profit Rate %	Within three months RO'000	Four months to 12 months RO'000	Over one year RO'000	Non- sensitive to profit rate RO'000	Total RO'000
As at 31 December 2021						
Assets						
Cash and balances with central banks					9,111	9,111
Due from banks	0.3	-	-	-	2,193	2,193
Investment securities	6.3	-	-	28,512	-	28,512
Murabaha receivables	5.7	-	-	-	12,761	12,761
Ijarah muntahia bittamleek	5.4	76,082	18,330	2,757	-	97,169
Istisna followed by Ijarah muntahia bittamleek	5.5	50,696	46,098	841	-	97,635
Diminishing Musharka	5.6	57,380	11,993	934	-	70,307
Qard Hasan Financing	-	-	9	39	-	48
Wakala Bil Istithmar	5.8	180	43,850	-	-	44,030
Property and equipment		-	-	-	697	697
Other assets		-	-	-	13,511	13,511
Total assets		184,338	120,280	33,083	38,273	375,974
Liabilities and equity						
Customer current accounts		-	-	-	41,425	41,425
Other liabilities		-	-	-	2,664	2,664
Total liabilities		-	-	-	44,089	44,089
Equity of Investment Account Holders	3.4	95,072	117,308	18,907	61,404	292,691
Total liabilities and equity of Unrestricted Investment Account (URIA)		95,072	117,308	18,907	105,493	336,780
Total profit rate sensitivity gap		89,266	2,972	14,176	(67,220)	-
Cumulative profit rate sensitivity gap		89,266	92,238	106,414	39,194	-

5.6 Liquidity risk

The Window's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Sohar International Bank's reputation.

Central treasury receives information from other business units regarding the liquidity profile of their financial assets and liabilities and details of other projected cash flows arising from projected future business. Central treasury then maintains a portfolio of short-term liquid assets, largely made up of short-term liquid investment securities, financing, and advances to banks and other inter-bank facilities, to ensure that sufficient liquidity is maintained within the Bank as a whole. The liquidity requirements of business units are met through short-term financing and advances from central treasury to cover any short-term fluctuations and longer term funding to address any structural liquidity requirements. The Bank has also laid down a comprehensive liquidity contingency plan for effective management of liquidity. In this process, due care is taken to ensure that the Window complies with all the CBO regulations.

All liquidity policies and procedures are subject to review and approved by Asset Liabilities Committee (ALCO). Computation of liquidity gap on maturity of assets and liabilities is provided. The computation has been prepared in accordance with guidelines provided in Circular BM 955 dated 7 May 2003.

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF
AS AT 31 DECEMBER 2021

5. RISK EXPOSURE AND ASSESSMENT (CONTINUED)

5.6 Liquidity risk

5.6.1 Exposure to liquidity risk

The lending ratio, which is the ratio of the total financings and advances to customer deposits and capital, is monitored on a daily basis in line with the regulatory guidelines. Internally the lending ratio is set at a more conservative basis than required by regulation. The Window also manages its liquidity risk on regular basis and by monitoring the liquid ratio which is a ratio of net liquid assets to total assets on a monthly basis. For this purpose, net liquid assets are considered as including cash and cash equivalents and investment grade debt securities for which there is an active and liquid market.

Details of the reported lending and liquid ratio as at 31 December 2021 were as follows:

	31 December 2021	
	Lending ratio	Liquid ratio
Average for the year	85.63%	17.13%
Maximum for the year	89.90%	20.95%
Minimum for the year	80.16%	10.59%

The table below summarizes the maturity profile of the Window’s liabilities as on the reporting date based on contractual repayment arrangements. The contractual maturities of assets and liabilities have been determined on the basis of the remaining period at the statement of financial position date to the contractual maturity date and do not take account of the effective maturities as indicated by the Window’s deposit retention history and the availability of liquid funds.

	Carrying amount RO’000	Within three months RO’000	Four months to 12 months RO’000	One to three years RO’000	More than three years RO’000	Total RO’000
As at 31 December 2021						
Customer deposit and other accounts	41,425	16,579	14,028	801	10,017	41,425
Other liabilities	2,664	2,664	-	-	-	2,664
Total liabilities	44,089	19,243	14,028	801	10,017	44,089
Equity of Investment account holders	292,691	52,125	133,222	45,599	61,745	292,691
	336,780	71,368	147,250	46,400	71,762	336,780

The Window prepares a liquidity gap report to monitor the Window’s short term liquidity position on the Rial denominated assets and liabilities in a time horizon spanning one month. The gap is adjusted for availability of instruments for repo or refinance and also for unavailed committed lines of credit, if any. This statement of short term liquidity is to be reported to the ALCO every month.

Windows exposure to profit rate risk has been further elaborated in Annexure 1 and 2.

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF
AS AT 31 DECEMBER 2021

5. RISK EXPOSURE AND ASSESSMENT (CONTINUED)

5.6 Liquidity risk (continued)

5.6.2 Liquidity Coverage Ratio and Net Stable Funding Ratio

The Window also monitors the liquidity through Liquidity Coverage ratio (LCR) and Net Stable Funding Ratio (NSFR). Current levels of these ratios are given below:

Liquidity Coverage ratio:

		RO’000	
		Total Unweighted Value (average)	Total Weighted Value(average)
High-Quality Liquid Assets			
1	Total High-Quality Liquid Assets (HQLA)		30,802
Cash Outflows			
2	Retail deposits and deposits from small business customers, of which:	63,586	6,072
3	Stable deposits	5,735	287
4	Less stable deposits	57,851	5,785
5	Unsecured wholesale funding, of which:	49,572	39,050
6	Operational deposits (all counterparties) and deposits in networks of cooperative banks	-	-
7	Non-operational deposits (all counterparties)	49,572	39,050
8	Unsecured debt		
9	Secured wholesale funding		-
10	Additional requirements, of which:	5,348	500
11	Outflows related to derivative exposures and other collateral requirements	-	-
12	Outflows related to loss of funding on debt products	-	-
13	Credit and liquidity facilities	5,348	500
14	Other contractual funding obligations	3,628	3,628
15	Other contingent funding obligations	21,657	1,083
16	TOTAL CASH OUTFLOWS		50,333
Cash Inflows			
17	Secured lending (e.g. reverse repos)	-	-
18	Inflows from fully performing exposures	50,234	26,128
19	Other cash inflows	52,193	-
20	TOTAL CASH INFLOWS	102,427	26,128
		Total Adjusted Value	
21	TOTAL HQLA		30,802
22	TOTAL NET CASH OUT-FLOWS		24,205
23	LIQUIDITY COVERAGE RATIO (%)		127.25

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF AS AT 31 DECEMBER 2021

5. RISK EXPOSURE AND ASSESSMENT (CONTINUED)

5.6 Liquidity risk (continued)

5.6.2 Liquidity Coverage Ratio and Net Stable Funding Ratio

Net Stable Funding ratio:

					RO '000
Unweighted value by residual maturity					
	No maturity	< 6 months	6 months to < 1yr	≥ 1yr	Weighted value
1 Capital:	40,516	-	-	-	40,516
2 Regulatory capital	38,722				38,722
3 Other capital instruments	1,794				1,794
4 Retail deposits and deposits from small business customers	122,463	-	43,986		149,804
5 Stable deposits					
6 Less stable deposits	122,463		43,986		149,804
7 Wholesale funding:	6,211	-	45,345		25,778
8 Operational deposits					
9 Other wholesale funding	6,211.22		45,345		25,778
10 Liabilities with matching interdependent assets					
11 Other liabilities:				112,931	70,968
12 NSFR derivative liabilities					
13 All other liabilities and equity not included in above categories				112,931	70,968
14 Total ASF (Available stable funding)					287,066
Required Stable Funding Item					
15 Total NSFR high-quality liquid assets (HQLA)					
16 Deposits held at other financial institutions for operational purposes					
17 Performing loans and securities:	28512	2,193	89,862	135,761	199,139
18 Performing Financing to financial institutions secured by Level 1 HQLA					-
19 Performing Financing to financial institutions secured by non- Level 1 HQLA and unsecured performing Financing to financial institutions					-
20 Performing Financing to non-financial corporate clients, Financing to retail and small business customers, and Financing to sovereigns, central banks and PSEs, of which		2,193	89,862	-	59,507
21 With a risk weight of less than or equal to 35% under the Basel II Standardized approach for credit risk					
22 Performing residential mortgages, of which:				135,761	115,397
23 With a risk weight of less than or equal to 35% under the Basel II Standardized Approach for credit risk				135,761	115,397
24 Securities that are not in default and do not qualify as HQLA, including exchange-traded equities					24,235
25 Assets with matching interdependent liabilities					
26 Other Assets:			44,968	63,544	86,028
27 Physical traded commodities, including gold					
28 Assets posted as initial margin for derivative contracts and contributions to default funds of CCPs					
29 NSFR derivative assets					
30 NSFR derivative liabilities before deduction of variation margin posted					
31 All other assets not included in the above categories			44,968	63,544	86,028
32 Off-balance sheet items			5,348	21,657	1,350.26
33 TOTAL Required Stable Funding					286,518
34 NET STABLE FUNDING RATIO (%)					100.19

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF AS AT 31 DECEMBER 2021

5. RISK EXPOSURE AND ASSESSMENT (CONTINUED)

5.7 Market risk

Market risk is the exposure to loss resulting from the changes in the profit rates, foreign currency exchange rates and commodity prices. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return to risk.

Market risk is relevant to banking book and trading book but its measurement and management might differ in each book.

Sohar Islamic proactively measures and monitors the market risk in its portfolio using appropriate measurement techniques such as limits on its foreign exchange open positions.

5.7.1 Market risk in trading book

Market risk incorporates a range of risks, but the principal elements are Profit rate risk and foreign exchange risk.

Treasury business is conducted within approved market risk limits. It is Treasurer's responsibility to ensure that an appropriate market risk limits structure is available at all times to govern the business.

Limits are set for:

- Foreign exchange risk;
- Rate of return risk;
- Approved dealing products;
- Approved dealing currencies;
- Maximum tenor.

The Assets and Liability Committee (ALCO) conducts periodical meetings to discuss the mismatches in assets and liabilities and assesses the profit rate risk, foreign exchange risk and liquidity risk that Sohar Islamic is exposed to, so as to take steps to manage such risks. With the guidance of ALCO, the Window's treasury manages profit rate and foreign exchange risks, adhering to the policy guidelines, which stipulate appropriate limits.

The capital charge for the applicable market risk is furnished below:

	RO '000
Profit rate position risk	-
Equity position risk	-
Foreign exchange risk	1,118
Commodity risk	-

5.7.2 Currency risk

Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates. The Board has set limits on the overall open position and for open position for each currency. The open position limits include overnight open position and intraday open position. Open positions are monitored on a daily basis and hedging strategies used to ensure positions are maintained within established limits.

5.8 Operational risk

Operational risk is defined as the risk of direct or indirect loss resulting from inadequate or failed internal processes, people, and systems or from external events. Operational risk arises due to variety of causes associated with the Window's processes, personnel, technology, and infrastructure and from external events and to include risks other than credit, market, and liquidity risks.

Window has adopted same policies and procedures to mitigate the consolidated operational risk as those of the head office. Advantages of head office processes and infrastructure are obtained in compliance with IBRF. Sohar Islamic Operational Risk Policies s are also similar to that of the head office as follows:

- Operational Risk Policies & framework
- Operational Risk Minimum Standards
- Internal Control Framework in line with COSO standards
- Fraud Risk Management Policy & Framework in line with Central Bank of Oman regulations
- Business Continuity Management Policies & Framework
- Business Continuity Plans, Disaster recovery, and Crises Management plans

In addition to the above, Window has a dedicated Shari'ah compliance officer responsible to ensure compliance with IBRF, Shari'ah guidelines and other applicable laws and regulations.

5. RISK EXPOSURE AND ASSESSMENT (CONTINUED)

5.9 Business Continuity

Sohar Islamic has established a Business Continuity Management (BCM) Program designed to minimize service disruption and the potential impact on the Bank, our customers, and our staff. This includes a BCM Policy and BCM Framework that are approved by our Board together with written Business Continuity and Disaster Recovery plans (DRPs) and procedures. Although the specific details of our BCM arrangements are confidential for security reasons, Sohar International /Islamic maintains Business Continuity Plans (BCPs) that address risk scenarios and events of varying scope including, but not exclusively, loss of services or infrastructure, denial of access, cyber-attack, pandemics, and regional crises.

Sohar Islamic BCPs are focused on maintaining critical processes, including treasury, capital & liquidity, and payment services, providing customers with uninterrupted access to their funds, and maintaining effective communications with our customers, staff, and other stakeholders.

BCM testing of Sohar Islamic for 2021 was successfully completed for all critical applications within defined scope, nevertheless, the bank will ensure a continual improvement to whole bank operations. Our BCPs and DRPs are reviewed and tested at least annually. Any areas for improvement that are identified are tracked to ensure appropriate resolution and our plans and infrastructure updated as appropriate

Sohar Islamic and in line with Sohar International principles for the containment of Covid-19 pandemic, gives prime importance to the health and safety of all its staff & customers. That was achieved by ensuring a safe banking experience is provided to the customers whereby all the banks digital capabilities were highlighted in campaigns to motivate the customers to extraordinary use of alternate channels for their banking requirements.

Throughout 2021 and during the pandemic, it was witnessed that Sohar Islamic Business Continuity moved into its full gear. The regular testing of the program proved to be very effective. Similar to all other activities in the bank, the Business Continuity Program continues to be improved in line with the best international practices which include the review of Business Continuity and Disaster Recovery plans at regular intervals. Such regular reviews enables the bank to address areas on improvements by putting into motion the appropriate plans, necessary infrastructure and resources requirements to ensure a high level of maturity while remediating the consequences of Covid-19 pandemic in line with BCM guidelines.

It is worth to mention also that the emergency response plan to tackle the pandemic was followed at all touch points of the organisation. The bank has been full prepared to function remotely increasing its capabilities to provide seamless banking for its valuable customers with high level of quality and safety measures. In-fact our BCP site is operating successfully since start of Covid-19 pandemic.

5.10 Displaced Commercial Risk

Displaced commercial risk ("DCR") refers to the magnitude of risks that are transferred to shareholders in order to cushion the Investment Account Holder ("IAH") from bearing some or all of the risks to which they are contractually exposed in Mudaraba contracts.

Under a Mudaraba (profit sharing and loss-bearing) contract, unrestricted IAH are exposed to aggregate impact of risks arising from the assets in which their funds are invested, but this is managed by Sohar Islamic Window through DCR.

This risk-sharing is achieved by constituting and using various reserves such as PER, and by adjusting the Sohar Islamic Window's profit share in order to smooth the returns payable to the IAH from exposure to the volatility of aggregate returns arising from banking risks, and thereby to enable payment of returns that are competitive in the marketplace.

Sohar Islamic Window manages its displaced commercial risk as outlined in its Profit Distribution Policy. The Window foregoes its fee in case displaced commercial risk arises. The Window manages profit rates with other Islamic Windows and full-fledged Islamic/Conventional Banks operating in Oman.

The Window has not created any reserves so no analysis is presented for the same.

5. RISK EXPOSURE AND ASSESSMENT (CONTINUED)

5.11 Contract Specific Risk

In each type of Islamic Financing asset is exposed to a varying mix of credit and market risk and accordingly capital is required to be allocated for such risk exposures.

As of reporting date financing assets only carries credit risk and accordingly capital is allocated as per the required regulations by CBO. The current product mix does not change the nature of risk according to the stage of contract.

Disclosure of Capital Requirements according to different risk categories for each Shari'ah compliant financing contract.

		RO' 000
	Risk weighted Assets	Capital Requirements
Murabaha receivables	12,351	1,359
Ijarah muntahia bittamleek	63,923	7,032
Istisna followed by Ijarah muntahia bittamleek	80,130	8,814
Diminishing Musharaka	62,093	6,830
Qard Hasan Financing	48	5
Wakala Bil Istithmar	44,153	4,857
Placements with banks	439	48
Investments	6,702	737
Others	14,422	1,586
Off-Balance sheet	16,818	1,850
	301,078	33,119

6. SHARI'AH GOVERNANCE

A Shari'ah governance framework has been implemented in the Window whose main objective of is to ensure Shari'ah compliance at all the times. The key elements of Shari'ah governance framework of the Window are as follows:

- Shari'ah Supervisory Board (SSB);
- Internal Reviewer who has the overall responsibility to undertake and monitor Shari'ah Compliance, Shari'ah Audit and training functions in accordance with IBRF.

Compliance with Shari'ah (as manifested by the guidelines and Fatawa issued by the SSB) and as stipulated in IBRF is mandatory and is being done through review and approval of the contracts, agreements, policies, procedures, products, reports (profit distribution calculations), etc.

The Window ensures that the operations of the Islamic Banking Window are conducted in Shari'ah compliance and controlled manner by following policies and procedures:

- An appropriate Shari'ah governance framework in compliance with IBRF, AAOIFI governance standards and guidelines and directives issued by SSB is maintained;
- Key duties and functions are segregated. An independent executive is designated with the responsibility for Shari'ah compliance and audit;
- Policies and procedures manuals and documentation in relation to our products, operations, compliance, trainings, and internal controls are maintained and available to relevant staff;
- Shari'ah audit reports are submitted to the SSB in line with the agreed annual plan.
- Islamic Banking Window assets are kept separate and distinct from conventional assets;
- Window cannot place funds with the conventional banks including Sohar International.
- The Window management ensures that staff for certain key functions reporting to their respective department heads with dotted line reporting to the Head of The Window.
- The Window has dedicated staff for business functions, such as retails, corporate, treasury, etc. and the staff reports to the Chief Islamic Banking Officer.
- The core banking system adopted by The Window is capable of recognizing the unique nature of Islamic Banking contracts, transactions and processes.

Shari'ah audits are conducted on quarterly basis in accordance with IBRF and submitted to SSB for its review and guidance. SSB has issued its annual report for 2021 on Shari'ah compliance of the window and did not report any violations and did not direct any amount to Charity Account.

Internal Shari'ah Reviewer oversees the Shari'ah training plans and schedule for the Licensee. During the year 2021 training programs were conducted for the staff & Public such as collages & companies.

Related parties' transactions with SSB is disclosed in notes of financial statements.

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF AS AT 31 DECEMBER 2021

6. SHARI'AH GOVERNANCE (CONTINUED)

6.1 Profile of the Shari'ah Supervisory Board

Sheikh Azzan Nasir Farfoor Al Amri (Chairman)

Holding bachelor's degree in Islamic Studies and with a specialisation in Judiciary, Sheikh Azzan bin Nasir Farfoor Al Amri works as the secretary general to the Grand Mufti of the Sultanate of Oman in the Fatwa Section since 2001. He is also well versed in Shari'ah Law, having done numerous courses in relevant fields and participated in many related workshops and conferences.

Dr. Muddassir Siddiqui (Deputy Chairman)

Dr. Mudassir Siddiqui is an internationally renowned expert of Islamic Studies and Western laws. He did his PhD in law from Chicago Kent College of Law, USA; Master of Law from Harvard Law School, USA; and Islamic Studies from, Islamic University of al-Madina al-Munawwarah, Kingdom of Saudi Arabia. He is a member of the AAOIFI Shari'ah Standards Committee; the Fiqh Council of North America; and a Research Fellow at the International Shari'ah Research Academy for Islamic Finance in Malaysia. He has more than 30 years of experience in providing Shari'ah and Law consultancy, Islamic banking documentation, research, lectures and arbitration for more than 40 worldwide organisations, universities and research centers.

Sheikh Al-Mu'tasim Said Al Maawali (Member)

Al-Mu'tasim Said Al-Maawali is a religious supervisor working for The Omani Studies Centre at Sultan Qaboos University. He holds an MA degree in Islamic Studies from the University of Birmingham, 2016. Al-Mu'tasim authored a seven-volume series in Islamic Jurisprudence called al-Mu'tamad, including the sixth volume in Islamic Financial Transactions, and the seventh in Islamic Banking. In 2016, he published his English book Articles on Ibārah Studies. In February 2017, he published his translation of the first volume 'The Reliable Jurisprudence of Prayer' from Arabic into English. In 2019, he also translated 'Christians in Oman' from English into Arabic. Al-Mu'tasim presented some academic papers at some international conferences in Islamic Studies, including TIMES 2017 at Birmingham University and BRISMES 2018 at King's College London, and BRISMES 2019 at the University of Leeds.

Sheikh Fahad Mohamed Hilal Al Khalili (Member)

Sheikh Fahad graduated from the Florida Atlantic University USA after which he joined the Central Bank of Oman (CBO), where he was part of Treasury and Investment Division. Thereafter, Sheikh Fahad joined Al Madina Investment where he quickly became the Deputy General Manager of Investment Banking. His key responsibilities included portfolio management, promotion of Greenfield ventures and handling high net worth individuals. Recently, Fahad founded Bayan Investment House, which is focused on building long term relationships by provided investment banking and advisory services.

6.2 Remuneration to SSB

			RO
As at 31 December 2021	Remuneration	Sitting Fee	Total
Sheikh Azzan bin Nasir Farfoor Al Amri	15,400	1,540	16,940
Dr. Mudassir Siddiqui	11,550	1,540	13,090
Sheikh Fahad Mohamed Hilal Al Khalili	7,700	1,540	9,240
Sheikh Al Muatasim Said Al Maawali	7,700	1,540	9,240
	<u>42,350</u>	<u>6,160</u>	<u>48,510</u>

6.3 Shari'ah Supervisory Board's meetings and attendance

Table : Attendance & Remuneration – Shari'ah Board

Members Name	28-Jan-21	11-Feb-21	09-Jun-21	06-Oct-21	Attended
Sheikh Azzan bin Nasser Al Amri	✓	✓	✓	✓	4
Dr. Mudassir Siddiqui	✓	✓	✓	✓	4
Sheikh Fahad Mohamed Al Khalili	✓	✓	✓	✓	4
Sheikh Al Muatasim Said Al Maawali	✓	✓	✓	✓	4

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF AS AT 31 DECEMBER 2021

7. CORPORATE SOCIAL RESPONSIBILITY

Sohar Islamic conducts customer awareness program on Islamic banking, and also supports social activities in many various fields such as sports, conferences, etc.

8. OTHER DISCLOSURES

Following are the disclosures required under Islamic Banking Regulatory Framework:

- There has been no comingling of the funds.
- As of 31 December 2021, and amount of OMR 330 is payable to head office.
- There has been no amount transferred to Charity fund during the year.

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF
AS AT 31 DECEMBER 2021

STATEMENT ON SENSITIVITY OF ASSETS AND LIABILITIES (SAL)

Annexure 1															RO '000	
No.	Inflows (Assets and OBS)	Up to 1 month	1-3 months	3-6 months	6-12 months	1-2 years	2-3 years	3-4 years	4-5 years	5-7 years	7-10 years	10-15 years	15-20 years	Over 20 years	Non Sensitive	Total
1	Cash on Hand	-	-	-	-	-	-	-	-	-	-	-	-	-	3,328	3,328
2	Deposits with CBO	-	-	-	-	-	-	-	-	-	-	-	-	-	5,783	5,783
3	Balances due from HO/ Affiliates/Branches	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
4	Balances due from Other Banks	0	-	-	-	-	-	-	-	-	-	-	-	-	2,193	2,193
5	Investments	-	-	-	-	3,971	6,702	10,112	5,012	2,716	-	-	-	-	-	28,512
6	Bills of Exchange and Promissory Notes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
7	Overdrafts	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
8	Financing and Advances	144,611	54,112	95,142	24,404	1,593	-	-	-	19	111	252	343	947	13,254	334,788
9	Non-Performing Financing	-	-	-	-	-	-	-	-	667	-	-	-	-	-	667
10	Fixed Assets	-	-	-	-	-	-	-	-	-	-	-	-	-	697	697
11	Net Inter-branch Transactions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
12	Accrued Interest	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
13	Other Assets	-	-	-	-	-	-	-	-	-	-	-	-	-	2,022	2,022
14	Spot and Forward Purchases	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
15	Reverse Repos	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
16	FRAs	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
17	Swaps	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
18	Futures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
19	Options	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
20	Others (Specify)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total		144,611	54,112	95,142	24,404	5,564	6,702	10,112	5,012	3,402	111	252	343	947	27,277	377,990

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF
AS AT 31 DECEMBER 2021

STATEMENT ON SENSITIVITY OF ASSETS AND LIABILITIES (SAL)

Annexure 1 (continue)															RO '000	
No.	Outflows (Liabilities and OBS)	Up to 1 month	1-3 months	3-6 months	6-12 months	1-2 years	2-3 years	3-4 years	4-5 years	5-7 years	7-10 years	10-15 years	15-20 years	Over 20 years	Non Sensitive	Total
1	Current Deposits	-	-	-	-	-	-	-	-	-	-	-	-	-	101,472	101,472
2	Saving Deposits	41,930	-	-	-	-	-	-	-	-	-	-	-	-	-	41,930
3	Time Deposits	6,563	14,543	41,568	25,800	30,603	7,002	9,897	2,008	-	-	-	-	-	-	137,984
4	Other Deposits	-	-	-	-	-	-	-	-	-	-	-	-	-	1,357	1,357
5	Balances due to HO/ Affiliates / Branches	15,002	-	-	-	-	-	-	-	-	-	-	-	-	-	15,002
6	Balances due to other Banks	17,034	-	-	19,337	-	-	-	-	-	-	-	-	-	-	36,371
7	Certificate of Deposits	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
8	Other Borrowings	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
9	Net Inter-branch Transactions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
10	Bills Payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
11	Interest Payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
12	Provisions (others)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
13	Spot and Forward Sales	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
14	Capital	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
15	Reserves	-	-	-	-	-	-	-	-	-	-	-	-	-	31,500	31,500
16	Retained Earnings	-	-	-	-	-	-	-	-	-	-	-	-	-	2,717	2,717
17	Subordinated Debts	-	-	-	-	-	-	-	-	-	-	-	-	-	6,993	6,993
18	Others (Current Year's Profit/Loss)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
19	Repos	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
20	FRAs	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
21	Futures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
22	Swaps	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
23	Options	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
24	Convertible Bonds	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
25	Other Liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	2,664	2,664
Total		80,529	14,543	41,568	45,137	30,603	7,002	9,897	2,008	-	-	-	-	-	146,703	377,990
Gap		64,082	39,569	53,574	(20,733)	(25,039)	(300)	215	3,004	3,402	111	252	343	947	(119,426)	0
Cumulative Gap		64,082	103,651	157,225	136,492	111,453	111,153	111,367	114,371	117,773	117,884	118,136	118,479	119,426	0	-

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF
AS AT 31 DECEMBER 2021

Exposure to profit rate risk – Annexure 2

	31 December 2021 RO '000
Net Profit Income	8,007
Capital	40,516
Based on 50 bps Profit rate shock	
Impact of 50 bps profit rate shock	555.19
Impact as % to Net profit	6.93
Impact as % to CAPITAL	1.37
Based on 100 bps Profit rate shock	
Impact of 100 bps profit rate shock	1,110.39
Impact as % to Net profit	13.87
Impact as % to CAPITAL	2.74
Based on 200 bps Profit rate shock	
Impact of 200 bps profit rate shock	2,220.78
Impact as % to Net loss	27.74
Impact as % to CAPITAL	5.48

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF
AS AT 31 DECEMBER 2021

STATEMENT ON MATURITY OF ASSETS AND LIABILITIES (MAL)

Annexure 3											RO '000
No.	Inflows (Assets and OBS)	Up to 1 month	1-3 months	3-6 months	6-9 months	9-12 months	1-3 years	3-5 years	Over 5 years	Total	
1	Cash on Hand	3,328	-	-	-	-	-	-	-	3,328	
2	Deposits with CBO	514	692	1,106	303	727	949	448	1,044	5,783	
3	Balances due from HO/Affiliates/Branches	-	-	-	-	-	-	-	-	-	
4	Balances due from Other Banks	2,193	-	-	-	-	-	-	-	2,193	
5	Investments	3,244	3,244	3,244	-	-	11,053	5,012	2,716	28,512	
6	Bills of Exchange and Promissory Notes	-	-	-	-	-	-	-	-	-	
7	Overdrafts	-	-	-	-	-	-	-	-	-	
8	Financing and Advances	48,212	3,923	3,286	4,890	4,377	38,639	41,843	189,618	334,788	
9	Non-Performing Financing	-	-	-	-	167	-	-	500	667	
10	Fixed Assets	-	-	-	-	-	-	-	697	697	
11	Net Inter-branch Transactions	-	-	-	-	-	-	-	-	-	
12	Accrued Interest	-	-	-	-	-	-	-	-	-	
13	Other Assets	2,022	-	-	-	-	-	-	-	2,022	
14	Spot and Forward Purchases	79,118	61,023	-	-	-	-	-	-	140,140	
15	Swaps	-	-	-	-	-	-	-	-	-	
16	Options	-	-	-	-	-	-	-	-	-	
17	Reverse Repos	-	-	-	-	-	-	-	-	-	
18	Committed Lines of Credit	50,000	-	-	-	-	-	-	-	50,000	
19	Letters of Credit/Guarantees/Acceptances	1	345	1,156	1,350	324	53	-	41	3,270	
20	Utilized portion of Overdraft and Financing & Advances	5,388	8,399	548	511	716	843	23	-	16,428	
21	Undrawn Exposure (Syn Financing)	-	-	-	-	-	-	-	-	-	
Total		194,020	77,626	9,340	7,054	6,311	51,537	47,326	194,616	587,828	

STATEMENT ON MATURITY OF ASSETS AND LIABILITIES (MAL)

Annexure 3 (continue)

RO '000										
Annexure 3 (continue)										
No.	Outflows (Liabilities and OBS)	Up to 1 month	1-3 months	3-6 months	6-9 months	9-12 months	1-3 years	3-5 years	Over 5 years	Total
1	Current Deposits	20,295	20,295	15,221	10,147	10,147	-	-	25,368	101,472
2	Saving Deposits	2,097	2,096	2,099	2,096	2,096	10,479	10,480	10,487	41,930
3	Time Deposits	5,713	10,871	35,857	2,310	22,691	35,120	11,032	14,390	137,984
4	Other Deposits	404	147	-	-	5	278	523	-	1,357
5	Balances due to HO/Affiliates/Branches	15,002	-	-	-	-	-	-	-	15,002
6	Balances due to Other Banks	17,034	-	-	19,337	-	-	-	-	36,371
7	Certificate of Deposits	-	-	-	-	-	-	-	-	-
8	Other Borrowings	-	-	-	-	-	-	-	-	-
9	Net Inter-branch Transactions	-	-	-	-	-	-	-	-	-
10	Bills Payable	-	-	-	-	-	-	-	-	-
11	Interest Payable	-	-	-	-	-	-	-	-	-
12	Prov. other than for Loan Losses and Dep. in Invt.	-	-	-	-	-	-	-	-	-
13	Other Liabilities	2,664	-	-	-	-	-	-	-	2,664
14	Spot and Forward Sales	79,118	61,023	-	-	-	-	-	-	140,140
15	Swaps	-	-	-	-	-	-	-	-	-
16	Options	-	-	-	-	-	-	-	-	-
17	Repos	-	-	-	-	-	-	-	-	-
18	Letters of Credit/Guarantees/Acceptances	408	1,630	1,061	141	18	12	-	-	3,270
19	Committed Lines of Credit	-	-	-	-	-	50,000	-	-	50,000
20	Utilized portion of Overdraft and Financing and Advances	6,018	8,689	705	562	311	120	23	-	16,428
21	Others (Specify)	-	-	-	-	-	-	-	-	-
22	Capital	-	-	-	-	-	-	-	31,500	31,500
23	Reserves	-	-	-	-	-	-	-	2,717	2,717
24	Retained Earnings	-	-	-	-	-	-	-	6,993	6,993
25	Subordinated Debts	-	-	-	-	-	-	-	-	-
26	Others (Current Year's Profit/Loss)	-	-	-	-	-	-	-	-	-
27	Undrawn Exposure (Syn Financing)	-	-	-	-	-	-	-	-	-
28	Convertible Bonds	-	-	-	-	-	-	-	-	-
Total		148,752	104,750	54,943	34,593	35,268	96,009	22,058	91,455	587,828
Cumulative Liabilities		148,752	253,502	308,445	343,038	378,306	474,315	496,373	587,828	
Gap		45,268	(27,125)	(45,603)	(27,539)	(28,957)	(44,472)	25,268	103,161	
Cumulative Gap		45,268	18,143	(27,460)	(54,999)	(83,956)	(128,429)	(103,161)	0	
Cumulative Gap as a percentage of Cumulative Liabilities		30.43	7.16	(8.90)	(16.03)	(22.19)	(27.08)	(27.08)	0.00	

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF
AS AT 31 DECEMBER 2021

RECONCILIATION TEMPLATE AS AT DECEMBER 2021

Step 1:			RO '000	
			Balance sheet as in published financial statements	Under regulatory scope of consolidation
			As at 31 December 2021	As at 31 December 2021
Assets				
Cash and balances with Central Bank of Oman			9,111	9,111
Certificates of deposit			-	-
Due from banks			2,193	2,193
Financing and advances			321,950	321,950
Investments in securities			28,512	28,512
Financing and advances to banks			-	-
Property and equipment			697	697
Deferred tax assets			-	-
Other assets			13,511	13,511
Total assets			375,974	375,974
Liabilities				
Due to banks			51,373	51,373
Customer deposits			282,743	282,743
Current and deferred tax liabilities			-	-
Other liabilities			2,664	2,664
Subordinated Debts			-	-
Compulsory Convertible bonds			-	-
Total liabilities			336,780	336,780
Shareholders' Equity				
Paid-up share capital			31,500	31,500
Share premium			-	-
Legal reserve			134	134
General reserve			988	988
Impairment reserve			472	472
Retained earnings			6,993	6,993
Cumulative changes in fair value of investments			(893)	(893)
Subordinated debt reserve			-	-
Total shareholders' equity			39,194	39,194
Total liability and shareholders' funds			375,974	375,974

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF AS AT 31 DECEMBER 2021

RECONCILIATION TEMPLATE AS AT DECEMBER 2021 (CONTINUED)

Step 2 :	RO '000		
	Balance sheet as in published financial statements	Under regulatory scope of consolidation	Reference
	As at 31 December 2021	As at 31 December 2021	
Assets			
Cash and balances with CBO	9,111	9,111	
Balance with banks and money at call and short notice	2,193	2,193	
Investments :	28,512	28,512	
Of which Held to Maturity	9,732	9,732	
Of which available for sale	NA	NA	
Out of investments in available for sale: investments in subsidiaries	NA	NA	
Investments in associates and joint ventures	NA	NA	
<u>Held for trading</u>	18,780	18,780	
Financing and advances	321,950	321,950	
Of which:			
Financing and advances to domestic customers	309,011	309,011	
Financing and advances to SMEs	12,939	12,939	
Financing from Islamic banking window	-	-	
Fixed assets	697	697	
Other assets	13,511	13,511	
of which:			
Total Assets	375,974	375,974	

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF AS AT 31 DECEMBER 2021

RECONCILIATION TEMPLATE AS AT DECEMBER 2021 (CONTINUED)

Step 2 (continued):	RO '000		
	Balance sheet as in published financial statements	Under regulatory scope of consolidation	Reference
	As at 31 December 2021	As at 31 December 2021	
Capital & Liabilities			
Paid-up Capital	31,500	31,500	
Of which:			
Amount eligible for CET1	31,500	31,500	
Reserves & Surplus	1,122	1,122	
Out of which			
Retained earnings	6,993	6,993	
Other Reserves	472	472	
Out of which :			
Losses from fair value of investments	(893)	(893)	a
Gains from fair value of investments	NA	NA	
Haircut of 55% on Gains	NA	NA	
Total Capital	39,194	39,194	
Deposits :	282,743	282,743	
Of which:			
Customer deposits	41,425	41,425	
Deposits of Islamic Banking window			
Other deposits(please specify) Wakala deposits	241,318	241,318	
Borrowings	51,373	51,373	
From banks	51,373	51,373	
Other liabilities & provisions	2,664	2,664	
Of which:			
Out of which: DTAs related to investments			
Out of which: DTLs related to investments			b
Total Capital & Liabilities	375,974	375,974	

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF
AS AT 31 DECEMBER 2021

RECONCILIATION TEMPLATE AS AT DECEMBER 2021 (CONTINUED)

Step 3:

RO '000

Common Equity Tier 1 capital: instruments and reserves

	Component of regulatory capital reported by Bank	Source based on reference numbers/letters of the balance sheet under the regulatory scope of consolidation from step 2
1	Directly issued qualifying common share (and equivalent for non-joint stock companies) capital plus related stock surplus	31,500
2	Retained earnings	6,993
3	Accumulated other comprehensive income (and other reserves)	1,122
4	Directly issued capital subject to phase out from CET1 (only applicable to non-joint stock companies)	-
5	Common share capital issued by subsidiaries and held by third parties (amount allowed in group CET1)	-
6	Common Equity Tier 1 capital before regulatory adjustments	39,615
7	Prudential valuation adjustments	-
8	Goodwill (net of related tax liability)	-
9	Losses from fair value of investments	(893)
10	DTL related to investments	-
11	Common Equity Tier 1 capital (CET1)	38,722

a

b

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF
AS AT 31 DECEMBER 2021

BASEL III COMMON DISCLOSURE TEMPLATE TO BE USED DURING THE TRANSITION OF REGULATORY ADJUSTMENTS

		RO '000
Common Equity Tier 1 capital: instruments and reserves		
1	Directly issued qualifying common share capital (and equivalent for non-joint stock companies) plus related stock surplus	31,500
2	Retained earnings	6,993
3	Accumulated other comprehensive income (and other reserves)	1,122
4	Directly issued capital subject to phase out from CET1 (only applicable to non-joint stock companies)	-
	Public sector capital injections grandfathered until 1 January 2018	-
5	Common share capital issued by subsidiaries and held by third parties (amount allowed in group CET1)	-
6	Common Equity Tier 1 capital before regulatory adjustments	39,615
Common Equity Tier 1 capital: regulatory adjustments		
7	Prudential valuation adjustments	-
8	Goodwill (net of related tax liability)	-
9	Other intangibles other than mortgage-servicing rights (net of related tax liability)	893
10	Deferred tax assets that rely on future profitability excluding those arising from temporary differences (net of related tax liability)	-
11	Cash-flow hedge reserve	-
12	Shortfall of provisions to expected losses	-
13	Securitisation gain on sale (as set out in paragraph 14.9 of CP-1)	-
14	Gains and losses due to changes in own credit risk on fair valued liabilities.	-
15	Defined-benefit pension fund net assets	-
16	Investments in own shares (if not already netted off paid-in capital on reported balance sheet)	-
17	Reciprocal cross-holdings in common equity	-
18	Investments in the capital of banking, financial, insurance and takaful entities that are outside the scope of regulatory consolidation, net of eligible short positions, where the bank does not own more than 10% of the issued share capital (amount above 10% threshold)	-
19	Significant investments in the common stock of banking, financial, insurance and takaful entities that are outside the scope of regulatory consolidation, net of eligible short positions (amount above 10% threshold)	-
20	Mortgage Servicing rights (amount above 10% threshold)	-
21	Deferred tax assets arising from temporary differences (amount above 10% threshold, net of related tax liability)	-
22	Amount exceeding the 15% threshold	-
23	Of which: significant investments in the common stock of financials	-
24	Of which: mortgage servicing rights	-
25	Of which: deferred tax assets arising from temporary differences	-
26	National specific regulatory adjustments REGULATORY ADJUSTMENTS APPLIED TO COMMON EQUITY TIER 1 IN RESPECT OF AMOUNTS SUBJECT TO PRE-BASEL III TREATMENT Of which: [INSERT NAME OF ADJUSTMENT] Of which: [INSERT NAME OF ADJUSTMENT] Of which: [INSERT NAME OF ADJUSTMENT]	- - -
27	Regulatory adjustments applied to Common Equity Tier 1 due to insufficient Additional Tier 1 and Tier 2 to cover deductions	-
28	Total regulatory adjustments to Common equity Tier 1	893
29	Common Equity Tier 1 capital (CET1)	38,722

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF
AS AT 31 DECEMBER 2021

BASEL III COMMON DISCLOSURE TEMPLATE TO BE USED DURING THE TRANSITION OF REGULATORY
ADJUSTMENTS (CONTINUED)

		RO '000
Additional Tier 1 capital: instruments		
30	Directly issued qualifying Additional Tier 1 instruments plus related stock surplus	-
31	Of which: classified as equity under applicable accounting standards ⁵	-
32	Of which: classified as liabilities under applicable accounting standards ⁶	-
33	Directly issued capital instruments subject to phase out from Additional Tier 1	-
34	Additional Tier 1 instruments (and CET1 instruments not included in row 5) issued by subsidiaries and held by third parties (amount allowed in group AT1)	-
35	Of which: instruments issued by subsidiaries subject to phase out	-
36	Additional Tier 1 capital before regulatory adjustments	-
Additional Tier 1 capital: regulatory adjustments		
37	Investments in own Additional Tier 1 instruments	-
38	Reciprocal cross-holdings in Additional Tier 1 instruments	-
39	Investments in the capital of banking, financial, insurance and takaful entities that are outside the scope of regulatory consolidation, net of eligible short positions, where the bank does not own more than 10% of the issued common share capital of the entity (amount above 10% threshold)	-
40	Significant investments in the capital of banking, financial, insurance and takaful entities that are outside the scope of regulatory consolidation (net of eligible short positions)	-
41	"National specific regulatory adjustments REGULATORY ADJUSTMENTS APPLIED TO ADDITIONAL TIER 1 IN RESPECT OF AMOUNTS SUBJECT TO PRE-BASEL III TREATMENT Of which: [INSERT NAME OF ADJUSTMENT] Of which: [INSERT NAME OF ADJUSTMENT] Of which: [INSERT NAME OF ADJUSTMENT]	- - -
42	Regulatory adjustments applied to Additional Tier 1 due to insufficient Tier 2 to cover deductions	-
43	Total regulatory adjustments to Additional Tier 1 capital	-
44	Additional Tier 1 capital (AT1)	-
45	Tier 1 capital (T1 = CET1 + AT1)	38,722
Tier 2 capital: instruments and provisions		
46	Directly issued qualifying Tier 2 instruments plus related stock surplus	-
47	Directly issued capital instruments subject to phase out from Tier 2	-
48	Tier 2 instruments (and CET1 and AT1 instruments not included in rows 5 or 34) issued by subsidiaries and held by third parties (amount allowed in group Tier 2)	-
49	Of which: instruments issued by subsidiaries subject to phase out	-
50	Provisions	1,794
51	Tier 2 capital before regulatory adjustments	1,794

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF
AS AT 31 DECEMBER 2021

BASEL III COMMON DISCLOSURE TEMPLATE TO BE USED DURING THE TRANSITION OF REGULATORY
ADJUSTMENTS (CONTINUED)

		RO '000
Tier 2 capital: regulatory adjustments		
52	Investments in own Tier 2 instruments	-
53	Reciprocal cross-holdings in Tier 2 instruments	-
54	Investments in the capital of banking, financial, insurance and takaful entities that are outside the scope of regulatory consolidation, net of eligible short positions, where the bank does not own more than 10% of the issued common share capital of the entity (amount above the 10% threshold)	-
55	Significant investments in the capital banking, financial, insurance and takaful entities that are outside the scope of regulatory consolidation (net of eligible short positions)	-
56	National specific regulatory adjustments REGULATORY ADJUSTMENTS APPLIED TO TIER 2 IN RESPECT OF AMOUNTS SUBJECT TO PRE-BASEL III TREATMENT Of which: [INSERT NAME OF ADJUSTMENT] Of which: [INSERT NAME OF ADJUSTMENT] Of which: [INSERT NAME OF ADJUSTMENT]	- - -
57	Total regulatory adjustments to Tier 2 capital	-
58	Tier 2 capital (T2)	1,794
59	Total capital (TC = T1 + T2)	40,516
Risk Weighted Assets		
RISK WEIGHTED ASSETS IN RESPECT OF AMOUNTS SUBJECT TO PRE-BASEL III TREATMENT		-
Of which: [INSERT NAME OF ADJUSTMENT]		
Of which: [INSERT NAME OF ADJUSTMENT]		
Of which: [INSERT NAME OF ADJUSTMENT]		
60	Total risk weighted assets (60a+60b+60c)	320,096
60a	Of which: Credit risk weighted assets	301,078
60b	Of which: Market risk weighted assets	4,513
60c	Of which: Operational risk weighted assets	14,505
Capital Ratios		
61	Common Equity Tier 1 (as a percentage of risk weighted assets)	12.10
62	Tier 1 (as a percentage of risk weighted assets)	12.10
63	Total capital (as a percentage of risk weighted assets)	12.66
64	Institution specific buffer requirement (minimum CET1 requirement plus capital conservation buffer plus countercyclical buffer requirements plus G-SIB/D-SIB buffer requirement expressed as a percentage of risk weighted assets)	9.50%
65	Of which: capital conservation buffer requirement	2.50%
66	Of which: bank specific countercyclical buffer requirement	
67	Of which: D-SIB/G-SIB buffer requirement	
68	Common Equity Tier 1 available to meet buffers (as a percentage of risk weighted assets)	

REGULATORY DISCLOSURES UNDER BASEL II & BASEL III FRAMEWORK & IBRF
AS AT 31 DECEMBER 2021

BASEL III COMMON DISCLOSURE TEMPLATE TO BE USED DURING THE TRANSITION OF REGULATORY
ADJUSTMENTS (CONTINUED)

		RO '000
National minima (if different from Basel III)		
69	National Common Equity Tier 1 minimum ratio (if different from Basel 3 minimum)	7.00%
70	National Tier 1 minimum ratio (if different from Basel 3 minimum)	9.00%
71	National total capital minimum ratio (if different from Basel 3 minimum)	11.00%
Amounts below the thresholds for deduction (before risk weighting)		
72	Non-significant investments in the capital of other financials	-
73	Significant investments in the common stock of financials	-
74	Mortgage servicing rights (net of related tax liability)	-
75	Deferred tax assets arising from temporary differences (net of related tax liability)	-
Applicable caps on the inclusion of provisions in Tier 2		
76	Provisions eligible for inclusion in Tier 2 in respect of exposures subject to standardised approach (prior to application of cap)	-
77	Cap on inclusion of provisions in Tier 2 under standardised approach	-
78	Provisions eligible for inclusion in Tier 2 in respect of exposures subject to internal ratings-based approach (prior to application of cap)	-
79	Cap for inclusion of provisions in Tier 2 under internal ratings-based approach	-
Capital instruments subject to phase-out arrangements (only applicable between 1 Jan 2018 and 1 Jan 2022)		
80	Current cap on CET1 instruments subject to phase out arrangements	-
81	Amount excluded from CET1 due to cap (excess over cap after redemptions and maturities)	-
82	Current cap on AT1 instruments subject to phase out arrangements	-
83	Amount excluded from AT1 due to cap (excess over cap after redemptions and maturities)	-
84	Current cap on T2 instruments subject to phase out arrangements	-
85	Amount excluded from T2 due to cap (excess over cap after redemptions and maturities)	-

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SOHAR ISLAMIC BRANCH NETWORK

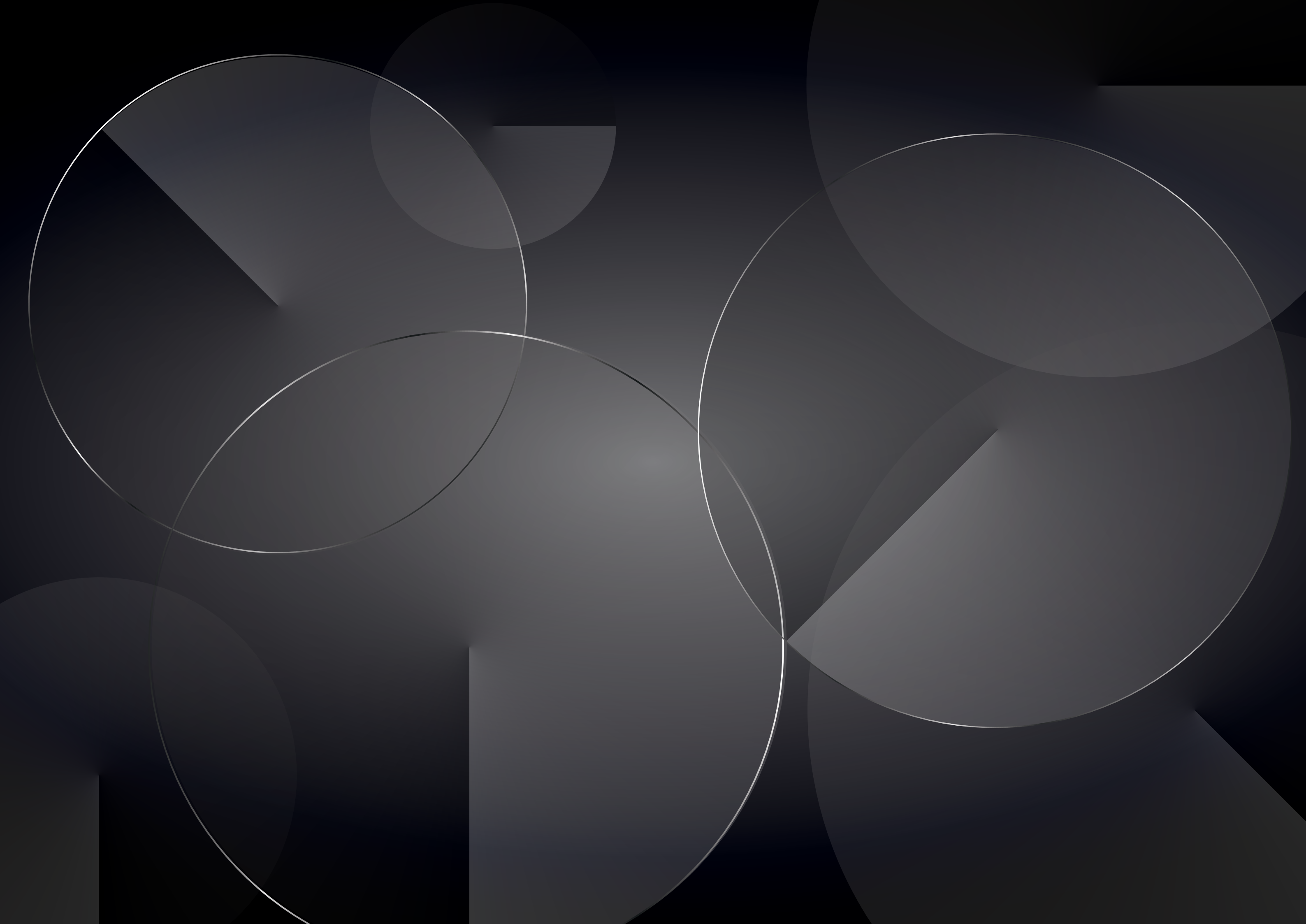
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SOHAR INTERNATIONAL ATM LOCATION

ONSITE		OFFSITE	
GOVERNORATE	BRANCH NAME	GOVERNORATE	ATM'S
North Batinah	Al Khaboura	North Batinah	Saham (Husn Al Sheikh)
	Suweiq		Saham (Industrial Area)
	Saham		Sohar Waqibah (Al-Maha Petrol Station)
	Shinas		Sohar (Safeer Mall)
	Sohar		Sohar (Orpic)
South Batinah	Al Mussaneh	South Batinah	Sohar (Aluminium)
	Barka		Rustaq (Lulu Hypermarket)
	Rustaq		Rustaq (Ramiz Hypermarket)
Buraimi	Buraimi		Barka (Dragon Mart)
Al Dakheliya	Bahla		Souq Al Nakhal
	Nizwa	Dakheliya	Nizwa (Kharsha industrial Area)
Al Dhahira	Ibri		Bahla Rail Hypermarket
			Izki Near Izki hospital
Dhofar	Salalah	Dhahira	Ibri Al Salami (Shell Petrol Station)
			Salalah (Al Maha Petrol Station)
Musandam	Khasab	Dhofar	Salalah (Al Baleed Resort)
			Salalah (Al Maha Petrol Station Drive Thru)
Muscat	Al-Khoudh	Muscat	Azaiba (Al Meera Hypermarket)
	Al Mabellah		Mabellah (Mabellah Souq)
	Seeb		Mabellah Industry (Shell Petrol Station)
	Al Amerat		Mabellah (Al Maha Petrol Station)
	Avenues Mall		Mabellah Industry (Shell Petrol Station)
	Azaiba		Mabellah (Al Maha Petrol Station)
	Al Khuwair		Knowledge Oasis Muscat
	MBD		Mawalih (Mawalih Souq)
	Bausher		Ministry of Defense (Moaskar Mortafa'a)
	Al Qurum		Muscat International Airport
	Quriyat		Oman Exhibition & Convention Center
	Water front		South Hail China Centre
			Almouj
			North Hail (China Mall)
North Sharqiya	Ibra	South Sharqiyah	Al Khuwair (Marmul Travels)
	Sinaw		Darsait (Shell petrol station)
South Sharqiya	Jalan Bani Bu Ali	South Sharqiyah	Al Amerat Al Hajir
	Sur		Souq Ruwi (Majan Exchange)
			Al Khoudh Danco Hypermarket

SOHAR ISLAMIC ATM LOCATION

ONSITE		OFFSITE	
GOVERNORATE	BRANCH NAME	GOVERNORATE	ATM'S
North Batinah	Sohar	North Batinah	Sohar (Falaj Qabail)
South Batinah	Barka		
Al Dakheliya	Firq		
Dhofar	Saada	Dhofar	Awqad
Muscat	Al Khoudh	Muscat	Hail (Shell Petrol Station)
	Al Mabellah		Athaiba (Shell Petrol Station)
	Ghala		Shatti Qurum (Water Front)
	Al Ghobra		Muscat Mall





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